NEW ISSUE – BOOK-ENTRY ONLY

RATINGS: Standard & Poor's: AAA
Moody's: Aa1
See "RATINGS" herein
GREEN BOND ASSESSMENT RATING (for Series 2017A): Moody's: GB1

In the opinion of Co-Bond Counsel, under existing law (i) assuming continuing compliance with certain covenants and the accuracy of certain representations, interest on the Series 2017A/B Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and (ii) the Series 2017A/B Bonds and the interest thereon are exempt from District taxation, except estate, inheritance and gift taxes. Interest on the Series 2017A/B Bonds may be subject to certain federal taxes imposed only on certain corporations, including the corporate alternative minimum tax on a portion of that interest. For a more complete discussion of the tax aspects, see "TAX MATTERS" herein.

$100,000,000
DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY
Public Utility Senior Lien Revenue Bonds, Series 2017A (Green Bonds)

$200,000,000
DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY
Public Utility Senior Lien Revenue Bonds, Series 2017B

Dated: Date of Delivery **Due: As shown on inside cover**

The Public Utility Senior Lien Revenue Bonds, Series 2017A (Green Bonds) (the "Series 2017A Bonds") and the Public Utility Senior Lien Revenue Bonds, Series 2017B (the "Series 2017B Bonds" and, together with the Series 2017A Bonds, the "Series 2017A/B Bonds") are being issued by the District of Columbia Water and Sewer Authority (the "Authority," also commonly referred to as "DC Water") pursuant to a Master Indenture of Trust, dated as of April 1, 1998 (the "Master Indenture"), by and between the Authority and Wells Fargo Bank, N.A., as trustee (the "Trustee"), as amended and supplemented from time to time, including as amended and supplemented by the Twenty-Second Supplemental Indenture of Trust, by and between the Authority and the Trustee, dated the date of issuance and delivery of the Series 2017A/B Bonds (the "Twenty-Second Supplemental Indenture" and, together with the Master Indenture, as previously amended and supplemented, the "Indenture"). The proceeds of the Series 2017A/B Bonds will be used to pay (i) a portion of the costs of the Authority's DC Clean Rivers Project (the "DC Clean Rivers Project" or, the "Series 2017A Project"), (ii) a portion of the costs of certain other capital improvements to the System (the "Series 2017B Project"), and (iii) costs of issuing the Series 2017A/B Bonds. The Series 2017A/B Bonds will be secured by a pledge of Net Revenues that will be on a parity with the pledge of Net Revenues that secures any Outstanding Senior Debt and other Senior Debt the Authority may issue from time to time in the future, all as further described and defined herein. The Series 2017A/B Bonds will not be secured by a Debt Service Reserve Fund. See "SECURITY FOR THE SERIES 2017A/B BONDS."

The Series 2017A/B Bonds will be issued initially in denominations of $5,000 or any integral multiple thereof and in fully registered form in the name of Cede & Co., as nominee of The Depository Trust Company ("DTC") under the book-entry only system maintained by DTC or its nominee. So long as Cede & Co. is the registered owner of the Series 2017A/B Bonds, the principal of and premium, if any, and interest on the Series 2017A/B Bonds will be payable by the Trustee to DTC, which will in turn remit such payments to its participants for subsequent disbursement to beneficial owners of the Series 2017A/B Bonds, as more fully described herein. See APPENDIX E – "DTC Book-Entry Only System."

Interest on the Series 2017A/B Bonds will be calculated on the basis of a 360-day year of twelve 30-day months, payable semi-annually on each April 1 and October 1, commencing April 1, 2017.

The Series 2017A/B Bonds are subject to redemption prior to maturity, as more fully described herein. See "THE SERIES 2017A/B BONDS – Redemption Provisions."

The Series 2017A Project consists of a portion of the DC Clean Rivers Project. Based upon an independent assessment of the DC Clean Rivers Project and of the Authority applying environmental, social and governance criteria, the Authority has designated the Series 2017A Project as a "Green Project" and has designated the Series 2017A Bonds as "Green Bonds." See "PLAN OF FINANCE."

The Series 2017A/B Bonds shall be special, limited obligations of the Authority payable solely from the Net Revenues of the Authority. The Series 2017A/B Bonds shall be without recourse to the District of Columbia (the "District"). The Series 2017A/B Bonds shall not be general obligations of the District or of the Authority. The Series 2017A/B Bonds shall not be a pledge of or involve the faith and credit or the taxing power of the District, shall not constitute a debt of the District, the United States of America or any User Jurisdiction (as defined herein) or any agency or instrumentality of any User Jurisdiction, and neither the District, the United States, any User Jurisdiction nor any agency or instrumentality of any User Jurisdiction shall be liable thereon. The Series 2017A/B Bonds also shall not constitute the lending of the public credit for private undertakings as prohibited by the Home Rule Act (as defined herein). The Authority has no taxing power.

The Series 2017A/B Bonds are offered when, as and if issued by the Authority and received by the Underwriters (as hereinafter defined). Certain legal matters with respect to the issuance of the Series 2017A/B Bonds are subject to the approval of Squire Patton Boggs (US) LLP and Leftwich LLC, Co-Bond Counsel to the Authority. Squire Patton Boggs (US) LLP and Leftwich LLC also serve as Co-Disclosure Counsel to the Authority in connection with the preparation of this Official Statement. Certain legal matters will be passed upon for the Authority by its General Counsel and for the Underwriters by Orrick, Herrington & Sutcliffe LLP and McKenzie & Associates, Co-Underwriters' Counsel. It is expected that the Series 2017A/B Bonds will be available for delivery through the facilities of DTC in New York, New York on or about February 23, 2017.

GOLDMAN, SACHS & CO.
Joint Bookrunner

RAMIREZ & CO., INC.
Joint Bookrunner

BofA Merrill Lynch **Barclays** **Loop Capital Markets**

This cover page, including the inside cover page, contains certain information for quick reference only. It is not a summary of this Official Statement. Prospective purchasers must read the entire Official Statement to obtain the information essential to the making of an informed investment decision.

Dated: January 31, 2017

$100,000,000
DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY
Public Utility Senior Lien Revenue Bonds
Series 2017A
(Green Bonds)

Term Bonds

$40,900,000 4.00% Term Bonds, due October 1, 2047, Yield 3.68%* CUSIP 254845 MY3†
$59,100,000 5.00% Term Bonds, due October 1, 2052, Yield 3.48%* CUSIP 254845 MX5†

$200,000,000
DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY
Public Utility Senior Lien Revenue Bonds
Series 2017B

Serial Bonds

Year (Oct. 1)	Principal Amount	Interest Rate	Yield	CUSIP No.†
2018	$3,045,000	5.00%	1.02%	254845 MZ0
2019	3,195,000	5.00	1.22	254845 NA4
2020	4,130,000	5.00	1.43	254845 NB2
2021	4,340,000	5.00	1.65	254845 NC0
2022	4,555,000	5.00	1.84	254845 ND8
2023	4,785,000	5.00	2.01	254845 NE6
2024	5,025,000	5.00	2.15	254845 NF3
2025	5,275,000	5.00	2.32	254845 NG1
2026	5,535,000	5.00	2.46	254845 NH9
2027	5,815,000	5.00	2.60*	254845 NJ5
2028	6,105,000	5.00	2.69*	254845 NK2
2029	6,410,000	5.00	2.78*	254845 NL0
2030	3,865,000	5.00	2.85*	254845 NM8
2031	3,750,000	5.00	2.92*	254845 NN6
2032	7,455,000	5.00	2.98*	254845 NP1
2033	7,485,000	5.00	3.04*	254845 NQ9
2034	7,860,000	5.00	3.10*	254845 NR7
2035	8,250,000	5.00	3.15*	254845 NS5
2036	8,665,000	5.00	3.19*	254845 NT3
2037	11,600,000	5.00	3.22*	254845 NU0
2038	9,230,000	5.00	3.23*	254845 NV8
2039	8,380,000	5.00	3.23*	254845 NW6
2040	8,795,000	5.00	3.24*	254845 NX4

Term Bonds

$56,450,000 4.00% Term Bonds, due October 1, 2044, Yield 3.65%* CUSIP 254845 NY2†

† CUSIP® is a registered trademark of the American Bankers Association. CUSIP numbers are provided by the CUSIP Global Services, operated by S&P Global Market Intelligence, a division of S&P Global Inc. This data is not intended to create a database and does not serve in any way as a substitute for CUSIP Global Services. CUSIP numbers have been assigned by an independent company not affiliated with the Authority and are included solely for the convenience of investors. Neither the Authority nor the Underwriters are responsible for the selection or uses of these CUSIP numbers, and no representation is made as to their correctness on the Series 2017A/B Bonds or as included herein. The CUSIP number for a specific maturity is subject to being changed after the issuance of the Series 2017A/B Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Series 2017A/B Bonds.
* Yield calculated to first optional redemption date of April 1, 2027.

District of Columbia Water and Sewer Authority
5000 Overlook Avenue, S.W.
Washington, D.C. 20032
(202) 787-2000

www.dcwater.com

Principal Board Members	**Jurisdiction**
Matthew T. Brown, Chairman	*District of Columbia*
Ellen O. Boardman	*District of Columbia*
Rachna Butani	*District of Columbia*
Elisabeth Feldt	*Montgomery County*
Timothy L. Firestine	*Montgomery County*
Bradley Frome	*Prince George's County*
Nicholas A. Majett	*Prince George's County*
James W. Patteson	*Fairfax County*
Emile Thompson	*District of Columbia*
Tommy Wells	*District of Columbia*
Vacant	*District of Columbia*

Alternate Board Members	**Jurisdiction**
Shirley Branch	*Prince George's County*
Kendrick Curry	*District of Columbia*
Anthony Giancola	*District of Columbia*
Howard Gibbs	*District of Columbia*
Ana Recio Harvey	*District of Columbia*
Bonnie Kirkland	*Montgomery County*
David W. Lake	*Montgomery County*
Sarah Motsch	*Fairfax County*
Adam Ortiz	*Prince George's County*
Vacant	*District of Columbia*
Vacant	*District of Columbia*

Authority Staff	**Title**
George S. Hawkins	*CEO and General Manager*
Mark T. Kim	*Chief Financial Officer*
Leonard R. Benson	*Chief Engineer*
Henderson J. Brown, IV	*General Counsel*
Mustaafa Dozier	*Chief of Staff*
Biju George	*Chief Operating Officer*
Charles Kiely	*Assistant General Manager of Customer Care & Operations*
Carlton Ray	*Director of DC Clean Rivers Project*
Aklile Tesfaye	*Assistant General Manager of Wastewater Treatment*

Authority Consultants and Counsel	
Squire Patton Boggs (US) LLP and Leftwich LLC	*Co-Bond Counsel and Co-Disclosure Counsel*
Amawalk Consulting Group LLC	*Financial Feasibility Consultant*
Johnson, Mirmiran, and Thompson, Inc.	*Engineering Feasibility Consultant*
PFM Financial Advisors LLC and G~Entry Principle, P.C.	*Co-Financial Advisors*

IMPORTANT NOTICES

This Official Statement is provided in connection with the issuance of the Series 2017A/B Bonds referred to herein and may not be reproduced or be used, in whole or in part, for any other purpose. The information contained in this Official Statement has been derived from information provided by the Authority and other sources which are believed to be reliable. Additional information, including financial information, concerning the Authority is available from the Authority's website. Any such information that is inconsistent with the information set forth in this Official Statement should be disregarded.

No dealer, broker, salesperson or other person has been authorized by the Authority or the Underwriters to give any information or to make any representations with respect to this offering, other than as contained in this Official Statement and, if given or made, such other information or representations must not be relied upon as having been authorized by the Authority or the Underwriters. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Series 2017A/B Bonds by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale.

The Underwriters have provided the following sentence for inclusion in this Official Statement: The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

The Series 2017A/B Bonds have not been registered with the U.S. Securities and Exchange Commission (the "SEC") under the Securities Act of 1933, as amended, in reliance upon exceptions contained in the Act. Neither the SEC nor any state securities commission has approved or disapproved of the Series 2017A/B Bonds or passed upon the accuracy or adequacy of this Official Statement. Any representation to the contrary is a criminal offense.

In connection with this offering, the underwriters may over allot or effect transactions which stabilize or maintain the market price of the Series 2017A/B Bonds at a level above that which might otherwise prevail in the open market; such stabilizing, if commenced, may be discontinued at any time.

This Official Statement is being provided to prospective purchasers either in bound printed form ("original bound format") or in electronic format on the following website: www.munios.com. This Official Statement may be relied upon only if it is in its original bound format or as printed in its entirety directly from such website.

CAUTIONARY STATEMENTS REGARDING FORWARD-LOOKING STATEMENTS IN THIS OFFICIAL STATEMENT

Some statements contained in this Official Statement reflect not historical facts but forecasts and "forward-looking statements." In this respect, the words "estimate," "project," "anticipate," "expect," "intend," "believe," "plan," "budget," and similar expressions are intended to identify forward-looking statements. Projections, forecasts, assumptions, expressions of opinions, estimates and other forward-looking statements are not to be construed as representations of fact and are qualified in their entirety by the cautionary statements set forth in this Official Statement.

The achievement of results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Authority does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations or events, conditions or circumstances on which such statements are based occur or do not occur.

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OFFICIAL STATEMENT

$100,000,000
DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY
Public Utility Senior Lien Revenue Bonds, Series 2017A (Green Bonds)

$200,000,000
DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY
Public Utility Senior Lien Revenue Bonds, Series 2017B

INTRODUCTION

General

This Official Statement, including the cover page and the appendices hereto (the "Official Statement"), is provided in connection with the issuance by the District of Columbia Water and Sewer Authority (the "Authority," also commonly referred to as "DC Water") of its Public Utility Senior Lien Revenue Bonds, Series 2017A (Green Bonds), in the original principal amount of $100,000,000 (the "Series 2017A Bonds") and its Public Utility Senior Lien Revenue Bonds, Series 2017B Bonds, in the original principal amount of $200,000,000 (the "Series 2017B Bonds" and the Series 2017A Bonds, each a "Series" and, together, the "Series 2017A/B Bonds").

The Series 2017A/B Bonds are being issued pursuant to the Master Indenture of Trust, dated as of April 1, 1998 (the "Master Indenture"), as amended and supplemented to the date of delivery of the Series 2017A/B Bonds (the "Indenture"), including by the Twenty-Second Supplemental Indenture of Trust, to be dated the date of issuance and delivery of the Series 2017A/B Bonds (the "Twenty-Second Supplemental Indenture"), each by and between the Authority and Wells Fargo Bank, N.A., as trustee (the "Trustee"), and a resolution of the Authority's Board of Directors passed at its January 5, 2017 meeting authorizing the issuance of the Series 2017 A/B Bonds.

Capitalized terms used in this Official Statement and not otherwise defined herein shall have the meanings ascribed thereto in APPENDIX C – "Glossary and Summary of the Indenture."

District of Columbia Water and Sewer Authority

The Authority is an independent authority of the District of Columbia (the "District"), which was created in April 1996 and began operating on October 1, 1996, under and pursuant to an act of the Council of the District (the "Council"), which is entitled the "Water and Sewer Authority Establishment and Department of Public Works Reorganization Act of 1996" (D.C. Law 11-111) (D.C. Code §§ 34-2201.01 *et seq.*), as amended and supplemented (the "Act"), and an act of the U.S. Congress entitled the "District of Columbia Water and Sewer Authority Act of 1996" (Public Law 104-184) (the "Federal Act"). The Council was authorized to adopt the Act pursuant to the authority set forth in the District of Columbia Self-Government and Governmental Reorganization Act (P.L. 93-198; 87 Stat 777; D.C. Official Code, 2006 Repl., §§ 1-201 *et. seq.*), as amended (the "Home Rule Act"). See "THE AUTHORITY."

The Authority provides retail water and wastewater services to approximately 650,000 residents in the District and wholesale wastewater conveyance and treatment to approximately 1.6 million people in major suburban areas of Prince George's and Montgomery Counties in Maryland and Fairfax and Loudoun Counties in Virginia (collectively, the "User Jurisdictions"). Pursuant to the Act, the District authorized the Authority to use all of the property and assets of the water distribution system (the "Water System") and the wastewater collection, treatment and disposal system (the "Wastewater System" and, together with the Water System, the "System") formerly operated by the District, for as long as any revenue bonds of the Authority, including the Series 2017A/B Bonds, remain outstanding. In accordance with the Act, the District retains full legal title to and a complete equitable interest in the System. See "THE SYSTEM."

The Authority's service area consists of the District and certain areas of the User Jurisdictions and, therefore, certain demographic, economic and statistical information relating to the District and the User Jurisdictions may be relevant to prospective purchasers of the Series 2017A/B Bonds. The Authority makes no representation as to the accuracy or completeness of information derived from other sources.

Use of the Series 2017A/B Bond Proceeds

The proceeds of the Series 2017A/B Bonds will be used to pay (i) the costs of the Series 2017A Project (as hereinafter defined), (ii) the costs of the Series 2017B Project (as hereinafter defined), and (iii) costs of issuing the Series 2017A/B Bonds. See "PLAN OF FINANCE."

The proceeds of the Series 2017A Bonds will be used to pay a portion of the costs of the DC Clean Rivers Project (as hereinafter defined) (the "Series 2017A Project"). For a description of the DC Clean Rivers Project, see "CAPITAL IMPROVEMENT PROGRAM – Categories of CIP Projects – Combined Sewer Overflow Projects." Based on the results of a past independent assessment by VIGEO of the DC Clean Rivers Project's environmental, social, and governance characteristics, the Authority has designated the Series 2017A Project as a "Green Project" and the Series 2017A Bonds as "Green Bonds." The terms "Green Project" and "Green Bond" are neither defined in, nor related to the Indenture, and their use herein is for identification purposes only and is not intended to provide or imply to provide that a holder of the Series 2017A Bonds is entitled to any additional security other than as provided in the Indenture.

The proceeds of the Series 2017A Bonds will be deposited in a segregated account of the Construction Fund established and maintained under the Indenture (the "2017A Construction Account") and used to pay costs of the Series 2017A Project. Such proceeds will be invested in Permitted Investments pursuant to the Indenture. The Authority has committed to report annually on the allocation of such proceeds to the Green Project and on certain environmental and social outcomes of the Green Project and on certain governance matters of the Authority until such proceeds are fully allocated.

A portion of the proceeds of the Series 2017B Bonds will be deposited in a segregated account of the Construction Fund established and maintained under the Indenture (the "2017B Construction Account") and used to pay costs of certain capital improvements to the System (the "Series 2017B Project"). See "CAPITAL IMPROVEMENT PROGRAM." Such proceeds will be invested in Permitted Investments pursuant to the Indenture.

Security and Source of Payment

Under the Indenture, the Authority may issue "Senior Debt" and "Subordinate Debt" from time to time. The Series 2017A/B Bonds will constitute Senior Debt under the Indenture. The Series 2017A/B Bonds will be secured by a senior pledge of Net Revenues that is on a parity with the pledge of Net Revenues that secures any Outstanding Senior Debt and other Senior Debt the Authority may issue from time to time in the future, without preference, priority or distinction of any Senior Debt over any other Senior Debt. Under the Indenture, the Authority may also issue "Subordinate Debt" which is secured by a pledge of Net Revenues subordinate to the Series 2017A/B Bonds and other Senior Debt. Prior to the issuance of the Series 2017A/B Bonds, $514,645,000 aggregate principal amount of Senior Debt and $2,268,861,000 aggregate principal amount of Subordinate Debt will be outstanding. See "OUTSTANDING INDEBTEDNESS." The Series 2017A/B Bonds will be payable solely from Net Revenues after the funding of certain Funds and Accounts established under the Indenture. The principal sources of Net Revenues are the payments received by the Authority pursuant to its rates and charges imposed for the use of and the services furnished by the System, as described in the Indenture. See "RATES AND CHARGES." The Series 2017A/B Bonds will not be secured by a Debt Service Reserve Fund.

The Series 2017A/B Bonds shall be special and limited obligations of the Authority. The Series 2017A/B Bonds shall be without recourse to the District. The Series 2017A/B Bonds shall not be general obligations of the District or of the Authority. The Series 2017A/B Bonds shall not be a pledge of or involve the faith and credit or the taxing power of the District, shall not constitute a debt of the District, the United States of America or any User Jurisdiction or any agency or instrumentality of any User Jurisdiction, and neither the District, the United States, any User Jurisdiction, nor any agency or instrumentality of any User Jurisdiction shall be liable thereon. The Series 2017A/B Bonds also shall not constitute the lending of the public credit for private undertakings as prohibited by the Home Rule Act of the District. The Authority has no taxing power.

Rate Covenant and Financial Forecast

The Master Indenture includes a rate covenant as described below. Rates, fees and charges are established by the Authority and are not subject to regulatory approval, nor are they subject to other regulations under current law. In general, and as more fully described herein, the Rate Covenant provides that the Authority covenants to fix, charge, revise and collect rates, fees and other charges for the use of and the services furnished by the System sufficient in each Fiscal Year so that:

(i) Revenues collected by the Authority in such Fiscal Year will be sufficient to pay at least the actual Operating Expenses and required deposits and payments; and

(ii) Net Revenues shall be sufficient in each Fiscal Year to be at least equal to the sum of (a) an amount equal to one hundred and twenty percent (120%) of the Annual Debt Service on Senior Debt; and (b) one hundred percent (100%) of the Annual Debt Service on Subordinate Debt.

See "SECURITY FOR THE SERIES 2017A/B BONDS – Rate Covenant." Additional financial information including certain projections and projected debt service coverages, is included in "FINANCIAL OPERATIONS – Projected Financial Operations" herein.

Capital Improvement Program

The Authority utilizes an annually adopted ten-year Capital Improvement Program (the "Capital Improvement Program" or the "CIP") to plan and manage the capital investments necessary to fulfill its service missions, comply with regulatory requirements and preserve and upgrade its water and wastewater systems. The Authority updates the CIP annually in conjunction with its budget process, based on detailed project review by engineering staff, external engineering consultants retained by the Authority, operations staff and senior management. The Authority intends to finance the costs of the CIP from a number of sources, including proceeds of the Series 2017A/B Bonds, future bonds and other forms of indebtedness, grants, certain operating revenues and wholesale customer contributions. As more fully described herein, the Authority estimates the cost of the current ten-year CIP at $3.8 billion on a cash disbursement basis. The Board approved the CIP on December 1, 2016. See "CAPITAL IMPROVEMENT PROGRAM."

Miscellaneous

This Official Statement contains brief descriptions of the Series 2017A/B Bonds, the Authority, the System, the Capital Improvement Program, the Indenture and certain provisions of the Act. Such descriptions and the summaries of and references to all documents, statutes, reports and other instruments referred to herein do not purport to be comprehensive or definitive, and each such document, statute, report or instrument is qualified in its entirety by reference to each such document, statute, report or instrument, copies of which are available from the Authority. All references to the Series 2017A/B Bonds are qualified in their entirety by reference to the definitive forms thereof and the information with respect thereto contained in the Indenture. Insofar as any statements are made in this Official Statement involving matters of opinion, regardless of whether expressly so stated, they are intended merely as such and not as representations of fact.

The information in this Official Statement is subject to change without notice, and neither the delivery of this Official Statement, nor any sale made hereunder shall under any circumstances create an implication that there has been no change in the affairs of the Authority since the date hereof. This Official Statement is not to be construed as a contract or agreement between the Authority or the Underwriters and the purchasers or owners of any of the Series 2017A/B Bonds.

Inquiries regarding information about the Authority and the financial matters contained in this Official Statement may be directed to the Chief Financial Officer of the Authority at (202) 787-2000.

THE SERIES 2017A/B BONDS

General

The Series 2017A/B Bonds will be dated their date of delivery and will bear interest at the rates set forth on the inside cover page of this Official Statement. Interest on the Series 2017A/B Bonds will be calculated on the basis of a 360-day year of twelve 30-day months, payable semi-annually on each April 1 and October 1, commencing April 1, 2017 (each, an "Interest Payment Date"), and will mature on the dates and in the principal amounts as set forth on the inside cover page of this Official Statement.

Book-Entry Only System

The Series 2017A/B Bonds will be issued in fully registered form and, when issued, will be held by DTC or its nominee, as securities depository with respect to the Series 2017A/B Bonds. Individual purchases of interests in the Series 2017A/B Bonds will be made in book-entry form only, in the principal amount of $5,000 or any integral multiple thereof. Individual purchasers will not receive physical delivery of bond certificates. So long as Cede & Co. is the registered owner of the Series 2017A/B Bonds as nominee of DTC, references herein to the holders or registered owners of the Series 2017A/B Bonds will mean Cede & Co. and will not mean the beneficial owners ("Beneficial Owners") of the Series 2017A/B Bonds. Beneficial interests in the Series 2017A/B Bonds may be held through DTC directly as a participant or indirectly through organizations that are participants in such system. See APPENDIX E – "DTC Book-Entry Only System."

As long as the Series 2017A/B Bonds are held by DTC or its nominee, interest will be paid to Cede & Co., as nominee of DTC, in same-day funds on each Interest Payment Date. If the book-entry only system is discontinued, bond certificates will be delivered as described in the Indenture, and Beneficial Owners (as defined herein) will become registered owners of the Series 2017A/B Bonds (the "Bondholders"). If the book-entry only system is discontinued, interest on the Series 2017A/B Bonds shall be payable on each Interest Payment Date by check or draft mailed to the registered owner at the address as it appears on the 15th day of the month preceding an Interest Payment Date on the registration books kept by the Trustee.

Neither the Authority, the Trustee nor the Underwriters will have any responsibility or obligation to the Participants, DTC or the persons for whom they act with respect to (i) the accuracy of any records maintained by DTC or by any Direct or Indirect Participant of DTC, (ii) the providing of notice or payments to the Direct Participants, Indirect Participants or beneficial owners, (iii) the selection by DTC or by any Direct or Indirect Participant of any beneficial owner to receive payment in the event of a partial redemption of the Series 2017A/B Bonds or (iv) any other action taken by DTC or its partnership nominee as owner of the Series 2017A/B Bonds. For more information on DTC and the book-entry only system, see APPENDIX E – "DTC Book-Entry Only System."

Redemption Provisions

Optional Redemption

The Series 2017A/B Bonds maturing on or after October 1, 2027, are subject to optional redemption prior to maturity on or after April 1, 2027, from any source, in whole or in part on any date, in such order of maturities as shall be determined by the Authority (and by lot within a maturity), at a redemption price of 100% of the principal amount thereof, together with accrued interest, if any, to the redemption date.

Mandatory Redemption

The Series 2017A Bonds maturing on October 1, 2047 (the "Series 2017A 2047 Term Bonds") are subject to mandatory sinking fund redemption in part (in accordance with the procedures described below in " – Selection of the Series 2017A/B Bonds to be Redeemed"), prior to maturity on October 1, in the years set forth below, at a redemption price equal to the principal amount of the Series 2017A Bonds called for redemption plus interest accrued to the redemption date.

Series 2017A 2047 Term Bonds

Year	Amount
2045	$13,105,000
2046	13,625,000
2047†	14,170,000

† Final Maturity

The Series 2017A Bonds maturing on October 1, 2052 (the "Series 2017A 2052 Term Bonds"), are subject to mandatory sinking fund redemption in part (in accordance with the procedures described below in " – Selection of the Series 2017A/B Bonds to be Redeemed"), prior to maturity on October 1, in the years set forth below, at a redemption price equal to the principal amount of the Series 2017A Bonds called for redemption plus interest accrued to the redemption date.

Series 2017A 2052 Term Bonds

Year	Amount
2048	$10,695,000
2049	11,230,000
2050	11,795,000
2051	12,380,000
2052†	13,000,000

† Final Maturity

The Series 2017B Bonds maturing on October 1, 2044 (the "Series 2017B Term Bonds"), are subject to mandatory sinking fund redemption in part (in accordance with the procedures described below in " – Selection of the Series 2017A/B Bonds to be Redeemed"), prior to maturity on October 1, in the years set forth below, at a redemption price equal to the principal amount of the Series 2017B Bonds called for redemption plus interest accrued to the redemption date.

Series 2017B 2044 Term Bonds

Year	Amount
2041	$13,295,000
2042	13,825,000
2043	14,375,000
2044†	14,955,000

† Final Maturity

The principal amount of the Series 2017A/B Bonds required to be redeemed on any redemption date pursuant to the operation of mandatory sinking fund redemption provisions will be reduced, at the option of the Authority, by the principal amount of any Series 2017A/B Bond scheduled for redemption on such redemption date or dates, that, at least 45 days prior to the mandatory sinking fund redemption date, (i) has been acquired by the Authority and delivered to the Trustee for cancellation, (ii) has been acquired and canceled by the Trustee, at the direction of the Authority, at a price not exceeding the principal amount of such Series 2017A/B Bond plus accrued interest to the date of acquisition thereof, or (iii) has been redeemed pursuant to the optional redemption provisions and not previously credited to a scheduled mandatory redemption. Upon such purchase of such Series 2017A/B Bonds, the Trustee shall then credit an amount equal to the principal of such Series 2017A/B Bonds so purchased towards the sinking fund installments for the Series 2017A/B Bonds of such maturity in such order as may be determined by the Authority in a certificate of an Authorized Official, which will direct the reduction of a ratable portion of each annual mandatory sinking fund installment requirement in accordance with the procedures set forth under " – Selection of the Series 2017A/B Bonds to be Redeemed" below.

Selection of the Series 2017A/B Bonds to be Redeemed

The particular maturities of the Series 2017A/B Bonds to be redeemed at the option of the Authority will be determined by the Authority in its sole discretion.

If less than all of a Series 2017A/B Bond of a maturity is called for prior redemption and if the Series 2017A/B Bonds are registered in book-entry only form and DTC or a successor securities depository is the sole registered owner of such Series 2017A/B Bonds, the particular Series 2017A/B Bonds or portions thereof to be redeemed shall be selected by DTC in accordance with DTC procedures, or, if the book-entry only system is discontinued, by the Trustee by lot in such manner as the Trustee in its discretion may determine. In either case, (i) the portion of any Series 2017A/B Bond to be redeemed shall be in the principal amount of $5,000 or integral multiples thereof and (ii) in selecting Series 2017A/B Bonds for redemption, each Series 2017A/B Bond shall be considered as representing that number of the Series 2017A/B Bonds that is obtained by dividing the principal amount of such Series 2017A/B Bond by $5,000.

Notice of Redemption

The Authority shall not be responsible for mailing a notice of redemption to anyone other than DTC or another qualified securities depository or its nominee unless no qualified securities depository is the registered owner of the Series 2017A/B Bonds. If no qualified securities depository is the registered owner of the Series 2017A/B Bonds, a notice of redemption shall be mailed to the registered owners of the Series 2017A/B Bonds. See "THE SERIES 2017A/B BONDS – Book-Entry Only System."

The Trustee shall send notice of the call for redemption, identifying the Series 2017A/B Bonds or portions thereof to be redeemed, not fewer than 20 days prior to the redemption date or such shorter period as may be acceptable to DTC while the Series 2017A/B Bonds are in book-entry form and registered to DTC (i) by registered or certified mail or overnight express delivery, to the holder of each Series 2017A/B Bond to be redeemed at the address as it appears on the registration books kept by the Trustee, (ii) by registered or certified mail or overnight express delivery, to all organizations registered as securities depositories with the SEC and (iii) to each nationally recognized municipal securities information repository designated as such by the SEC. Failure to give any notice specified in (i) above, or any defect therein, shall not affect the validity of any proceedings for the redemption of any Series 2017A/B Bond with respect to which no such failure or defect has occurred. Failure to give any notice specified in (ii) or (iii) above, or any defect therein, shall not affect the validity of any proceedings for the redemption of any Series 2017A/B Bond with respect to which the notice specified in (i) above is correctly given. If the notices of redemption are sent before there is sufficient money on deposit in the applicable fund or account to pay the full redemption price of the Series 2017A/B Bonds, the notice of redemption of the Series 2017A/B Bonds shall specify that the redemption is conditional upon there being on deposit in the applicable fund or account on the redemption date sufficient money to pay the full redemption price of the Series 2017A/B Bonds to be redeemed.

Any notice of redemption shall be mailed by first-class mail, postage prepaid. Notice of redemption also shall be given by Electronic Means to a Depository. A certificate of the Trustee shall conclusively establish the mailing of any such notice for all purposes.

PLAN OF FINANCE

A portion of the proceeds of the Series 2017A Bonds will be used to pay the costs of the Series 2017A Project. For a description of the DC Clean Rivers Project (of which the Series 2017A Project is a portion) in this Official Statement, see "CAPITAL IMPROVEMENT PROGRAM – Categories of CIP Projects – Combined Sewer Overflow Projects." Such proceeds will be deposited in the 2017A Construction Account. The proceeds therein will be invested in Permitted Investments pursuant to the Indenture. As shown below in "SOURCES AND USES OF FUNDS," the remainder of the proceeds of the Series 2017A Bonds will be used to pay costs of issuing the Series 2017A Bonds.

A portion of the proceeds of the Series 2017B Bonds will be used to pay the costs of the Series 2017B Project. See "CAPITAL IMPROVEMENT PROGRAM." Such proceeds will be deposited in the 2017B Construction Account. The proceeds therein will be invested in Permitted Investments pursuant to the Indenture. As shown below in "SOURCES AND USES OF FUNDS," the remainder of the proceeds of the Series 2017B Bonds will be used to pay costs of issuing the Series 2017B Bonds.

SOURCES AND USES OF FUNDS

The proceeds of the Series 2017A/B Bonds are expected to be applied as follows:

Sources of Funds	
Par Amount of Series 2017A Bonds	$100,000,000.00
Par Amount of Series 2017B Bonds	200,000,000.00
Original Issue Premium	34,344,598.15
Total Sources	$334,344,598.15
Uses of Funds	
Deposit to 2017A Construction Account	$107,966,235.88
Deposit to 2017B Construction Account	224,406,330.66
Underwriters' Discount	1,292,031.61
Other Costs of Issuance	680,000.00
Total Uses	$334,344,598.15

SECURITY FOR THE SERIES 2017A/B BONDS

Pledge of the Master Indenture

The Series 2017A/B Bonds are authorized and when issued will be issued in accordance with the statutes of the District and the United States, and will constitute valid and legally binding special and limited obligations of the Authority.

The Series 2017A/B Bonds will constitute Senior Debt under the Indenture, payable solely from the Net Revenues of the System. The Series 2017A/B Bonds are payable and secured on a parity with the Outstanding Senior Debt and all other Senior Debt hereafter issued or incurred by the Authority pursuant to the Indenture. The Authority expects to issue additional Senior Debt and Subordinate Debt in the future. For a listing of the Authority's Outstanding Senior Debt and Subordinate Debt, see "OUTSTANDING INDEBTEDNESS."

The Master Indenture defines "Senior Debt" as Bonds and Other System Indebtedness, and "Bonds" as bonds, notes or other obligations issued pursuant to the Master Indenture, but not including Other System Indebtedness and Subordinate Debt. "Other System Indebtedness" means any indebtedness issued or incurred in connection with the System that the Authority is required, or has elected, to treat as payable on a parity basis with the Bonds with respect to the pledge of Net Revenues. "Subordinate Debt" means bonds, notes or other obligations issued in connection with the System that are expected to be paid from and have pledged to their payment Net Revenues on a subordinate lien basis after the pledge of Net Revenues to Senior Debt.

The Indenture pledges to the payment of the principal of and premium, if any, and interest on all Senior Debt and Subordinate Debt (at their respective levels of priority of security) that may from time to time be outstanding: (i) all right, title and interest of the Authority in and to the Net Revenues; (ii) all moneys or securities in any of the funds or Accounts established under the Indenture (other than the Operating Fund, and all Accounts in the Construction Fund other than the Construction Account, except to the extent a specific Account or subaccount therein relates, and is pledged, solely to specific series of Bonds or Subordinate Debt); and (iii) all rights and privileges of every kind and nature appurtenant to, all proceeds of, and all right, title and claim which the Authority now or may hereafter acquire in the aforesaid property, subject only to the provisions of the Indenture and the Act relating to the use and application thereof. Furthermore, the Indenture provides for specific Accounts in the Debt Service Reserve Fund to be pledged solely to the Senior Debt to which they relate and specific Accounts in the Subordinate Debt Service Reserve Fund to be pledged solely to the Subordinate Debt to which they relate. No Account in the Debt Service Reserve Fund will be established for the Series 2017A/B Bonds.

Direct Payment Bonds and the Effect of Sequestration on Direct Payments

The Direct Payments on the Series 2010A Bonds (as described herein) do not constitute Revenues under the Indenture and so are not part of the pledged Net Revenues, but the Twelfth Supplemental Indenture provides that, upon receipt of any Direct Payment, the Authority or the Trustee shall cause it to be deposited (i) in the appropriate subaccounts in the Interest Account in the Bond Fund if such Direct Payment relates to Bonds or Other System Indebtedness, and (ii) in the appropriate subaccount in the Subordinate Interest Account in the Subordinate Bond Fund if

such Direct Payment relates to Subordinate Debt, and shall cause it to be applied solely to the purposes to which the Indenture permits funds in such subaccount, account and fund to be applied.

On October, 26, 2010, the Twelfth Supplemental Indenture amended the Master Indenture to provide that, for purposes of determining the Authority's compliance with the Rate Covenant (but not for the purposes of determining compliance with the Indenture's restrictions on the Authority's issuance of additional Senior Debt or additional Subordinate Debt), the amount of any Direct Payment received by the Authority or the Trustee in any Fiscal Year shall be credited against (i) Annual Debt Service on Senior Debt in such Fiscal Year if such Direct Payment is related to Senior Debt or (ii) Annual Debt Service on Subordinate Debt in such Fiscal Year if such Direct Payment is related to Subordinate Debt. This amendment became effective upon the execution of the Twelfth Supplemental Indenture.

On November 20, 2014, the Seventeenth Supplemental Indenture amended the Master Indenture to provide that, for the purposes of computing Annual Debt Service on any Direct Payment BABs or Other System Indebtedness as to which Direct Payments are expected to be made (whether previously issued or proposed to be issued by the Authority) in connection with any proposed issuance of additional Bonds or Other System Indebtedness, the amount of any Direct Payment expected to be received by the Authority or the Trustee in the then current or any future Fiscal Year shall be credited against the Annual Debt Service on such Direct Payment BABs. This amendment became effective upon the issuance of the Authority's Series 2014C Bonds, in connection with which the Authority obtained the required consent of a majority (specifically, 50.5%) of the Holders of the Outstanding Bonds.

The Series 2010A Bonds are Build America Bonds, a form of "direct payment bonds." An amount equal to thirty-five percent (35%) of the Authority's semiannual interest payments on the Series 2010A Bonds is to be paid to the Authority by the federal government in the form of Direct Payments. It is possible that the Direct Payments could be reduced or discontinued or that the timing of their receipt could be changed. For example, the Direct Payments expected to be received by the Authority with respect to the Series 2010A Bonds will be adversely affected by implementation of certain provisions of the Budget Control Act of 2011 (the "Budget Control Act"), which was signed into law by the President on August 2, 2011. As a result of the failure of the Joint Select Committee on Deficit Reduction to reach an agreement on the deficit reduction actions as required by the Budget Control Act, sequestration – automatic spending cuts to federal spending in designated agencies and programs – was triggered. Sequestration resulted in cuts in federal programs to states and localities, including payments to issuers of direct payment bonds such as the Series 2010A Bonds.

On February 2, 2015, the President signed an executive order (the "Sequestration Order") reducing the spending authority in accounts subject to sequestration in accordance with the Report of the Office of Management and Budget ("OMB") to the Congress for Fiscal Year 2016. According to the OMB report for Fiscal Year 2017, and as confirmed by the Internal Revenue Service, interest subsidy payments to issuers of direct payment bonds processed on or after October 1, 2016, through and including September 30, 2017, will be reduced by 6.9%, unless intervening Congressional action changes the reduction percentage.

The Sequestration Order does not affect interest subsidy payments for future years, but under the Budget Control Act there may be additional sequester orders for future fiscal years through and including fiscal year 2024. Any such additional sequester order signed by the President may or may not establish a different reduction value – e.g., the Fiscal Year 2016 reduction was 6.8%.

The largest Direct Payment the Authority currently expects to collect in any future year is $5,710,149; 6.9% of that amount is approximately $394,000. The Authority cannot predict by what percentage, if any, cuts may be made to interest subsidy payments in the future. The projected financial operations of the Authority, as presented herein (see "FINANCIAL OPERATIONS – Projected Financial Operations"), assume that Direct Payments will be 32% of the interest payments on Series 2010A Bonds in each year starting in Fiscal Year 2017. The projected debt service shown in "DEBT SERVICE REQUIREMENTS – Outstanding Senior and Subordinate Debt" reflects the known subsidy reduction of 6.9% for Fiscal Year 2017, and assumes Direct Payments equal to 32% of the interest payments on Series 2010A Bonds in each year starting in Fiscal Year 2017. The Authority is obligated to make all payments of principal of and interest on the Series 2010A Bonds whether or not such Direct Payments are received.

Limited Remedies of Holders of Subordinate Debt

The Indenture prohibits the acceleration of Subordinate Debt if any Senior Debt (including Bonds) is outstanding. The Indenture confers upon the holders of not less than 25% of the aggregate principal amount of Outstanding Bonds (which includes Senior Debt only, not Subordinate Debt) the right to direct the Trustee to protect and enforce their rights by mandamus or other suit, action or proceeding, and confers upon the holders of a majority of the aggregate principal amount of Outstanding Bonds the right to direct the method and place of conducting all proceedings to be taken in connection with the enforcement of the terms and conditions of the Indenture or any other proceedings under the Indenture, in accordance with the provisions of law and the Indenture. The Indenture does <u>not</u> confer those rights upon any specified percentage of the holders of Subordinate Debt.

Flow of Funds

The Authority deposits all revenues, as received, in the Revenue Fund. The chart below depicts a simplified flow of Revenues required by the Indenture after being deposited into the Revenue Fund. This chart is for illustrative purposes only, is in no way comprehensive or definitive, and must be read in conjunction with the entire Official Statement.

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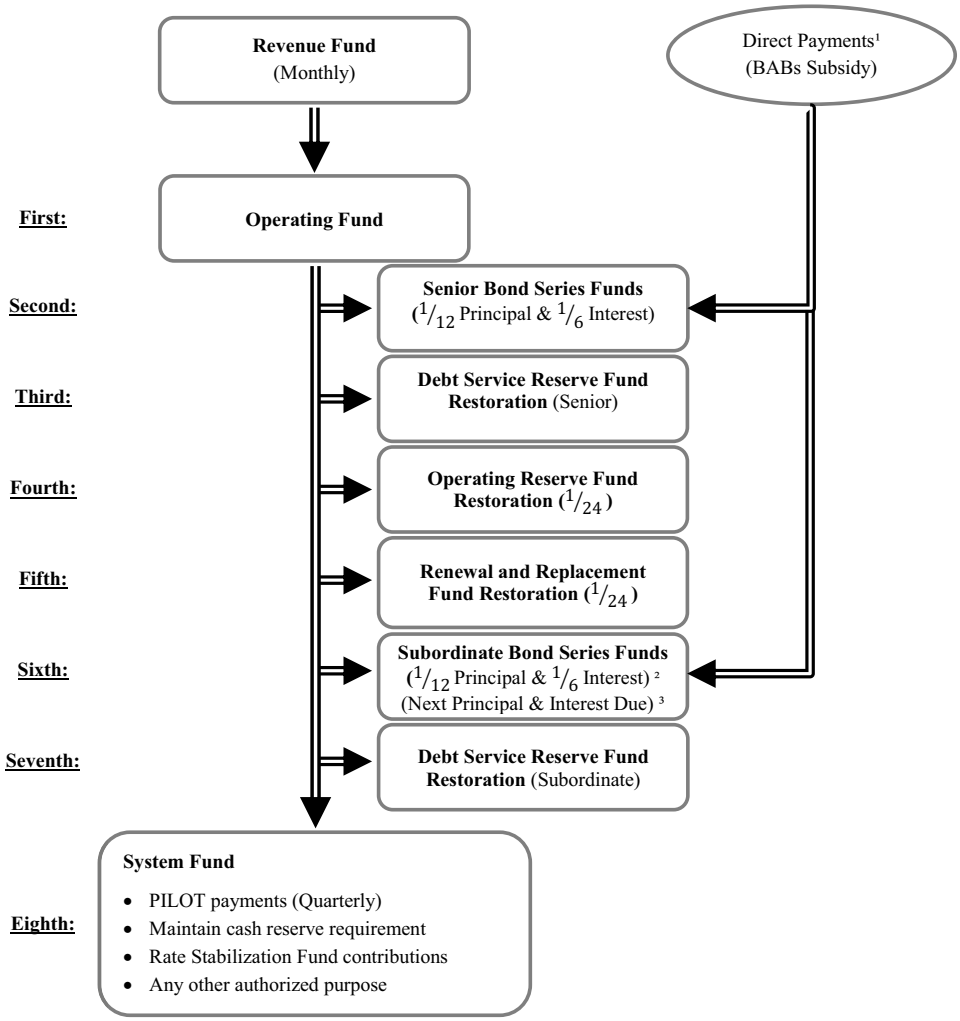
Indenture Revenue Flow of Funds



[1] The Twelfth Supplemental Indenture amended the above-described deposit requirements in the Master Indenture by providing that, upon receipt of any Direct Payment, the Authority or the Trustee shall cause it to be deposited (i) in the appropriate subaccounts in the Interest Account in the Bond Fund if such Direct Payment relates to Bonds or Other System Indebtedness, and (ii) in the appropriate subaccount in the Subordinate Interest Account in the Subordinate Bond Fund if such Direct Payment relates to Subordinate Debt, and shall cause it to be applied solely to the purposes to which the Indenture permits funds in such subaccount, account and fund to be applied.

[2]For fixed rate Subordinate Debt

[3]For variable rate Subordinate Debt

Pursuant to the Indenture, all Revenues received by the Authority shall be deposited in the Revenue Fund to be held by the Authority; provided, however, that upon an Event of Default, the Authority will transfer all amounts in all Authority-held funds to the Trustee, and the Trustee shall hold such moneys in trust for the benefit of the holders of Indebtedness.

Each month, the Authority shall transfer from the Revenue Fund to the Operating Fund an amount sufficient to pay Operating Expenses during such month. Thereafter, Net Revenues shall be disbursed on the last Business Day of each month in the following order (as noted above, the term "Series of Bonds" refers to Senior Debt):

i. To the subaccounts in the Interest Account established for each Series of Bonds the amounts, if any, set forth in the applicable Supplemental Indentures with respect to each Series of Bonds, and an amount equal to 1/6 of the interest due on each Series of Bonds to pay interest required to be paid on any interest payment date related to such Series of Bonds.

ii. On a parity with (i) above, to the subaccounts in the Principal Account established for each Series of Bonds and Sinking Fund Account in the Bond Fund the amounts, if any, set forth in the applicable Supplemental Indentures with respect to each Series of Bonds and an amount equal to 1/12 of the principal due on each Series of Bonds.

iii. To the applicable Account in the Debt Service Reserve Fund with respect to each Series of Bonds the amounts, if any, necessary to restore the amount on deposit therein to the related Series Debt Service Reserve Requirement. For a description of the requirements for and the uses of the Debt Service Reserve Fund, see "Certain Reserve Funds – Debt Service Reserve Fund and Subordinate Debt Service Reserve Fund" below.

iv. To the Operating Reserve Fund the amounts, if any, necessary to restore the amounts on deposit therein to the Operating Reserve Requirement, which requirement shall be funded within 24 months of any withdrawal and replenished from time to time by depositing 1/24 of the Operating Reserve Requirement on the last Business Day of each month after such withdrawal, if necessary. For a description of the requirements for and the uses of the Operating Reserve Fund, see "Certain Reserve Funds – Operating Reserve Fund" below.

v. To the Renewal and Replacement Reserve Fund, to the extent that there has been a withdrawal from such fund, the Authority shall deposit Net Revenues to the fund, in the amounts necessary to make the amounts on deposit therein equal to the Renewal and Replacement Reserve Requirement. Such withdrawn amounts shall be funded within 24 months by depositing in such fund 1/24 of the Renewal and Replacement Reserve Requirement on the last Business Day of each month after such withdrawal. For a description of the uses of the Renewal and Replacement Reserve Fund, see "Certain Reserve Funds – Renewal and Replacement Reserve Fund" below.

vi. To the Subordinate Bond Fund, the amount equal to the deposits to such funds and Accounts required by the related Supplemental Indentures or other documents evidencing such debt. Generally, an amount equal to 1/6 of the interest and 1/12 of the principal next due on any fixed rate Subordinate Debt shall be deposited each month, and generally an amount equal to interest and principal next due on any variable rate Subordinate Debt shall be deposited prior to any date on which such interest and principal is due.

vii. To the applicable Account, if any, in the Subordinate Debt Service Reserve Fund with respect to each Subordinate Debt issue the amounts, if any, necessary to restore the amount on deposit therein to the related Subordinate Debt Reserve Requirement or to reimburse the provider of any Qualified Reserve Credit Facility for amounts drawn thereunder and to pay related costs.

viii. To the System Fund, any moneys remaining in the Revenue Fund, after all deposits and transfers required by (i) through (vii) above have been made. Moneys in the System Fund may be used for any authorized purpose. On the following dates, moneys on deposit in the System Fund shall be used to make the following payments:

(a) on each May 15, and quarterly thereafter, to the District to make the payment in lieu of taxes (the "PILOT") required by the District Memorandum of Understanding relating to the PILOT dated January 29, 1998, as amended;

(b) on each September 1, an amount retained by the Authority in the System Fund necessary to satisfy the Cash Reserve Requirement ($125.5 million as of the date of this Official Statement); and

(c) on each September 30, to the Rate Stabilization Fund, the amount that the Board determines based on an analysis of the Authority's financial performance conducted by the CEO and General Manager (the "CEO") and reported to the Board for approval not later than its regularly scheduled meeting in July of each Fiscal Year. For a description of the uses of the Rate Stabilization Fund, see "Certain Reserve Funds – Rate Stabilization Fund" below.

The Twelfth Supplemental Indenture amended the above-described deposit requirements in the Master Indenture by providing that, upon receipt of any Direct Payment, the Authority or the Trustee shall cause it to be deposited (i) in the appropriate subaccounts in the Interest Account in the Bond Fund if such Direct Payment relates to Bonds or Other System Indebtedness, and (ii) in the appropriate subaccount in the Subordinate Interest Account in the Subordinate Bond Fund if such Direct Payment relates to Subordinate Debt, and shall cause it to be applied solely to the purposes to which the Indenture permits funds in such subaccount, account and fund to be applied. See " – Pledge of Master Indenture – Direct Payment Bonds and Effect of Sequestration on Direct Payments" above.

For a more extensive discussion of the terms and provisions of the Indenture including the security for the Series 2017A/B Bonds, the funds and Accounts established by the Indenture and the purposes to which moneys in such funds and Accounts may be applied, see APPENDIX C – "Glossary and Summary of the Indenture."

Certain Reserve Funds

Debt Service Reserve Fund and Subordinate Debt Service Reserve Fund. The Indenture creates a Debt Service Reserve Fund and a Subordinate Debt Service Reserve Fund, each to be held by the Trustee. The Indenture permits, but does not require, the Authority to specify a debt service reserve requirement for each issuance of Senior Debt or Subordinate Debt and to make provision for the means by which any such reserve requirements will be met. The Authority will not specify a debt service reserve requirement for the Series 2017A/B Bonds.

Operating Reserve Fund. The Master Indenture creates an Operating Reserve Fund in which the Authority must maintain a balance equal to at least 60 days of operating and maintenance expenses of the prior year. Money in the Operating Reserve Fund shall be used to pay, to the extent necessary, Operating Expenses of the Authority. In addition, to the extent that the amount on deposit in the Bond Fund is insufficient to make the required interest and principal payments on Senior Debt, money in the Operating Reserve Fund shall be used prior to any withdrawal from the Debt Service Reserve Fund to satisfy any such deficiencies. The Board has adopted a policy of funding operating reserves to a level in excess of that required by the Master Indenture. See " – Discretionary Reserves" below. As of September 30, 2016, the balance in the Operating Reserve Fund was $49.1 million, which represents 60 days of operating and maintenance expenses.

Renewal and Replacement Reserve Fund. The Master Indenture creates a Renewal and Replacement Reserve Fund to be held by the Authority to provide funding for unforeseen or emergency needs. Money in the Renewal and Replacement Reserve Fund may be used to pay for any capital expenditures related to the System. In addition, to the extent that the amounts on deposit in the Bond Fund and the Operating Reserve Fund are insufficient to make the required interest and principal payments on Senior Debt, money in the Renewal and Replacement Reserve Fund shall be used prior to any withdrawal from the Debt Service Reserve Fund to satisfy any such deficiencies. The Master Indenture allows this requirement to be met if an amount equal to 2% of original plant in service cost, or some other amount as approved by the Board, is held by the Authority. The Board has adopted a policy requiring the Authority to maintain a balance of at least $35.0 million in the Renewal and Replacement Reserve Fund. As of September 30, 2016, the balance in the Renewal and Replacement Reserve Fund was $35.0 million.

Rate Stabilization Fund. The Master Indenture creates a Rate Stabilization Fund to be held by the Authority, the moneys in which may be transferred by the Authority to the Revenue Fund at any time. The Board has adopted a policy allowing moneys to be transferred to the Rate Stabilization Fund from the System Fund annually based on an analysis of the Authority's financial performance conducted by the CEO and reported to the Board for approval during the fourth quarter of each Fiscal Year, and at other times at the direction of the Board. The Authority withdrew $6.5 million from the Rate Stabilization Fund in 2014. For Fiscal Year 2015, the Authority made a net deposit of $10.0 million in the Rate Stabilization Fund. For Fiscal Year 2016, the Authority made a deposit of $19.0 million in the Rate Stabilization Fund. The Authority may withdraw additional funds in future years to reduce rate increases that might otherwise be required; however, the Authority does not currently have plans to withdraw additional funds in Fiscal Years 2017-2021. See "FINANCIAL OPERATIONS – Reserve Funds – Rate Stabilization Fund." The Rate Stabilization

Fund has no minimum balance requirements. As of September 30, 2016, the balance in the Rate Stabilization Fund was $51.5 million. See also "FINANCIAL OPERATIONS – Projected Financial Operations."

Discretionary Reserves. The Board has adopted a policy of funding operating reserves at a level in excess of the 60-day operating and maintenance reserve required by the Master Indenture. To comply with the Board's policy, the Authority is required to have cash reserves equal to 120 days of budgeted operating and maintenance costs calculated on an average daily balance basis, with the objective of maintaining at least $125.5 million in operating reserves. For purposes of calculating this requirement, the balances in the Operating Reserve Fund and the Renewal and Replacement Reserve Fund are included. For Fiscal Year 2017, the operating reserves requirement is $125.5 million. As of September 30, 2016, the Authority had an operating reserve cash balance of $162.7 million which exceeded the Board's policy requirement.

In Fiscal Year 2013, Amawalk independently evaluated the adequacy of the Authority's reserves and concluded that the current Board policy provides for an appropriate level of reserves. Pursuant to Board policy the Authority's reserves are independently evaluated every five years, therefore the next independent evaluation will be in Fiscal Year 2018.

Rate Covenant

Master Indenture Covenant. The Master Indenture includes a rate covenant (the "Rate Covenant") as described below. Rates, fees and charges are established by the Authority and are not subject to regulatory approval, nor are they subject to other regulations under current law. (For a description of the pledge of the District not to limit or alter rights vested in the Authority to fulfill agreements made with holders of its bonds, see "COVENANT BY THE DISTRICT OF COLUMBIA.") The Authority has never failed to satisfy the Rate Covenant, which provides that the Authority shall fix, charge, revise and collect rates, fees and other charges for the use of and the services furnished by the System sufficient in each Fiscal Year so that:

i. Revenues collected by the Authority in such Fiscal Year will be sufficient to pay at least: (a) the actual Operating Expenses; (b) Annual Debt Service on Senior Debt; (c) any amount necessary to be deposited in any Account in the Debt Service Reserve Fund relating to a Series of Bonds to restore the amount on deposit therein to the Series Debt Service Reserve Requirement; (d) the amount required to pay Annual Debt Service on the Subordinate Debt (including any reserves in connection therewith and the restoration thereof); (e) any amount necessary to be deposited in the Operating Reserve Fund and the Renewal and Replacement Reserve Fund to maintain the required balances therein; and (f) any amount necessary to make any PILOT payments in such Fiscal Year; and

ii. Net Revenues shall be sufficient in each Fiscal Year to be at least equal to the sum of (a) an amount equal to one hundred and twenty percent (120%) of the Annual Debt Service on Senior Debt; and (b) one hundred percent (100%) of the Annual Debt Service on Subordinate Debt.

If at the end of any Fiscal Year the Authority is not in compliance with the Rate Covenant, or if the Authority fails for three consecutive months to make the deposits required under the Indenture to the Interest Account and the Principal Account (or the Sinking Fund Account, as applicable) or there is a deficiency in a Series Debt Service Reserve Account for longer than three consecutive months, the Authority shall immediately request a Qualified Independent Consultant to submit a written report and recommendations with respect to increases in the Authority's rates, fees and other charges and improvements in the operations of and the services rendered by the System and the Authority's accounting and billing procedures necessary to bring the Authority into compliance with the Rate Covenant. The report and recommendations shall be filed with the Trustee and the Authority within 120 days from the date of discovery of noncompliance with the Rate Covenant. The Authority shall promptly revise its rates, fees and charges, and alter its operations and services to conform with the report and recommendations of the Qualified Independent Consultant to the extent permitted by law.

Deposit and Crediting of Direct Payments. The Twelfth Supplemental Indenture amended the Master Indenture to provide that, for purposes of determining the Authority's compliance with the Rate Covenant (but not for the purposes of determining compliance with the Indenture's restrictions on the Authority's issuance of additional Senior Debt or additional Subordinate Debt), the amount of any Direct Payment received by the Authority or the Trustee in any Fiscal Year shall be credited against (i) Annual Debt Service on Senior Debt in such Fiscal Year if such Direct Payment related to Senior Debt or (ii) Annual Debt Service on Subordinate Debt in such Fiscal Year if such Direct Payment related to Subordinate Debt. This amendment became effective upon the execution of the Twelfth Supplemental Indenture. See "SECURITY FOR THE SERIES 2017A/B BONDS – Direct Payment Bonds and the Effect of Sequestration on Direct Payments."

Additional Board Policy. In addition to the Rate Covenant described above, in 1997, the Board adopted a financial policy of fixing, charging, revising and collecting rates, fees and other charges for the use of and the services furnished by the System sufficient in each Fiscal Year so that Net Revenues shall be at least equal to one hundred and forty percent (140%) of the Annual Debt Service on Senior Debt in each such Fiscal Year. See "FINANCIAL OPERATIONS – Financial Policies." To date, the Authority consistently has met or exceeded this policy goal. There can be no assurance, however, that the Board will not change this financial policy or that the Authority will continue to meet this policy goal.

Additional Senior Debt

The Indenture provides that the Authority may issue additional Senior Debt and Other System Indebtedness, including Bonds, to pay Costs of the System only upon satisfaction of certain requirements, including, among other things, receipt by the Trustee of the following:

i. evidence that upon issuance of such Bonds, each Series Debt Service Reserve Account within the Debt Service Reserve Fund will contain the applicable Series Debt Service Reserve Requirement; and

ii. either: (a) a certificate of the Authorized Representative of the Authority stating that, based on the Authority's financial records, the Authority would have been able to meet the Rate Covenant taking into account (1) the maximum Annual Debt Service on the proposed additional Series of Bonds, and (2) the rates, fees and other charges which are in effect at the time of the delivery of the proposed additional Series of Bonds; or (b) a written statement of a Qualified Independent Consultant, which projects Operating Expenses, Revenues and Net Revenues for five full Fiscal Years following the date of issuance of such proposed additional Series of Bonds, which projection does not include the actual debt service for any Indebtedness to be refunded, and which demonstrates that, on the basis of such projection, the Authority can comply with the Rate Covenant.

If any Bonds are issued to refund any Indebtedness, the Trustee must receive the following:

i. evidence that the Authority has made provision as required by the Indenture for the payment or redemption of all Indebtedness to be refunded; and

ii. either: (a) a written determination by the Authorized Representative of the Authority that the Annual Debt Service requirements for each Fiscal Year in which there will be Outstanding Indebtedness not to be refunded will not increase more than 5% over what the Annual Debt Service requirements for such Fiscal Year would have been on all Senior Debt immediately prior to the issuance of such Bonds, and that the final maturity of Indebtedness being refunded has not been extended; or (b) a certificate of the Authority stating that, based on the Authority's financial records, the Authority would have been able to meet the Rate Covenant, taking into account (1) the maximum Annual Debt Service on the proposed additional Series of Bonds, and (2) the rates, fees and other charges which are in effect at the time of the delivery of the proposed additional Series of Bonds; or (c) a written statement of a Qualified Independent Consultant, that projects Operating Expenses, Revenues and Net Revenues for five full Fiscal Years following the date of issuance of such proposed additional Series of Bonds, which projection does not include the actual debt service for any Indebtedness to be refunded, and that demonstrates that, on the basis of such projection, the Authority can comply with the Rate Covenant.

The Authority may incur or refinance Other System Indebtedness provided that: (i) the documents relating to the Other System Indebtedness acknowledge that such debt constitutes Other System Indebtedness under the Master Indenture and is subject to the applicable terms and conditions thereof, and specify the amounts and due dates of Annual Debt Service with respect to the Other System Indebtedness; (ii) the conditions of the Master Indenture regarding the issuance of Bonds have been met as if the Other System Indebtedness was an additional Series of Bonds; (iii) the Trustee receives written notice of the issuance of the Other System Indebtedness and the material terms and conditions thereof, and the Trustee shall register the holder as owner thereof as such on its books and records; and (iv) the Trustee receives an Opinion of Counsel that the documents creating the Other System Indebtedness have been duly authorized, executed and delivered on behalf of the Authority and constitute valid, binding and enforceable obligations. In connection with the incurrence of any Other System Indebtedness, the Trustee shall enter into an intercreditor arrangement with the holder of such Other System Indebtedness, the terms of which shall be determined at the time of incurrence of such Other System Indebtedness.

The Authority has modified the Master Indenture to include provisions regarding the crediting of Direct Payments for the purposes of computing Annual Debt Service on any Direct Payment BABs or Other System Indebtedness as to which Direct Payments are expected to be made in connection with any proposed issuance of additional Bonds or Other System Indebtedness. See "SECURITY FOR THE SERIES 2017A/B BONDS – Direct Payment Bonds and the Effect of Sequestration on Direct Payments."

Additional Subordinate Debt

Under the Indenture, the Authority may at any time issue Subordinate Debt and pledge Net Revenues thereto so long as rates, fees and charges are in effect or scheduled to go into effect to meet the Rate Covenant immediately after the issuance of such Subordinate Debt. The Authority has modified the Master Indenture to include provisions regarding the crediting of Direct Payments for the purposes of computing Annual Debt Service on any Direct Payment BABs or other Indebtedness as to which Direct Payments are expected to be made in connection with any proposed issuance of additional Bonds, Subordinate Debt or Other System Indebtedness. See "SECURITY FOR THE SERIES 2017A/B BONDS – Direct Payment Bonds and the Effect of Sequestration on Direct Payments."

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DEBT SERVICE REQUIREMENTS

Outstanding Senior and Subordinate Debt

The following tables set forth the annual principal and interest requirements for (i) Outstanding Senior Debt, (ii) Outstanding Subordinate Debt and (iii) the Series 2017A/B Bonds, as well as annual and aggregate totals.

		Series 2017A/B Bonds							
Fiscal Year Ending September 30[1]	Outstanding Senior Debt	Principal	Interest	Total	Total Senior Debt	Outstanding Subordinate Debt [1, 2, 3, 4, 5, 6, 7]	Direct payments Relating to Series 2010A Bonds	Total Subordinate Debt [10]	Total Senior and Subordinate Debt
2017	$44,391,125	$	$8,493,825	$8,493,825	$52,884,950	$ 120,000,410	$ (5,316,148)	$ 114,684,261	$167,569,211
2018	44,652,275	3,045,000	14,026,500	17,071,500	61,723,775	120,868,002	(5,220,707)	115,647,294	177,371,069
2019	40,214,950	3,195,000	13,874,250	17,069,250	57,284,200	128,380,714	(5,220,707)	123,160,007	180,444,207
2020	40,216,850	4,130,000	13,714,500	17,844,500	58,061,350	132,235,944	(5,220,707)	127,015,237	185,076,587
2021	40,213,975	4,340,000	13,508,000	17,848,000	58,061,975	137,456,402	(5,161,933)	132,294,469	190,356,444
2022	40,213,850	4,555,000	13,291,000	17,846,000	58,059,850	137,365,404	(5,099,176)	132,266,228	190,326,078
2023	40,218,450	4,785,000	13,063,250	17,848,250	58,066,700	137,290,388	(5,033,083)	132,257,305	190,324,005
2024	24,959,475	5,025,000	12,824,000	17,849,000	42,808,475	152,471,603	(4,963,430)	147,508,173	190,316,648
2025	24,963,200	5,275,000	12,572,750	17,847,750	42,810,950	152,378,941	(4,878,673)	147,500,267	190,311,217
2026	24,962,950	5,535,000	12,309,000	17,844,000	42,806,950	152,280,124	(4,791,835)	147,488,290	190,295,240
2027	24,962,900	5,815,000	12,032,250	17,847,250	42,810,150	152,187,938	(4,702,827)	147,485,111	190,295,261
2028	24,961,950	6,105,000	11,741,500	17,846,500	42,808,450	152,091,587	(4,611,477)	147,480,110	190,288,560
2029	16,849,000	6,410,000	11,436,250	17,846,250	34,695,250	159,635,296	(4,426,435)	155,208,861	189,904,111
2030	16,849,000	3,865,000	11,115,750	14,980,750	31,829,750	159,421,731	(4,232,061)	155,189,670	187,019,420
2031	16,849,000	3,750,000	10,922,500	14,672,500	31,521,500	159,075,360	(4,034,152)	155,041,207	186,562,707
2032	16,849,000	7,455,000	10,735,000	18,190,000	35,039,000	158,989,580	(3,830,589)	155,158,991	190,197,991
2033	16,849,000	7,485,000	10,362,250	17,847,250	34,696,250	158,758,629	(3,618,456)	155,140,173	189,836,423
2034	16,849,000	7,860,000	9,988,000	17,848,000	34,697,000	160,242,451	(3,399,962)	156,842,490	191,539,490
2035	16,849,000	8,250,000	9,595,000	17,845,000	34,694,000	159,999,312	(3,174,929)	156,824,383	191,518,383
2036	16,849,000	8,665,000	9,182,500	17,847,500	34,696,500	160,036,308	(2,944,242)	157,092,065	191,788,565
2037	16,849,000	11,600,000	8,749,250	20,349,250	37,198,250	145,904,524	(2,705,427)	143,199,098	180,397,348
2038	16,849,000	9,230,000	8,169,250	17,399,250	34,248,250	144,583,761	(2,459,985)	142,123,776	176,372,026
2039	16,849,000	8,380,000	7,707,750	16,087,750	32,936,750	144,020,565	(2,207,298)	141,813,267	174,750,017
2040	16,849,000	8,795,000	7,288,750	16,083,750	32,932,750	147,170,238	(1,948,692)	145,221,546	178,154,296
2041	16,849,000	13,295,000	6,849,000	20,144,000	36,993,000	138,699,708	(971,165)	137,728,542	174,721,542
2042	16,849,000	13,825,000	6,317,200	20,142,200	36,991,200	140,395,552	(741,097)	139,654,455	176,645,655
2043	16,849,000	14,375,000	5,764,200	20,139,200	36,988,200	146,505,372	(502,723)	146,002,649	182,990,849
2044	16,849,000	14,955,000	5,189,200	20,144,200	36,993,200	146,172,027	(255,779)	145,916,248	182,909,448
2045	16,849,000	13,105,000	4,591,000	17,696,000	34,545,000	74,089,466	-	74,089,466	108,634,466
2046	16,849,000	13,625,000	4,066,800	17,691,800	34,540,800	49,160,675	-	49,160,675	83,701,475
2047	16,849,000	14,170,000	3,521,800	17,691,800	34,540,800	40,072,775	-	40,072,775	74,613,575
2048	16,849,000	10,695,000	2,955,000	13,650,000	30,499,000	40,075,313	-	40,075,313	70,574,313
2049	16,849,000	11,230,000	2,420,250	13,650,250	30,499,250	11,875,123	-	11,875,123	42,374,373
2050	16,849,000	11,795,000	1,858,750	13,653,750	30,502,750	11,873,750	-	11,873,750	42,376,500
2051	16,849,000	12,380,000	1,269,000	13,649,000	30,498,000	-	-	-	30,498,000
2052	16,849,000	13,000,000	650,000	13,650,000	30,499,000	-	-	-	30,499,000
2053-2104[9]	16,849,000	-	-	-	16,849,000	-	-	-	16,849,000
2105	44,918,000	-	-	-	44,918,000	-	-	-	44,918,000
2106	44,917,758	-	-	-	44,917,758	-	-	-	44,917,758
2107	44,918,480	-	-	-	44,918,480	-	-	-	44,918,480
2108	44,917,986	-	-	-	44,917,986	-	-	-	44,917,986
2109	44,918,053	-	-	-	44,918,053	-	-	-	44,918,053
2110	44,918,215	-	-	-	44,918,215	-	-	-	44,918,215
2111	44,917,860	-	-	-	44,917,860	-	-	-	44,917,860
2112	44,918,233	-	-	-	44,918,233	-	-	-	44,918,233
2113	44,918,340	-	-	-	44,918,340	-	-	-	44,918,340
2114	44,918,040	-	-	-	44,918,040	-	-	-	44,918,040
Total*,10	**$2,144,636,915**	**$ $300,000,000**	**$ 312,155,275**	**$612,155,275**	**$2,756,792,190**	**$4,331,764,974**	**$(101,673,696)**	**$4,230,091,278**	**$6,986,883,467**

[*] Certain totals may not add due to rounding.

[1] Amounts due October 1 are shown as debt service for the preceding Fiscal Year ending September 30 (since the amounts actually are required to be set aside in such Fiscal Year). For example, debt service payments due October 1, 2017, are shown in the Fiscal Year ending September 30, 2017.

[2] Outstanding Subordinate Debt is calculated excluding the impact of the direct payment of the federal BABs subsidy related to the Series 2010A Bonds. See "SECURITY FOR THE SERIES 2017A/B BONDS – Direct Payment Bonds and the Effect of Sequestration of Direct Payments."

[3] Interest on Series 2016B Bonds (Environmental Impact Bonds) is calculated through the mandatory tender date of April 1, 2021 at the fixed term rate of 3.43%, and at an assumed rate of 3.25% thereafter through final maturity.

[4] The Authority currently has $29.2 million of Commercial Paper outstanding. Debt service is based on a hypothetical amortization of the full outstanding amount at 20 years with an assumed interest rate of 3.25%.

[5] Includes the Authority's Debt Service requirements for Government Notes associated with Jennings Randolph.

[6] Series 2014 B Bonds are weekly-reset variable rate bonds payable through a Liquidity Facility provided by TD Bank, N.A., which expires on July 23, 2017. For calculation of the projected debt service requirement, the all-inclusive rate was assumed to be 1.50% in 2017, 2.00% in 2018 and 3.25% thereafter. The debt is assumed to amortize in FY 2041 - FY 2050.

[7] The Authority currently has $50.0 million of Extendable Maturity Commercial Paper outstanding. Debt service is based on a hypothetical amortization of the full outstanding amount at 30 years with an assumed interest rate of 3.25%.

[8] Amounts shown for FY 2051 - FY 2104 are annual totals for each fiscal year and do not represent the cumulative total.

[9] Amounts represent cumulative totals for all Fiscal Years shown. Totals from consolidated rows are included.

[10] Total Subordinate Debt is calculated including the impact of the direct payment of the federal BABs subsidy related to the Series 2010 A Bonds. With respect to the effect of sequestration on the receipt by the Authority of Direct Payments on its Series 2010A Bonds, a reduction of 6.9% was applied for 2017. Thereafter, the subsidy amount is assumed to be 32% of the interest payments. See "SECURITY FOR THE SERIES 2017A/B BONDS – Amendment of the Master Indenture" and for a discussion of the effect of sequestration on the Direct Payments to be received by the Authority, see "SECURITY FOR THE SERIES 2017A/B BONDS – Direct Payment Bonds and the Effect of Sequestration on Direct Payments."

List of Outstanding Indebtedness

A table summarizing the Authority's existing indebtedness as of September 30, 2016, is set forth below. For a summary of the annual debt service payments for the Authority's existing indebtedness, see "FINANCIAL OPERATIONS – Debt Service."

Outstanding Indebtedness
($ in thousands)

	Original Principal Amount	Interest Rates	Final Maturity	Amount Outstanding[1]
Senior Debt				
Series 1998 Bonds	$ 266,120	5.50-6.00%	2028	$ 156,605
Series 2009A Bonds	300,000	3.00-5.50	2039	8,040
Series 2014A Bonds	350,000	4.814	2114	350,000
Total Senior Debt				$ 514,645
Subordinate Debt				
Series 2008A Bonds	$ 290,375	5.00%	2034	$ 13,600
Series 2010A Bonds	300,000	4.07-5.52[2]	2044	300,000
Series 2012A Bonds	177,430	3.00-5.00	2037	158,740
Series 2012C Bonds	163,215	4.00-5.00	2033	163,215
Series 2013A Bonds	300,000	4.75-5.00	2048	300,000
Series 2014B Bonds	100,000	VR[3]	2050	100,000
Series 2014C Bonds	377,700	3.00-5.00	2044	377,110
Series 2015A Bonds	100,000	2.00-5.00	2045	100,000
Series 2015B Bonds	250,000	5.00-5.25	2044	250,000
Series 2016A Bonds	389,110	5.00-5.25	2039	389,110
Series 2016B Bonds	25,000	3.43[4]	2046	25,000
Government Notes				
Jennings Randolph Reservoir Debt	$ 18,269	3.25%	2041	$ 12,841
Commercial Paper Notes ("CP Notes")[5]				
Series C CP Notes (taxable)	$ 29,200[6]	VR	2020[7]	$ 29,200
Extendable Municipal Commercial Paper Notes ("EMCP Notes")				
Series A EMCP Notes	$ 50,000[8]	VR	N/A[9]	$ 50,000
Total Subordinate Debt				$ 2,268,816
Total				**$ 2,783,461**

1 Amounts outstanding do not reflect any amortization of accrued principal.
2 Taking into account the Direct Payment subsidy, the Series 2010A Bonds had an all-in-true interest cost of 3.6%. With respect to the effect of sequestration on the receipt by the Authority of Direct Payments on its Series 2010A Bonds, see "SECURITY FOR THE SERIES 2017A/B BONDS – Direct Payments and the Effect of Sequestration on Direct Payments."
3 The Series 2014B Bonds are weekly-reset variable rate bonds supported by a Liquidity Facility provided by TD Bank, N.A.
4 Interest on Series 2016B Bonds (Environmental Impact Bonds) is calculated through the mandatory tender date of April 1, 2021 at the fixed term rate of 3.43%, and at an assumed rate of 3.25% thereafter through final maturity.
5 Maximum amount authorized for the CP Notes (Series B CP Notes and Series C CP Notes) is $150 million; the CP Notes are supported by a Letter of Credit provided by Landesbank Hesse-Thüringen Girozentrale; the Series A CP Notes are not currently authorized for issuance.
6 Maximum amount authorized to be outstanding at any one time for the Series C CP Notes is $50 million.
7 Final maturity of the CP Notes reflects expiration of current credit facility.
8 Maximum amount authorized to be outstanding at any one time for the Series A EMCP Notes is $100 million.
9 The Series A EMCP notes are placed for an original maturity date not to exceed 90 days. At their original maturity date, the EMCP notes may be repaid, remarketed and resold as new Series A EMCP notes, or extended at the option of the Authority to an extended maturity date not greater than 270 days from their initial issuance. Should the Series A EMCP Notes be remarketed and resold, upon such resale the Series A EMCP Notes will mature on such date or dates as provided in the terms of the remarketing and resale (up to a maximum original maturity date of 90 days and a maximum extended maturity date of 270 days).

Source: Authority records.

Outstanding Senior Debt

As indicated above, as of September 30, 2016, the Authority had Senior Debt outstanding in the aggregate principal amount of $514,645,000 consisting of its Public Utility Senior Lien Revenue Bonds, Series 1998 (the "Series 1998 Senior Bonds"), its Public Utility Senior Lien Revenue Bonds, Series 2009A (the "Series 2009A Senior Bonds"), and its Public Utility Senior Lien Revenue Bonds, Series 2014A (Federally Taxable) (Green Bonds) (the "Series 2014A Senior Bonds"). The Authority expects to issue additional Senior Debt in the future to finance capital improvements to the System. See "CAPITAL IMPROVEMENT PROGRAM." Upon the issuance of the Series 2017A/B Bonds, the amount of Outstanding Senior Debt will be $814,645,000.

Outstanding Subordinate Debt

The Subordinate Debt summarized above consists of the following categories of outstanding debt: (i) Subordinate bonds; (ii) Government Notes; and (iii) Commercial Paper Notes. As of September 30, 2016, the Authority had Subordinate Debt outstanding in the aggregate principal amount of $2,268,816,000. Upon the issuance of the Series 2017A/B Bonds, the amount of Outstanding Subordinate Debt will remain unchanged.

Subordinate Bonds. As of September 30, 2016, the Authority had Subordinate bonds outstanding in the aggregate principal amount of $2,176,775,000 consisting of its Public Utility Subordinate Lien Revenue Bonds of various series as described above in Outstanding Indebtedness. The Authority expects to issue additional Subordinate bonds in the future to finance capital improvements to the System. See "CAPITAL IMPROVEMENT PROGRAM."

Environmental Impact Bonds. On September 29, 2016, the Authority issued $25,000,000 of tax-exempt Public Utility Subordinate Lien Revenue Bonds, Series 2016B (Environmental Impact Bonds) (the "Series 2016B Bonds"). The Series 2016B Bonds are multimodal variable rate bonds, initially issued bearing a 3.43% fixed rate through the mandatory tender date, April 1, 2021. The Series 2016B Bonds are the Authority's first environmental impact bonds to finance Green Infrastructure (GI). The Series 2016B Bonds are designated as environmental impact bonds and, as such, include provisions for the possibility of an outcome payment by the Authority to the original purchasers of the Series 2016B Bonds, and for the possibility of a risk share payment by such original purchasers to the Authority depending upon the results achieved by the GI project financed with the proceeds of the Series 2016B Bonds. The potential obligation of the Authority to pay the outcome payment is an unsecured obligation. The net proceeds of the issuance will be used for construction of GI for the Rock Creek Project A (RC-A). The GI practices are designed to mimic natural processes to absorb and slow surges of stormwater during periods of heavy rainfall, reducing the incidence and volume of combined sewer overflows (CSOs) that pollute the District's waterways.

Government Notes. The Authority is responsible for debt service on notes payable to the federal government for the construction of the Jennings Randolph Reservoir. As of September 30, 2016, the Authority had $12,841,000 of Government Notes outstanding. Upon the issuance of the Series 2017A/B Bonds, the amount of outstanding Government Notes will remain unchanged.

Commercial Paper Notes. The Authority has established a commercial paper program to provide interim financing for Costs of the System. The Board has authorized the three series of notes to be issued under the commercial paper program in the aggregate principal amounts as follows: (i) the tax-exempt Series A CP Notes in an aggregate principal amount not to exceed $0 (the Authority is reserving the right to authorize an additional amount of Series A CP Notes in the future, but currently the Series A CP Notes are not enhanced by a liquidity facility), (ii) the tax-exempt Series B CP Notes in an aggregate principal amount not to exceed $100 million, and (iii) the taxable Series C CP Notes in an aggregate principal amount not to exceed $50 million (collectively, the "Commercial Paper Notes"), each as Subordinate Debt. See "OUTSTANDING INDEBTEDNESS – Outstanding Senior Debt." To provide liquidity and credit support for the Commercial Paper Notes, the Authority obtained irrevocable, direct-pay letters of credit (the "Letters of Credit") issued by Landesbank Hessen-Thüringen Girozentrale, New York Branch (the "Bank") which currently expire on May 15, 2020. In connection with the Bank's issuance of the Letters of Credit, the Authority and the Bank entered into a Reimbursement Agreement for each series of CP Notes, each dated as of May 1, 2015, each as amended (collectively, the "Reimbursement Agreements") that obligates the Authority to pay Bank Obligations and Reimbursement Obligations (both as defined in the Eleventh Supplemental Indenture relating to the Commercial Paper Notes) and Fee Obligations (as defined in each Reimbursement Agreement) to the Bank. The Bank Obligations, the Reimbursement Obligations and Fee Obligations are Subordinate Debt under the Indenture. The amount of the Commercial Paper Notes outstanding as of September 30, 2016, was $29,200,000. Upon the issuance of the Series 2017A/B Bonds, the amount of outstanding Commercial Paper Notes will remain unchanged.

Extendable Municipal Commercial Paper Notes. The Authority has established an extendable municipal commercial program to provide an additional source of interim financing for Costs of the System. The EMCP Notes are not supported by a credit facility or credit enhancement, but instead are solely supported by a subordinate pledge of Net Revenues on a parity with the pledge of Net Revenues that secures Outstanding Subordinate Debt and any other

Subordinate Debt that the Authority may issue in the future. The Board has authorized one series of EMCP Notes not to exceed $100 million outstanding at any one time. As of September 30, 2016, the amount of outstanding EMCP Notes was $50,000,000.

Interest Rate Exchange Agreements and Guaranteed Investment Contracts

The Authority has not previously entered into any interest rate exchange agreements or any guaranteed investment contracts.

THE AUTHORITY

General

The Authority is a corporate body and an independent authority created pursuant to the Act that has a separate legal existence within the District government. It was created in 1996 to expedite the repair, replacement, rehabilitation, modernization and extension of existing water distribution and sewage collection, treatment and disposal systems, and the financing, on a self-sustaining basis, of capital and operation expenses relating thereto. The Authority began operations on October 1, 1996, and in June 2010, adopted a new logo and rebranded itself as "DC Water." Prior to creation of the Authority, the District, through its Department of Public Works, Water and Sewer Utility Administration ("WASUA"), owned, operated and maintained the System. In accordance with the Act, the District authorized the Authority to use all of the property and assets of the System and transferred to the Authority any liabilities of the District that were directly attributable to the System. The District has retained full legal title to, and a complete equitable interest in, the System. In accordance with the Act, however, the System must remain under the control of the Authority for as long as any Authority revenue bonds remain outstanding.

The Authority currently provides retail water and wastewater services to approximately 650,000 residents of the District of Columbia and wholesale wastewater conveyance and treatment to approximately 1.6 million residents of Prince George's and Montgomery Counties in Maryland and Fairfax and Loudoun Counties in Virginia. In addition, the Authority annually serves approximately 17.8 million visitors to the area and approximately 700,000 workers in the District. In addition to providing services to the White House, the U.S. Congress and the Supreme Court, the Authority also counts among its customers a number of international organizations, including the International Monetary Fund and numerous diplomatic embassies. The Authority also provides services to a number of nationally recognized cultural and educational institutions, including the John F. Kennedy Center for the Performing Arts, and Georgetown, Howard, American, Catholic and George Washington Universities.

The Authority operates the largest advanced wastewater treatment facility in the United States and is in material compliance with all requisite permits. Since its creation as an independent authority of the District, the Authority has become a leader in the water and wastewater industry. The Board has provided stable leadership and a focus on establishing long-term policies and planning, particularly financial stability. Under its leadership, the Authority has adopted and implemented financial and rate-setting policies that have enhanced financial performance. The Authority's unrestricted cash, cash equivalents and investment balances have increased from $20.5 million as of September 30, 1997, to $219.3 million as of September 30, 2016. The Authority's operating revenues have increased, from $221.5 million in Fiscal Year 1997 to $595.8 million in Fiscal Year 2016.

The Authority's accomplishments have been recognized by several industry associations and publications (only awards for 2015 and 2016 indicated below):

- *American County and City Magazine*: 100 Best Fleets in North America (2015).
- *Engineering News Record*: Mid-Atlantic Best Project in the Water/Environment Category for the McMillan Stormwater Storage Project (2015).
- *Global Water Intelligence*: Distinction, Water Deal of the Year (2015).
- *Government Finance Officers Association*: Certificate of Achievement for Excellence in Financial Reporting Program (2015).
- *Government Finance Officers Association*: Distinguished Budget Presentation Award Program (2015).
- *Government Fleet*: DC Water fleet named a Notable Leading Fleet (2015).

- *National Association of Clean Water Agencies*: Gold Peak Performance Award for 100% compliance with NPDES requirements (2015).

- *American Academy of Environmental Engineers and Scientists*: Grand Prize, Research, "Closing in on Energy Neutrality at a Water Resource Recovery Facility: Modifying Contact Stabilization for 21st Century Drivers." Engineer in Charge: Sudhir Murthy, Ph.D., P.E., BCEE (2016).

- *American Academy of Environmental Engineers and Scientists*: 2016 Kappe Lecturer- Sudhir Murthy, Ph.D., P.E., BCEE (2016).

- *Government Finance Officers Association*: Award for Excellence in Government Finance (2016).

- *Government Finance Officers Association*: Certificate of Achievement for Excellence in Financial Reporting Program (2016).

- *Government Finance Officers Association*: Distinguished Budget Presentation Award Program (2016).

- *SmartCEO*: Healthiest Employer Award (2016).

- *National Association of Clean Water Agencies*: Utility of the Future Award (2016)

- *The Bond Buyer*: Non-Traditional Deal of the Year (2016)

Purposes and Powers

The Act requires the Authority to establish, fix and revise fees, rates or other charges for the use of, or services furnished, rendered or made available by the System, owned, leased or utilized by the Authority at least in an amount sufficient, together with other revenues available to the Authority, if any, to pay its costs, the principal of and interest on and other requirements pertaining to its bonds, and to make transfers to the District of amounts equal to the debt service payments on the District General Obligation Bonds, which financed WASUA capital projects, as such debt service and transfers become due and payable. All such General Obligation Bonds are now retired.

Pursuant to the Home Rule Act, the Council delegated to the Authority, under the Act, its power to issue revenue bonds, including the Series 2017A/B Bonds, for the purpose of financing "water and sewer facilities" (as such term is defined in the Home Rule Act). Pursuant to the Home Rule Act and the Act, the Authority is required to submit its annual operating budget to the District for its review and recommendations; however, the District has no power to change the annual budget of the Authority. After receiving the Authority's budget, the District then submits its annual operating budget, of which the Authority's budget is a part, to the U.S. Congress for approval. See "FINANCIAL OPERATIONS – Annual Budget."

Board of Directors

The Authority is governed by a Board of Directors consisting of 11 principal and 11 alternate members, each appointed for a staggered four-year term. Six principal members (appointed by the Mayor of the District with the advice and consent of the Council) represent the District and five principal members (appointed by the Mayor on the recommendations of the User Jurisdictions) represent the User Jurisdictions, two each from Prince George's and Montgomery Counties in Maryland, and one from Fairfax County, Virginia. The powers of the Authority are vested in and exercised by the Board at meetings duly called and held where a quorum of at least six members is present. All Board members participate in decisions directly affecting the management of joint-use facilities which are those facilities used by all three jurisdictions. Only the six members appointed to represent the District participate in those matters that affect District ratepayers and in setting rates, fees and charges for various services that affect only District residents. The Board meets monthly and operates through various standing and ad-hoc committees. The committees include Environmental Quality and Sewerage Services, Water Quality and Water Services, Finance and Budget, Human Resources and Labor Relations, Audit, Strategic Planning, Governance, and District of Columbia Retail Water and Sewer Rates. The current principal members of the Board are listed below:

Principal Board Members	Appointing Authority	Term Start Date*	Term Expiration
Matthew T. Brown, Chairman	District of Columbia	January 2015	September 2019
Ellen O. Boardman	District of Columbia	July 2013	September 2020
Rachna Butani	District of Columbia	July 2012	September 2018
Elisabeth Feldt	Montgomery County	June 2015	May 2019
Timothy L. Firestine	Montgomery County	February 2007	May 2020
Bradley Frome	Prince George's County	June 2015	September 2018
Nicholas A. Majett	Prince George's County	June 2014	September 2018
James W. Patteson	Fairfax County	September 2015	September 2019
Emile Thompson	District of Columbia	December 2016	September 2020
Tommy Wells	District of Columbia	December 2016	September 2020
Vacant	District of Columbia		

* Term start date indicates start of the Board member's initial term as a principal member.

Source: Authority records.

The following are short biographies of the principal members of the Board.

Matthew T. Brown (Chairman) (District of Columbia)

Mr. Brown was appointed as a principal member and chairman of the Board in 2015. Mr. Brown is the Director of the Office of Budget and Finance of the District. Prior to his current position, Mr. Brown served as the Deputy Director for Resource Allocation for the District's Department of Transportation, in addition to a variety of other public sector management and budget positions for several large municipal governmental entities. Mr. Brown also has significant private sector experience as a result of his tenure with PFM Financial Management LLC. Mr. Brown holds a B.A. in Political Science from Texas Wesleyan University, and an M.P.A. in Budget and Public Finance from The George Washington University.

Ellen O. Boardman (District of Columbia)

Ms. Boardman was appointed as a principal member to the Board in 2013. Ms. Boardman is a partner at O'Donoghue & O'Donoghue LLP. Prior to joining O'Donoghue & O'Donoghue LLP, in 1986, Ms. Boardman served as an attorney for the National Labor Relations Board. Ms. Boardman is a member of the District of Columbia and Maryland bar associations, numerous federal district and appellate courts, and the U.S. Supreme Court. Ms. Boardman is a fellow of the College of Labor and Employment Lawyers, and is listed as a Washington, D.C. Super Lawyer.

Rachna Butani (District of Columbia)

Ms. Butani was appointed as a principal member to the Board in July 2012. Ms. Butani serves as Director at HRGM Corporation. Ms. Butani has been with HRGM since 2001. Previously, Ms. Butani served as an Associate for Wachovia Securities, and as a consultant for Deloitte & Touche, LLP. Ms. Butani holds an MBA from The Wharton School, University of Pennsylvania, with a major in Real Estate and Management, and a Bachelor of Science in Business Administration from Georgetown University. Ms. Butani serves as a Board member for the Professional Women in Construction and holds a Virginia Class A Contractor's License.

Emile C. Thompson (District of Columbia)

Mr. Thompson was appointed as a principal member to the Board in December 2016. Mr. Thompson currently serves as an Assistant United States Attorney for the District of Columbia. He recently served as the Chief of Staff to the Deputy Mayor for Public Safety and Justice in the Bowser Administration. In that capacity, Mr. Thompson advised the Deputy Mayor on policies and initiatives throughout the cluster. Mr. Thompson began his legal career as law clerk to the Honorable Herbert B. Dixon, Jr. of the D.C. Superior Court in 2010.

Tommy Wells (District of Columbia)

Mr. Wells was appointed as a principal member to the Board in December 2016. Mr. Wells is the Director of the Department of Energy & Environment. Appointed in January 2015, he is chiefly responsible for protecting the environment and conserving the natural resources of the District of Columbia. Mr. Wells served as the District Councilmember representing Ward 6 from 2006 until 2014. During his time on Council, he garnered broad support for his efforts to make the District livable and walkable for all. In 2009, he crafted *The Anacostia River Clean Up and Protection Act of 2009*, to implement a $0.05 fee on disposable bags. This landmark legislation prompted thousands of District residents to curb use of plastic bags and, instead, opt for reusable green alternatives. He earned a Juris Doctor

form the Columbus School of Law at Catholic University in 1991 and a Master of Social Work from the University of Minnesota in 1983.

Elisabeth Feldt (Montgomery County)

Ms. Feldt was appointed as a principal member to the Board in June 2015. Ms. Feldt is currently the Associate Deputy Administrator of the United States Environmental Protection Agency. Prior to her current position, Ms. Feldt served as the Deputy Assistant Administrator in the Office of Solid Waste and Emergency Response of the United States Environmental Protection Agency, and held a variety of other positions dealing with environmental management. Ms. Feldt holds a B.S. in engineering from George Washington University.

Timothy L. Firestine (Montgomery County)

Mr. Firestine was appointed as a principal member to the Board in February 2007. Mr. Firestine serves as the Chief Administrative Officer for Montgomery County. Prior to his current position, Mr. Firestine was Chief Financial Officer for Montgomery County and held other positions in public sector financial management. Mr. Firestine holds a B.A. in Political Science from Albright College and an M.P.A. from the University of Pittsburgh.

Bradley Frome (Prince George's County)

Mr. Frome was appointed as principal member to the Board in June 2015. Mr. Frome is currently the Assistant Deputy Chief Administrative Officer for the Economic Development and Public Infrastructure Team within the Administration of County Executive Rushern L. Baker, III. Mr. Frome was appointed to this position in early 2014. Mr. Frome previously served as the Deputy Chief of Staff for County Executive Baker from 2010-2014. Mr. Frome began his work in the public sector for the Maryland House of Delegates as a Legislative Director for four years and served six years as the Chief of Staff to a Council Member for Prince George's County.

Mr. Frome graduated cum laude from the University of Maryland in College Park with a Bachelor of Science Degree in Government and Politics and attended George Washington University Law School.

Nicholas A. Majett (Prince George's County)

Mr. Majett was appointed as a principal member of the Board in June 2014. Mr. Majett previously served the District government in several capacities for over 29 years. In 1985, Mr. Majett joined the D.C. Office of the Attorney General and served as an Assistant Attorney General for approximately 19 years. During his tenure as an Assistant Attorney General, Mr. Majett regularly handled regulatory, real estate, tax and civil cases and prosecuted tax and government fraud cases. Mr. Majett earned both his Bachelor of Science and Law Degrees from Howard University before becoming a member of the District of Columbia Bar Association. In 2005, he was elected to the District of Columbia Bar Association's District of Columbia Affairs Section Steering Committee where he currently serves as a member. He is also a member of the Board of Directors for the Washington, DC Economic Partnership, a member of the DC Streetcar Task Force, and former Board Member of Joseph's House, non-profit organization in the District.

James W. Patteson (Fairfax County)

Mr. Patteson was appointed as a principal member to the Board in 2015. Mr. Patteson is the Director of the Fairfax County Department of Public Works and Environmental Services ("DPWES"). Prior to serving as director of DPWES, Mr. Patteson served as the Director of DPWES' Land Development Services. Mr. Patteson began his career with Fairfax County in 1985, and has worked in a variety of agencies, including the Department of Housing and Community Development, Office of the County Executive, Facilities Management, and various DPWES departments. Mr. Patteson earned his B.S. in Civil and Environmental Engineering from Virginia Polytechnic and State University, and a Master's in Public Administration from George Mason University.

Organizational Structure

The Authority's day-to-day operations are managed by the CEO, who is appointed by the Board. The CEO is supported by the Assistant General Managers for Blue Plains, Consumer Services, and Support Services; the Chief Financial Officer; and the Chief Engineer. The Assistant General Manager for Blue Plains oversees the departments of Wastewater Treatment Services and Maintenance Services. The Assistant General Manager for Consumer Services oversees the departments of Customer Service, Sewer Services, Water Services and Water/Sewer Pump Maintenance. The Assistant General Manager for Support Services oversees the departments of Human Capital Management, Labor Relations, Facilities and Security, Procurement, Fleet Management, and Safety and Occupational Management. The Chief Financial Officer oversees the departments of Finance, Accounting and Budget. The Chief Engineer oversees the Capital Improvement Program as well as the departments of Engineering and Technical Services,

Permit Operations, and DC Clean Rivers. Also reporting to the CEO are the offices of the General Counsel, Information Technology and External Affairs.

Senior Management

The Authority has in place a senior and mid-level management team with a broad range of private and public sector utility experience. The following are short biographies of key members of the Authority's senior management.

George S. Hawkins, CEO and General Manager

Mr. Hawkins was appointed CEO and General Manager in September 2009. Prior to joining the Authority, Mr. Hawkins served as the Director of the District Department of the Environment. Prior to coming to the District, Mr. Hawkins served as Executive Director of New Jersey Future, a non-profit organization promoting smart growth, and Executive Director of the Stony Brook-Millstone Watershed Association. He also has held senior posts with the U.S. Environmental Protection Agency. Mr. Hawkins has served as the Chair of the Green Building Advisory Council, a member of the Mayor's Green Collar Jobs Advisory Committee and a Board member of the Authority. Since 1999, Mr. Hawkins has taught Environmental Law and Policy for the Princeton Environment Institute at Princeton University. He began his career practicing law for the Boston firm of Ropes & Gray, and is a member of the Bar in Massachusetts and the District of Columbia. Mr. Hawkins holds an A.B. from Princeton University and a J.D. from Harvard Law School.

Mark T. Kim, Chief Financial Officer

Mr. Kim was appointed Chief Financial Officer in March 2013. Prior to joining the Authority, Mr. Kim served as Deputy Comptroller for Economic Development and Assistant Comptroller for Public Finance for the City of New York, and as an investment banker at several global financial institutions. Currently, Mr. Kim sits on the Committee on Governmental Debt Management of the Government Finance Officers Association and the Board of Directors of the Municipal Securities Rulemaking Board. Mr. Kim is a member of the Bars of the State of New York and the District of Columbia. Mr. Kim holds a B.A. from Northwestern University; a J.D. from Cornell Law School; and a Ph.D. in public policy from Harvard University.

Biju George, Chief Operating Officer

Mr. George was appointed Chief Operating Officer in February 2015. Mr. George is responsible for the performance management of all operations of the Authority. He participates in the implementation of the Authority's strategic plan and assists the General Manager in developing and implementing the Authority's business plans. Mr. George is the 2014 recipient of the Innovator of the Year Award from the U.S. Environmental Protection Agency. Mr. George has a bachelor's degree in mechanical engineering from the PDA College of Engineering at Gulbarga University. He is a licensed professional engineer in Ohio.

Leonard R. Benson, Chief Engineer

Mr. Benson was appointed Chief Engineer in August 2010, after serving as Acting Chief Engineer and Deputy General Manager since May 2008. Mr. Benson transferred to the Authority as Director of Engineering and Technical Services from its predecessor agency when the Authority was created in 1996. Mr. Benson began his career as a Project Manager for the District of Columbia's Department of Highways and Traffic in 1968 and later transferred to the Department of Sanitary Engineering and successor agencies including the Department of Environmental Services and the Department of Public Works. Mr. Benson holds a B.S. in Civil Engineering from the University of Maryland.

Henderson J. Brown, IV, General Counsel

Henderson Brown rejoined the Authority as General Counsel in March 2016 after originally serving the Authority in the same capacity from 1998-2004. During his first tenure with the Authority, Mr. Brown established the legal office and refined the Authority's legal practices and protocols. As General Counsel, Mr. Brown manages and coordinates all legal matters on behalf of the General Manager, the Board of Directors and all departments of the Authority. Following his initial tenure with the Authority, Mr. Brown served as Associate General Counsel for Tyson Foods, Inc. and was the principal and owner of Employment Solutions, LLC, a firm that handled civil rights case investigations and provided human resources consulting for businesses, federal agencies and local Maryland municipal entities. Mr. Brown holds a Juris Doctorate from the Georgetown University Law Center and a Bachelor's degree from Amherst College in Massachusetts. He is admitted to the bar in Maryland, the District of Columbia, the United States Fourth District Court for Maryland and the United States Courts of Appeals (Fourth and District of Columbia Circuits).

Mustaafa Dozier, Chief of Staff

Mr. Dozier assumed the position of Chief of Staff in August 2015. Mr. Dozier initially joined the Authority in 2011 as the Labor Relations Manager. Prior to joining the Authority, Mr. Dozier served as the Employment and Labor Relations Advisor to the District's Department of Public Works. Mr. Dozier holds a B.A. from Alabama State University and a J.D. from the Howard University School of Law.

Charles Kiely, Assistant General Manager of Consumer Care & Operations

Mr. Kiely joined the Authority as Director of Customer Services Department in November 2002. Prior to joining the Authority, Mr. Kiely was Executive Vice President of Customer Services for Commonwealth Electric, Cambridge Electric and Commonwealth Gas Companies serving 78 communities in eastern and central Massachusetts. He was later appointed Vice President of Customer Care for NSTAR, formed after the BEC Energy and Commonwealth Energy merger, creating the largest investor-owned gas and electric utility in Massachusetts. Mr. Kiely received a B.S. in Management from the University of Massachusetts and an M.B.A. from Bentley College.

Carlton Ray, Director, DC Clean Rivers Project

Mr. Ray joined the Authority in July 2009, and is responsible for the planning, design, construction and implementation of the DC Clean Rivers Project. The 20-year, $2.4 billion project is designed to capture nearly all combined sewer overflows (CSOs) to the Potomac and Anacostia Rivers and to the Rock Creek during periods of wet weather through a system of deep underground tunnels. Previously, Mr. Ray managed the capital program for the City of Indianapolis, including successfully developing and managing a similar CSO abatement program. Mr. Ray has over 30 years' experience in water and wastewater engineering and holds a B.S. in Civil Engineering from Auburn University.

Aklile Tesfaye, Assistant General Manager, Blue Plains

Mr. Tesfaye joined the Authority in 1994. Mr. Tesfaye formerly served as the Director of Wastewater Treatment Operations for the Authority. Mr. Tesfaye is a licensed engineer with the American Academy of Environmental Engineers, and holds several other professional certifications. Mr. Tesfaye received a B.S. in Civil Engineering from the University of Rourke (India; now known as Indian Institute of Technology), an M.S. in Civil Engineering from Tampore University of Technology (Finland) and an M.S. in Environmental Engineering from the University of Maryland (College Park).

Authority's Relationship to District

Section 424A of the Home Rule Act (D.C. Official Code Section 1-204.25) sets forth the powers and responsibilities of the District's Chief Financial Officer (the "District CFO"). The "District of Columbia Water and Sewer Authority Independence Preservation Act," P.L. 110-273, enacted by the Congress on July 15, 2008, amended the Home Rule Act to make clear that (i) the authority of the District CFO to hire, supervise and remove certain financial management employees does not apply to personnel of the Authority and (ii) the financial management, personnel and procurement functions and responsibilities of the Authority shall be established exclusively pursuant to the rules and regulations adopted by the Board. The Act provides that, except as provided in the Act, the District will not limit or alter rights vested in the Authority to fulfill agreements made with holders of Authority bonds, or in any way impair the rights and remedies of the holders of Authority bonds. See "COVENANT BY THE DISTRICT OF COLUMBIA."

The Authority is presently operating under, and is in compliance with, the following Memoranda of Understanding (each, a "Memorandum of Understanding" or "MOU") with the District.

- A January 29, 1998, Memorandum of Understanding provides that the Authority will pay the District a PILOT for government services it receives from the District (the "1998 PILOT MOU"). This MOU provides that, beginning in Fiscal Year 1999, the annual PILOT will be based on the amount due from the Authority to the District for the previous Fiscal Year plus a percentage increase in an amount equivalent to the Authority's System-wide rate increase for the current Fiscal Year. On September 4, 2014, the District and the Authority entered into a new Memorandum of Understanding (the "2014 PILOT MOU") amending the 1998 PILOT MOU. According to the terms of the 2014 PILOT MOU, the Authority made a PILOT payment to the District in the amount of $15,337,410.00 in Fiscal Year 2015 for the services provided by the District to the Authority. In Fiscal Years 2016 to 2024, the amount of the PILOT payment increases by two percent per annum based on the amount of the prior year's annual PILOT payment. In addition, the Authority shall deduct the annual fire protection service fee for services provided by the Authority to the District from the annual PILOT payment. The 2014 PILOT MOU shall remain in effect until September 30, 2024. If the parties have not

executed a new amendment to the 1998 PILOT MOU before September 30, 2024, the terms of the 2014 PILOT MOU shall remain in force until a new amendment has been executed.

- A September 12, 2003, Memorandum of Understanding provides that the Authority will make quarterly payments to the District for its public right of way occupancy permit fee (the "2003 ROW MOU"). Under the terms of this MOU, the Authority was obligated to pay the District an annual fee of $5.1 million through September 30, 2013, the expiration date of the MOU. On October 2, 2014, the parties entered in a new Memorandum of Understanding (the "2014 ROW MOU") amending the expiration date of the 2003 ROW MOU to September 30, 2024. As with the 2014 PILOT MOU, if the parties have not executed a new ROW MOU before September 30, 2024, the terms of the 2014 ROW MOU shall remain in force until a new amendment has been executed.

- A July 25, 2008, Memorandum of Understanding between the District Department of the Environment (DDOE) and the Authority establishes the basis for the billing and collection of a stormwater fee by the Authority on behalf of DDOE, and the transfer of those fees on a pass-through basis to DDOE. This MOU extends for one-year periods at the option of the Parties. See "THE SYSTEM – The Wastewater System – District Stormwater Permit and Management Program" and "CUSTOMER BASE, RATES AND CHARGES – Components of Retail Rates and Charges."

- A May 3, 2013, Memorandum of Understanding between the District of Columbia Fire and Emergency Medical Services Department ("FEMS") and the Authority memorializes the ongoing commitment between the two agencies to share information about public fire hydrant inspections and upgrades. The Authority is required to inspect all public fire hydrants once per year in accordance with National Fire Protection Association ("NFPA") guidelines, and FEMS may, as time permits, also conduct a second inspection of fire hydrants in coordination with the Authority. The Authority is responsible for identifying and installing new hydrants as part of its ongoing capital program, developing manuals and protocols for hydrant inspection and inspection data management, and ensuring that the required preventative maintenance is performed on each hydrant as required by the manufacturer. The Authority is required to flow test all hydrants every six years, and those hydrants that have been upgraded as part of the capital program will be tested upon being placed in service to ensure proper pressure and operation. Furthermore, the Authority has committed to providing water supply personnel on scene to FEMS when requested for two-alarm or greater fires. The Authority annually bills the District to recover the Authority's costs for these fire hydrant protection services activities.

- A September 11, 2014, Memorandum of Understanding provides the terms by which the District and the Authority will cooperate in the execution of the Northeast Boundary Neighborhood Protective Project (the "2014 Bloomingdale MOU"). This MOU established the value of incremental capital expenditures totaling $58,579,499.00 incurred by the Authority at the request of the District in order to mitigate overland flooding and sewer backups in the Bloomingdale and LeDroit Park neighborhoods in Northwest Washington, D.C. The District has entered into an agreement with the Authority for the amounts spent pursuant to the 2014 Bloomingdale MOU, to be paid in ten equal annual installments, commencing January 2016.

Employees and Labor Relations

The total number of authorized positions for the Authority for Fiscal Year 2017 is 1,260. As of September 30, 2016, the Authority had 1,121 full-time equivalent employees, of whom approximately 724 were represented by five unions:

- American Federation of Government Employees ("AFGE") consisting of Locals 631, 872 and 2553, representing 467 employees;

- American Federation of State, County and Municipal Employees ("AFSCME"), Local 2091, representing 240 employees; and,

- National Association of Government Employees ("NAGE"), representing 17 employees.

The Authority and the unions operate under a single Master Agreement on Compensation which expired on September 30, 2015. The parties commenced bargaining for a successor agreement on April 11, 2016. Negotiations are ongoing.

There are five separate working conditions agreements with the unions. The Authority has reached agreement with four of the five unions for successor agreements on working conditions. The Authority anticipates commencing negotiation of a successor agreement for the fifth contract (with AFGE Local 2553) in 2017.

The percentage of current employees eligible to retire within the next ten years (based on age and years of service) is shown in the table below:

Percentage of Current Employees Eligible to Retire Within the Next Ten Years
(based on age and years of service)

	12/31/2016	12/31/2020	12/31/2025
Employees	9.9%	19.6%	30.4%
Directors and Executives	18.2	27.3	54.6

Source: Authority records.

The percentage of current Authority employees eligible to retire in five years is slightly higher than the median five-year retirement eligibility for combined water and wastewater utilities, which is 22% (as reported by the 2010 American Water Works Association/Water Environment Federation Qualserve Survey), and is within the range experienced by other large municipal water and wastewater utilities. To prepare for future retirements, since 2006, the Authority has had in place a comprehensive succession planning program for senior executives and a knowledge capture program for operational elements of the organization. In addition to identifying tacit knowledge use in operational activities, the knowledge capture program is identifying needed competencies to improve the replacement process, as well as improving the efficiency of the studied processes.

Retirement/Pension Plan

The Authority employees hired before October 1, 1987, participate in the U.S. Civil Service Retirement System (the "CSRS"). The employees and the Authority each annually contribute 7% of the employee's base pay to the CSRS. The Authority employees who retire under the CSRS receive retiree medical and life insurance benefits under the Federal Employees' Health Benefits Program and the Federal Employees' Group Life Insurance Program at no cost to the Authority. The Authority has no other post-employment benefits liability relating to medical or life insurance benefits under the CSRS programs.

With a few exceptions, all of the employees hired after September 30, 1987, participate in the U.S. Social Security System and the Authority's Defined Contribution Plan. Under the Authority's Defined Contribution Plan, the Authority annually contributes 7% of base pay plus an additional 5% of base pay earning above the Social Security Wage Base. Employees do not contribute to this plan and are 100% vested in the plan after three years of continuous service. The Authority has no other post-employment benefits liability relating to medical or life insurance benefits under the Defined Contribution Plan. The Authority employees hired after September 30, 1987, do not receive any retiree medical or life insurance benefits.

Starting in January 2000, employees who were hired after September 30, 1987, participate in a 457(b) Deferred Compensation plan administered by the Authority. The Authority makes a matching contribution of 100% of the amount that the employee defers to the 457(b) Deferred Compensation Plan up to a maximum contribution of 5% of base pay for eligible employees. There is no waiting period before an employee can elect to become a participant of this plan and employees are 100% vested in their contributions.

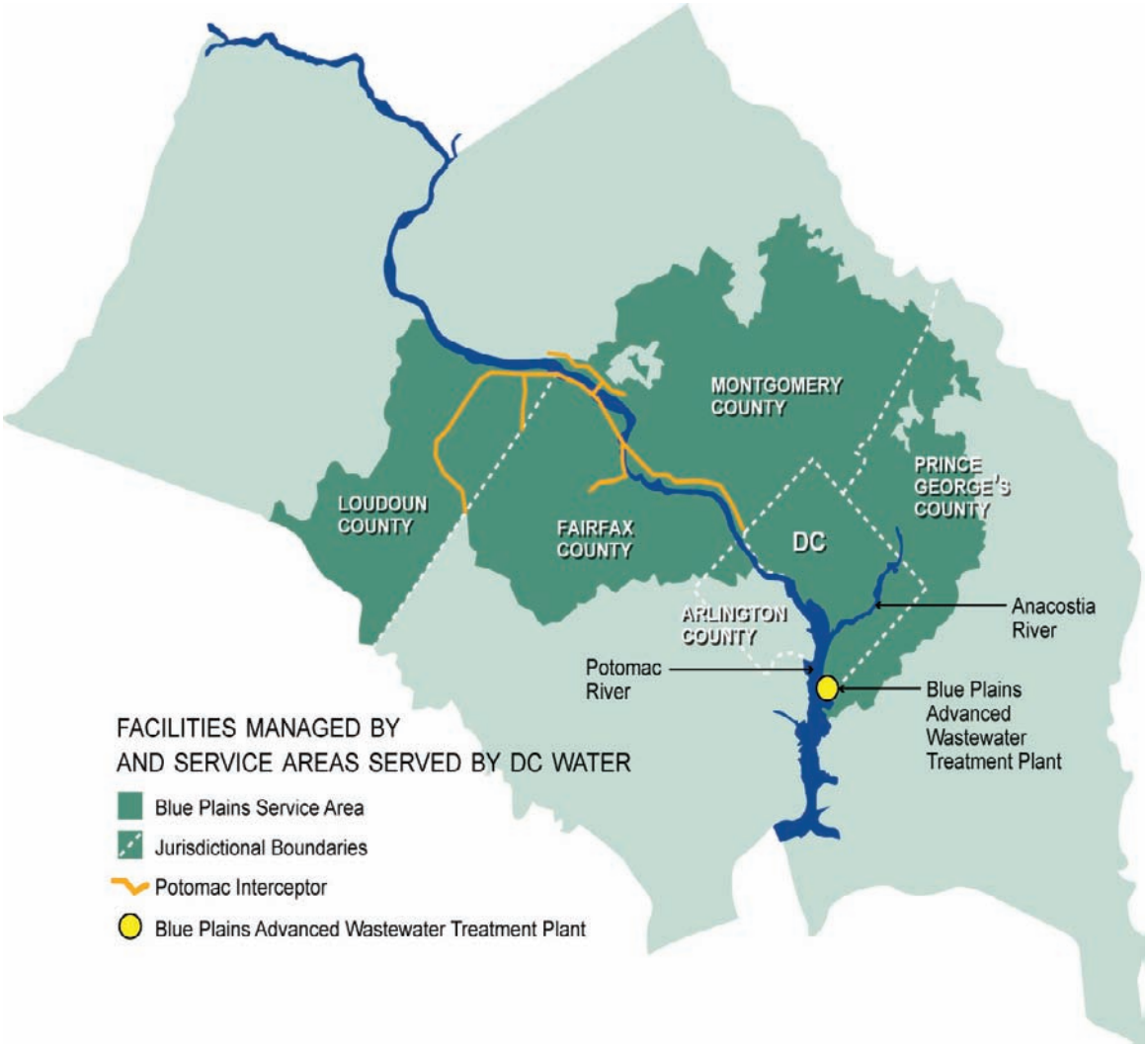
The Authority has no unfunded pension liability or other post-employment benefits liability under any of the plans described above.

Risk Management and Insurance

The Authority has developed a comprehensive risk management and insurance program which is annually reviewed and periodically bid by management and their independent insurance advisors through qualified brokers and direct insurance writers. The most recent risk management, insurance assessment and bid process was completed in July 2013. The Authority's insurance policies (including liability insurance and workers' compensation, property, equipment, crime, fiduciary, public officials' and employment practices liability) were renewed July 1, 2016 with coverage through July 1, 2017. Since the passage of the Terrorism Risk Insurance Act of 2002 ("TRIA"), terrorism coverage is included under all insurance policies.

THE SYSTEM

The Authority provides retail water distribution to the District and wastewater treatment, collection and disposal services to the District and certain neighboring counties in Maryland and Virginia. The following section describes the Water and Wastewater Systems of the Authority, including a description of the Aqueduct.



The Wastewater System

History and Description of Blue Plains Advanced Wastewater Treatment Plant

The Authority operates the Blue Plains Advanced Wastewater Treatment Plant ("Blue Plains"), the largest advanced wastewater treatment facility in the United States. The original wastewater treatment facility at the site of Blue Plains was built in 1938. The original facility provided only primary treatment for up to 130 million gallons per day ("mgd"). Subsequently, there have been several expansions and upgrades. Since 1983, Blue Plains has provided advanced treatment, which includes nutrient removal, filtration and dechlorination. The most recent expansion of Blue Plains was completed in 1997, which increased the plant's capacity to 370 mgd.

Service Area

The Blue Plains service area includes the District (retail service), parts of Fairfax and Loudoun Counties, the Town of Vienna in Virginia, parts of Prince George's and Montgomery Counties in Maryland, Washington Dulles International Airport and various U.S. Government agencies located in Virginia and Maryland (wholesale service). The population of the Blue Plains service area totals approximately 2.2 million, consisting of more than 650,000 residents of the District and 1.6 million residents of the surrounding jurisdictions. In addition, the Authority annually serves approximately 17.8 million visitors to the area and approximately 700,000 workers in the District.

Wholesale Customer Agreements

Intermunicipal Agreements – In 1985, the District signed the Blue Plains Intermunicipal Agreement of 1985 (the "1985 IMA") with Fairfax County in Virginia, Montgomery and Prince George's Counties in Maryland and the Washington Suburban Sanitary Commission (the "WSSC") in order to address wastewater treatment, biosolids management and cost allocation rights, obligations and objectives with respect to Blue Plains. A significant portion of the wastewater collection and all of the wastewater treatment and related biosolids management required by the 1985 IMA was provided by the District at Blue Plains until 1996, when the District created the Authority as an independent authority with regional responsibilities to provide those services through the operation and management of Blue Plains and associated facilities. The District, however, retained and continues to hold title to the real property, appurtenances and fixtures of Blue Plains.

The 1985 IMA was replaced in 2012 by a new Intermunicipal Agreement (the "2012 IMA"), which was negotiated, approved and executed by each of the signatories to the 1985 IMA, in addition to the Authority. The 2012 IMA incorporates provisions and establishes terms relating to: facility location; current and long-range infrastructure planning and development; allocation of wastewater treatment capacity of Blue Plains and associated facilities and related peak flows for the collection system; funding and allocation of the capital costs of wastewater treatment, biosolids management and O&M costs; responsibilities with respect to pretreatment and operational requirements; the process of making future wastewater capacity planning decisions, including load allocations; mechanisms for coordination among the parties; and long-term management of the wastewater treatment and disposal process. Under those terms, the cost of operations and maintenance of Blue Plains are shared among the 2012 IMA signatories on an actual basis, whereas the costs of the capital program of Blue Plains are shared among the 2012 IMA signatories commensurate with their respective capacity allocations, with 45.8% of Blue Plains flow capacity allocated to the District and the remainder to the WSSC (on behalf of Montgomery and Prince George's Counties) and Fairfax County. The 2012 IMA also establishes the Authority's right to require the User Jurisdictions to off-load flows to other wastewater treatment plants as necessary to provide the Authority capacity as needed to serve the District's portion of the service area.

Potomac Interceptor Agreements – Since October 1963, the District has entered into separate, limited allocation agreements with several entities that were tributaries to the Potomac Interceptor sewer as provided by statute. Certain of those agreements remain in effect and include users that did not participate in the IMA as signatories, but are allocated flow capacity under the 2012 IMA in accordance with the original individual agreements they entered into with the District prior to the 1985 IMA. Those entities include the Department of Transportation/Federal Aviation Administration on behalf of Washington Dulles International Airport, the Department of the Navy, the National Park Service, and the Town of Vienna, Virginia, which together account for less than 1% of Blue Plains allocated flow capacity. These Potomac Interceptor agreements provide for the pro-rata recovery, through the District, of the Authority's costs of constructing, operating and maintaining the Potomac Interceptor sewer and certain major interceptor sewers within the Blue Plains service territory. A separate Potomac Interceptor agreement was executed after the 1985 IMA with the Loudoun County Sanitation Authority and is described below.

Loudoun County Sanitation Authority Agreement – In November 1998, the Authority and the District executed an agreement with the Loudoun County Sanitation Authority ("LCSA") allocating the right to limited Potomac Interceptor flow capacity to the LCSA, including the treatment and disposal of the associated wastewater at Blue Plains. Consistent with that agreement, the 2012 IMA allocates commensurate Blue Plains flow capacity to the LCSA, although it is also not a signatory to the IMA. The agreement requires LCSA to pay for its share of the Potomac Interceptor and Blue Plains operating and capital costs, following the IMA methodology (i.e., based upon metered flows for operating costs and a pro rata capacity allocation for capital costs).

Wastewater Collection

The wastewater collection system consists of approximately 1,800 miles of sanitary, stormwater and combined sewers, 125,000 building sewer laterals, 22 flow-metering stations, nine off-site wastewater pumping stations and 16 stormwater pumping stations. The Authority has completed detailed assessments and a large number of improvements to many of the pumping stations. See "THE SYSTEM – Wastewater Regulation and Permits" below.

Sanitary Sewer System

A sanitary sewer system serves two-thirds of the District's land area. The system includes 600 miles of interceptor and sewer collection pipes with eight sanitary pumping stations. The typical operation is a gravity flow system with a few pumping stations to pump across higher grades in the District. A series of recent upgrades to the Authority's sanitary sewer system have made the system compliant with new code standards and regulations, and increased the efficiency and effectiveness of several of the system's pump stations.

Combined Sewer Overflow Wastewater System

Approximately one-third of the District's land area is served by a combined sewer overflow ("CSO") wastewater system that combines both stormwater and wastewater in a single conveyance system. Combined sewer systems are common among older cities throughout the United States. The District's combined sewer system conveys only sanitary flow to Blue Plains during dry weather. During and immediately following periods of heavy rainfall, however, the combined sanitary and stormwater flows frequently exceed the capacity of the combined sewer system and a combination of stormwater and untreated wastewater is discharged through one or more of the 53 existing CSO outfalls authorized in the Authority's NPDES Permit. See "THE SYSTEM - Wastewater Regulation and Permits – NPDES Permit" below.

Biosolids Disposal

In the second quarter of Fiscal Year 2015, the Authority fully implemented its new Blue Plains biosolids processing facilities featuring thermal hydrolysis and anaerobic digestion. Operation of these facilities resulted in a reduction in biosolids production from 1200 tons per day (60 truckloads) to approximately 500 tons per day (25 truckloads). These biosolids are considered Class A (as defined by EPA) and are currently applied directly to farmland at various sites in Virginia and Maryland, with disposal in landfills being utilized as an alternate method if weather conditions do not allow land application. Because the biosolids are Class A, the Authority has greater flexibility in its efforts to recycle biosolids produced at Blue Plains than it did prior to the new processing facilities. See "CAPITAL IMPROVEMENT PROGRAM – Categories of CIP Projects – Wastewater Treatment Projects."

Wastewater Regulation and Permits

NPDES Permit. Blue Plains is authorized to discharge treated effluent to the Potomac River through two outfalls (Outfalls 001 and 002) pursuant to an NPDES permit (the "NPDES Permit") that was reissued to the Authority by the U.S. Environmental Protection Agency. Discharges through Outfall 002, which consist of sanitary flow and some combined sewer flow from the CSO system during and following rainfall events, receive complete treatment. Combined sewer flows that exceed Blue Plains' capacity to provide complete treatment receive partial treatment and are discharged through Outfall 001. The NPDES Permit also authorizes discharges to the Anacostia River, the Potomac River and Rock Creek from the combined sewer system through a total of 53 CSO outfalls and four emergency relief outfalls.

The NPDES Permit requires that discharges from the CSO outfalls not exceed those limits necessary to comply with applicable water quality standards under the Clean Water Act, 33 U.S.C. § 1251 et seq. (the "Clean Water Act"). The Authority was the first agency to meet the voluntary nutrient reduction goal of the 1987 Chesapeake Bay Agreement. See " – *The Chesapeake Bay Agreements*" below. The NPDES Permit also requires the development and implementation of a Nine Minimum Controls program (the "NMC Program"), consisting of proper operation and maintenance of the existing collection and treatment system to minimize untreated discharges from the CSO outfalls, as well as the implementation of a CSO Long-Term Control Plan (the "DC Clean Rivers Project")[*] designed to control CSO discharges to prevent them from causing or contributing to violations of applicable water quality standards.

The DC Clean Rivers Project continues on schedule. The current FY 2017 – FY 2026 CIP includes approximately $1.3 billion for the costs of the DC Clean Rivers Project and combined sewer projects. See "CAPITAL IMPROVEMENT PROGRAM – Categories of CIP Projects – Combined Sewer Overflow Projects." Implementation of the DC Clean Rivers Project is required by a consent decree (the "2005 LTCP Consent Decree") dated March 25, 2005, among the Authority, the District, and the United States. The Authority successfully renegotiated the terms of the 2005 LTCP Consent Decree to allow the Authority to incorporate certain green infrastructure ("GI") in the DC Clean Rivers Project and remain in compliance with the 2005 LTCP Consent Decree. With the modifications to the 2005 LTCP Consent Decree, the DC Clean Rivers Project will create 17 miles of tunnels with a combined storage capacity of 187 million gallons, five new tunnels, a dewatering pumping station, several diversion structures and sewers to collect CSO overflows, and green infrastructure to control selected CSOs. Effective May 1, 2009, the Authority implemented a rate structure that more equitably allocates the costs of the DC Clean Rivers Project to retail customers based on the

[*] Note that in prior Official Statements of the Authority the DC Clean Rivers Project was referred to as the "CSO LTCP".

impervious surface area on customers' properties. See "CUSTOMER BASE, RATES AND CHARGES – Rate-Setting Authority – Components of Retail Rates and Charges – Clean Rivers Impervious Area Charge." On January 14, 2016, the Court entered the First Amendment to the Consent Decree to incorporate DC Water's Total Nitrogen Wet Weather Plan and modify the requirement for the Potomac and Rock Creek Watersheds to include "Green/Gray Infrastructure" in the Potomac Watershed and "Gray Infrastructure" in the Rock Creek Watershed. The 2005 LTCP Consent Decree does not have an expiration date.

Industrial Pretreatment Program. As with most large wastewater systems, the Authority, under the provisions of the Clean Water Act, operates an industrial pretreatment program to control the discharge into the wastewater system of industrial wastewater containing certain toxins or prohibited pollutants. The Authority regulates 50 "significant industrial users" as defined by EPA regulations. Fourteen of these users are located within the District; the remaining users are located in the User Jurisdictions.

Wastewater Consent Decree and Stipulated Agreement and Orders. Upon its creation, the Authority assumed responsibility for compliance with various legal actions taken against the District related to operation of, and discharges from, Blue Plains, specifically including a judicial Consent Decree issued in 1995 (the "1995 Consent Decree") and a subsequent Stipulated Agreement and Order (the "1996 Stipulated Agreement and Order"). The Authority is presently in compliance with all of the requirements under each of the 1995 Consent Decree and the 1996 Stipulated Agreement and Order. The EPA Region III has acknowledged satisfaction of these requirements, although the 1995 Consent Decree remains in effect.

The Chesapeake Bay Agreements. In 1987, the Mayor of the District and the Governors of the Commonwealths of Virginia and Pennsylvania and the State of Maryland entered into the 1987 Chesapeake Bay Agreement, committing each jurisdiction to, and subsequently achieving, a 40% reduction of nutrients such as nitrogen and phosphorus reaching the main stem of the Chesapeake Bay by the year 2000. In 2000, the parties entered into Chesapeake 2000, a comprehensive agreement to guide further efforts to improve the water quality in the Chesapeake Bay through 2010. Unlike many municipal wastewater treatment facilities that discharge into the Chesapeake Bay, the Authority has historically removed phosphorus and nitrogen and is currently meeting the reduction goal. As a supplemental environmental project in settlement of liability for stipulated penalties under the 1995 Consent Decree, the Authority installed a pilot program to test a nitrogen reduction process on one-half of its wastewater, which demonstrated a greater than 40% nitrogen reduction in completely treated effluent. As a result, in 2000, the Authority began operation of full plant scale biological nutrient removal.

The NPDES Permit required the Authority to comply with a new total nitrogen discharge limit by January 1, 2015. The new total nitrogen discharge limit matches the 2010 goal of the Chesapeake 2000 Agreement. The Authority negotiated with EPA Region III to define the scope and schedule of capital improvements necessary to implement this modification and as a result developed the Blue Plains Enhanced Nitrogen Removal Facilities program ("ENRF"), which is designed to improve treatment processes to achieve advanced treatment with nitrification and denitrification facilities. The ENRF was completed and began treating the full Blue Plains plant flow in October, 2014. As a result of the successful completion and placement in service of the ENRF, the Authority satisfied its obligation under the NPDES Permit to reduce nitrogen discharge from Blue Plains by January 1, 2015. See "CAPITAL IMPROVEMENT PROGRAM – Categories of CIP Projects – Wastewater Treatment Projects."

Air Quality Issues. In March 2008, the Authority submitted an application to the District of Columbia Department of Environment for a Title V air quality operating permit pursuant to Chapter 3 of Title 20 of the District of Columbia Municipal Regulations (referred to as a Chapter 3 Operating Permit). As of the date of this Official Statement, the Authority's application was still pending.

Future Matters. In addition to continued compliance with its current permits and regulations described above, in the future, the Authority's wastewater discharges may become subject to additional requirements based on new federal or local requirements. As the EPA promulgates additional regulations, the Authority may be required to modify operations and/or construct facilities beyond those contemplated in the CIP. The Authority will continually monitor such proposed regulations and will advocate, as necessary, on behalf of itself and its rate payers.

A specific example of the foregoing is that, on November 23, 2015, the Authority filed a declaratory action in the U.S. District Court for the District of Columbia against the EPA, seeking to correct alleged technical errors in a recent regulatory action related to the Total Maximum Daily Load (TMDL) for E. coli. Specifically, the Authority is seeking to correct the daily allocations in the TMDL to account for the variability in flows and loads that occur at Blue Plains. The TMDL as approved does not account for this normal day-to-day variability and, if enforced against DC Water, could result in significant additions to the current CIP for Blue Plains. DC Water cannot predict the likelihood of its prevailing in this lawsuit or estimate the total cost of additional required upgrades if it does not prevail. As of December 2016, this dispute is still ongoing.

The Water System

The Washington Aqueduct

Established in 1852, the Washington Aqueduct Division of the U.S. Army Corps of Engineers (the "USACE") provides water to the District and parts of Virginia. The USACE owns and operates the Washington Aqueduct (the "Aqueduct"), including its two water treatment plants, raw water conduits, reservoirs, pumping stations and treated water transmission lines.

The Aqueduct facilities supply treated water to distribution systems of the Authority, Arlington County, Fairfax County Water Authority ("FCWA") (collectively, the "Aqueduct Customers"), the federal government, and other parts of northern Virginia. As of January 3, 2014, FCWA assumed ownership and operation of the water distribution system previously owned and operated by the City of Falls Church. The Authority is responsible for managing the treated Water System that serves the District and several other governmental customers outside the District. The Authority purchases approximately 73% of the finished water produced by the Aqueduct, and Arlington County and the FCWA purchase the remainder. The Authority's share of the water purchased from the Aqueduct in the last ten Fiscal Years is set forth in the following table. For a discussion regarding the reduction in consumption and customer demand, see "CUSTOMER BASE, RATES AND CHARGES – Customer Demand."

Historical Water Demand

Fiscal Year ended September 30	Annual Deliveries to System (MG)	Average Day (MGD)	Max Day (MGD)
2006	41,541	113.8	161.6
2007	41,687	114.2	156.5
2008	40,755	111.7	150.5
2009	39,998	109.6	150.4
2010	38,589	105.7	146.9
2011	37,556	102.9	143.7
2012	36,930	100.9	142.9
2013	34,714	95.1	129.7
2014	34,708	95.1	123.7
2015	38,146	104.5	148.4
2016	36,363	99.4	127.7

Source: Authority's Records.

The Aqueduct draws water from the Potomac River, which is the predominant source of water in the District and the User Jurisdictions. As a result of the Potomac River's importance for maintaining adequate water supply, the Interstate Commission on the Potomac River Basin ("ICPRB") and the Metropolitan Washington Council of Governments ("COG"), have maintained a drought plan since 1978, through which the Potomac River's water supply is supplemented by a 23.5 billion gallon reserve that is stored at three separate off-river reservoirs. Due to the maintenance of this strategic reserve, the ICPRB has been able to effectively manage drought conditions and effectively allocate water resources during drought events.

The federal Safe Drinking Water Act Amendments of 1996 authorized the Secretary of the Army with the consent of the Authority, the City of Falls Church and Arlington County to either establish a non-federal public or private utility to receive title to operate, maintain and manage the Aqueduct or to allow the USACE to remain as owner and operator with the Authority, the City of Falls Church and Arlington County having some input into strategic operations, direction, operations and capital improvement of the Aqueduct. In May 1998, the Authority, the City of Falls Church, Arlington County and the USACE executed a Memorandum of Understanding that the USACE would continue to own and operate the Aqueduct facilities. In December 2013, the Authority, FCWA, Arlington County and the USACE executed a revised Memorandum of Understanding to include the FCWA as the successor in interest to the City of Falls Church.

The Aqueduct has developed a capital improvement program, including improvements to the Dalecarlia and McMillan Water Treatment Plants (each a "WTP"), raw water conduits, pumping stations and reservoirs. The proposed overall budget for the Authority's share of the costs of Aqueduct capital improvements totals approximately $296 million. Over the next ten years, the Authority estimates that its cost of the Washington Aqueduct Project will be

$112.2 million, which is accounted for in the CIP. See "CAPITAL IMPROVEMENT PROGRAM – Categories of CIP Projects – Washington Aqueduct Projects."

Water Sales Agreement

Pursuant to a Water Sales Agreement, dated as of July 31, 1997, by and between the Authority and the USACE (the "Water Sales Agreement"), the USACE sells and furnishes to the Authority all of the finished water that the Authority requires for the operation of the Water System to the extent that the USACE has water and facilities available at the Aqueduct. In accordance with the Water Sales Agreement, the Authority is obligated to make monthly payments into an escrow account to be used by the USACE to cover the Authority's pro rata share, based on its consumption of water, of the costs of the operation and capital improvement of the Aqueduct. The Authority currently contributes approximately 73% of capital and operating expenditures of the Aqueduct. The Water Sales Agreement will remain in effect until September 30, 2023, unless earlier terminated in accordance with its terms. Thereafter, the Water Sales Agreement may continue until terminated by either party giving the other party not less than six months' prior written notice.

Water Supply

The Aqueduct obtains its water supply from two Potomac River intakes at Great Falls and Little Falls. Two other regional water suppliers, FCWA and WSSC, also obtain for processing at their drinking water treatment facilities water from the same area of the Potomac River. Water for the Authority is withdrawn at the Great Falls intake and flows by gravity through two nine-mile conduits and is then pumped to the Dalecarlia Reservoir. Water also may be withdrawn from the Little Falls intake and pumped to the Dalecarlia Reservoir. The Dalecarlia Reservoir acts as a presedimentation basin for water drawn into the Dalecarlia WTP and for water diverted to the Georgetown Reservoir for subsequent treatment at the McMillan WTP.

In 1978, the United States, the District, the State of Maryland, the Commonwealth of Virginia and the FCWA entered into a Low Flow Allocation Agreement to provide a basis for allocation of resources during severe drought conditions and outline procedures to be followed in such circumstances. Water supply reservoirs developed on Little Seneca Creek and the north branch of the Potomac River are designed to augment the natural flow of the Potomac River during low flow conditions and ensure that the Washington metropolitan area will have sufficient water for years to come.

Raw Water Supply Agreements

A series of agreements ensures the continuous adequate supply of water to the Aqueduct's and the Authority's customers. The following are the Authority's raw water supply agreements:

The Savage Reservoir Maintenance and Operation Cost Sharing Agreement was executed in June 1982. Pursuant to the laws of the State of Maryland, the Upper Potomac River District contracted with the District, WSSC, FCWA and Allegheny County, Maryland, to share the operation, maintenance, repair and replacement costs of the Savage Reservoir project located in western Maryland. This agreement provides for releases from Savage Reservoir that mix with, and thereby reduce, the acidic nature of the Jennings Randolph Lake waters. The Savage Reservoir cost-sharing agreement was incorporated by reference into the Water Supply Coordination Agreement described below.

The Little Seneca Lake Cost Sharing Agreement was executed in July 1982 by and among the District, WSSC and FCWA to construct a dam and reservoir to provide an adequate supply of potable water continuing into the current century. This agreement calls for WSSC to finance, construct, operate and maintain Little Seneca Lake. The Authority's share of the project and operating and maintenance costs under the agreement is 40%. The Little Seneca Lake Cost Sharing Agreement was incorporated by reference into the Water Supply Coordination Agreement described below.

The Water Supply Coordination Agreement was executed in July 1982 by and among WSSC, FCWA and the Aqueduct to provide for the coordinated operation of its water supply sources and cooperative regional management of the water supply system and the cost-sharing arrangement for any water supply projects for the Washington metropolitan area, if and when they are needed.

The Novation and Future Water Supply Storage Agreement was executed in July 1982, by and among the United States, the Maryland Potomac Water Authority, WSSC, FCWA and the District, to provide for initial water supply storage in the Jennings Randolph Lake reservoir of approximately two billion gallons. The Novation and Future Water Supply Storage Agreement increases the amount of water supply storage to 13.4 billion gallons, or 32% of the

reservoir's total storage. Of the remaining reservoir storage 40% is designated for water quality and 28% for flood control.

Water Treatment and Storage

The Authority receives finished water from the Dalecarlia and McMillan WTPs. The original Dalecarlia WTP was completed in 1928, and underwent major expansion and improvements in 1964. The McMillan WTP was constructed in 1985 on the site of the original 1905 plant. The design capacity of the Dalecarlia and McMillan WTPs was based on population growth and water use projections that are greater than have been realized to date. The total treatment capacity of the plants of 370 mgd currently exceeds the day-to-day demands and peak requirements of their respective service areas.

Finished water from the Dalecarlia WTP is pumped by the Dalecarlia Pumping Station to the following reservoirs which serve various pressure zones within the District: Brentwood, Foxhall, Van Ness and Fort Reno Reservoir No. 1 and No. 2. Finished water from the McMillan WTP is pumped by the Authority's Bryant Street Pumping station to District customers. Brentwood and Reno No. 1 reservoirs, which can store up to 143.5 million gallons ("mg") of finished water, are the Authority's facilities. The other three reservoirs are owned and operated by the Aqueduct and can store up to 125 mg of finished water. Flexibility in the distribution system is provided so that each of the two water pumping stations can pump to other reservoirs in the distribution system as circumstances dictate.

Sold vs. Pumped Ratio

The Authority regularly monitors the ratio of water billed to customers (sold water) versus water it purchases from the Aqueduct (pumped water). Unlike many other water utilities, the Authority does not adjust this ratio for water used in normal system activities, such as firefighting and system maintenance, including flushing of water mains and hydrant testing.

The sold versus pumped ratio increased from 70% in 2015 to 72% in 2016. Water sales figures are derived from the operating budget of the Authority and may not be consistent with the audited financial statements for each year. The cost of unbilled water is not substantial relative to total annual expenses of the Authority.

Water System Regulation and Permits

Drinking Water Quality

The water operations of the Aqueduct and the Authority are subject to the requirements of the federal Safe Drinking Water Act of 1974, 42 U.S.C. § 300f et. seq., as amended in 1986 and 1996 by Congress. The 1986 amendments to the Safe Drinking Water Act extended the regulatory agenda of the EPA to include, among other things, the development of drinking water standards for 90 contaminants.

The Aqueduct and the Authority are in substantial compliance with all physical, chemical, radiological and bacteriological standards established by the regulations currently in effect under the Safe Drinking Water Act and are studying the potential impacts of proposed rules as well as those still under development by the EPA. As the EPA promulgates additional regulations, there is a potential that the Aqueduct or the Authority will be required to modify operations and/or construct facilities beyond those contemplated by the CIP. The Aqueduct and the Authority management believe, however, that planned capital projects should address all current regulatory requirements.

NPDES Permit and Water Treatment System Sediments

Until April 2003, during high flow periods, the Aqueduct discharged into the Potomac River the river sediments that are removed during the treatment process. The NPDES Permit issued in March 2003 included discharge limitations on sediments. The Aqueduct entered into a Federal Facilities Compliance Agreement ("FFCA") with EPA Region III, which provides a legally mandated plan and an enforceable compliance schedule for achieving the effluent discharge limitations in the NPDES Permit. The Aqueduct evaluated various options for residuals collection, conveyance, processing and disposal and selected a process which dewaters the residuals on site and transports them off-site for disposal. Construction on this project commenced in Fiscal Year 2008, was completed and placed into service on November 22, 2012. The Authority's share of the total cost of this project was $98.6 million. See "CAPITAL IMPROVEMENT PROGRAM – Categories of CIP Projects – Washington Aqueduct Projects."

Lead Levels

Pursuant to the Safe Drinking Water Act, the Lead and Copper Rule promulgated in 1991 by the EPA (the "Lead and Copper Rule") establishes maximum contaminant level goals and action levels for lead and copper. Large water suppliers, such as the Authority, are required to perform periodic monitoring and optimize corrosion control of water so as to minimize leaching of lead and copper contaminants into drinking water. If more than 10% of the tap water samples contain lead above the "action level" of 15 micrograms per liter, the water supplier is required to perform public education and to optimize the corrosion control treatment. If, after optimal corrosion control treatment has been implemented, the lead level in water at the tap continues to exceed the action level, the supplier must annually replace 7% of existing lead service lines that it owns. Alternatively, the water supplier may demonstrate through testing that individual lead service lines that it owns do not have lead levels above the action level (called "sampling in lieu of replacement"). The supplier may perform a combination of these two actions to attain the 7% annual replacement level. In the District, property owners own the lead service lines.

In August 2002, the Authority reported to EPA Region III that results for the sampling period from July 2001 to June 2002 demonstrated lead levels in excess of the threshold for action established by the Lead and Copper Rule. Elevated lead levels were believed to be linked to changes in the Aqueduct's water treatment methods. In November 2000, the Aqueduct had switched from free chlorine to chloramines disinfection to reduce the concentration of disinfection byproducts under the federal Disinfectant Byproducts Rule. Elevated lead levels began appearing within a year of the chlorine/chloramines switchover.

In February 2004, EPA Region III commenced an audit of the Authority's compliance with the Lead and Copper Rule and found noncompliance with regard to sampling, monitoring, public notification and reporting requirements. In an Administrative Order dated June 17, 2004, as supplemented on January 14, 2005, and amended on June 8, 2005 (collectively, the "Administrative Order"), EPA Region III and the Authority agreed to remedies for the issues identified by the compliance audit. The Authority and the Aqueduct undertook appropriate measures to implement corrosion control treatment. Lead levels have consistently been below the action level since 2005 and the Authority is no longer subject to the Administrative Order from EPA Region III.

Pursuant to a Consent Agreement and Final Order ("CAFO") executed on May 2, 2007, the Authority agreed to pay a civil penalty in the amount of $10,000 to EPA Region III for certain alleged reporting violations of the Lead and Copper Rule. The CAFO resolved all of the civil claims in connection with these allegations. EPA Region III and the DOJ also conducted an investigation to determine whether any criminal violations occurred in connection with the Annual Report on Lead Service Replacement Program the Authority filed with EPA Region III in October 2003 and the two different methods the Authority used to test lead levels. In October 2008, EPA Region III and the DOJ informed the Authority that it would take no adverse action against the Authority, thereby resolving all criminal claims against the Authority in connection with this matter.

In addition to the measures undertaken by the Authority pursuant to the Administrative Order, in 2004 the Authority commenced a voluntary lead service replacement program, even though not legally required to do so under the Lead and Copper Rule. In order to reduce adverse impacts and costs to ratepayers, lead service replacement construction work was performed in conjunction with sewer laterals, small valves and water main repair work, and the replacement of broken or defective hydrants. However, this resulted in a large number of partial lead service replacements because many property owners declined to replace the lead service line on their private property. In 2008, in response to research indicating that partial lead service replacements are not effective in reducing lead levels, the Authority discontinued its accelerated replacement program. In September 2009, the Board approved modifications of the Authority's lead service replacement policy to encourage full service line replacements and to manage costs. Under the modified policy, public lead service lines (between the main and the property line) will continue to be replaced with copper pipes in conjunction with: (i) the Authority's water main replacement projects when the Authority must replace the water service pipe to connect to a new water main, and (ii) when the customer replaces the private portion of lead service lines and requests that the Authority replace the public portion of the lead service line.

A study authored by Marc Edwards, PhD, an engineer at the Virginia Polytechnic Institute and State University, and Dana Best, MD, a physician at the Children's National Medical Center, published in the March 1, 2009, issue of *Environmental Science and Technology*, found that the number of toddlers and infants with high blood-lead concentrations more than doubled in certain District neighborhoods that experienced rising lead concentrations in 2001 (the "Edwards Study"). These findings contradicted a report published by the Centers for Disease Control and Prevention (the "CDC") on March 30, 2004 (the "2004 CDC Report"), which found that lead might have contributed a small increase in blood lead levels and claimed that no children with dangerously high blood lead levels were found in the District.

The Edwards Study prompted the U.S. House of Representative's Committee on Science and Technology to open an investigation into the 2004 CDC Report. The Majority Staff of the Subcommittee on Investigations and

Oversight of the Committee on Science and Technology issued a report on May 20, 2010, releasing its findings. The Subcommittee's primary findings include, among others, that (i) the CDC knowingly used flawed data in drafting the 2004 CDC Report, leading to "scientifically indefensible" claims being included in the 2004 CDC Report, and (ii) the CDC failed to publicize later research showing that the harm was more serious than the 2004 CDC Report suggested. In May and June 2010, the CDC issued two notices to the readers of its digest, *Morbidity and Mortality Weekly Report*, admitting that the 2004 CDC Report was misleading and that it "should not be used to make conclusions about the contribution of water lead to blood levels in DC, to predict what might occur in other situations where lead levels in drinking water are high, or to determine safe levels of lead in drinking water." In December 2010, the CDC published a study of the District's water supply conducted from 1998 to 2006, which concluded that children living in the District were exposed to high levels of lead despite an attempt to prevent the water from being contaminated by partial lead service replacements. The 2010 CDC Study confirms information the Authority received in previous years which led the Authority in 2008 to discontinue the partial lead service line replacements. Partial line replacements can cause agitation that temporarily releases lead into the home, which can cause a temporary spike in lead levels. As described above, the Authority modified its lead service line replacement program in 2009 and continues its efforts to address lead in drinking water by: (i) monitoring household lead levels to ensure drinking water is in compliance with the EPA drinking water standards, (ii) conducting research on household plumbing characteristics, (iii) offering free lead testing, (iv) recommending full lead service replacements on public and private property, (v) providing free water filters and lead testing following a full or partial lead service line replacement, (vi) recommending that pregnant women and children under the age six should use filtered tap water for drinking and cooking until all sources of lead impacting water are removed, and (vii) participating in coordinated District interagency meetings and responses to lead in water issues.

The Authority estimates the cost of the lead service line replacement program in the CIP at $18.5 million. Since inception of the line replacement program through September 30, 2016, the Authority expended $151.8 million on the lead service line replacement program. See "CAPITAL IMPROVEMENT PROGRAM – Categories of CIP Projects – Water Projects."

Protection of the Water System and Wastewater System

In 2000, the Authority developed and began implementing an extensive security program in conjunction with the District's Metropolitan Police Department and various federal agencies, including the Federal Bureau of Investigation and the Bureau of Alcohol, Tobacco and Firearms (the "2000 Security Program"). After the events of September 11, 2001, and in response to certain provisions of the Bioterrorism Act of 2002 and amendments to the Safe Drinking Water Act pertaining to security for community water systems, the Authority developed and implemented additional security measures beyond the 2000 Security Program.

The Aqueduct and each of the Aqueduct Customers has independent obligations under law to protect the community water systems they operate. Both the Authority and the Aqueduct completed studies of Water System vulnerability using the Sandia National Laboratories RAM-W methodology. The vulnerability reports were submitted to EPA Region III in March 2003 to fulfill the Bioterrorism Act requirement for a vulnerability assessment.

Blue Plains and the primary water and sewer distribution facilities it operates are fenced, gated and manned 24 hours a day by security officers. Major security technology video surveillance, intrusion alarm monitoring, and access control management system upgrades are utilized, with significant security technology upgrades in progress at several facilities and properties. The secondary distribution facilities are monitored by vehicular security patrols as well as some security technologies. The Authority also employs cameras and other monitoring equipment at these facilities.

Access to facilities operated by the Aqueduct is also controlled and the Aqueduct has increased security at both staffed and remotely operated facilities. In conformance with the requirements of the Safe Drinking Water Act, the Aqueduct contracted with the Interstate Commission on the Potomac River Basin to develop a source water assessment and monitoring program. The program was implemented in 2002.

In addition, as to cybersecurity, in accordance with Executive Order 13636 "Improving Critical Infrastructure CyberSecurity," the Authority has developed a cybersecurity framework that enables it, its partners and customers to meet all of their business/mission objectives by implementing information systems with consideration to IT-related risk. This goal is met through the following security objectives: confidentiality – data stored on an information systems is not disclosed to unauthorized individuals; integrity – there has not been an unauthorized alteration of the data while in storage or in transit, and the information system is free from unauthorized changes; availability – the system functions as designed and service is available to authorized users upon demand; accountability – actions of an entity may be traced uniquely to that entity; assurance – confidence that the security measures protect the information system and the information it processes. The Authority has purchased Cyber Liability and Breach Notification insurance coverage for third party liability and privacy notification expenses resulting from data breaches. The total aggregate coverage is $5 million.

While the Aqueduct and the Authority have taken these actions to help ensure the security of the System, the Authority does not represent that any existing or additional safety and security measures will be adequate in the event that terrorist activities are directed against the System.

CAPITAL IMPROVEMENT PROGRAM

General

The Authority utilizes an annually adopted ten-year Capital Improvement Program to plan and manage the capital investments necessary to fulfill its service missions, comply with regulatory requirements and preserve and upgrade its Water and Wastewater Systems. The Authority updates the CIP annually in conjunction with its budget process, based on detailed project review by engineering staff, external engineering consultants retained by the Authority and senior management.

The Authority evaluates and prioritizes capital projects based on specific criteria. These criteria are fundamental in developing a CIP based on demonstrated needs and are set forth in the following table and described below.

Capital Improvement Program Criteria
($ in thousands)

Fiscal Year	Mandates(a)	Health and Safety(b)	Board Policy(c)	Potential Failure(d)	High Profile Good Neighbor(e)	Good Engineering / High Payback(f)	Good Engineering / Lower Payback(g)	Total
FY 2017	$243,565	$ 7,195	$ 28,221	$ 28,664	$ 5,413	$ 133,394	$ 60,547	$ 506,998
FY 2018	174,430	8,742	28,375	30,790	6,683	84,523	53,763	387,306
FY 2019	124,062	8,609	35,933	52,702	4,420	99,932	69,186	394,843
FY 2020	153,863	15,374	26,815	61,809	88	126,079	43,179	427,208
FY 2021	178,331	7,148	24,580	21,522	43	105,695	41,223	378,542
FY 2022	118,340	1,158	29,807	29,680	154	102,558	54,027	335,725
FY 2023	100,877	3,109	33,884	40,478	323	93,125	49,571	321,367
FY 2024	75,001	301	36,540	32,851	2,212	98,581	69,981	315,467
FY 2025	68,394	363	39,864	30,639	391	101,125	61,811	302,588
FY 2026	147,050	291	34,911	33,040	-	99,391	66,895	381,579
Total	$1,383,913	$52,291	$318,930	$362,176	$19,726	$1,044,404	$570,183	$3,751,623
% of Total	36.9%	1.4%	8.5%	9.7%	0.5%	27.8%	15.2%	100%

[a] Agreements, regulatory standards, court orders, issues and permits requirements, stipulated agreements, etc.
[b] Projects required to address public safety.
[c] Projects undertaken as a result of the Board's commitment to outside agencies.
[d] Projects related to facilities in danger of failing or critical to meeting permit requirements.
[e] Projects that address public concerns.
[f] Projects that are necessary to fulfill mission and upgrade facilities.
[g] Lower priority projects.

Source: Authority records.

Since its creation in 1996 through September 30, 2016, the Authority has expended approximately $5.0 billion, on a cash disbursement basis, for capital improvement projects, including $2.4 billion for projects at Blue Plains, $767 million for Water System infrastructure projects, $1.5 billion for the DC Clean Rivers Project and combined sewer projects, $335 million for sanitary sewer projects, $5.0 million for non-process facilities, and $64 million for meter replacement/AMR projects.

The Authority estimates the cost of the Fiscal Year 2017 - 2026 CIP at $3.8 billion on a cash disbursement basis, including approximately $844.7 million for wastewater treatment projects at Blue Plains, $1.3 billion for the DC Clean Rivers Project and combined sewer projects, $639.4 million for Water System infrastructure projects, $513.5 million for sanitary sewer projects, $23.1 million for stormwater projects, $85.5 million for non-process facilities, $154.4 million for capital equipment, $112.2 million for Washington Aqueduct Division projects and $38.7 million for meter replacement/AMR projects. The Board approved the CIP on December 1, 2016.

An overview of the CIP project categories and the sources of funding is set forth in the following table.

Fiscal Year 2017 - 2026 Capital Improvement Program
Sources and Uses of Capital Funds
Fiscal Years ended/ending September 30
($ in thousands)[1]

	Actual(s)[2] 2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	Total
BEGINNING BALANCE	$ 68,443,585	$106,056,964	$133,719,649	$101,365,313	$100,899,029	$101,510,325	$102,108,062	$101,434,755	$113,038,004	$143,505,715	$191,889,857	$ 106,056,964
SOURCES OF FUNDS:												
Proceeds from Rev. Bonds	404,453,241	300,000,000	154,938,000	179,847,000	201,383,000	168,636,000	114,772,000	100,000,000	100,000,000	100,000,000	100,000,000	1,519,576,000
Proceeds from CP/EMCP/Treasury Notes/Digesters Financing Option	50,000,000	-	-	-	-	-	-	-	-	-	-	-
Proceeds from CP/EMCP/Treasury Notes Pay-off	(112,000,000)	-	-	-	-	-	-	-	-	-	-	-
System Availability Fee (SAF)	-	-	1,925,000	3,850,000	5,775,000	7,700,000	7,700,000	7,700,000	7,700,000	7,700,000	7,700,000	57,750,000
Transfer from Operations (Pay-Go)	71,759,031	100,632,950	93,588,904	105,166,148	116,314,840	124,914,120	132,878,376	140,634,582	149,828,044	159,843,475	171,420,687	1,295,222,125
EPA Grants /FEMA Grants/DC Reimbursement	25,305,550	25,013,236	23,092,760	25,438,333	25,242,083	20,882,667	20,882,667	20,882,667	20,882,667	20,882,667	20,882,667	224,082,414
CSO Grants	14,023,419	-	-	-	-	-	-	-	-	-	-	-
Wholesale Customer Capital Contributions	140,156,077	107,732,000	80,043,000	79,176,000	77,594,000	54,899,000	57,384,000	62,504,000	66,275,000	61,296,000	66,243,000	713,146,000
Interest Income	925,127	1,282,500	1,365,000	899,235	1,510,373	2,107,950	1,434,650	1,250,000	1,250,000	1,250,000	1,250,000	13,599,708
Total Sources	$594,622,445	$534,660,686	$354,952,664	$394,376,716	$427,819,296	$379,139,737	$335,051,693	$332,971,249	$345,935,711	$350,972,142	$367,496,354	$3,823,376,247
USES OF FUNDS:												
Water Projects	$ 78,335,000	$ 58,819,000	$ 51,738,000	$ 64,149,000	$ 57,102,000	$ 48,534,000	$ 54,658,000	$ 65,512,000	$ 83,744,000	$ 78,217,000	$ 76,915,000	$ 639,388,000
Blue Plains Projects	163,369,000	123,789,000	98,423,000	91,341,000	95,985,000	62,266,000	68,605,000	71,882,000	70,049,000	79,836,000	82,530,000	844,706,000
Sanitary Sewer Projects	47,380,000	38,302,000	39,294,000	52,999,000	57,741,000	54,704,000	59,479,000	54,447,000	53,235,000	52,753,000	50,563,000	513,517,000
Combined Sewer	13,790,000	13,087,000	13,762,000	12,182,000	18,277,000	11,109,000	10,108,000	12,513,000	13,281,000	7,039,000	6,468,000	117,826,000
Combined Sewer LTCP (Clean River Project)	221,532,000	171,300,000	116,713,000	115,974,000	148,210,000	175,492,000	115,822,000	95,920,000	73,621,000	63,527,000	145,743,000	1,222,322,000
Stormwater Projects	2,185,000	1,706,000	2,682,000	4,053,000	1,196,000	1,946,000	5,736,000	1,233,000	1,789,000	1,649,000	1,064,000	23,054,000
Non Process Facilities	5,200,000	34,150,000	20,030,000	17,555,000	10,306,000	1,800,000	1,605,000	40,000	-	-	-	85,486,000
Washington Aqueduct Division Projects	7,153,066	10,896,000	11,768,000	10,547,000	11,840,000	13,911,000	10,932,000	11,041,000	10,969,000	10,787,000	9,516,000	112,207,000
Capital Equipment	13,139,000	28,151,000	23,586,000	23,425,000	26,551,000	8,780,000	8,780,000	8,780,000	8,780,000	8,780,000	8,780,000	154,393,000
Meter Replacement / AMR / CIS	4,926,000	26,798,000	9,311,000	2,618,000	-	-	-	-	-	-	-	38,727,000
Total Uses	**$557,009,066**	**$506,998,000**	**$387,307,000**	**$394,843,000**	**$427,208,000**	**$378,542,000**	**$335,725,000**	**$321,368,000**	**$315,468,000**	**$302,588,000**	**$381,579,000**	**$3,751,626,000**
SOURCES MINUS USES	**$ 37,613,379**	**$ 27,662,686**	**$(32,354,336)**	**$ (466,284)**	**$ 611,296**	**$ 597,737**	**$ (673,307)**	**$ 11,603,249**	**$ 30,467,711**	**$ 48,384,142**	**$(14,082,646)**	**$ 71,750,247**
ENDING BALANCE	**$106,056,964**	**$133,719,649**	**$101,365,313**	**$100,899,029**	**$101,510,325**	**$102,108,062**	**$101,434,755**	**$113,038,004**	**$143,505,715**	**$191,889,857**	**$177,807,211**	**$ 177,807,211**

[1] Totals may not add due to rounding
[2] Preliminary results, unaudited

Categories of CIP Projects

Wastewater Treatment Projects. Capital projects in the wastewater treatment service area are required to rehabilitate, upgrade or provide new facilities at Blue Plains to ensure that it can reliably meet its NPDES Permit requirements and produce a consistent, high-quality dewatered solids product for land application. The Authority has undertaken several major capital improvement projects to rehabilitate, replace or add new processes and capacity at Blue Plains in recent years, including: (i) a new facility was placed in service in 2015 to comply with NPDES requirements to reduce nitrogen in the plant effluent; (ii) facilities to digest solids after thermal hydrolysis treatment, reducing the volume by 50% (reducing hauling and recycling costs) and resulting in production of Class A biosolids, which can be applied to land without any pathogen-related restrictions at the site and also can be bagged and marketed to the public for application to lawns and gardens, thereby increasing beneficial reuse options. The recent upgrades relating to the digestion process include a combined heat and power facility to utilize digester gas produced by the process to generate electricity (up to one-third of plant needs) along with steam for the thermal hydrolysis and digestion process, and a belt filter press facility to dewater the Class A product; (iii) a facility upgrade to improve secondary treatment performance for more efficient overall nitrogen removal capability; (iv) construction of a new facility to treat high nitrogen load dewatering recycles; (v) initiating the design phase for projects to upgrade a raw wastewater pump station, the filtration and disinfection facility and the gravity thickener complex; and (vi) a major design-build project continues to build, by 2018, a tunnel dewatering pump station and enhanced clarification facilities to pump out and treat flows captured through the Authority's ongoing combined sewer overflow projects.

The projected ten-year disbursements for wastewater treatment projects are approximately $845 million, which includes approximately $655 million in disbursements for liquid, plantwide and solids processing projects such as major improvements to filtration, and pumping facilities and $189 million for the ENRF program projects such as the Tunnel Dewatering Pump Station and Enhanced Clarification Facility.

Sanitary Sewer Projects. The CIP includes approximately $514 million in projected disbursements for sanitary sewer projects including the rehabilitation of six sanitary sewer pumping stations – Potomac, Main & O, Swirl Facility, East Side, and 3rd & Constitution Avenue, as well as sewer condition assessments that cover 60 miles of the system per year through year 2026. Rehabilitation of the District's major assets including the Potomac Interceptor, B Street/New Jersey Avenue Trunk Sewer, Northeast Boundary Trunk Sewer, Anacostia Force Main and portions of the other 35 major sewers are also included. Creekbed sewers and sewers under buildings will largely be rehabilitated as part of these projects. The program to rehabilitate other small and large diameter sewers including replacement and lining of laterals, and replacement of manholes, is an ongoing project of the Authority.

In 2016, the Authority completed a Sewer System Asset Management Plan. This Plan includes a risk tool that calculates the consequence of failure and likelihood of failure for each sewer in the system. This information can then be used to prioritize sewers for inspection/condition assessment and/or rehabilitation. The Plan also includes a high level risk assessment for all pumping stations in the system which can also be used to help prioritize proposed CIP projects for these facilities. The Sewer System Facilities Plan represents the culmination of an initiative involving sewer inspection and condition assessment, development of a sewer GIS database, hydraulic monitoring and modeling to assess system capacity and the development of prioritized activities for system improvement.

Combined Sewer Overflow Projects. The CIP includes $1.3 billion for the DC Clean Rivers Project and combined sewer projects. The DC Clean Rivers Project is designed to control combined sewer overflow discharges to prevent them from causing or contributing to violations of applicable water quality standards. See "THE SYSTEM – Wastewater Regulation and Permits – NPDES Permit." Through the DC Clean Rivers Project, the Authority will construct combined sewage storage/conveyance tunnels that are designed to intercept and store water until Blue Plains can receive and treat the combined sewage. The DC Clean Rivers Project includes a variety of capital improvement projects throughout the System including three large tunnel systems which will accommodate the storage of combined sewer overflows ("CSOs") from storm events until they can be conveyed to Blue Plains for treatment. Approximately one-third of the System is served by a combined sewer system, in which both sanitary sewage and storm water flow through the same pipes. When the collection system reaches capacity, typically during periods of heavy rainfall, the system is designed to overflow the excess diluted sewage or CSOs.

The DC Clean Rivers Project also includes the Authority's Green Infrastructure initiative. See "THE SYSTEM – Wastewater Regulation and Permits." The GI initiative is cost-neutral (as compared to the Authority's tunnel options) and will reduce the size of the tunnels required to serve the Rock Creek and Potomac River by implementing new environmental technologies on a significant scale. GI technologies capture, infiltrate, treat and reuse polluted storm water runoff before it enters the sewer system. Examples of GI technologies include rain gardens, porous pavements, bio-swells, green roofs, infiltration planters, trees and tree boxes, and rainwater harvesting for non-potable uses such as landscape irrigation. See "DEBT SERVICE REQUIREMENTS – Outstanding Subordinate Debt – Environmental Impact Bonds."

When completed, the DC Clean Rivers Project will reduce the combined sewer overflows by at least 96% (exceeding the EPA standard of 85%), reducing pollution to the Potomac, Anacostia and Rock Creek waterways, improving water quality, and reducing locally generated debris from the combined sewer system and local waterways. The Authority expects to implement the DC Clean Rivers Project, which commenced in March 2005, over a 25-year period[*], at a total estimated cost (including funds spent prior to Fiscal Year 2016) of $2.8 billion.

Stormwater Projects. The projected disbursements for the stormwater service area in the CIP are approximately $23 million and include extensions to the system and relief of certain sewers as well as rehabilitation or replacement of deteriorated storm sewers. Also included in the budget is the rehabilitation of the stormwater pumping stations (16) operated and maintained by the District.

Non-Process Facilities Projects. As of FY 2016, non-process facilities projects were reallocated from Wastewater Treatment, Combined Sewer Overflow, Sewer, and Water to the new service area. This area accommodates projects approved under the non-process facilities master plan and related improvements necessary to support Authority critical operations. The CIP includes approximately $85 million in projected disbursements for this new service area.

Washington Aqueduct Projects. The Washington Aqueduct provides wholesale water treatment services to the Authority and other Aqueduct Customers. See "THE SYSTEM – The Water System – The Washington Aqueduct." Under federal legislation enacted and a memorandum of understanding executed in 1997, the Aqueduct Customers have a role in the oversight of the Aqueduct's operations and its capital improvement program. The Aqueduct successfully designed, constructed and implemented a new orthophosphate corrosion control system at its water treatment plants in 2005 that meets the optimal corrosion control requirements of the Lead and Copper Rule. As a result, periodic sampling by the Authority shows that lead levels are below the action level, which supported the decision of the Authority to significantly modify its lead pipe replacement program. The CIP includes approximately $112 million for Aqueduct projects. See "THE SYSTEM – The Water System – Water System Regulation and Permits – NPDES Permit and Water Treatment System Sediments."

Water System Projects. Projects in the water service area are designed to maintain an adequate and reliable potable water supply to customers and to provide required fire protection for the District. Categories of projects include the rehabilitation and replacement of water mains, water service connections, storage facilities, and pumping stations. The Authority has completed several critical improvements to the Water System, including cross connection removal, and major pumping station and storage facility rehabilitation.

The CIP includes approximately $639 million in projected disbursements for Water System projects, including new system storage facilities, large diameter water main rehabilitation, 1% renewal of small diameter water mains (including ancillary items, like fire hydrants, valves and service connections) DDOT-related water main projects, and continued funding for the water lead program. See "THE SYSTEM – The Water System – Water System Regulation and Permits – Lead Levels."

Capital Equipment Projects. The CIP includes approximately $160 million for major information technology projects, vehicle fleet upgrades and maintenance of large equipment projects at Blue Plains and the major water and sewer pumping stations.

Meter Replacement Projects. The CIP includes approximately $39 million for ongoing meter replacements and continued Automated Meter Reading (AMR) system improvements and upgrades to the AMR equipment. This planned upgrade is part of the Authority's preventative maintenance program for the advanced meter infrastructure, which collects data from approximately 120,000 meter readings per day and is an essential asset to the Authority's billing process. The upgrades allow the Authority to move to the current version of AMI software and replace aging meters and meter data communication equipment.

CIP Financing Sources

The Authority expects to finance the CIP from the sources summarized below.

Revenue Bonds/Commercial Paper Notes. The Authority expects to finance approximately $1.52 billion, or 39.7% of the CIP financing sources, with new long-term debt. The Authority has used, and expects to use in the future, its Commercial Paper Notes and EMCP Notes to fund capital needs on an interim basis, followed by issuance of long-term revenue bonds (or other forms of indebtedness, as appropriate) to retire outstanding Commercial Paper Notes

[*] The 25-year completion period is the result of successful negotiations between the Authority and EPA regarding the date by which the Authority must comply with the 2005 LTCP Consent Decree. Despite this difference in the term of the DC Clean Rivers Project, the cost estimates for the DC Clean Rivers Project in the CIP remain accurate.

and EMCP Notes and provide permanent financing for CIP costs. As approved by the Board, the total amount of Commercial Paper Notes outstanding at any time cannot exceed $150 million. As of the date of this Official Statement, $29.2 million of the Series C CP Notes were outstanding. In addition, the Authority anticipates using proceeds from the EMCP Notes as an additional CIP financing source. As approved by the Board, the total amount of Series A EMCP Notes outstanding at any one time cannot exceed $100 million. As of the date of this Official Statement, $50 million of the Series A EMCP Notes were outstanding.

Wholesale Customer Contributions. Under the terms of the 2012 IMA, the Authority's wholesale customers share the cost of operating, maintaining and making capital improvements at Blue Plains. A separate agreement with the Loudoun County Sanitation Authority ("LCSA") allows the Authority to recoup capital and operating costs from the LCSA on the same basis as provided for in the 2012 IMA. Contribution levels are governed by the agreements that provide for the pro-rata reimbursement for capital improvements based on the capacity allocated to each wholesale customer. The Authority expects to finance approximately $713 million, or 18.7% of the CIP financing sources, with capital funding from wholesale customers. As of the date of this Official Statement, all wholesale customers were current on their capital contributions payments.

Federal and Other Grants. The Authority receives annual grants under the Clean Water Act and Safe Drinking Water Act for a variety of projects at Blue Plains and for the Water System. In addition, the Authority has received a special Congressional appropriation for improvements to the combined sewer system. The Authority expects to be reimbursed by the District for certain capital investments. The Authority expects to finance approximately $224 million, or 5.9% of the CIP financing sources, with federal grants. Pursuant to the Safe Drinking Water Act and the Clean Water Act, the federal government makes annual appropriations for projects to improve drinking water supplies and wastewater treatment. Unlike most public water or wastewater utilities, the Authority receives appropriations in the form of grants and not as loans pursuant to a State Revolving Fund program. Under the terms of these grants, payments to the Authority are made on a reimbursable basis, with unclaimed appropriations remaining available to be obligated in subsequent years.

Under the Wet Weather Water Quality Act of 2000 that codified the EPA's 1994 National CSO Policy, the U.S. Congress authorized grant funding for the DC Clean Rivers Project. These appropriations require a 50% match from the Authority. As of September 30, 2016, the Authority had received $14 million in grant funding for the DC Clean Rivers Project.

Pay-As-You-Go Financing. Revenues in excess of those required to meet operating and maintenance expenses, to make debt service payments and to fund reserves can be used, at the discretion of the Authority, to fund a portion of the CIP. The projected financial operations of the Authority assume that such amounts are used as a source of funds for the CIP. In addition, the Authority established a separate line item in its operating budget beginning in Fiscal Year 2015 to provide funds for additional cash-financed capital construction, the defeasance of debt, or other uses at the discretion of the Authority. The projected financial operations of the Authority assume that the amounts in this line item are also used a source of funds for the CIP. The Authority expects to finance approximately $1.3 billion, or 33.9%, of the CIP financing sources with pay-as-you-go funds.

The Board has also adopted a policy that authorizes any funds in excess of the operations and maintenance reserve and any other significant one-time cash infusions to be used to finance the CIP or to pay off higher cost debt. The projected financial operations of the Authority assume that no funds are available from these potential sources.

Interest Income on Bond Proceeds. Subject to Federal tax law requirements relating to use of the proceeds of tax-exempt bonds, the Authority uses interest earned on the proceeds of its bonds as a source of funds for the CIP. This interest income is treated as non-operating revenue of the Authority that is available to pay debt service, if needed. The use of this income for capital funding purposes represents another source of pay-as-you-go capital. The Authority estimates that $13.6 million in interest income, or 0.4%, will be available to finance the CIP.

System Availability Fee. On June 17, 2016, DC Water's Board has approved a new System Availability Fee ("SAF") to be effective from January 1, 2018. The Authority has implemented a new SAF, intended to be a one-time fee, assessed to a property owner of any premises, building or structure to recover the cost of system capacity servicing all metered water service and sanitary sewer connections renovation or redevelopment projects that require an upsized meter size connection to the water and sewer system in the District. For a renovation or redevelopment project on a property that already has DC Water meters and accounts, credits will be applied for the older meters being removed from the system. Such fees are common in the industry and among utilities in the region. The Fee is based on meter size. The Authority currently estimates to finance about $57.8 million, or 1.5% of the CIP financing sources, from the SAF.

Cost Estimates

Although actual bid prices for recent construction projects, on average, have been slightly below the engineering cost estimates for such projects, the costs shown in the CIP reflect the Authority's practice of increasing construction cost estimates by 3% annually to the midpoint of construction. There are no assurances that the actual rate of inflation in construction costs will not increase significantly above the assumed rate of inflation or that such increases will not have an adverse impact on the financial operations of the Authority.

An additional consideration regarding the construction cost estimates is the value of change orders relative to the total cost of construction work performed. The cost of construction-related change orders executed by the Authority for contracts undertaken during the five-year period from Fiscal Year 2012 through Fiscal Year 2016 was $109,134,009, or 6.86% of the total original value of the contracts of $1,590,371,636 for this period. The relatively low value of change orders compared to the total construction costs incurred is an indication that project designs are thorough and that projects are being effectively managed during construction.

CUSTOMER BASE, RATES AND CHARGES

Customer Categories and Accounts

As of September 30, 2016, the System had 127,657 active, metered water and wastewater accounts (39 of which are accounts of the Authority and 2 of which are accounts of the Aqueduct). Except for wholesale accounts, the majority of accounts receive both water and wastewater service. The Authority's customer accounts are divided into four categories: residential, commercial, governmental and wholesale. The number of accounts in each of the categories is as follows:

Customer Category	Number of Accounts	% of Total Operating Revenue
Residential, Multifamily, Commercial	124,989	64%
Governmental (Federal, District and D.C. Housing Authority) [1]	2,661	11
Wholesale	7	15
Total	127,657	90%[2]

[1] The D.C. Housing Authority is the only District agency that is billed separately. The remaining District agencies are billed as part of a composite bill for the government.

[2] The remaining 10% of the Authority's operating revenue comes from capital contributions, interest income, and other revenue.

Source: Authority records and the Authority's CAFR.

Customer Base

The Authority's customer and revenue base is diverse, consisting of a wide variety of residential, commercial and governmental customers, as well as wholesale wastewater customers. For the three year period from Fiscal Year 2014 through Fiscal Year 2016, the residential, commercial and multifamily customer revenue represented about 64% of total operating revenue.

This group includes a variety of commercial uses, including nationally recognized universities and regional hospitals, commercial office space with tenants that are national associations, lobbying firms, major law firms and large hotels. The following table reflects the Authority's ten largest commercial customer accounts in Fiscal Year 2016, which in aggregate represented 2.9% of total operating revenues.

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Ten Largest Commercial Customers (2016)

Customer	Revenue	% of Total Operating Revenues
Howard University	$3,823,023	0.6%
William C. Smith & Co.	2,455,990	0.4
George Washington University	2,338,974	0.4
Washington Hospital Center	1,991,344	0.3
Horning Brothers	1,335,613	0.2
Georgetown University	1,324,563	0.2
Amtrak	1,019,570	0.2
Metropolitan Washington Airport	1,008,250	0.2
American University	1,001,742	0.2
Georgetown University Hospital	920,681	0.2
Total	$17,219,750	2.9%

Source: Authority records.

The following table reflects the Authority's ten largest government customers in Fiscal Year 2016, which in aggregate represented 6.32% of total operating revenues.

Ten Largest Government Customers (2016)

Customer	Revenue	% of Total Operating Revenues
U.S. General Services Administration	$11,670,623	2.0%
D.C. Housing Authority	6,999,037	1.2
National Park Service	3,656,234	0.6
U.S. Congress	3,223,507	0.5
Smithsonian Institute	2,769,661	0.5
Joint Base Anacostia – Bolling	2,602,439	0.4
D.C. Board of Education	2,228,498	0.4
Federal Naval Research Lab	1,975,742	0.3
D.C. Recreation and Parks	1,695,630	0.3
U.S. Veterans Administration	809,846	0.1
Total	$37,630,217	6.3%

Source: Authority records.

Customer Demand

The following table shows the average percentage of annual water consumption by customer category for the period from Fiscal Year 2012 through Fiscal Year 2016. The results illustrate the diversification of the Authority's customer base.

Average Annual Consumption By Customer Category
Fiscal Years 2012 – 2016
(millions of Ccf)

Customer	Average Annual Consumption	% of Total Consumption
Residential Single-Family	7.56	21.4%
Residential Multi-Family	7.76	22.0
Commercial	13.20	37.3
Federal Government	4.99	14.1
D. C. Municipal Government	1.07	3.0
D. C. Housing Authority	0.77	2.2
Total Consumption	35.35	100.0%

Source: Authority Records

The following table shows projected annual consumption for the Authority's customer categories for Fiscal Years 2017 through 2021. The Authority's use of the AMR program, including the replacement and repair of meters, significantly reduces estimated meter readings and improves the reporting of actual consumption.

Projected Annual Consumption by Major Customer Category
Fiscal Years ending September 30
(Millions of Ccf)

	Projected				
	2017	**2018**	**2019**	**2020**	**2021**
Residential Single-Family	7.19	7.12	7.05	6.98	6.91
Commercial	12.32	12.19	12.07	11.95	11.83
Residential Multi-Family	8.30	8.22	8.13	8.05	7.97
D. C. Municipal Government	1.10	1.09	1.08	1.07	1.06
Federal Government	4.45	4.40	4.36	4.32	4.27
D.C. Housing Authority	0.75	0.75	0.74	0.73	0.72
Total Consumption	34.11	33.77	33.43	33.09	32.76

[1] Total water consumption in FY2018 - 2021 reflects the assumption of a 1% annual decline.
[2] Totals may not add due to rounding.
[3] Commercial - reflects consumption at commercial facilities and selected facilities at Howard University and Soldiers' Home.
[4] Municipal - reflects consumption at District of Columbia Government facilities and DC Water facilities.

Some fluctuation in consumption can occur in a given year due to variations in weather conditions and other factors such as billing adjustments. In Fiscal Year 2012, consumption declined as compared to Fiscal Year 2011 at a rate of 3.4%. Consumption declined in Fiscal Year 2013 and Fiscal Year 2014 by 5.7% and 3.6%, respectively. About 70% of the total decline in Fiscal Years 2013 and 2014 was attributable to reductions in use by the federal government due to federal initiatives to reduce water use, billing adjustments and other factors. In Fiscal Year 2015, total consumption increased by 5.0% with nearly all of that increase attributable to the federal government. In Fiscal Year 2016, total consumption decreased by 1.7%. See "– Rate-Setting Authority" for additional information.

The Authority anticipates that consumption will total 34.11 million Ccf in Fiscal Year 2017, representing a decrease of 2.4% from the prior year. The Authority assumes that long-term total water consumption will decline at the rate of 1% per year beginning in Fiscal Year 2018, recognizing that weather conditions and other factors may affect water demand in a given year. The expectation that future sales will decline is consistent with recent trends in the Washington, D.C. region as well as the projected sales in other large cities in the northeast United States.

There is some risk that consumption could be lower than anticipated during the Projection Period. The risk is mitigated to some extent in that revenues from the federal government are determined in advance and then subject to a true-up after the year is completed. For example, the significant reduction in actual federal consumption in Fiscal Year 2014 (compared to the budgeted consumption that was billed for Fiscal Year 2014) is reflected in the reconciliation credit to the federal government shown for Fiscal Year 2017. In addition, the consumption risk is mitigated to a significant extent by retail revenue that is not consumption-related: customer receipts from the meter charge, the Water System Replacement Fee and the Clean Rivers Impervious Areas Charge ("CRIAC"), are unaffected by changes in the

quantity of customer water use. Consumption-based retail water and sewer revenues within the District are estimated to comprise about 53.1% of total revenues (excluding PILOT/ROW fees) in Fiscal Years 2017 through 2021. The Authority evaluates its water consumption projections annually in connection with its budget preparations and more frequently if the need arises.

Rate-Setting Authority

Retail Rates, Fees and Charges

The Board establishes the Authority's rates, fees and charges. Only the six Board members representing the District vote on setting retail water and wastewater rates and fees for the retail customers who are customers within the District. No approvals from federal or local officials are required in order to set rates.

The Authority adopted several changes to its existing retail rate structure, which went into effect in Fiscal Year 2016. These changes were designed to better align the Authority's revenues and expenditures by establishing customer class-based volumetric water rates based upon peaking factors, to create a more progressive rate structure for its residential customers by establishing lifeline water rates that discount core consumption and to fund the Authority's water main replacement program by establishing the monthly, fixed Water System Replacement Fee (the "Water System Replacement Fee"). The Board approved the new retail rate structure and Fiscal Year 2016 rates, fees and charges on February 5, 2015. For a chart incorporating the changes to the Authority's rates, fees and charges, see "CUSTOMER BASE, RATES AND CHARGES – Components of Retail Rates and Charges."

Historically, the Authority adopted its budgets and its retail rates and charges on an annual basis. The budget process is expected to remain the same during the Projection Period: budgeted revenues, operating expenses and CIP expenditures will be adopted annually by the Board. Beginning with Fiscal Year 2017, the Authority will set retail rates and charges for a two-year period – i.e., in calendar year 2016 the Board adopted (i) rates and charges effective October 1, 2016 (Fiscal Year 2017) and (ii) rates and charges to be effective October 1, 2017 (Fiscal Year 2018). Similarly, in calendar year 2018 the Board is expected to adopt (i) rates and charges to be effective October 1, 2018 (Fiscal Year 2019) and (ii) rates and charges to be effective October 1, 2019 (Fiscal Year 2020). The benefits of the multi-year rate include: greater revenue certainty, increased budget discipline, and better alignment between revenues and expenditures. The retail rates and charges are expected to change in each year. See " – Historical and Projected Water and Wastewater Retail Rates." As is currently the case, if in any year the Authority determines that revenues are materially less than expectations and/or debt service or operating expenses are materially higher than budgeted, the Authority has the ability to adjust its retail rates and charges during the fiscal year. Historically, there has been no need for the Authority to make such changes during a fiscal year.

The Authority receives annual grant funding under the Clean Water Act which requires the maintenance of wastewater charges sufficient to defray costs of operation, maintenance and replacement and surcharges for industrial discharges into the System's sewers levied in conformity with formulas set forth in the Clean Water Act and regulations thereunder. See "CAPITAL IMPROVEMENT PROGRAM - CIP Financing Sources."

Federal Government Charges

The Authority's forecasted water and wastewater charges for the federal government are prepared and included in the federal budget 18 months in advance of the commencement of the Authority's Fiscal Year based on the prevailing consumption estimates, projected retail rate increases as included in the current ten-year financial plan and adjustments for prior year true-ups. The federal government budgets for and pays its bills quarterly directly from the U.S. Treasury based on the estimates provided by the Authority in advance. Under the current billing process, any differences between the projected and the actual charges are netted against a future year's billing. Federal government revenues are expected to constitute approximately 6.5% of the Authority's total annual revenues during Fiscal Year 2017 through Fiscal Year 2021 (excluding PILOT/ROW fees).

Water consumption billed to Federal accounts in recent years has shown significant year to year fluctuation and an overall reduction compared to prior years. The Authority has adjusted its future forecasts for federal revenue primarily due to four factors:

i. An executive order signed by the President created a requirement for federal agencies to reduce potable water and landscaping use water by 2% annually through conservation measures until 2020; Authority conversations and investigations with federal property managers show that significant progress is being made toward this goal through plumbing fixture replacement.

ii. In the District, the Telework Enhancement Act (the "Telework Act") has resulted in a significant shift to employees working from home, reducing water used at the workplace, and, pursuant to the Telework Act, GSA has strategically reduced the number of buildings it owns and operates in the District in favor of placing employees in shared rental spaces. In the latter case, the water reduction observed in federal buildings is partially made up in the commercial customer billing of DC Water.

iii. There have been significant adjustments made to federal bills as a result of property sales and transfers between the federal and District governments.

iv. The Authority accelerated a testing and calibration program on large capacity meters installed at federal properties and observed that some of the meters had degraded and were measuring less water than was actually being consumed. Where possible, the Authority is retroactively billing for the difference in consumption.

Wholesale Customer Charges

The Authority provides wholesale wastewater treatment services to User Jurisdictions at Blue Plains. Each wholesale customer's share of operating costs at Blue Plains is recovered in accordance with the Blue Plains Intermunicipal Agreement of 1985, the 2012 IMA, the Potomac Interceptor Agreements and the Loudoun County Sanitation Authority Agreement (as discussed in more detail in "THE SYSTEM – The Wastewater System"), and is based on actual costs of operating and maintaining the plant and the collection facilities, prorated to each User Jurisdiction based on its respective actual share of wastewater flows. A User Jurisdiction's share of capital costs is based on its share of capacity allocations in the plant. Both operating and capital payments are made on a quarterly basis. Wholesale customer revenues are expected to constitute approximately 12.6% of the Authority's total annual revenues during Fiscal Year 2017 through Fiscal Year 2021 (excluding PILOT/ROW fees).

Wholesale customers are billed based on the adopted budget for that Fiscal Year. Capital-related charges are billed quarterly with payments due on the 15th day of the second month following the end of the quarter. The operating and maintenance-related charges are billed annually by mid-October and payments are due each November, February, May and August. Following each Fiscal Year, the Authority prepares a reconciliation that determines the actual costs and each wholesale customer's appropriate share of such costs. Adjustments are then billed or credited to the wholesale customers in the first quarter of the subsequent Fiscal Year.

Components of Retail Rates and Charges

Water and Wastewater Charges

The Authority recovers the costs of operations, maintenance and debt service through retail rates and fees, wholesale customer charges and other miscellaneous non-operating income such as interest earnings. The primary retail rates and fees are as follows:

i. Water and Wastewater Consumption Rates. These rates are based on metered water usage and are stated in terms of hundred cubic feet ("Ccf"). Through Fiscal Year 2015, each of the Authority's three customer classes (i.e., Residential; Multi-Family; and Non-Residential) were charged the same consumption rates. The Authority retained Raftelis Financial Consultants, Inc. ("RFC") to analyze the allocation of costs between the water and wastewater rates, as well as the peak demand factors of its various customer classes, and to prepare the Fiscal Year 2015 Cost of Service Study ("2015 COS Study"). Based on the results of the 2015 COS Study, the Authority's management recommended a restructuring of its rates, charges and fees to the Board to include water rate classes for Residential, Multi-Family and Non-Residential customers. Sewer rates remain uniform for all customers. On February 5, 2015, the Board approved a resolution adopting this new rate structure which became effective October 1, 2015, for Fiscal Year 2016. Water and wastewater consumption rates increase by 5.0% per year in Fiscal Years 2017 and 2018 compared to Fiscal Year 2016.

ii. Customer Metering Fee. The Authority assesses a metering fee to recover costs associated with installing, operating and maintaining meters and the AMR system. The metering fee is charged as a separate line item on retail customer bills and varies by meter size. The metering fee in Fiscal Year 2016 was unchanged from the prior year. The metering fee will again remain unchanged in Fiscal Years 2017 and 2018.

iii. Water System Replacement Fee. The Authority modified its rate structure and implemented the new meter-based Water System Replacement Fee in Fiscal Year 2016 in order to recover the cost of the 1% renewal and replacement program for water service lines. The metering fee will remain unchanged in Fiscal Years 2017 and 2018. It is anticipated that the Water System Replacement Fee will generate $39.7 million in revenue per year from Fiscal Years 2017 through 2021.

Clean Rivers Impervious Area Charge

The Water and Sewer Authority Equitable Ratemaking Amendment Act of 2008 (the "2008 Amendment Act"), enacted by the Council in 2008, amended the Act to authorize the Authority's CEO to restrict combined sewer flow into the District from Maryland and Virginia and to require the Authority to, among other things, offer financial assistance programs to mitigate the impact of any increases in retail water and sewer rates on low-income residents of the District, including a low-impact design incentive program. The 2008 Amendment Act also amended the District of Columbia Public Works Act of 1954 to broaden the bases for the determination of sanitary sewer service charges to include impervious surface area and to provide for an appeal process for the assessment of an impervious surface fee.

In Fiscal Year 2009, the Authority approved the development and implementation of the CRIAC to recover the costs of the DC Clean Rivers Project, mandated by the EPA Region III pursuant to the 2005 LTCP Consent Decree. The DC Clean Rivers Project will be implemented over a 25-year period at a total cost of $2.6 billion. See "THE SYSTEM – Wastewater Regulation and Permits – *NPDES Permit*." For an explanation of the different term contemplated for the DC Clean Rivers Project in the CIP and under the 2005 LTCP Consent Decree, see "CAPITAL IMPROVEMENT PLAN – Categories of CIP Projects – Combined Sewer Overflow Projects." Prior to the implementation of the CRIAC, the DC Clean Rivers Project cost was bundled in the wastewater rate based on the amount of water consumed.

The CRIAC is based on the amount of impervious area on a property, rather than on the amount of water consumption, which is a more equitable method of recovering the DC Clean Rivers Project costs. It allows the Authority to expand its customer base by charging all properties that generate stormwater, including those that may not use water (e.g., parking lots). An impervious area is a man-made surface that cannot be easily penetrated by water, such as a rooftop, a paved driveway, a patio, a swimming pool or a parking lot that impedes the percolation of water into the subsoil and plant growth. The Authority maintains a database in which it classifies each parcel located within the District as pervious or impervious. This database and the classifications therein provide the basis for the District's billing of the CRIAC.

All residential customers are charged Equivalent Residential Units ("ERUs") based upon six tiers that reflect the amount of impervious surface area on each residential lot. The tiers and the number of accounts within each tier are shown as of September 30, 2016 in the following table.

Tiers	Size of Impervious Area (square feet)	Equivalent Residential Unit	No. of Properties (as of September 30, 2016)
Tier 1	100 – 600	0.6	18,767
Tier 2	700 – 2,000	1.0	80,205
Tier 3	2,100 – 3,000	2.4	6,211
Tier 4	3,100 – 7,000	3.8	2,773
Tier 5	7,100 – 11,000	8.6	146
Tier 6	11,100 and more	13.5	69

Source: Authority records.

The CRIAC is applied to all lots, parcels, properties and private streets throughout the District that are greater than 100 square feet, except for District or federally owned rights-of-way. The CRIAC is added to the customer's metered service bill and billed monthly unless the property is impervious only and has no other metered water or wastewater service. The CRIAC will be reviewed regularly and adjusted as appropriate by the Board. Effective October, 1, 2016 (i.e., for Fiscal Year 2017), the Authority's CRIAC rate is $22.24 per ERU. The CRIAC rate will increase to $25.18 per ERU for Fiscal Year 2018, effective October 1, 2017. The CRIAC rate is expected to increase to $28.41 for Fiscal Year 2019, effective October 1, 2018. Further increases in the CRIAC are expected in Fiscal Years 2019 through 2021.

On January 23, 2009, the Mayor of the District signed the Water and Sewer Authority Equitable Ratemaking Act of 2008, which states that DC Water will establish, together with the District Department of Environment ("DDOE"), an incentive program to institute certain eligible best management practices that reduce the amount of stormwater runoff generated from a property. On April 4, 2013, the Board approved a resolution that

authorized staff to advertise the CRIAC Incentive Program for public comment and the rulemaking process. The proposed program is a three year pilot credit program for CRIAC that will provide a 4% maximum incentive credit (the actual credit amount is to be calculated based upon the DDOE formula proposed on October 5, 2012), with a not-to-exceed annual budgeted allowance of $500,000. The public hearing that was held on May 8, 2013, was the formal process for obtaining public input, and a final decision was reached on July 3, 2013. The not-to-exceed annual budgeted allowance of $500,000 in credits is taken into consideration in the projection of revenues from the CRIAC.

Clean River IAC Credit

In Fiscal Year 2016, the Board asked management to evaluate and propose recommendations for expansion of the Customer Assistance Program (CAP) to include fees assessed for the CRIAC. The staff evaluated the three options for CRIAC credit: (i) dollar credit, (ii) ERU credit, and (iii) percent of CRIAC credit (25%, 50%, 75%). Based on the detailed analysis, the management made recommendations to the Board to expand the Customer Assistance Program (CAP) to low-income customers to include a CRIAC credit in the monthly bills. On December 1, 2016 the Board adopted the expansions of the CAP for eligible single-family residential accounts and individually metered accounts to include a fifty percent (50%) credit of the monthly billed CRIAC. The CRIAC credit, subject to the final approval of the Board, is anticipated to be implemented in Fiscal Year 2017.

PILOT/Right of Way Occupancy Fee

These fees recover the cost of the PILOT and Right of Way fees (collectively, "PILOT/ROW Fee"), which are charges levied by the District for payments in lieu of taxes and occupancy or use of public spaces or rights of way including that used by the Authority for its underground infrastructure. The Authority passes the PILOT/ROW Fee through to retail customers based on metered water consumption as a separate line item on the bills. Effective October 1, 2016 (i.e., for Fiscal Year 2017), the Authority's PILOT/ROW Fee is $0.65 per Ccf. The PILOT/ROW Fee will increase to $0.66 per Ccf effective October 1, 2017 (Fiscal Year 2018) and is expected to increase to $0.68 per Ccf effective October 1, 2018 (Fiscal Year 2019).

Stormwater Fee

The Authority's retail water and wastewater bills also include a stormwater fee levied on behalf of the District government. The stormwater fee is charged as a separate line item on retail customer bills. Although the Authority no longer administers the program, it will continue to be reimbursed by the District for any stormwater-related expenditure. The DDOE has rate-setting authority for stormwater services provided by the District and the Authority expects to work collaboratively with the DDOE to set future rates. See "THE AUTHORITY – Relationship with the District." Effective October 1, 2016 (i.e., for Fiscal Year 2017), the stormwater fee charged to retail customers is $2.67 per ERU. The stormwater fee is expected to remain the same for Fiscal Years 2018 and 2019.

Historical and Projected Water and Wastewater Retail Rates

The Board has raised retail water and wastewater rates regularly since 1996, in line with its policy of implementing rate increases in a gradual and predictable manner. The Board has approved class-based water volumetric rates for Residential, Multi-family, and Non-residential customer effective from October 1, 2015 (Fiscal Year 2016).

Water Volumetric	**Class-Based (w/lifeline)**	
	FY 2016	**FY 2017**
Residential - 1-4 Ccf	$3.08	$3.23
Residential - >4 Ccf	3.87	4.06
Multi-Family / DC Housing	3.45	3.62
Non-Residential	3.99	4.19

Federal government customers in Virginia pay the Arlington County retail rate, which, since May 1, 2015, is $3.15 per Ccf for water. Federal government customers in Maryland pay according to the WSSC rates, which include a fixed charge and a consumption-based charge that increases with higher levels of usage.

Since 2000, the Board has adopted a series of ten-year financial plans that include annual, gradual rate increases. The latest of these was a retail rate increase for water and wastewater charges of 5.0% per year for Fiscal Year 2017 and Fiscal Year 2018. For Fiscal Years 2019 through 2021, the Authority's financial plan projects retail water and wastewater rate increases of 5.0% per year.

The following tables set forth historical water and wastewater rates and the CRIAC of the Authority and the adopted and projected water consumption and sewer usage rates of the Authority for Fiscal Years 2017 through 2021. The revenue resulting from the CRIAC reduces the amount of revenue that must be raised through wastewater charges, resulting in a lower wastewater rate.

Historic Water and Wastewater Retail Rates
($ per Ccf)

Fiscal Year	Water Consumption Rate	Sewer Usage Rate	Combined Rate	Percent Increase	CRIAC Rate (Per ERU)	Meter Charge (Per 5/8" Meter)	Water System Replacement Fee (Per 5/8" Meter)
2012	3.24	3.96	7.20	4.5%	6.64	3.86	
2013	3.42	4.18	7.60	5.5	9.57	3.86	
2014	3.61	4.41	8.02	5.5	11.85	3.86	
2015	3.88	4.74	8.62	7.5	16.75	3.86	
2016[1]							
Residential – 0-4 Ccf	3.08	5.44	8.52	6.5	20.30	3.86	6.30
Residential - >4 Ccf	3.87	5.44	9.31				
Multi-Family	3.45	5.44	8.89				
Non-Residential	3.99	5.44	9.43				

[1] Percent increase reflects the overall average increase for all customers; the increases for individual customers vary by customer class and consumption.

Current and Projected Water, Sewer & Impervious Area Retail Rates

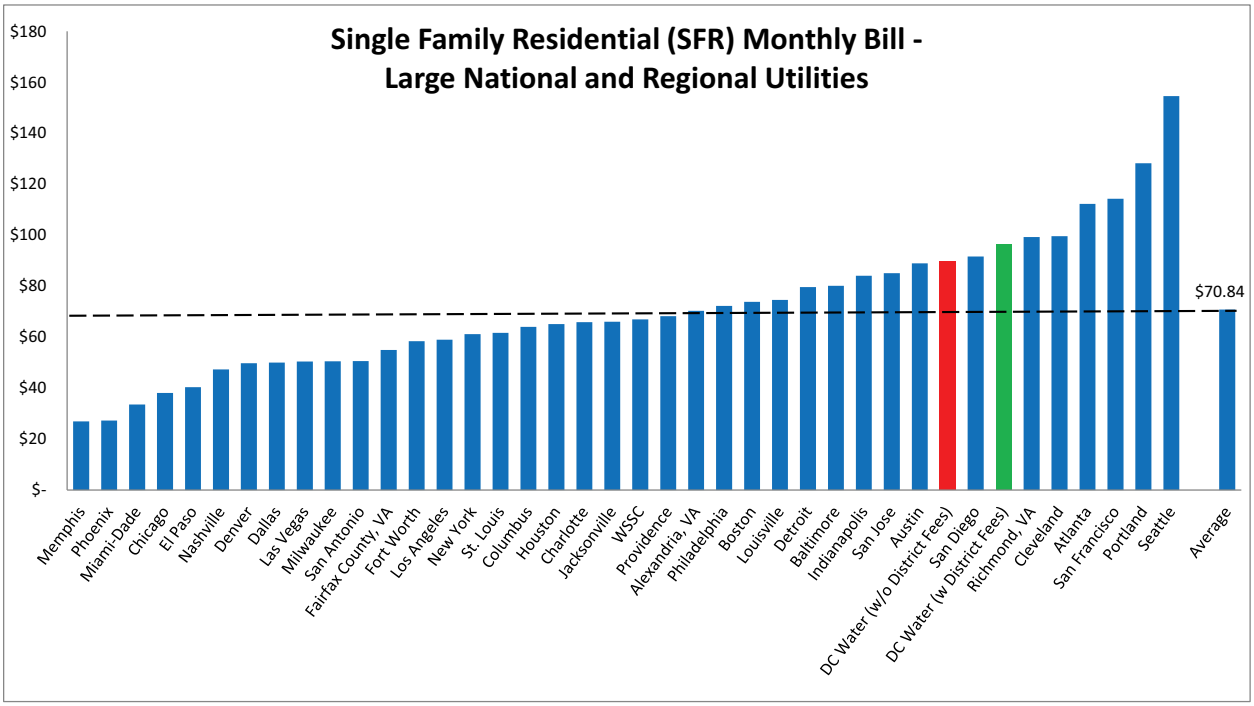
		Adopted		Projected		
	Units	2017	2018	2019	2020	2021
Water Rates						
Residential - 0-4 Ccf	Ccf	3.23	3.39	3.56	3.74	3.93
Residential - >4 Ccf	Ccf	4.06	4.26	4.47	4.69	4.92
Multi-Family	Ccf	3.62	3.80	3.99	4.19	4.40
Non-Residential	Ccf	4.19	4.40	4.62	4.85	5.09
Sewer Rates	Ccf	5.71	6.00	6.30	6.62	6.95
Water & Sewer % Increase	%	5.0%	5.0%	5.0%	5.0%	5.0%
CRIAC	ERU	22.24	25.18	28.41	31.67	34.94

[1] Rates for Fiscal Years 2019 through 2021 are projected and subject to change.
[2] The Water System Replacement Fee and Meter Charge are not shown above. The actual (FY 2017-FY 2018) and projected (FY 2019-FY 2021) Water System Replacement Fee and Meter Charge for a customer with a 5/8 inch meter will remain constant at $6.30 and $3.86 per month, respectively. The amount of the Fee and the Charge increases with the increasing size of a customer's meter.
[3] Water and sewer % increase reflects the overall average increase for all customers; the increases for individual customers will vary by customer class and consumption.

Retail Rate Comparison

The Authority's retail rates are comparable to those of other utilities in the metropolitan Washington, D.C., region and other similar utilities in the eastern United States and nationally. The following chart compares the Authority's combined water, wastewater and impervious area residential charges to these utilities. The table reflects the Authority's Fiscal Year 2017 rate and fee charges, while other utilities rates are as of January 1, 2017. The Authority's Fiscal Year 2017 rate and fee charges are shown both with and without the pass-through of the District's PILOT/ROW Fee in the amount of $0.65 per Ccf, and the DDOE residential stormwater rate of $2.67 per ERU per month.

Average Water and Wastewater Bill Comparison[1,2]



[1] Assumes average residential consumption of 6.20 Ccf, or 4,638 gallons, per month.
[2] Reflects rates and fees in place as of January 1, 2017. The Authority's rate includes the PILOT/ROW fee totaling $0.65 per Ccf (effective October 1, 2016) and the DDOE residential stormwater rate of $2.67 per ERU per month.

Source: Amawalk

The median income in the District is competitive with the median income in many other jurisdictions. The following chart illustrates the Authority's charges for a single family residential customer as a percentage of median income compared to similar data for other water and wastewater utilities.

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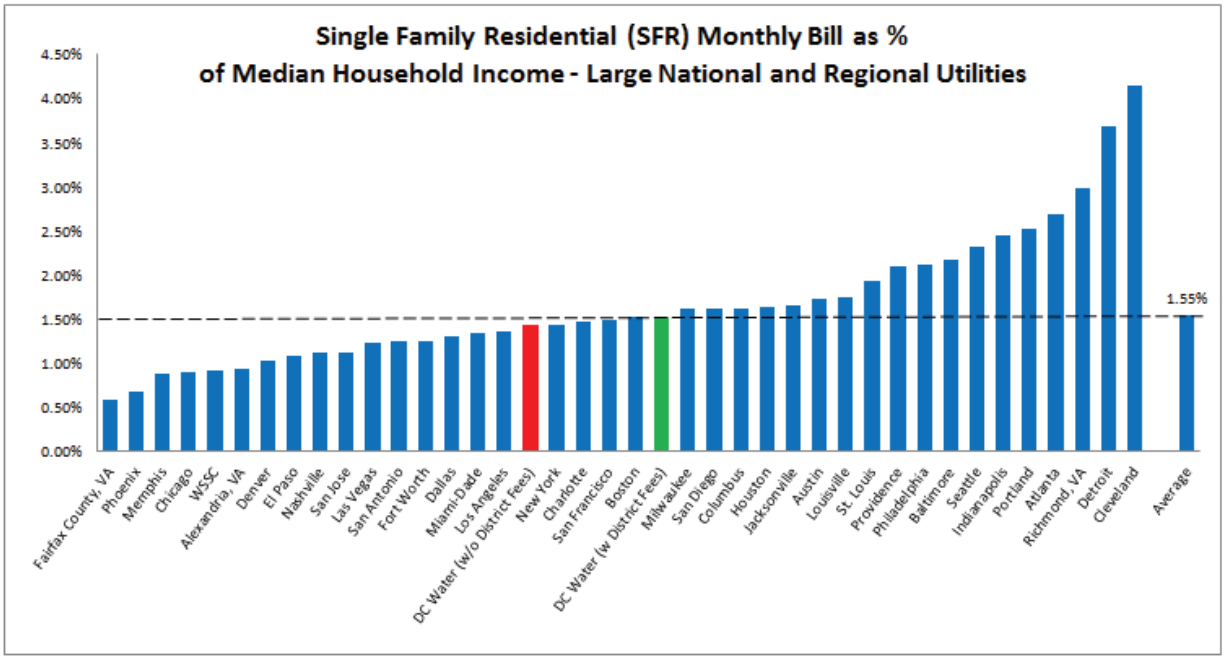
Average Water and Wastewater Bill Comparison[1,2]



[1] Assumes average residential consumption of 6.20 Ccf, or 4,638 gallons, per month.
[2] Reflects rates and fees in place as of January 1, 2017. The Authority's rate includes the PILOT/ROW fee totaling $0.65 per Ccf (effective October 1, 2016) and the DDOE residential stormwater rate of $2.67 per ERU per month.

Source: Amawalk

Collections

The Authority has implemented policies and business practices intended to optimize the collection of customer billings. Measures are taken including cross checks with property records to ensure that all users of the Authority's system are being billed. With the implementation of automated meter reading (AMR), the Authority can access customer usage data at any time and can alert customers to apparent leaks promptly. In September 2013, the Authority achieved the lowest 90-day receivable balance in the Authority's history at $4.9 million. From July 2009 until present, the Authority's 90-day receivable balance has ranged from $4.9 to $7.7 million, even with multiple rate increases that doubled the typical residential bill, resulting in a receivable balance as a percentage of operating revenues that now approaches just 1.6%. This is the result of a comprehensive strategy that integrates several consumer services functions along with an aggressive customer contact process that addresses collections issues early when outstanding balances are within the range of customers' ability to pay, improved lien processing for delinquent accounts, and enhances coordination efforts with other District agencies.

The Authority's collection program includes: (i) assessing customers a 10% late fee if their bill is not paid on day 31 after the date of billing and sending customers a friendly reminder notice; (ii) placing a call to the customer using an automatic notification call program on day 34; (iii) sending the customer notice of intent to disconnect service on day 39 (which, in accordance with District laws and regulations gives customer 15 days to pay the delinquent bill and maintain service); (iv) mailing to the owner of the property an intent to place a lien on the property on day 65 (which gives the owner 10 additional days to pay the bill before a lien is placed on their property) and imposing an additional 1% penalty per month on all delinquent balances after 60 days; (v) placing a call to the customer on day 67 to inform him/her of the Authority's intent to place a lien on the property if the delinquent bill is not paid; and (vi) placing a lien on the property on day 80. The lien becomes a part of the public record and appears on the owner's credit report and adversely affects their FICO score. The Authority will remove a lien only if the account balance is paid in full, and/or if the lien was placed in error. Once paid, the lien is removed and reflected as "satisfied" on the credit report but the customer's FICO score is not changed unless the customer contacts the credit bureau. The Authority's liens are continuous, which entitles the Authority to collect the current outstanding balance owed by a customer regardless of the balance at the time the lien was placed.

The Authority utilizes collection analysts who make calls to owners of delinquent accounts with a focus on the top 250 delinquent accounts. The Authority also takes legal action to have delinquent multi-family apartment building owners placed in receivership. This may result in the Authority receiving a percentage of the tenants' rent that is collected by a court-appointed Receiver before the owner can collect any rent. The account stays in receivership until paid in full.

After all efforts to collect have been exhausted, and as a last resort, the Authority will disconnect service for non-payment and not restore it until the delinquent bill is paid. The Automated Meter Reading System (AMR) allows the Authority to know if water is being used after service has been disconnected due to non-payment. If this occurs, the meter will be removed or locked and service will not be restored until the delinquent amount, plus any applicable fees, are paid in full.

The following table shows the cumulative retail (including commercial) customer balances that were delinquent more than 90 days. There is one government delinquency to report, which is related to DC Government/Municipal property.

Retail Customer Cumulative Delinquent Balances
($ in millions)

As of September 30,	Amount[1]	Percent of Operating Revenue
2012	$5.5	1.3%
2013	4.9	1.1
2014	5.3	1.0
2015	6.5	1.0
2016	7.7	1.6

[1] Amounts shown are as of the end of each Fiscal Year for amounts delinquent more than 90 days and do not include previously disputed amounts for Howard University (now resolved) and the Soldiers' Home discussed below.

Source: Authority records.

Special Accounts

The Authority has historically provided some U.S. Soldiers and Airmen's Home ("Soldiers' Home") accounts with free water service in exchange for the use of certain parcels of Soldiers' Home property to maintain a reservoir that provides water to the District. The Authority contends that the Soldiers' Home is required to pay for sewer service and impervious area fees, as well as water services for certain accounts. The parties have been in negotiation in an effort to resolve the issues surrounding this historically exempt account. There are no other exempt accounts and the Authority does not anticipate the addition of any new exempted accounts.

Customer Assistance Programs

The Authority sponsors two programs to assist low income customers in paying their water bills: Customer Assistance Program ("CAP") and Serving People by Lending A Supporting Hand ("S.P.L.A.S.H."). The Authority implemented the CAP in 2001 providing a discount of up to 4 Ccf per month of water service for single family residential homeowners that meet income eligibility guidelines. In Fiscal Year 2004, the Authority expanded the CAP to include tenants who meet the financial eligibility requirements and whose primary residence is separately metered by the Authority. In January 2009, the Authority further expanded the CAP to provide a discount of 4 Ccf per month of sewer services to eligible customers. Effective October 1, 2010, the Board expanded the CAP discount to include the first 4 Ccf of PILOT/ROW fees. Effective October 1, 2015, the Board expanded the CAP discount to include the new Water System Replacement Fee, which went into effect starting in Fiscal Year 2016. On December 1, 2016, the Board expanded the CAP to provide a 50% credit on the billed CRIAC fee to eligible customers. In Fiscal Year 2011, 6,025 customers received a discount on their bills totaling $1,380,207. In Fiscal Year 2012, 5,648 customers received a discount on their bills totaling $1,330,511. In Fiscal Year 2013, 5,206 customers received a discount on their bills totaling $1,200,835. In Fiscal Year 2014, the Authority provided assistance totaling $1,129,776 to 4,583 customers. In Fiscal Year 2015, a total of 4,498 customers received a discount on their bills totaling $1.2 million. In Fiscal Year 2016, a total of 4,379 customers received a discount on their bills totaling $808,797. The projected revenues of the Authority take into consideration the discounts provided to low-income customers under the CAP.

Through the S.P.L.A.S.H. program, the Authority offers assistance to families in need so that they can receive critical water services. S.P.L.A.S.H. is funded solely by contributions from the community, customers and from

DC Water employees. The Authority has redesigned its water and sewer bills to make it easier for its customers to make contributions to S.P.L.A.S.H. The Authority pays all administrative costs of this program, which is administered directly by the Greater Washington Urban League (GWUL). All contributions are deposited in a bank account from which the (GWUL) makes payments on behalf of eligible customers. Every dollar received by the Authority is distributed to eligible customers. In Fiscal Year 2011, the Authority provided assistance to 294 customers totaling $95,039. In Fiscal Year 2012, the Authority provided assistance to over 354 customers totaling $105,502. In Fiscal Year 2013, the Authority provided assistance to 359 customers totaling $121,084, and in Fiscal Year 2014, the Authority provided assistance to approximately 309 customers totaling $100,851. In Fiscal Year 2015 the Authority provided assistance to approximately 351 customers in the amount of $115,684. In Fiscal Year 2016, the Authority provided $101,098 in assistance to 309 customers.

Customer Service Operations

The Department of Customer Services reports to the Assistant General Manager of Customer Care and Operations and is responsible for meter installations, meter reading, meter testing, billing and collections. The Authority continuously evaluates its customer service offerings to ensure that customers receive the best possible service.

FINANCIAL OPERATIONS

Historical Financial Operations

The Authority derives its revenues primarily from retail customer payments for water and wastewater treatment services, which account for 81.8% of total revenues, and wholesale customer payments for wastewater treatment services, which account for 12.6% of total revenues (excluding PILOT/ROW fees for Fiscal Years 2017 through 2021). The Authority's operating revenues have steadily increased since its creation, due largely to rate and fee increases approved by the Board which are discussed in more detail in the section entitled "RATES AND CHARGES – Historical and Projected Water and Wastewater Retail Rates."

The Authority is committed to optimizing the cost of service it offers and as a result places emphasis on managing its expenses. The Authority's Budget Department closely monitors spending to ensure compliance with approved operating and capital budgets. This includes preparation of daily and monthly management reports for each operating unit and financial system controls that prevent overspending. The Authority's Finance Department provides detailed monthly reports on cash and investments, revenues, operating budget and capital spending to the Board's Finance and Budget Committee. In addition, the Authority's Department of Engineering and Technical Services provides quarterly updates on the CIP status to the Board's Environmental Quality and Sewerage Services and Water Quality and Water Services Committees, as well as to the Finance and Budget Committee. The average annual rate of increase in total operating expenses on a cash basis, excluding PILOT/ROW expenses, for Fiscal Years 2012 through 2016 was 4.7%. In each such year, actual expenses of the Authority were less than the budgeted amount.

The following table presents historical revenues, expenses and changes in net position using information contained in the audited financial statements for Fiscal Years 2012 through 2016. The Authority's complete financial statements for the Fiscal Years ended September 30, 2016, and 2015, are attached hereto as APPENDIX B.

Historical Revenues, Expenses and Change in Net Position

($ in thousands)

	Fiscal Year Ended September 30				
	2012	2013	2014	2015	2016
Operating revenues					
Residential, commercial and multi-family customers	$256,846	$ 275,337	$ 295,209	$335,711	$382,552
Federal government	48,381	45,187	39,001	54,274	63,417
District government and DC Housing Authority	24,713	21,677	28,852	32,948	38,185
Charges for wholesale wastewater treatment	94,549	87,178	96,845	112,522	91,873
Other	16,077	9,700	13,917	14,460	19,762
Total Operating Revenues	440,566	439,079	473,824	549,915	595,789
Operating expenses					
Personnel services	97,784	103,908	108,467	115,233	124,239
Contractual services	64,939	68,417	68,172	66,241	74,086
Chemicals, supplies and small equipment	28,815	28,987	31,748	32,935	29,524
Utilities and rent	26,786	26,098	29,939	30,848	23,934
Depreciation and amortization	74,342	77,330	77,833	83,857	89,512
Water purchases	28,389	27,223	28,407	29,109	26,345
Payment in lieu of taxes and right of way fee	21,982	21,982	11,458	20,437	20,744
Total operating expenses	343,037	353,945	356,024	378,660	388,384
Operating income	97,529	85,134	117,800	171,255	207,405
Nonoperating revenue (expenses)					
Interest income	749	1,144	977	1,316	2,629
Interest expense and fiscal charges	(74,001)	(63,905)	(69,288)	(61,409)	(69,118)
Total nonoperating revenue (expenses)	(73,252)	(62,761)	(68,311)	(60,093)	(66,489)
Change in net position before Federal grants and contributions	24,277	22,373	49,489	111,162	140,916
Contributions of capital from Federal government	58,957	58,310	94,690	67,965	32,431
Change in net position	83,234	80,683	144,179	179,127	173,347
Net position, beginning of year	$1,042,719	$1,125,953	$ 1,206,636	$1,350,815	$1,529,942
Net position, end of year	$1,125,953	$1,206,636	$ 1,350,815	$1,529,942	$1,703,289

Source: Authority Records

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Historical Debt Service Coverage

The Authority has exceeded the Rate Covenant requirement of 1.20x Senior Debt service coverage set forth in the Indenture and the Authority's policy goal of 1.40x Senior Debt service coverage in each of the last five Fiscal Years, as shown in the following table. Debt service for Fiscal Year 2013 differs from the coverage as presented in the 2013 Comprehensive Annual Financial Report due to the exclusion of transfers to District of Columbia PILOT Fund (in the table below) in calculating Net Revenues Available for Debt Service.

Historical Debt Service Coverage[1]
($ in thousands)

	Fiscal Year ended September 30				
	2012	**2013**	**2014**	**2015**	**2016**
Revenues:					
Retail	$295,247	$328,361	$351,148	$382,012	$451,467
Wholesale	75,240	75,009	70,763	81,230	79,784
Other Non-Operating	47,136	51,088	56,082	75,354	58,078
(Contributions to/Transfers from Rate Stabilization Fund)	(11,250)	(1,000)	6,500	(10,000)	(19,000)
Total Revenues (A)	$406,373	$453,458	$484,493	$528,596	$570,329
Operating Expenses (B)	248,622	252,329	281,918	273,486	298,452
Revenues Less Operating Expenses (C=A-B)	$157,751	$201,129	$202,575	$255,109	$271,877
Debt Service:					
Senior Debt Service (D)	$41,918	$41,904	$42,041	$55,746	$46,829
Subordinate Debt Service (E)	57,354	65,796	78,124	84,925	105,252
Total Outstanding and Projected Debt Service (F=D+E)	$99,272	$107,700	$120,165	$140,671	$152,081
Calculation of Net Revenues Available for Senior Debt Service:					
Revenues Less Operating Expenses (C)	$157,751	$201,129	$202,575	$255,109	$271,877
Prior Year Federal Billing Reconciliation	(1,000)	(5,105)	(6,000)	(5,053)	(11,679)
(Refund to)/Payment from wholesale customers	(5,661)	(5,800)	(10,069)	(2,483)	(13,017)
(Additions to)/Transfers from DC PILOT Fund	($4,468)	($7,900)	(7,676)	-	-
Customer Rebate	-	($3,298)	(5,100)	-	-
Net Revenues Available for Senior Debt Service (G)	$146,622	$179,026	$173,730	$247,574	$247,181
Senior Debt Service Coverage (G/D)	**3.50x**	**4.27x**	**4.13x**	**4.44x**	**5.28x**
Calculation of Subordinate Debt Service Coverage:					
Net Revenue Available for Senior Debt Service	$146,622	$179,026	$173,730	$247,574	$247,181
Less Senior Debt Service (D)	(41,918)	(41,904)	(42,041)	(55,746)	(46,829)
Net Revenues Available for Subordinate Debt Service (G-D)	$104,704	$137,122	$ 131,689	$191,827	$200,352
Subordinate Debt Service Coverage ((G-D)/E)	**1.83x**	**2.08x**	**1.69x**	**2.26x**	**1.90x**
Combined Debt Service Coverage (G/F)	**1.48x**	**1.66x**	**1.45x**	**1.76x**	**1.63x**

[1] Prepared in accordance with the Indenture, which closely corresponds to cash basis accounting. Debt service on the Series 2010A Bonds (which is included in Subordinate Debt Service above) reflects the Direct Payments the Authority receives from the U.S. Treasury. The Authority has agreed to deposit the Direct Payments related to the Series 2010A Bonds directly into the Series 2010A Interest Account of the Subordinate Lien Bond Fund to pay interest when due on the Series 2010A Bonds. With respect to the effect of Sequestration on the receipt by the Authority of Direct Payments on its Series 2010A Bonds, see "SECURITY FOR THE SERIES 2017A/B BONDS – Direct Payment Bonds and the Effect of Sequestration on Direct Payments."

Source: *Authority Records*.

Annual Budget

Annual Budget Process

The Authority's budgetary process is based on an integrated approach that links its operating and capital requirements to its ten-year financial plan. Preparation of the Authority's budget begins with the preparation of the ten-year financial plan in the spring of each year. The Authority's operating budgets and the CIP are developed based on the financial parameters laid out in the financial plan and in Board policy. Management presents its proposed operating budgets, the CIP and ten-year financial plan to the Board's Environmental Quality and Sewerage Services, Water Quality and Water Services, and Finance and Budget Committees for their review, with final action by the full Board typically scheduled for January of each year. Upon final approval by the Board, the Authority's budget is forwarded to the District for inclusion in its submission to the President as described below.

Under the Act and the Federal Act, the Authority is required to prepare and annually submit to the Mayor of the District for inclusion in the annual budget of the District estimates of the expenditures and appropriations necessary for the operation of the Authority for each Fiscal Year. All such estimates are required to be forwarded by the Mayor to the Council for its action without revision, but subject to the Mayor's recommendations. The Council may comment or make recommendations concerning such annual estimates but has no authority to revise such estimates. Such annual estimates constitute a part of the annual budget of the District required to be submitted by the Mayor to the President of the United States for transmission by the President to the U.S. Congress. In accordance with the District's Home Rule Act, except as noted below, no amount may be obligated or expended by any officer or employee of the District, including the Authority, unless such amount has been approved by act of Congress and then only according to such act. Pursuant to the Federal Act, the limitation described in the preceding sentence is not applicable to expenditures by the Authority for any of the following purposes: (i) any amount obligated or expended from the proceeds of any revenue bonds of the Authority; (ii) any amount obligated or expended for debt service on such revenue bonds; (iii) any amount obligated or expended to secure any revenue bonds of the Authority; or (iv) any amount obligated or expended for repair, maintenance, or capital improvement to the System facilities financed by any revenue bonds of the Authority. In addition, pursuant to Public Law 105-33 (D.C. Code Section 1-204.45a(b)), if the Authority has excess revenues, such excess revenues may be obligated or expended for capital projects.

The Approved Fiscal Year 2017 Budget

The Board adopted the Fiscal Year 2017 operating budget (the "Fiscal Year 2017 Budget") on December 3, 2015.

The Fiscal Year 2017 Budget for net operating expenditures totals $513.9 million, which is $8.7 million or 1.7% lower than the Approved Fiscal Year 2016 Budget, primarily due to debt service savings and operational efficiencies.

In Fiscal Year 2016 and subsequent years, the Authority anticipates that the difference between actual and budgeted operating expenses will be less than in previous years due to budget planning that focuses on having actual expenses more closely aligned with budgeted expenses. Simultaneously, the Authority has established a separate line item in its operating budget beginning in Fiscal Year 2015 to provide funds for additional cash-financed capital construction, the defeasance of debt, or other uses at the discretion of the Authority. The amounts in this line item could alternatively be used by the Authority to help address potential shortfalls in cash receipts or increases in expenses, should the need arise. In addition, the Authority has the ability to adjust its rates, as necessary, to provide the required revenues in each year.

Projected Financial Operations

The following table was prepared by Amawalk in its capacity as the financial feasibility consultant to the Authority, and it shows (i) the actual cash flows, cash reserves and debt service coverage for Fiscal Year 2016 and (ii) projected cash flows, cash reserves and debt service coverage for Fiscal Years 2017 through 2021. The projected revenues reflect the increases in rates and charges adopted by the Authority for Fiscal Year 2017 and for Fiscal Year 2018 and the anticipated increases in rates and charges for Fiscal Years 2019 through 2021.

The projected financial results for Fiscal Years 2017 through 2021 incorporate assumptions as of November 2016. The projected debt service requirements include anticipated debt service on the Series 2017A/B Bonds. The first payment of debt service for the Series 2017A/B Bonds is expected to be made in Fiscal Year 2017.

Including the issuance of the Series 2017A/B Bonds, the Authority anticipates issuing approximately $1.0 billion of new money bonds from Fiscal Year 2017 through and including Fiscal Year 2021. It is assumed that bonds will be issued as Senior Debt in Fiscal Years 2017 and 2020 and as Subordinate Debt in Fiscal Years 2018, 2019 and 2021. It is further assumed that the future bonds will have a fixed interest rate of 6.5% in Fiscal Year 2018 and subsequent years. Debt service on the anticipated future bonds is calculated on the basis of a 35-year term with level principal and interest payments. There are no deposits to the debt service reserve fund assumed for the Series 2017A/B Bonds, and any anticipated future bonds; the Authority may decide to make contributions to the debt service reserve fund in the future at its discretion.

The Authority has the option to issue future bonds as either Senior Debt or Subordinate Debt. The combined debt service coverage would remain the same if the Authority were to elect to issue Senior Debt in lieu of Subordinate Debt or vice versa in a given year. Decisions regarding the issuance of future debt as Senior Debt will be made by the Authority at the time of debt issuance.

For more information in respect of Amawalk's analysis, see "FINANCIAL FEASIBILITY OPINION LETTER."

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Analysis of Actual and Projected Financial Results

Fiscal Years ended/ending September 30

($ in thousands)

	Actual 2016	Projected 2017	2018	2019	2020	2021
Revenues and Payment Obligations						
Revenues						
Retail Revenues [1]	451,467	462,898	489,917	517,392	545,688	574,280
Wholesale Revenues	79,784	81,468	76,028	78,308	80,658	83,077
Other Non-Operating Revenues	58,078	51,080	51,215	56,034	60,400	67,763
Transfer from RSF	-	-	-	-	-	-
(Contributions to RSF)	(19,000)	-	-	(5,000)	(5,000)	(4,000)
Total Revenues	570,329	595,446	617,159	646,734	681,746	721,121
Prior Year Federal Billing Reconciliation	(11,679)	(19,201)	(9,019)	(5,636)	-	-
Transfer to DC PILOT Fund	-	-	-	-	-	-
Transfer to DC ROW Fund	-	-	-	-	-	-
(Refund to)/Payment from IMA	(13,017)	(10,000)	(7,000)	-	-	-
Net Revenues (A)	545,633	566,245	601,140	641,098	681,746	721,121
Operating Expenses (B)	298,452	299,474	298,770	310,733	320,055	329,657
Net Revenues Available for Debt Service (C=A-B)	247,181	266,771	302,370	330,365	361,691	391,464
Total Senior Debt Service (D) [2,3]	46,829	54,586	65,042	60,605	68,074	75,538
Total Subordinate Debt Service (E) [2,3,4,5]	105,252	113,147	120,438	139,042	149,493	160,939
Total Outstanding & Projected Debt Service (F=D+E)	152,081	167,733	185,480	199,647	217,567	236,478
Debt Service Coverage						
Calculation of Net Revenues Available for Senior Debt Service						
Senior Debt Service Coverage (C/D)	**5.28x**	**4.89x**	**4.65x**	**5.45x**	**5.31x**	**5.18x**
Calculation of Subordinate Debt Service Coverage						
Net Revenue Available for Senior Debt Service (C)	247,181	266,771	302,370	330,365	361,691	391,464
Less Senior Debt Service (D)	(46,829)	(54,586)	(65,042)	(60,605)	(68,074)	(75,538)
Net Revenue Available for Subordinate Debt Service (C-D)	200,352	212,185	237,328	269,760	293,617	315,926
Subordinate Debt Service Coverage [(C-D)/E]	**1.90x**	**1.88x**	**1.97x**	**1.94x**	**1.96x**	**1.96x**
Combined Debt Service Coverage (C/F)	**1.63x**	**1.59x**	**1.63x**	**1.65x**	**1.66x**	**1.66x**
Subordinated Payment Obligations						
Payment In Lieu of Taxes/Right of Way Fee (G)	20,744	21,057	21,376	21,702	22,034	22,372
Defeasance/Cash Financed Capital Construction (H) [6]	23,475	24,199	35,260	26,955	28,386	29,833
Revenues Less Disbursements (I=A-B-F-G-H)	50,881	53,782	60,254	82,061	93,704	102,781
Reserve Balances						
Beginning Cash Reserve Balance (J)	160,055	162,652	140,000	140,000	140,000	140,000
Cash Reserve Balance Breakdown						
Beginning Undesignated Reserve Balance	78,689	78,518	55,258	55,088	55,205	53,211
Additions to/(Transfers from) Undesignated Reserve						
Annual Balance from Operations	75,577	82,983	76,273	87,698	93,704	102,781
Prior Year Federal Billing Reconciliation	(11,679)	(19,201)	(9,019)	(5,636)	-	-
(Refund to)/Payment from IMA	(13,017)	(10,000)	(7,000)	-	-	-
Transfer to DC PILOT Fund	-	-	-	-	-	-
Transfer to DC ROW Fund	-	-	-	-	-	-
Pay-Go Capital Financing	(48,284)	(76,434)	(60,254)	(82,061)	(93,704)	(102,781)
(Transfers to)/Transfers from 60-Day Reserve	(2,768)	(608)	(170)	117	(1,994)	(1,554)
(Transfers to) Transfers from Renewal & Replacement Reserve	-	-	-	-	-	-
Ending Undesignated Reserve Balance	78,518	55,258	55,088	55,205	53,211	51,657
Beginning 60-Day Operating Reserve Balance	46,366	49,134	49,742	49,912	49,795	51,789
Additions to/(Transfers from) 60-Day Reserve	2,768	608	170	(117)	1,994	1,554
60-Day Operating Reserve Balance	49,134	49,742	49,912	49,795	51,789	53,343
Beginning Renewal & Replacement Balance	35,000	35,000	35,000	35,000	35,000	35,000
Additions to/(Transfers from) Renewal & Replacement Reserve	-	-	-	-	-	-
Renewal & Replacement Balance	35,000	35,000	35,000	35,000	35,000	35,000
Ending Balance Cash Reserve	**162,652**	**140,000**	**140,000**	**140,000**	**140,000**	**140,000**
Stormwater Receipts - DC Water Share (K)	944	1,000	1,000	1,000	1,000	1,000
Cash Reserve Requirement Per Board Policy [Maximum of (B-K)*(120/365) or $125.5 Million] [7]	125,500	125,500	125,500	125,500	125,500	125,500
Beginning Rate Stabilization Fund Balance	32,450	51,450	51,450	51,450	56,450	61,450
Transfers from Operations (Additions to Rate Stabilization Fund)	19,000	-	-	5,000	5,000	4,000
Additions to Operations/(Transfers from) Rate Stabilization Fund	-	-	-	-	-	-
Rate Stabilization Fund Balance	51,450	51,450	51,450	56,450	61,450	65,450

Source: *Amawalk*

[1] Includes retail revenue from water and wastewater charges as well as the Clean River Impervious Area Charge.

[2] Debt service is shown on a cash basis, and may differ from the CAFR.

[3] Anticipated future bonds in 2018, 2019 and 2021 are currently assumed to be issued on a subordinate lien basis. Anticipated future bonds in 2017 and 2020 are currently assumed to be issued on a senior lien basis. The Authority may decide in the future to issue bonds on a senior or subordinate basis. Debt service for anticipated future bonds in Fiscal Year 2017 is calculated based on an assumed annual interest rate of 5.75%, a term of 35 years and level debt service. Debt service for anticipated future bonds starting in Fiscal Year 2018 is calculated based on an assumed annual interest rate of 6.5%, a term of 35 years and level debt service.

[4] The Total Subordinated Debt Service is net of the Build America Bonds (BABs) subsidies the Authority expects to receive from the United States Treasury equal to 32% of the interest payable on the Series 2010A Bonds. It reflects the reduction in BABs subsidy payments due to expected effects of sequestration. See "SECURITY FOR THE SERIES 2017 A/B BONDS - Direct Payment Bonds and the Effect of Sequestration on Direct Payments."

[5] Outstanding Commercial Paper reflects an interest cost of $0.9 million per year in FY 2017-FY 2018 and $0.8 million per year in FY 2019 through FY 2021. In addition, Extendible Maturity Commercial Paper reflects an interest costs of $1.6 million in FY 2017, $1.5 million in FY 2018 – FY 2020, and $1.4 million in FY 2021.

[6] Beginning in FY 2016, DC Water included funds in its annual budget that are intended to be used to defease outstanding debt or pay for construction on a cash basis. These funds are separate from the Pay-Go Capital Financing amounts referenced under Reserve Funds above and are presently assumed to be added to the Pay-Go amounts and deposited in total as a source of funds for the CIP. Alternatively, these funds could be used to cover unexpected declines in revenues or increases in expenses. The Authority reserves the right to modify the amount of the funds and the usage of funds during each year.

[7] Board financial policy requires the maintenance of a cash equivalent to 120 days of operating costs less District stormwater revenues, but not less than a cash balance of $125.5 million.

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System Revenues

The Authority collects revenues from retail and wholesale customers as well as other sources that include fees paid by developers and interest earnings on available funds. Authority revenues also include transfers from the Rate Stabilization Fund. The following table shows historical revenues of the Authority for Fiscal Year 2016, and the projected revenues for Fiscal Years 2017 through 2021.

Historical and Projected Revenue on a Cash Basis
Fiscal Years ended/ending September 30
($ in thousands) [1]

	Actual	Projected[2]				
	2016	**2017**	**2018**	**2019**	**2020**	**2021**
Retail Revenue						
Residential, Commercial, Multi-Family	248,662	258,144	268,331	278,657	289,639	300,776
D. C. Municipal Government	10,454	8,247	8,580	8,919	9,271	9,637
Federal Government	44,250	36,925	39,620	41,185	42,812	44,503
D. C. Housing Authority	7,525	7,035	7,311	7,600	7,900	8,212
Groundwater [3]	-	5	5	5	5	5
Metering Fee	11,479	10,776	10,776	10,776	10,776	10,776
Water System Replacement Fee [4]	30,287	39,717	39,717	39,717	39,717	39,717
CRIAC	98,810	102,049	115,577	130,534	145,569	160,654
Total Retail Revenue	451,467	462,898	489,917	517,392	545,688	574,280
Wholesale Revenue						
Loudoun County & Potomac Interceptor	7,814	8,537	8,133	8,377	8,628	8,887
WSSC	57,869	59,417	55,320	56,979	58,689	60,449
Fairfax County	14,101	13,514	12,575	12,952	13,341	13,741
Total Wholesale Revenue	79,784	81,468	76,028	78,308	80,658	83,077
Other Revenues						
District Stormwater Revenues	944	1,000	1,000	1,000	1,000	1,000
Transfer from Rate Stabilization Fund	-	-	-	-	-	-
Miscellaneous Revenues	33,702	26,976	25,962	27,870	29,795	31,720
Aqueduct Debt Service Revenue from Falls Church and Arlington	193	193	193	193	193	193
Interest Income	1,253	1,828	2,549	5,269	7,378	12,478
D.C. Right of Way Occupancy Fee/PILOT	21,985	21,082	21,511	21,702	22,034	22,372
Total Other Revenue	58,078	51,080	51,215	56,034	60,400	67,763
Total Operating Cash Receipts	589,329	595,446	617,159	651,734	686,746	725,121
Less: Contributions to Rate Stabilization Fund	(19,000)	-	-	(5,000)	(5,000)	(4,000)
Total Operating Cash Receipts with RSF Transfers	570,329	595,446	617,159	646,734	681,746	721,121

[1] All figures are presented on a cash receipt basis.
[2] Fiscal Year 2017 - 2021 revenue projections are based on the Authority's financial plan.
[3] Groundwater revenue refers to receipts from customers that pump groundwater into the sewer system.
[4] The meter-based Water System Replacement Fee to recover the cost of the 1% renewal and replacement program for water service lines was implemented beginning in Fiscal Year 2016.
Source: Amawalk.

An overview of the revenue components on a cash basis is provided below.

Retail Water and Wastewater Revenues

Retail revenues comprise the vast majority of all System revenues. In Fiscal Year 2012 through Fiscal Year 2016, retail revenues accounted for approximately 76.5% of total revenue (excluding PILOT/ROW fees and the effects of withdrawals from the Rate Stabilization Fund), wholesale customer payments represented about 16.2% of total revenues, with the remaining 7.3% coming from a variety of sources, such as interest income, penalties and fines, and fees from service installations. Retail revenues are derived primarily from water and wastewater service charges of the Authority that are based on water consumption as described earlier in this Official Statement. Other sources of retail revenue include the customer metering fee, CRIAC, and Water System Replacement Fee. See "CUSTOMER BASE, RATES AND CHARGES – Components of Retail Rates and Charges."

The Authority has projected that revenues from retail customers, excluding PILOT/ROW fees, will be $462.9 million in Fiscal Year 2017, or 80.6% of the Authority's total revenues (excluding PILOT/ROW fees). This amount includes approximately $102.0 million from the CRIAC and $39.7 million from the Water System Replacement Fee. Without the CRIAC and the Water System Replacement Fee, Fiscal Year 2017 projected revenue is expected to be $321.1 million, or 0.4%, lower than the Fiscal Year 2016 revenues from retail customers. The projected slight decrease in retail revenue assumes the consumption of retail customers will be lower in Fiscal Year 2017 compared to Fiscal Year 2016. Cash Receipts for the first two months of Fiscal Year 2017 (through November 30, 2016) excluding PILOT/ROW fees, were about the 10.7% higher than the budgeted receipts for this period. As of the date of this Official Statement, it is not possible to predict whether full-year cash receipts will be higher, lower or the same as the Budgeted Receipts.

Revenues from retail customers are projected to be $489.9 million in Fiscal Year 2018. This amount includes approximately $115.6 million from the CRIAC and $39.7 million from the Water System Replacement Fee and excludes PILOT/ROW fees. Without the effects of the CRIAC and the Water System Replacement Fee, the Fiscal Year 2018 projected revenue represents an increase of $13.5 million or 4.2% compared to the projected Fiscal Year 2017 revenues.

Revenues from retail customers are projected to be $517.4 million in Fiscal Year 2019. This amount includes approximately $130.5 million from the CRIAC and $39.7 million from the Water System Replacement Fee and excludes PILOT/ROW fees. Without the effects of the CRIAC and the Water System Replacement Fee, the Fiscal Year 2019 projected revenue represents an increase of $12.5 million or 3.7% compared to the projected Fiscal Year 2018 revenues.

Retail revenues in Fiscal Years 2020 and 2021 are anticipated to increase in each year reflecting both the effects of projected rate increases as well as the expectation that water demand will decrease by 1% annually.

Clean Rivers Impervious Area Charge Revenues

The revenues from the CRIAC were $86.0 million in Fiscal Year 2015 and $98.8 million in Fiscal Year 2016. CRIAC revenues are projected to increase to $102.0 million in Fiscal Year 2017 and to $115.6 million in Fiscal Year 2018. The revenues from the CRIAC in Fiscal Years 2019 through 2021 are expected to increase further reflecting the effects of projected rate increases.

Water System Replacement Fee

The revenues from Water System Replacement Fee were $30.3 million in Fiscal Year 2016 (reflecting lag factors in the realization of receipts) and are expected to increase to $39.7 million per year in Fiscal Year 2017 through Fiscal Year 2021.

Stormwater Revenues

In Fiscal Years 2017 through 2021, the Authority anticipates that it will collect $1 million in stormwater fees from its retail accounts to cover its share of District stormwater expenditures. The District Council has stormwater rate-setting authority for stormwater services provided by the District. The projected revenue from stormwater fees that are payable to the District are based on the current stormwater rate. For more information regarding the stormwater fee, see "CUSTOMER BASE, RATES AND CHARGES – Components of Retail Rates and Charges – Stormwater Fee."

Wholesale Revenues

The Authority's wholesale revenues for wastewater operations are stable and reflect modest increases in the cost of service and changes in the volumes of wastewater flow from suburban customers. In Fiscal Year 2016, the Authority received $79.8 million in revenue from its wholesale customers pursuant to the IMA, which represented a $1.4 million decline compared to Fiscal Year 2015. Fiscal Year 2015 wholesale revenues were higher than expected due to a portion of the 2014 payments being received in 2015. Revenues from wholesale customers are expected to increase to $81.5 million in Fiscal Year 2017 and to decrease to $76.0 million in Fiscal Year 2018. The revenue decline of about $5.4 million in 2018 is primarily due to changes in allocation methodology including the removal of excess contingency funding in Authority-wide budget, and incorporation of a 3-year average of actuals for wholesale estimated billing, and adjustment of existing estimated wholesale billing.

The revenues from the wholesale customers in Fiscal Years 2019 through 2021 are projected to increase reflecting the effects of projected rate increases as well as the expectation that water demand will decrease by 1% annually.

Loan Repayment from Arlington County and Falls Church

The Authority provided a loan to the Aqueduct to finance certain improvements at the Aqueduct. This loan is repaid to the Authority by Arlington County, Virginia, and Falls Church, Virginia, as Aqueduct Customers, in the form of a credit that is issued to the Authority on the monthly water bills generated by the Aqueduct. The amount of the credit is determined by the Aqueduct in accordance with the Water Sales Agreement, and the annual amount is expected to be $193,246 from Fiscal Year 2017 through Fiscal Year 2021.

Interest Income on Reserve Funds

Interest income is earned on the available funds of the Authority and a portion of the interest earnings may be used to pay operating and maintenance expenses or capital costs of the Authority.

Interest earnings will fluctuate from year to year based on changes in cash flow, fund balances and market conditions affecting interest rates and other investment terms. The Authority has projected interest earnings of $1.8 million in Fiscal Year 2017, $2.5 million in Fiscal Year 2018, $5.3 million in Fiscal Year 2019, $7.4 million in Fiscal Year 2020 and $12.5 million in Fiscal Year 2021, including interest earned from the bond reserves. The assumed annual interest earnings rates for the funds are 1.00% in Fiscal Year 2017, 2.00% in Fiscal Year 2018 and 2019, 3.0% in Fiscal Year 2020 and 5.0% in Fiscal Year 2021. Projected fund balances and interest rate assumptions are reviewed annually as part of the Authority's budget process. The available interest earnings for secure investments are historically low in today's financial markets. The Authority's assumed interest earnings reflect these conditions. Similarly, the assumed current interest rates on borrowed funds, including commercial paper interest, are also historically low compared to prior experience. This assumption reduces interest costs and resulting revenue requirements of the Authority. The Authority assumes for forecasting purposes that interest earnings rates will increase over time while simultaneously assuming that borrowing rates for future Authority debt will be higher than the assumed rates for Fiscal Year 2017.

Miscellaneous Revenue

The Authority realizes revenue from several sources classified as miscellaneous, such as charges for late payments by customers, service installation charges, service line repairs, engineering reviews, the sale of manuals, the District fire protection fee, and fees charged to commercial waste haulers. Miscellaneous revenues in Fiscal Year 2016 were $33.7 million. Revenues from these sources are expected to decrease to $27.0 million in Fiscal Year 2017 and then decrease to $26.0 million in Fiscal Year 2018. Miscellaneous revenues are expected to total $27.8 million per year in Fiscal Years 2019, $29.8 million in Fiscal Year 2020, and $31.7 million in Fiscal Year 2021.

These amounts also include payments for various development-related services provided by the Authority and charges to the District for fire protection services. The Authority's annual investments (operating and capital) in fire protection assets and services increased significantly following the execution of the Memorandum of Understanding between the Authority and the District of Columbia Fire and EMS Department (FEMS) on October 25, 2007. The fees charged by the Authority are intended to recover the costs incurred by the Authority related to fire protection services provided by the water system including, but not limited to, the ability to deliver water for firefighting as well as maintaining and upgrading fire hydrants. The Authority's investments will continue in future years but at a pace that is much lower than the peak years of Fiscal Year 2008 and Fiscal Year 2009. The projected miscellaneous revenues assume that the District will make such payments in each year or that a combination of payments and credits against Authority payments to the District will result in the Authority receiving the full amounts expected from the District.

PILOT/ROW Fee

The total combined revenues from the PILOT/ROW Fee are assumed in the financial forecast to total $21.1 million in Fiscal Year 2017, and increase to $22.4 million in Fiscal Year 2021. The Authority and the District have negotiated new MOUs for both the PILOT and the ROW (see "THE AUTHORITY – Relationship to District").

System Expenditures

Operating Expenses

The following table presents the historical Operating and Maintenance ("O&M") expenses of the Authority for Fiscal Year 2016, and the projected O&M expenses for Fiscal Years 2017 through 2021 on a cash disbursement basis.

The projected expenses for Fiscal Year 2017 reflect the current adopted budget of the Authority which represents a 0.3% increase over the expenses for Fiscal Year 2016, excluding the PILOT/ROW payments to the District. The anticipated expenses for Fiscal Year 2018 reflect an annual decrease of 0.2% over the projected expenses for Fiscal Year 2017, excluding the PILOT/ROW payments to the District. The Personnel Services amounts shown in the table below are net of amounts charged to capital projects.

Historical and Projected Operation and Maintenance Costs on a Cash Disbursement Basis
Fiscal Years ended/ending September 30
($ in thousands) [1]

	Actual	Projected[2]				
	2016	**2017**	**2018**	**2019**	**2020**	**2021**
Personnel Services	$121,101	$122,827	$128,132	$131,976	$135,935	$140,013
Contractual Services	78,097	82,760	79,353	84,734	87,276	89,894
Water Purchases	26,644	29,278	30,156	31,061	31,993	32,952
Chemical & Supplies	37,160	34,709	30,659	31,579	32,526	33,502
Utilities & Rent	34,791	28,670	29,399	30,281	31,189	32,125
Small Equipment	660	1,230	1,071	1,103	1,136	1,170
Total O&M Expenses	$298,452	$299,474	$298,770	$310,733	$320,055	$329,657
PILOT & D.C. ROW Occupancy Fee	20,744	21,057	21,376	21,702	22,034	22,372
Total Expenses	$319,196	$320,531	$320,146	$332,435	$342,089	$352,029

[1] All figures are presented on a cash disbursement basis.
[2] Fiscal Year 2017 - 2021 cost projections are based on the Authority's financial plan.
Source: Amawalk.

The following table provides a comparison of the budgeted versus actual costs from Fiscal Year 2014 to Fiscal Year 2016 on an accrual basis. As illustrated below, the Authority has historically under-spent its annual budget (including O&M expenses).

Budget to Actual Expense Comparison
Fiscal Years Ended September 30
($ in thousands)[1]

	2014			2015			2016		
Category	Approved Budget	Actual Cost	Variance	Approved Budget	Actual Cost	Variance	Approved Budget	Actual Cost	Variance
Personnel Service	$119,765	$125,756	-$5,991	$135,544	$133,935	$1,609	$140,034	$141,886	-$1,852
Contractual Service	76,044	68,172	7,872	76,944	66,241	10,703	79,244	74,087	5,157
Water Purchase	27,991	28,407	(416)	28,831	29,109	(278)	30,740	26,345	4,395
Chemical & Supplies	30,909	30,718	191	36,186	30,306	5,880	35,951	28,965	6,986
Utilities & Rent	30,715	29,939	776	30,416	30,848	(432)	35,018	23,934	11,084
Small Equipment	993	317	676	1,028	531	497	1,465	672	793
Debt Service	130,120	127,068	3,052	160,264	134,845	25,419	174,766	152,428	22,338
Cash Financed Capital Improvements				20,058	20,058	-	23,644	23,475	169
PILOT/ROW	25,181	11,458	13,723	26,687	20,437	6,250	20,744	20,744	-
Total Budgetary Basis Expenditures	$441,718	$421,836	$19,883	$515,958	$466,310	$49,648	$541,605	$492,536	$49,070

[1] All figures are presented on an accrual basis
Source: Operating Budget Book

Several factors affecting future expenses are described herein. The Authority has undertaken long-term initiatives to optimize the cost of service. Management's forecast of operations and maintenance expenses reflects continued emphasis on managing such expenses. Examples of historical and ongoing initiatives are outlined in the description of the major categories of expense. Management continually monitors expenditures and reports the results monthly to the Board's Finance and Budget Committee. The Authority also has the option, in any given year, to defer certain expenses in order to stay within its budget and conform to Board policy requirements.

Labor-Related Expenses

Personnel costs are directly affected by staffing levels, salaries and wages, fringe benefits including retirement contributions, overtime expenditures and other factors.

Certain individuals at the Authority are responsible for planning and implementing the CIP. The salaries, wages and fringe benefits of such personnel are charged to capital projects and are paid for through the sources of funds for the CIP. In Fiscal Year 2017, the costs of such personnel are budgeted at $21.9 million.

Salaries and Fringe Benefits. The Authority provides its employees with a comprehensive fringe benefit package, including coverage for health insurance, group term life insurance, dental care, vision care, disability coverage and retirement plans. The fringe benefit component of total labor costs has increased at a greater rate than salaries and wages in recent years, primarily due to the increasing cost of health care coverage. Fringe benefits are budgeted to be approximately 24 % of the total personnel services budget in Fiscal Year 2017.

While employed by the Authority, employees contribute to a retirement fund and the Authority contributes a proportional match. Once an employee retires, the Authority has no further financial obligations relating to those employees. Some retired employees may be eligible to receive a federal pension. In addition, the federal government also may assume the employer portion of the healthcare coverage for eligible employees. The Authority is and expects to continue to remain current with its benefit payments.

See "THE AUTHORITY – Employees and Labor Relations" herein for further information regarding the Authority's labor force and the status of collective bargaining agreements.

Overtime Expenses. The Authority uses overtime work by its employees to address unplanned repairs and service needs (e.g., to repair water main breaks that occur outside of normal business hours) as well as to provide resources to offset unfilled positions and to reduce the need for contractual labor. Overtime expenses in Fiscal Year 2016, including an allowance for fringe benefits, totaled $6.5 million, or about 5 % of total personnel services costs.

Total Personnel Expenses. The Authority's personnel costs increased at an annual average of 7.2% per year from Fiscal Year 2012 through Fiscal Year 2016. Budgeted personnel expenses for Fiscal Year 2017 are $144.8 million, a 3.4% increase over Fiscal Year 2016. In Fiscal Year 2018, personnel expenses are expected to increase 3.1% from the prior year. Beginning in Fiscal Year 2019, personnel expenses are projected to increase at an average annual rate of 3.0%. The projected rate of increase is supported by the Authority's demonstrated ability to reduce staffing levels and overtime costs through improvements in its facilities and business practices, as well as the expectation that new

employees in the upcoming years will have lower salaries and benefits compared to the employees who will retire during that same period.

Non-Labor Operating Expenses

There are four major categories of non-labor related operating expenses: contractual services (which includes the processing and disposal of biosolids), water purchases, chemicals and supplies, and utilities and rent (which includes electricity needed to operate the Authority facilities).

A brief overview of the four major categories of non-labor expenses is provided below.

Contractual Services. Contractual services include the outside services necessary for the Authority to operate and maintain facilities, including the hauling of biosolids from the Blue Plains treatment facility to the disposal location, building maintenance and repair, the maintenance of certain machinery, equipment and vehicles, and other contractual or professional services.

The actual costs for contractual services in Fiscal Year 2016 were $74.1 million. The budgeted amounts for contractual services in Fiscal Year 2017 and Fiscal Year 2018, are $82.8 million and $79.4 million respectively. Contractual services expenses are assumed to increase at the average annual rate of 3.0% for Fiscal Years 2019 through 2021.

Also included within contractual services is the Authority's purchase of annual insurance policies. The policies cover property, equipment, worker's compensation, umbrella and excess liability, crime and fidelity, public officials' liability, and fiduciary liability.

Water Purchases. The Authority purchases all of its treated drinking water from the Aqueduct on the basis of a 1997 agreement between the Authority and the Corps of Engineers, the operator of the Aqueduct. Under the terms of the agreement and based on its usage in relation to the other Aqueduct Customers, the Authority pays an average of approximately 73% of the Aqueduct's operating costs. The Authority's share of Aqueduct capital costs is reflected in the Authority's CIP.

The actual costs for water purchases in Fiscal Year 2016 were $26.3 million. The budgeted amount for water purchases in Fiscal Year 2017 and 2018 is $29.3 million and $30.2 million, respectively. An average annual increase in water supply costs is assumed at approximately 3.0% in Fiscal Years 2019 through 2021.

Chemicals and Supplies. The chemicals and supplies component of the Authority's operating and maintenance expenses includes, but is not limited to, office, laboratory, custodial and maintenance supplies, automotive supplies, uniforms, and chemicals. Chemicals are the largest portion of this component. The Authority continues to implement a QA/QC program for managing dry polymer selection, procurement, and use. The most cost effective dry polymer products, for different process applications at Blue Plains, are selected based on laboratory and full scale tests. The selected products are "fingerprinted" to verify the consistency in the quality of future deliveries.

The actual expenses for chemicals and supplies in Fiscal Year 2016 were $29.0 million. The budgeted amount for chemicals and supplies in Fiscal Year 2017 and 2018 is $34.7 million and $30.7 million, respectively. The average annual increase of costs for chemicals and supplies is assumed at 3.0% in Fiscal Year 2019 through 2021.

Utilities and Rent. The Authority is a major user of energy, primarily for the operation of the Blue Plains Wastewater Treatment Facilities. In FY 2016, approximately 65% of the expenses associated with utilities and rent are attributable to the cost of power. The combined heat and power project provides up to a third of the plant's energy needs. See "CAPITAL IMPROVEMENT PROGRAM – Categories of CIP Projects – Wastewater Treatment Projects." The Authority has taken a proactive approach to the procurement of power and it's pricing. On October 1, 2014 the Authority entered into a five year full service electricity contract, with five optional years, to purchase power from ConEdision Solutions. As part of its power purchasing strategy in the deregulated environment, this contract allows the Authority to lock in blocks of power at a fixed price when futures pricing meets budget targets. To the extent that the Authority has power needs that exceed the locked in fixed price blocks, the price of the additional power would be established each day at market rates with direct pass-through of all costs. This contract includes an enhanced process for block power purchases that gives the Authority access to the wholesale market. The Authority's Department of Finance, Accounting and Budget monitors the energy market on a continuous basis.

Reserve Funds

The Authority maintains various reserve funds as previously described herein. See "SECURITY FOR THE SERIES 2017A/B BONDS – Certain Reserve Funds – Discretionary Reserves; – Operating Reserve Fund; – Rate Stabilization Fund; and – Renewal and Replacement Reserve Fund."

Financial Policies

The Authority has developed a ten-year financial plan to ensure compliance with certain Indenture requirements and the Board's financial policies. This plan is updated annually, taking into account revisions to the CIP, current and prior year financial performance and other changes. The Board adopted a series of financial policies in 1997 that the Authority utilizes to develop its ten-year financial plan, operating budgets and rate proposals. The policies summarized below reflect revisions adopted by the Board and effective September 30, 2016.

Capital Financing Policy

In order to secure the lowest practical cost of capital to finance the Authority's long-term capital program, the Authority will aim to achieve the following goals:

i. Maintain Senior Debt service coverage of 1.40x.*

ii. Maintain cash reserves equivalent to 120 days of budgeted operations and maintenance costs calculated on an average daily balance basis with the objective of maintaining at least $125.5 million in operating reserves. The annual reserve amount will be formally approved by the Board as part of its annual approval of the operating and capital budgets. The operating reserve requirement will be evaluated every five years by the Authority's independent rate consultant in conjunction with the Indenture-required system assessment. At a minimum include in the operating reserve any reserve requirements contained in the Indenture, excluding any debt service reserve funds and the rate stabilization fund.

iii. Utilize operating cash in excess of the Board's reserve requirement and any other significant one-time cash infusions for capital financing or for repayment of higher cost debt.

iv. Whenever possible, use the least costly type of financing for capital projects, based on a careful evaluation of the Authority's capital and operating requirements and financial position for each year.

v. Attempt to match the period of debt repayment, in total, with the lives of the assets financed by any such debt.

vi. Finance its capital equipment needs (e.g., computer equipment and systems; minor utility equipment such as pumps, motors, etc.) and certain taxable costs of the Aqueduct with operating cash or short-term financing instruments with the same or shorter average lives as the related assets.

Rate-Setting Policies

The Authority's rate-setting policies are based on the following principles:

i. Rates and fees will be based on the actual cost to deliver each service.

ii. Current rates must be sufficient to cover current costs and to meet all bond covenants.

iii. The Authority will achieve a positive net income and cash flow each year.

iv. Rates will be based on an annually updated ten-year financial plan (both operating and capital).

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*This policy goal exceeds the Rate Covenant requirement of 1.20x as provided in the Indenture.

v. Rate increases will be implemented in a gradual and predictable manner, avoiding large one-time rate increases.

vi. Contributions to and usage of the Rate Stabilization Fund as needed to avoid "rate shock." Each year, after reviewing financing improvements from cash and any other non-recurring financing uses of excess operating cash, the annual Rate Stabilization Fund deposit, if any, is determined.

Debt Policy

On October 1, 2015, the Board adopted a revised debt policy. This policy provides detailed guidelines that the Authority's management applies to the Authority's current and future debt portfolio. The goals of this policy are to ensure compliance with all laws, legal agreements, contracts and adopted policies related to debt issuance and management; to promote cooperation and coordination with all stakeholders in the financing and delivery of services; to promote sound financial management to maximize and best utilize future debt capacity; and to ensure that the duties and responsibilities of those charged with the implementation of the Debt Policy are clearly conveyed and understood.

Cash Management and Investment Policies

In May 2014, the Board amended its comprehensive Statement of Investment Policy. The statement outlines broad investment policies to include delegation of certain authority to the CEO, investment objectives, collateralization of deposits, selection of financial institutions, protection of funds, permitted investments, limits on maturities, investment of bond proceeds and investment reporting.

The Office of Treasury and Debt produces daily and monthly internal reports on all cash management and investment activities, with significant peer oversight within the Chief Financial Officer's office, monthly reports to the CEO and quarterly reports to the Board's Finance and Budget Committee that enables them to monitor compliance with Board policies.

Extendable Municipal Commercial Paper Policy

On October 1, 2015, the Board adopted a formal policy relating to the Authority's EMCP Notes. The goal of this policy is to ensure that the Authority is able to pay (either from its own funds, the proceeds of a new issuance of Series A Notes, or a new issue of bonds or Commercial Paper Notes) the principal of and interest on any outstanding EMCP Notes on the original maturity date or extended maturity date thereof, as the case may be.

ENGINEERING FEASIBILITY REPORT

The Authority retained Johnson, Mirmiran & Thompson, Inc. ("JMT") to prepare an Independent Consulting Engineering Assessment Report dated July 9, 2013, a copy of which is available on the Authority's website at www.dcwater.com. Pursuant to the Indenture requirement for an inspection of the System at least once every five years, an Independent Consulting Engineering Assessment Report reviews the Authority's progress in implementing capital projects and its plans to initiate additional capital improvements. The Report evaluates the adequacy of the Authority's CIP to maintain its water and wastewater infrastructure and to continue providing reliable service of a high quality to its customers.

The Independent Consulting Engineering Assessment Report presents findings and conclusions based upon information provided by the Authority or others which is summarized or referred to therein. Set forth below are JMT's principal findings and conclusions. The Independent Consulting Engineering Assessment Report should be read in its entirety for a complete understanding of the assumptions, considerations, estimates and calculations upon which these conclusions are based.

- The Authority has continued implementing its vision and strategic plan, focusing on increasing the operational efficiency of the Water and Wastewater Systems and providing satisfactory service to its customers.

- The Authority staff, including both management and key operations and maintenance personnel, is well qualified, effectively organized and sufficient to meet overall staffing needs.

- The existing Water and Wastewater Systems are effectively maintained and operated.

- The Authority has developed and continues to implement thorough capital programs for ensuring the integrity of the Water and Wastewater Systems.

- Through appropriate management, operational practices, technology, staffing, tools and equipment and selective outsourcing, the Authority has developed capital, operations and maintenance programs that should ensure the continued effective operation of the systems for the foreseeable future. The systems should continue to provide high levels of service with minimal disruption.

- The Authority's wastewater and drinking water facilities are in material compliance with all applicable permits and regulations and continue to provide uninterrupted service to its wholesale and retail customers. Such compliance is anticipated to continue through the foreseeable future.

- Substantial progress has been made by the Authority in improving the operating condition of existing facilities. The CIP is structured to provide a systematic program to replace and rehabilitate aging infrastructure on a priority basis.

- Implementation of the Authority's CIP is intended to address identified system needs and priorities and is within budget.

FINANCIAL FEASIBILITY OPINION LETTER

The Authority retained Amawalk Consulting Group LLC as its financial feasibility consultant, in which capacity Amawalk prepared the Financial Feasibility Opinion Letter dated January 5, 2017, which is attached hereto as APPENDIX A. Amawalk provides financial and management consulting services to water and wastewater utilities, local governments and other organizations. Examples of the consulting services offered by the firm include: cost of service and rate studies; financial modeling; feasibility studies to support the issuance of debt; competitive assessments, including benchmarking and implementation of best practices; analyses supporting the consolidation of services; and the formation/start-up of public authorities including transition planning.

The conclusions set forth in the Financial Feasibility Opinion Letter reflect Amawalk's analysis of the Authority's anticipated financial results for Fiscal Years 2017 to 2021. Amawalk has assisted the Authority in preparing certain portions of this Official Statement relating to historical and projected financial performance of the Authority. The Financial Feasibility Opinion Letter has not been updated to reflect any changes occurring after the date of the Financial Feasibility Opinion Letter.

The Financial Feasibility Opinion Letter presents findings and conclusions based upon the analysis of financial statements and reports prepared by or for the Authority and other information provided by the Authority or others which is summarized or referred to therein, including conclusions, assumptions, considerations and recommendations regarding the operation of the System, the necessary improvements and betterments thereto and the steps that should be taken to assure adequate reliable bulk power supply at reasonable cost. Set forth below are Amawalk's principal conclusions. The Financial Feasibility Opinion Letter and this Official Statement should be read in its entirety for a complete understanding of the assumptions, considerations, estimates and calculations upon which these conclusions are based.

Amawalk concluded that the Authority has the ability to effectively execute its mission, operate its System to provide uninterrupted service, maintain regulatory compliance, and finance and implement its CIP within the parameters set forth in the Indenture and the applicable Board policies. In addition, Amawalk makes the following observations:

- The Authority's financial forecast is viable, consistent with industry standards, and its projections are expected to meet the Board's debt service coverage and reserve requirements and targets.

- Revenues of the Authority (including projected revenue increases resulting from anticipated future rate increases to be implemented by the Authority) in the Reporting Period will be sufficient to pay: (i) the actual Operating Expenses; (ii) Annual Debt Service on Senior Debt; (iii) any amount necessary to be deposited in any Account in the Debt Service Reserve Fund relating to a Series of Bonds to restore the amount on deposit therein to the Series Debt Service Reserve Requirement; (iv) the amount required to pay Annual Debt Service on the Subordinate Debt (including any reserves in connection therewith and the restoration thereof); (v) any amount necessary to be deposited in the Operating Reserve Fund and the Renewal and Replacement Reserve Fund to maintain the required balances therein; and (vi) any amount necessary to make any payments in lieu of taxes in such Fiscal Years.

Sufficient funds are projected to be on deposit in each of the required reserve funds during the Reporting Period.

- Pursuant to Board policy, the Authority maintains a financial policy of fixing, charging, revising and collecting rates, fees and other charges for the use of and the services furnished by the System sufficient in each Fiscal Year so that Net Revenues shall be at least equal to one hundred and forty percent (140%) of the Annual Debt Service on Senior Debt in each such Fiscal Year. Revenues of the Authority (including projected revenue increases resulting from anticipated future rate increases to be implemented by the Authority) in such Fiscal Years will be sufficient to achieve the more stringent financial policy established by the Authority. There can be no assurance that the Board will not change this additional financial policy.

- Pursuant to Board policy, the Authority maintains operating reserves that are greater than $125.5 million or 120 days of budgeted operation and maintenance expenses. The Authority's actual cash on hand has exceeded the levels required by Board policy in recent years. Amawalk reviewed the operating reserve policies of the Authority and concluded that the current Board policy provides for an appropriate level of reserves. There can be no assurance that the Board will not change this additional financial policy.

- The water and wastewater rates, fees and charges of the Authority, including projected increases for FY 2019 through FY 2021, are somewhat higher than the average of other utilities. Relative to median household income, the single family residential charges of DC Water are reasonable and affordable compared to the charges of other major cities as well as utilities in the region. In addition, DC Water utilizes its well-established affordability programs to assist low income customers in paying their bills.

In the analysis of the forecast of future operations summarized in this Official Statement, Amawalk has reviewed certain assumptions with respect to conditions, events and circumstances which may occur in the future. These assumptions are reasonable and attainable as of the date of the Financial Feasibility Opinion Letter, although actual results may differ from those forecast as influenced by the conditions, events and circumstances which actually occur.

TAX MATTERS

General

In the opinion of Squire Patton Boggs (US) LLP and Leftwich LLC, Co-Bond Counsel, under existing law: (i) interest on the Series 2017A/B Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"), and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations; and (ii) the Series 2017A/B Bonds and the interest thereon are exempt from District taxation, except estate, inheritance and gift taxes. Co-Bond Counsel expresses no opinion as to any other tax consequences regarding the Series 2017A/B Bonds.

The opinion on tax matters will be based on and will assume the accuracy of certain representations and certifications, and continuing compliance with certain covenants, of the Authority contained in the transcript of proceedings and that are intended to evidence and assure the foregoing, including that the Series 2017A/B Bonds are and will remain obligations the interest on which is excluded from gross income for federal income tax purposes. Co-Bond Counsel will not independently verify the accuracy of the Authority's certifications and representations or the continuing compliance with the Authority's covenants.

The opinion of Co-Bond Counsel is based on current legal authority and covers certain matters not directly addressed by such authority. It represents Co-Bond Counsel's legal judgment as to exclusion of interest on the Series 2017A/B Bonds from gross income for federal income tax purposes but is not a guaranty of that conclusion. The opinion is not binding on the Internal Revenue Service ("IRS") or any court. Co-Bond Counsel expresses no opinion about (i) the effect of future changes in the Code and the applicable regulations under the Code or (ii) the interpretation and the enforcement of the Code or those regulations by the IRS.

The Code prescribes a number of qualifications and conditions for the interest on state and local government obligations to be and to remain excluded from gross income for federal income tax purposes, some of which require future or continued compliance after issuance of the obligations. Noncompliance with these requirements by the Authority may cause loss of such status and result in the interest on the Series 2017A/B Bonds being included in gross income for federal income tax purposes retroactively to the date of issuance of the Series 2017A/B Bonds. The

Authority has covenanted to take the actions required of it for the interest on the Series 2017A/B Bonds to be and to remain excluded from gross income for federal income tax purposes, and not to take any actions that would adversely affect that exclusion. After the date of issuance of the Series 2017A/B Bonds, Co-Bond Counsel will not undertake to determine (or to so inform any person) whether any actions taken or not taken, or any events occurring or not occurring, or any other matters coming to Co-Bond Counsel's attention, may adversely affect the exclusion from gross income for federal income tax purposes of interest on the Series 2017A/B Bonds or the market value of the Series 2017A/B Bonds.

A portion of the interest on the Series 2017A/B Bonds earned by certain corporations may be subject to a federal corporate alternative minimum tax. In addition, interest on the Series 2017A/B Bonds may be subject to a federal branch profits tax imposed on certain foreign corporations doing business in the U.S. and to a federal tax imposed on excess net passive income of certain S corporations. Under the Code, the exclusion of interest from gross income for federal income tax purposes may have certain adverse federal income tax consequences on items of income, deduction or credit for certain taxpayers, including financial institutions, certain insurance companies, recipients of Social Security and Railroad Retirement benefits, those that are deemed to incur or continue indebtedness to acquire or carry tax-exempt obligations, and individuals otherwise eligible for the earned income tax credit. The applicability and extent of these and other tax consequences will depend upon the particular tax status or other tax items of the owner of the Series 2017A/B Bonds. Co-Bond Counsel will express no opinion regarding those consequences.

Payments of interest on tax-exempt obligations, including the Series 2017A/B Bonds, are generally subject to IRS Form 1099-INT information reporting requirements. If a Bond owner is subject to backup withholding under those requirements, then payments of interest will also be subject to backup withholding. Those requirements do not affect the exclusion of such interest from gross income for federal income tax purposes.

Co-Bond Counsel's engagement with respect to the Series 2017A/B Bonds ends with the issuance of the Series 2017A/B Bonds, and, unless separately engaged, Co-Bond Counsel is not obligated to defend the Authority or the owners of the Series 2017A/B Bonds regarding the tax status of interest thereon in the event of an audit examination by the IRS. The IRS has a program to audit tax-exempt obligations to determine whether the interest thereon is includible in gross income for federal income tax purposes. If the IRS does audit the Series 2017A/B Bonds, under current IRS procedures, the IRS will treat the Authority as the taxpayer and the beneficial owners of the Series 2017A/B Bonds will have only limited rights, if any, to obtain and participate in judicial review of such audit. Any action of the IRS, including but not limited to selection of the Series 2017A/B Bonds for audit, or the course or result of such audit, or an audit of other obligations presenting similar tax issues, may affect the market value of the Series 2017A/B Bonds.

Prospective purchasers of the Series 2017A/B Bonds upon their original issuance at prices other than the respective prices indicated on the inside cover of this Official Statement, and prospective purchasers of the Series 2017A/B Bonds at other than their original issuance, should consult their own tax advisers regarding other tax considerations such as the consequences of market discount, as to all of which Co-Bond Counsel expresses no opinion.

Risk of Future Legislative Changes and/or Court Decisions

Legislation affecting tax-exempt obligations is regularly considered by the U.S. Congress. Court proceedings may also be filed, the outcome of which could modify the tax treatment of obligations such as the Series 2017A/B Bonds. There can be no assurance that legislation enacted or proposed, or actions by a court, after the date of issuance of the Series 2017A/B Bonds will not have an adverse effect on the tax status of interest on the Series 2017A/B Bonds or the market value or marketability of the Series 2017A/B Bonds. These adverse effects could result, for example, from changes to federal or state income tax rates, changes in the structure of federal or state income taxes (including replacement with another type of tax), or repeal (or reduction in the benefit) of the exclusion of interest on the Series 2017A/B Bonds from gross income for federal or state income tax purposes for all or certain taxpayers.

For example, recent presidential and legislative proposals would eliminate, reduce or otherwise alter the tax benefits currently provided to certain owners of state and local government bonds, including proposals that would result in additional federal income tax on taxpayers that own tax-exempt obligations if their incomes exceed certain thresholds. Investors in the Series 2017A/B Bonds should be aware that any such future legislative actions (including federal income tax reform) may retroactively change the treatment of all or a portion of the interest on the Series 2017A/B Bonds for federal income tax purposes for all or certain taxpayers. In such event, the market value of the Series 2017A/B Bonds may be adversely affected and the ability of holders to sell their Bonds in the secondary market may be reduced.

Investors should consult their own financial and tax advisers to analyze the importance of these risks.

Original Issue Premium

The Bonds ("Premium Bonds") as indicated on the cover of this Official Statement were offered and sold to the public at a price in excess of their stated redemption price at maturity (the principal amount). That excess constitutes bond premium. For federal income tax purposes, bond premium is amortized over the period to maturity of a Premium Bond, based on the yield to maturity of that Premium Bond (or, in the case of a Premium Bond callable prior to its stated maturity, the amortization period and yield may be required to be determined on the basis of an earlier call date that results in the lowest yield on that Premium Bond), compounded semiannually. No portion of that bond premium is deductible by the owner of a Premium Bond. For purposes of determining the owner's gain or loss on the sale, redemption (including redemption at maturity) or other disposition of a Premium Bond, the owner's tax basis in the Premium Bond is reduced by the amount of bond premium that is amortized during the period of ownership. As a result, an owner may realize taxable gain for federal income tax purposes from the sale or other disposition of a Premium Bond for an amount equal to or less than the amount paid by the owner for that Premium Bond. A purchaser of a Premium Bond in the initial public offering at the price for that Premium Bond stated on the cover of this Official Statement who holds that Premium Bond to maturity (or, in the case of a callable Premium Bond, to its earlier call date that results in the lowest yield on that Premium Bond) will realize no gain or loss upon the retirement of that Premium Bond.

Owners of Premium Bonds should consult their own tax advisers as to the determination for federal income tax purposes of the amount of bond premium properly accruable or amortizable in any period with respect to the Premium Bonds and as to other federal tax consequences and the treatment of bond premium for purposes of state and local taxes on, or based on, income.

COVENANT BY THE DISTRICT OF COLUMBIA

Under the Act, the District pledges to the Authority and any holders of the bonds that, except as provided under the Act, the District will not limit or alter rights vested in the Authority to fulfill agreements made with holders of the bonds, or in any way impair the rights and remedies of the holders of the bonds until the bonds, together with interest thereon, with interest on any unpaid installments of interest and all costs and expenses in connection with any action or proceedings by or on behalf of the holders of the bonds, are fully met and discharged.

LITIGATION

There is not now pending or, to the best of the Authority's knowledge, threatened any litigation restraining or enjoining the issuance or delivery of the Series 2017A/B Bonds or questioning or affecting the validity of the Series 2017A/B Bonds, the proceedings and authority under which they are to be issued, nor is the creation, organization, or existence of the Authority being contested. Nor is there any litigation pending or, to the best of the Authority's knowledge, threatened which (i) in any manner questions the right of the Authority to operate the System or its right to conduct its activities in accordance with the provisions of the Act and of the Indenture or (ii) if determined adversely to the Authority, would have a material adverse impact on the financial condition of the Authority.

The Authority is subject to a variety of suits and proceedings arising out of its ordinary course of operations, some of which may be adjudicated adversely to the Authority. Any such litigation is of a routine nature which does not affect the right of the Authority to conduct its business or the validity of its obligations.

LEGAL MATTERS

Certain legal matters relating to the issuance of the Series 2017A/B Bonds are subject to the approving opinions of Squire Patton Boggs (US) LLP and Leftwich LLC, Co-Bond Counsel, which will be furnished upon delivery of the Series 2017A/B Bonds, substantially in the form set forth as APPENDIX F. Squire Patton Boggs (US) LLP and Leftwich LLC also serve as Co-Disclosure Counsel to the Authority in connection with the preparation of this Official Statement. Certain legal matters will be passed upon for the Authority by its General Counsel, and for the Underwriters by their co-counsel, Orrick, Herrington & Sutcliffe LLP and McKenzie & Associates.

INDEPENDENT AUDITORS

The financial statements of the Authority for fiscal years 2015 and 2016 included in this Official Statement have been audited by KPMG LLP ("KPMG"). KPMG has not been engaged to perform and has not performed, since the date of its report included herein, any procedures on the financial statements addressed in that report. KPMG also has not performed any procedures relating to this Official Statement.

THE TRUSTEE

The Authority has appointed Wells Fargo Bank, N.A., a national banking association organized under the laws of the United States, to serve as Trustee. The Trustee is to carry out those duties assignable to it under the Master Indenture. Except for the contents of this section, the Trustee has not reviewed or participated in the preparation of this Official Statement and assumes no responsibility for the nature, contents, accuracy or completeness of the information set forth in this Official Statement or for the recitals contained in the Indenture or the Series 2017A/B Bonds, or for the validity, sufficiency, or legal effect of any of such documents.

Furthermore, the Trustee has no oversight responsibility, and is not accountable, for the use or application of the proceeds of such Series 2017A/B Bonds by the Authority. The Trustee has not evaluated the risks, benefits, or propriety of any investment in the Series 2017A/B Bonds and makes no representation, and has reached no conclusions, regarding the value or condition of any assets or revenues pledged or assigned as security for the Series 2017A/B Bonds, the technical or financial feasibility of the Project, or the investment quality of the Series 2017A/B Bonds, about all of which the Trustee expresses no opinion and expressly disclaims the expertise to evaluate.

RATINGS

Standard & Poor's Global Ratings Services ("S&P"), and Moody's Investors Service, Inc. ("Moody's"), have assigned long-term municipal bond ratings of "AAA," and "Aa1" respectively, to the Series 2017A/B Bonds. A securities rating is not a recommendation to buy, sell or hold the Series 2017A/B Bonds and may be subject to revision or withdrawal at any time. A rating reflects only the view of the rating agency giving such rating. An explanation of the significance of the ratings may be obtained from: S&P at 55 Water Street, New York, New York 10041; and from Moody's at 7 World Trade Center, New York, New York 10007. There is no assurance that a rating will apply for any given period of time, or that a rating will not be revised or withdrawn. A revision or withdrawal of a rating may have an effect on the market price of or the market for the Series 2017A/B Bonds.

Moody's has assigned a Green Bond Assessment of GB1 (the highest assessment) to the Series 2017A Bonds. Such assessment reflects only the view of Moody's, with respect to the assessment given by it, and any explanation of the significance of such assessment may only be obtained from Moody's. There is no assurance that the assessment will remain in effect for any given period of time or that they will not be lowered, suspended or withdrawn entirely if, in the judgment of Moody's, circumstances so warrant. Any such lowering, suspension or withdrawal of the assessment might have an adverse effect on the market price or marketability of the Series 2017A Bonds.

CONTINUING DISCLOSURE

In accordance with the requirements of the Rule promulgated by the SEC, the Authority will enter into the Continuing Disclosure Agreement dated the date of delivery of the Series 2017A/B Bonds, which will constitute a written undertaking for the benefit of the Owners of the Series 2017A/B Bonds, solely to assist the Underwriters in complying with subsection (b)(5) of the Rule. Pursuant to the Continuing Disclosure Agreement, the Authority has covenanted to provide certain financial information on an annual basis and to provide notice of certain enumerated events. See APPENDIX D – "Form of the Continuing Disclosure Agreement" for detailed provisions of the Continuing Disclosure Agreement.

FINANCIAL ADVISORS

PFM Financial Advisors LLC and G-Entry Principle, PC, together, have served as co-financial advisors (the "Co-Financial Advisors") to the Authority with respect to the issuance of the Series 2017A/B Bonds.

UNDERWRITING

Goldman, Sachs & Co., on behalf of itself and as representative (the "Representative") of the underwriters identified on the front cover of this Official Statement (collectively, the "Underwriters") has agreed to purchase from the Authority the Series 2017A/B Bonds at an aggregate purchase price equal to $333,052,566.54 (which amount constitutes the aggregate principal amount of the Series 2017A/B Bonds of $300,000,000, plus original issue premium of $34,344,598.15, less the Underwriters' discount of $1,292,031.61).

The Bond Purchase Agreement by and among the Authority and the Representative, on behalf of itself and as representative of the Underwriters dated January 31, 2017 (the "Series 2017A/B Bond Purchase Agreement"),

provides that the Underwriters will purchase all of the Series 2017A/B Bonds, if any are purchased, and the obligation to make such purchases is subject to certain terms and conditions set forth in the Series 2017A/B Bond Purchase Agreement, the approval of certain legal matters by counsel and certain other conditions.

The Series 2017A/B Bonds may be offered and sold to certain dealers (including dealers depositing the Series 2017A/B Bonds into investment trusts) at prices lower than the public offering prices and such public offering prices may be changed from time to time by the Underwriters.

The Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Certain of the Underwriters and their respective affiliates have provided, and may in the future provide, a variety of these services to the Authority and to persons and entities with relationships with the Authority, for which they received or will receive customary fees and expenses.

In the ordinary course of their various business activities, the Underwriters and their respective affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the Authority (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the Authority. The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments

LEGALITY FOR INVESTMENT

The Act provides that the bonds of the Authority are legal instruments in which public officers and public bodies of the District, insurance companies, insurance company associations and other persons carrying on an insurance business, banks, bankers, banking institutions, including savings and loan associations, building and loan associations, trust companies, savings banks, savings associations, investment companies and other persons carrying on a banking business, administrators, guardians, executors, trustees and other fiduciaries and other persons authorized to invest in bonds or in other obligations of the District, may legally invest funds, including capital, in their control.

The bonds are also, by the Act, securities which legally may be deposited with, and received by, public officers and public bodies of the District or any agency of the District for any purpose for which the deposit of bonds or other obligations of the District is authorized by law.

RELATIONSHIP OF PARTIES

In addition to representing the Authority as Co-Bond Counsel and Co-Disclosure Counsel, Squire Patton Boggs (US) LLP from time to time represents the Authority in other matters, including environmental, regulatory and personnel matters. From time to time, Squire Patton Boggs (US) LLP also represents one or more members of the underwriting group as its or their counsel in municipal bond transactions and other matters, but not in any matters related to the Authority.

In addition to representing the Authority as Co-Bond Counsel and Co-Disclosure Counsel, Leftwich LLC from time to time represents the Authority in other matters, including personal injury and personnel matters.

MISCELLANEOUS

All estimates, assumptions, statistical information and other statements contained herein, while taken from sources considered reliable, are not guaranteed. To the extent that any statements herein include matters of opinion, or estimates of future expenses and income, whether or not expressly so stated, they are intended merely as such and not as representations of fact.

The agreement of the Authority with the holders of the Series 2017A/B Bonds is fully set forth in the Indenture. Neither any advertisement of the Series 2017A/B Bonds nor this Official Statement is to be construed as constituting an agreement with the purchasers of the Series 2017A/B Bonds.

The information contained herein should not be construed as representing all conditions affecting the Authority or the Series 2017A/B Bonds. The foregoing statements relating to the Act, the Federal Act, the Indenture and other documents are summaries of certain provisions thereof, and in all respects are subject to and qualified in their entirety by express reference to the provisions of such documents in their complete forms.

The attached Appendices A through F are integral parts of this Official Statement and should be read in their entirety, together with all of the foregoing statements.

DISTRICT OF COLUMBIA
WATER AND SEWER AUTHORITY

By: */s/Mark T. Kim*
Mark T. Kim
Chief Financial Officer

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APPENDIX A

FINANCIAL FEASIBILITY OPINION LETTER OF AMAWALK CONSULTING GROUP LLC DATED JANUARY 5, 2017

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Amawalk
Consulting Group LLC

90 Broad Street, Suite 707A, New York, NY 10004 • Tel: 212.361.0050 • Fax: 212.361.0055

January 5, 2017

Mr. Mark Kim
Chief Financial Officer
District of Columbia Water and Sewer Authority
5000 Overlook Avenue, SW
Washington, D.C. 20032

Subject: Financial Feasibility for the District of Columbia Water and Sewer Authority's Public Utility Senior Lien Revenue Bonds, Series 2017 A/B

Dear Mr. Kim:

The purpose of this letter is to summarize the conclusions of the independent analysis of the financial forecast (the "Financial Forecast") for the District of Columbia Water and Sewer Authority ("DC Water" or the "Authority") for its Fiscal Years ending September 30, 2017 through 2021 (the "Reporting Period") prepared by the Amawalk Consulting Group LLC ("Amawalk") in connection with the issuance by DC Water of Public Utility Senior Lien Revenue Bonds, Series 2017A (Green Bonds) (the "Series 2017A Bonds") and the Public Utility Senior Lien Revenue Bonds, Series 2017B (the "Series 2017B Bonds", and together with Series 2017A Bonds, the "Series 2017 A/B Bonds"). Proceeds of the Series 2017 A/B Bonds are expected to be used to pay: (i) a portion of the costs of the Authority's DC Clean Rivers Project (the "DC Clean Rivers Project") (the "Series 2017A Project"), (ii) a portion of the costs of certain other capital improvements to the System (the "Series 2017B Project"), and (iii) costs of issuing the Series 2017 A/B Bonds. The Series 2017 A/B Bonds will constitute Senior Debt as defined under the Master Indenture of Trust (the "Indenture") between the Authority and Wells Fargo Bank N.A. as trustee, dated as of April 1, 1998, as supplemented and amended, including by the Twenty-Second Supplemental Indenture, with respect of the Series 2017 A/B Bonds.

The Financial Forecast includes provisions for the financing of improvements to the Water and Sewer System of DC Water (the "System") as reflected in the Current Capital Improvement Program (the "Current CIP"). The Financial Forecast sets forth the ability of the System to meet the operating costs, working capital needs and other financial requirements of the System, including the debt service requirements associated with the Outstanding Senior Debt and Subordinate Debt issued under the Indenture and the additional Senior Lien Debt and Subordinate Lien Debt that is expected to be issued by the Authority during the period ending September 30, 2021.

The term "Revenues," as defined by the Indenture, includes, but is not limited to, all moneys received as income, rates, fees, charges, receipts, profits and other moneys derived by the Authority operation and maintenance of the System, and for the use of and for the services

furnished by the System, including Connection Fees, transfers from the Rate Stabilization Fund ("RSF") to the Revenue Fund, proceeds of any business interruption insurance, and investment earnings on all of the funds held by the Trustee under the Indenture and by the Authority, except any rebate fund that may be created under the Indenture. Revenues shall not include refundable customer deposits, the Inter-Municipal Agreement ("IMA") Capital Payments or other payments solely in aid of construction, the U.S. Environmental Protection Agency ("US EPA") Grants or similar payments, or the proceeds resulting from the sale of all or a portion of the System. For purposes of determining the total amount of Revenues in any year, there shall be deducted an amount equal to the amount transferred from the System Fund to the RSF pursuant to the Indenture.

The Financial Forecast summarizes the anticipated financial results of the Authority for the Reporting Period. The Authority's fiscal year ends on September 30. All references in the Official Statement to a fiscal year ("Fiscal Year" or "FY") relate to the 12 month period ending September 30 of the year shown.

Methodology

The Authority's books, records, financial reports, and statistical data have been reviewed to the extent practicable, and other investigations and analyses were conducted as deemed necessary to assemble and analyze the forecast of revenues, revenue requirements, and debt service coverage for the Reporting Period. Analyses have been performed to support the findings and conclusions presented herein. Our analysis of the Financial Forecast included the following steps:

- Communication with key Authority staff to review: 1) current policies and anticipated changes (if any) of DC Water's Board of Directors (the "Board"), 2) assumptions underpinning the Authority's financial forecast, 3) billing and collection experience, 4) factors affecting the cost of Authority operations and the implementation of capital projects, and 5) other matters that could affect System revenues and costs.
- Reviewing documents prepared by the Authority including the Current CIP for FY 2017 – 2026; the Revised FY 2016 Operating Budget and the Approved FY 2017 Operating Budget; the Comprehensive Annual Financial Report ("CAFR") for the Fiscal Years ending September 30, 2013, September 30, 2014, and September 30, 2015; Financial Statements for the year ending September 30, 2016; Official Statements for the Authority's Series 2014A Bonds, Series 2014B Bonds, Series 2014C Refunding Bonds, Series 2015A/B Bonds, and Series 2016A Refunding Bonds; Private Placement Agreement for the Authority's Series 2016B Environmental Impact Bonds; reports to the Board; and other information.
- Reviewing documents prepared by consultants to the Authority including: the findings for the Cost of Service and Rate Structure Study and the proposed rate structure changes prepared by Raftelis Financial Consultants, Inc. ("Raftelis"), and presented to the Authority Retail Rates Committee; the Findings and Recommendations for the Independent Consulting Engineering Assessment of the Authority's Water and Sewer System prepared by Johnson, Mirmiran & Thompson ("JMT"), dated July 9, 2013, to

reflect their findings on data as of April 2013; the Independent Engineering Review of DC Clean Rivers Project Memorandum for 100-Year Service Life of Assets prepared by JMT, dated May 2, 2014; and the Financial Feasibility Reports prepared by Amawalk in connection with the issuance of the Series 2014A Bonds, Series 2014B Bonds, Series 2014C Refunding Bonds, the Series 2015 A/B Bonds, and the Series 2016A Refunding Bonds.

- Evaluating historical revenues for the period of FY 2013 through FY 2016, year-to-date estimates of revenues for FY 2017 and factors affecting revenues including the rate structure, timing and amounts of rate increases, consumption trends and billing and collection of the Clean River Impervious Area Charge ("CRIAC") and the Water System Replacement Fee ("WSRF").
- Evaluating historical expenses from FY 2013 through FY 2016 and year-to-date estimates of expenses for FY 2017 and factors affecting operating costs including staffing levels, labor agreements, pension and fringe benefit contributions, utilities, chemicals, biosolids and other components of expenses.
- Reviewing the Authority's regulatory requirements and the impact of those requirements on the cost of the Current CIP and the expenses for operation and maintenance of the System.
- Drawing upon results of prior studies to compare the efficiency and effectiveness of the Authority in managing the System with the performance of other comparable water and wastewater utilities.
- Reviewing the Authority's financial plan for FY 2017 through FY 2021 and the data and assumptions used in preparing the plan.

In conducting our analysis, we have used original source documents and first-person interviews whenever possible. We have relied upon the accuracy of the information provided by the Authority – both written and oral. Amawalk is responsible for the interpretation of data used for this analysis.

Findings and Conclusions

In our opinion, the Authority has the ability to effectively execute its mission, operate its System to provide uninterrupted service, maintain regulatory compliance, and finance and implement its Current CIP within the Indenture and Board policy requirements. In addition to this general conclusion, we offer the following specific observations:

The members of the Board continue to play an important role in setting policy direction. The Board has adopted and acted on financial and rate-setting policies that allow the Authority to accomplish its mission to provide reliable and cost-effective water and wastewater services to its customers in accordance with best practices in the water and wastewater industry. The Board adopted its Blue Horizon 2020 Strategic Plan that updated prior planning efforts and identified six critical success factors: Importance of Communications and Outreach; Increasing the Value of Water; Alternative Revenue Streams; Sustainability; Efficiency; and Regional Cooperation

and Partnerships. The Strategic Plan outlines a series of specific objectives and strategic initiatives to support each critical success factor.

The effectiveness of the Authority's governance structure has been confirmed by independent study. The Authority's enabling legislation required that a study be performed by the year 2000 regarding the feasibility of regionalizing some or all of the operations of the Authority. The 2000 study concluded that the Authority's governance structure was working well, and suggested no changes in governance and a further review in five years.

In FY 2006, the Authority's Governance Committee engaged the services of a multi-disciplinary consulting team comprised of Municipal and Financial Services Group, LeBoeuf, Lamb, Greene, and MacRae, LLP, and Tatum and Associates, LLC to examine a variety of issues concerning the governance of the Authority. The 2006 governance study endorsed the then existing structure. The structure has not been changed since 2006.

The Authority's organization and management continue to support successful implementation of its mission. The Authority's policies, financial position, planning, capital improvements, operations and customer service reflect the strengths of its organization and competent senior management. The Authority has improved the efficiency and effectiveness of its operations in recent years and is focusing attention on additional opportunities to optimize its performance. The startup and operation of the new biosolids processing facilities is one example of the Authority's efforts, resulting in a substantial reduction in biosolids production, hauling and disposal expenses as well as the production of a substantial amount of energy for the Blue Plains Wastewater Treatment Plant ("Blue Plains").

A second illustration is the Authority's investment in green infrastructure ("GI"). Under the terms of a 2015 modification to the legal agreement for the Clean Rivers Project, DC Water will eliminate the previously-planned underground tunnel for Rock Creek and will instead build GI and targeted sewer separation. GI offers environmental, social, and economic benefits that would not be realized under the previous plan. The revised schedule allows for an additional five years to complete portions of the Clean Rivers Project; this additional time will spread out annual expenditures and help ratepayers. Additionally, DC Water and the Water Environment Federation ("WEF") have signed an agreement to develop a National GI Certification Program aimed at promoting skilled individuals who will install, inspect, and maintain GI systems.

The Authority financed part of its GI investments with its September 2016 issuance of $25,000,000 of tax-exempt Public Utility Subordinate Lien Revenue Bonds, Series 2016B (Environmental Impact Bonds) (the "Series 2016B Bonds"). The Series 2016B Bonds are designated as environmental impact bonds and, as such, include provisions for the possibility of an outcome payment by the Authority to the original purchasers of the Series 2016B Bonds, and for the possibility of a risk share payment by such original purchasers to the Authority depending upon the results achieved by the GI project financed with the proceeds of the Series 2016B Bonds. The net proceeds of the issuance will be used for construction of GI for the Rock Creek

Project A (RC-A). The GI practices are designed to mimic natural processes to absorb and slow surges of stormwater during periods of heavy rainfall, reducing the incidence and volume of combined sewer overflows that pollute the District's waterways.

We also note that the Authority tracks multiple measures of performance to assess its operational and financial results.

The Authority's operations are in material compliance with all applicable permits and regulatory requirements. The Authority continues to operate at or above the requirements of applicable wastewater and drinking water regulations or permits, reflecting the condition of the System components, expertise of operating staff, and the Authority's commitment to install required new processes and technology as well as rehabilitate and replace vital assets. Provided that the Authority continues its planned upgrades, rehabilitation, replacement and other capital improvements, it is expected to remain compliant with current regulatory requirements during the Reporting Period.

The Authority's investment in capital improvements is consistent with maintaining regulatory compliance and enhancing engineering performance. The Current CIP includes capital investments of $3,752 million. The three largest components of the CIP are $1,222 million for the Combined Sewer Overflow ("CSO")/Long-Term Control Plan ("LTCP"), $845 million for wastewater treatment projects at Blue Plains, and $639 million for water system improvements. Important capital initiatives beyond the 10-year planning period may include continued investment in the CSO LTCP and sanitary sewer rehabilitation.

The Authority and the Washington Aqueduct continue to place appropriate emphasis on security. The Authority's security activities are closely coordinated with the Washington Aqueduct as well as the District of Columbia, including the Emergency Management Agency, Metropolitan Police Department, District of Columbia Fire and Emergency Medical Services Department, and federal agencies such as the Department of Homeland Security, the Federal Bureau of Investigation and the Bureau of Alcohol, Tobacco and Firearms.

Revenues are reasonably predictable. Actual cash receipts for the three-year period of FY 2014 – FY 2016 have ranged from 0.6% above budget to 3.7% above budget in a given year. On average, cash receipts were about 2.0% more than the budgeted amounts for the three-year period. This track record indicates that revenue estimates are prudently developed. Actual FY 2017 cash receipts through November 30, 2016 are above DC Water's budget expectations for this two month period. It is not possible at this time to predict whether full-year cash receipts in FY 2017 will be higher, lower or the same as the budgeted receipts. Projected revenue increases from retail customers during the Reporting Period reflect increases in retail rates, a stable number of customer accounts, and an anticipated decline in water consumption.

The Authority adopted several changes to its retail rate structure starting in FY 2016. These changes were designed to better align the Authority's revenues and expenditures through the

following steps: 1) establishing customer class-based volumetric water rates based upon peaking factors, 2) creating a more progressive rate structure for its residential customers by establishing lifeline water rates which discount core consumption, and 3) funding the Authority's water main replacement program by establishing a monthly, fixed Water System Replacement Fee. The rate structure changes were successfully implemented as evidenced by actual receipts from retail customers in FY 2016 that were slightly higher than expectations.

The amounts due each year from the Federal government and suburban wholesale customers are calculated and billed in advance of each fiscal year. The Authority expects to receive approximately 22% of its total revenue, excluding PILOT/ROW revenues, from the Federal government, suburban wholesale customers, the District Housing Authority and the District government in FY 2017 through FY 2021. Payments from wholesale customers are expected to decline in FY 2018 compared to the prior year due to changes in the allocation methodology but then increase in each year thereafter due to increases in operating costs. Payments from the Federal government are expected to be lower in FY 2017 compared to the prior year due to significant reductions in water use by the Federal government and prior year refunds. Federal payments are expected to increase in each year thereafter due to increases in rates and charges.

Revenue estimates take into consideration declining consumption. The average annual rate of decline in consumption from FY 2012 through FY 2016 was 1.5%, with decreases in usage every year except in FY 2015 when there was a 5% increase in demand compared to FY 2014. The decrease in consumption in FY 2014 and the majority of the increase in usage in FY 2015 was attributable to the Federal government. Excluding usage by the Federal government, consumption increased slightly by 0.3% in FY 2015. The replacement of old fixtures and appliances with more efficient units and customer water conservation most likely contributed to the decline in water demand. Other large water systems as well as utilities in the region have also experienced declines in usage in recent years. The Authority has reviewed metered consumption and billings to the Federal government and has adjusted Federal government revenues as noted in the Official Statement for the Series 2017 A/B Bonds. The Authority will continue to monitor consumption patterns closely and adjust projections accordingly. The Authority anticipates that consumption will total 34.11 million hundred cubic feet in Fiscal Year 2017. The Authority assumes that long-term water consumption will decline at the rate of 1% per year beginning in Fiscal Year 2018, recognizing that weather conditions and other factors may affect water demand in a given year. The projected reduction in consumption anticipates that there will be continuing water conservation measures by customers and fixture replacement.

The Authority continues to effectively manage its annual costs. The actual expenditures of the Authority have been less than the budgeted amounts in each of the recent years. Actual expenditures on a cash basis for FY 2014 – FY 2016 have been lower than the budgeted amounts in each year, with an average of about 7.4% under budget. Underspending can free-up cash which may be used to offset declines in revenue (where applicable), cover unforeseen increases in costs and/or mitigate rate increases. While not a guarantee of future results, this track record offers a degree of comfort that expenditure estimates are prudently developed. Year-to-date FY

2017 cash used as of November 30, 2016 is above the budget amount for this two month period. It is not possible at this time to predict whether full-year cash used will be higher, lower or the same as the budgeted disbursements.

Excluding the changes in the PILOT/ROW payments to the District of Columbia, the anticipated percentage changes in operating costs for FY 2017 through FY 2021 compared to each prior year are summarized below.

Fiscal Year	Change in Operating Costs Per Year (%)
2017	0.3
2018	-0.2
2019	4.0
2020	3.0
2021	3.0

In Fiscal Year 2017 and subsequent years, the Authority anticipates that the difference between actual and budgeted operating expenses will be less than the differences in previous years due to budget planning that focuses on having actual expenses more closely aligned with budgeted expenses. We also note that the Authority utilizes a separate line item in its operating budget to provide funds for additional cash-financed capital construction, the defeasance of debt, or other uses of funds at the discretion of the Authority. The amounts in this line item could alternatively be used by the Authority to help address potential shortfalls in cash receipts or increases in expenses, should the need arise.

The Authority's financial plan is sound, has been appropriately developed, and is supported by adopted and planned rate increases. The Authority's financial forecast is viable and consistent with industry practices. Financial projections were reasonably developed and are expected to meet the Board's debt service coverage and reserve requirements and targets. The Authority adopted a 5.0% increase in retail consumption-based water and sewer rates for FY 2017 and increased the CRIAC from $20.30 per Equivalent Residential Unit ("ERU") per month to $22.24 per ERU. In addition, the Authority adopted a 5.0% increase in retail consumption-based water and sewer rates for FY 2018 and increased the CRIAC from $22.24 per ERU per month to $25.18 per ERU. The Authority's financial forecast includes anticipated annual increases in consumption-based retail water and sewer rates of an average of 5.0% annually for FY 2019 through FY 2021. Increases in the CRIAC are also anticipated in each year of the Reporting Period.

The Customer Metering Fee and Water System Replacement Fee are each based on meter size. No changes to these Fees are anticipated during the Projection Period.

The water and wastewater rates, fees and charges of the Authority, including projected increases for FY 2019 through FY 2021, are somewhat higher than the average of other utilities. Relative to median household income, the single family residential charges of DC Water are reasonable and affordable compared to the charges of other major cities as well as utilities in the region. In addition, DC Water utilizes its well-established affordability programs to assist low income customers in paying their bills.

In FY 2000, the Authority established and began funding a RSF to help manage future rate increases necessitated by the CIP. The balance of funds in the RSF was $51.45 million at the end of FY 2016. Deposits are expected to be made to the RSF from operating revenues in FY 2019 through FY 2021. The Financial Forecast anticipates that the RSF will have a balance of $65.45 million at the end of FY 2021. The Authority may withdraw funds in future years to reduce rate increases that might otherwise be required; however, the Authority does not currently have plans to withdraw funds from the RSF in Fiscal Years 2017 through 2021.

In accordance with Board policy, the Authority maintains operating reserves that are to be funded at the greater of $125.5 million or 120 days of budgeted operation and maintenance expenses. This policy requirement exceeds the minimum Operating Reserve fund requirements set forth in the Indenture. Actual cash on hand has exceeded the levels required by Board policy in recent years, including the amount on hand at the end of FY 2016.

Historically, the Authority has adopted its budgets and its retail rates and charges on an annual basis. The budget process is expected to remain the same during the Reporting Period: budgeted revenues, operating expenses and CIP expenditures will be adopted annually by the Board. Beginning with Fiscal Year 2017, the Authority changed its rate-setting frequency to set retail rates and charges for two-year periods – i.e., in calendar year 2016 the Board adopted (i) rates and charges effective October 1, 2016 (Fiscal Year 2017) and (ii) rates and charges to be effective October 1, 2017 (Fiscal Year 2018). Similarly, in calendar year 2018 the Board is expected to adopt (i) rates and charges to be effective October 1, 2018 (Fiscal Year 2019) and (ii) rates and charges to be effective October 1, 2019 (Fiscal Year 2020). The retail rates and charges are expected to change in each year. The use of multi-year rate-setting is an accepted practice in the water and wastewater industry. As is currently the case, if in any year the Authority determines that revenues are materially less than expectations and/or debt service or operating expenses are materially higher than budgeted, the Authority has the ability to adjust its retail rates and charges during the fiscal year. Historically, there has been no need for the Authority to make such changes during a fiscal year.

The Authority adopted a meter-based System Availability Fee ("SAF") which will be assessed on a one-time basis to a property owner of any premises, building or structure to recover the cost of system capacity servicing all metered water service and sanitary sewer connections and renovation or redevelopment projects that require an upsized meter service connection to the System in the District. For a renovation or redevelopment project on a property that already has DC Water meters and accounts, credits will be applied for the older meters being removed from

the system. Such fees are common in the industry and among utilities in the region. The Authority's Financial Forecast incorporates SAF revenues starting in FY 2018 in the amount of $1.9 million and increasing to $7.7 million in FY 2021.

The Authority's Financial Forecast anticipates that approximately 60.3% of its financing sources for the Current CIP in FY 2017-2026 will be cash-based. Sources of cash include $1,295 million from operations, $713 million from wholesale customer contributions, $224 million in federal grants, $58 million from the SAF and $14 million from interest income. The planned use of cash-based sources is expected to reduce the amount of debt that would otherwise be issued as well as the resulting annual debt service.

For the debt to be issued, the Authority's ability to implement the Current CIP and achieve its Financial Forecast assumes that the Authority has reasonable access to credit markets for its planned debt at the assumed interest rates and repayment terms.

If rate increases are implemented as forecast, the Authority's revenues during the Reporting Period will be sufficient to comply with the Rate Covenant set forth in the Indenture. Complying with the Rate Covenant would mean that the Authority is meeting all projected expenses for operations and maintenance, repair and replacement, making reserve fund deposits (as required), and paying all interest and principal on the Authority's current and projected debt obligations, including the proposed Series 2017 A/B Bonds. Revenues of the Authority (including projected revenue increases resulting from anticipated future rate increases to be implemented by the Authority) in the Reporting Period will be sufficient to pay: (i) the actual Operating Expenses; (ii) Annual Debt Service on Senior Debt; (iii) any amount necessary to be deposited in any Account in the Debt Service Reserve Fund relating to a Series of Bonds to restore the amount on deposit therein to the Series Debt Service Reserve Requirement; (iv) the amount required to pay Annual Debt Service on the Subordinate Debt (including any reserves in connection therewith and the restoration thereof); (v) any amount necessary to be deposited in the Operating Reserve Fund and the Renewal and Replacement Reserve Fund to maintain the required balances therein; and (vi) any amount necessary to make any payments in lieu of taxes in such Fiscal Years. Sufficient funds are projected to be on deposit in each of the required reserve funds during the Reporting Period.

In addition to the Rate Covenant described above, in 1997 the Authority adopted a financial policy of fixing, charging, revising and collecting rates, fees and other charges for the use of and the services furnished by the System sufficient in each fiscal year so that Net Revenues shall be at least equal to one hundred and forty percent (140%) of the Annual Debt Service on Senior Debt in each such Fiscal Year. Revenues of the Authority (including projected revenue increases resulting from anticipated future rate increases to be implemented by the Authority) in such Fiscal Years will be sufficient to achieve the more stringent financial policy established by the Authority. There can be no assurance that the Authority's Board will not change this additional financial policy.

Amawalk has prepared many of the tables and charts that are included in the Official Statement for the Series 2017 A/B Bonds. The firm is referenced as the source for each of the applicable tables and charts.

In the analysis of the forecast of future operations summarized in this Official Statement, Amawalk has reviewed certain assumptions with respect to conditions, events and circumstances which may occur in the future. We are of the opinion that these assumptions are reasonable and attainable as of the date of this report, although actual results may differ from those forecast as influenced by the conditions, events and circumstances which actually occur and such variances may be significant.

The opportunity to be of service to the Authority in this important matter is greatly appreciated.

Very truly yours,

Shan Lin
Amawalk Consulting Group LLC

APPENDIX B

AUDITED FINANCIAL STATEMENTS OF THE AUTHORITY FOR THE YEARS ENDED SEPTEMBER 30, 2016, AND 2015

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DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY

Financial Statements

September 30, 2016 and 2015

(With Independent Auditors' Report Thereon)

DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY

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KPMG LLP
Suite 12000
1801 K Street, NW
Washington, DC 20006

Independent Auditors' Report

Board of Directors
District of Columbia Water and Sewer Authority

We have audited the accompanying financial statements of the District of Columbia Water and Sewer Authority (the Authority) as of and for the years ended September 30, 2016 and 2015, and the related notes to the financial statements, which collectively comprise the Authority's basic financial statements for the years then ended as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with U.S. generally accepted accounting principles; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the District of Columbia Water and Sewer Authority as of September 30, 2016 and 2015, and the changes in its financial position and its cash flows for the years then ended in accordance with U.S. generally accepted accounting principles.

KPMG LLP is a Delaware limited liability partnership and the U.S. member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

Other Matters

Required Supplementary Information

U.S. generally accepted accounting principles require that the management's discussion and analysis on pages 3 through 15 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audits of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

KPMG LLP

Washington, D.C.
December 20, 2016

DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY

Management's Discussion and Analysis (unaudited)

September 30, 2016 and 2015

This section of the Authority's annual financial report presents our discussion and analysis of the Authority's financial position and changes in financial position as of and for the fiscal years ended September 30, 2016 and 2015. The Management's Discussion and Analysis ("MD&A") should be read in conjunction with the Authority's basic financial statements and the related notes to the financial statements, which immediately follow this section.

Financial Highlights – Fiscal 2016

- In October 2015, the Authority issued $100.0 million of 2015 Series A and $250.0 million of 2015 Series B subordinate lien revenue bonds with fixed interest rates ranging from 2.0% to 5.25%. The 2015 Series A green bonds mature in 2045 and are being used to fund the Clean Rivers Project. The 2015 series B bonds mature in 2044 and $62.0 million is being used to make principal and interest payments on all or a portion of the Authority's outstanding commercial paper notes and the balance is being used to fund the Authority's capital improvement program. Gross proceeds from the bond issuance totaled approximately $406.6 million, including $56.6 million original issue premium.

  In February 2016, the Authority issued the subordinate lien revenue refunding bonds, 2016 Series A in the amount of $389.1 million. The proceeds from the bonds were used to refund $401.9 million of the Authority's outstanding bonds. The interest on the bonds are at fixed rates ranging from 2.0% to 5.0%.

  In September 2016, the Authority issued $25.0 million of 2016 Series B (Environmental Impact Bonds) subordinate lien revenue bonds. The 2016 Series B Bonds are multimodal variable rate bonds, initially issued bearing a 3.43% fixed rate through the mandatory tender date, April 1, 2021. The net issuance proceeds (after payment of $0.5 million of issuance expenses) of $24.5 million will be used for construction of Green Infrastructure (GI) for the Rock Creek Project A (RC-A).

  The Authority's long-term debt, including current maturities, increased by $381.1 million to $2.9 billion, or 14.9%, primarily due to the $350.0 million and $25.0 million bond issuances described above.

- Operating revenues increased by $45.9 million to $595.8 million or 8.3%, primarily due to the retail rate increase of 6.5%, a 21.2% increase in Clean Rivers Impervious Area Charges (CRIAC) and the introduction of the new Water System Replacement Fee (WSRF) which resulted in $39.6 million of new operating revenues in fiscal year 2016, offset by an 18.4% decrease in wholesale waste water charges.

- Operating expenses increased by $9.7 million to $388.4 million or 2.6%, primarily due to increases in personnel, depreciation expense and contractual services expense offset by a decrease in chemicals and supplies, utilities and water purchases.

- Capital assets, net of depreciation and amortization, increased by $518.0 million to $6.0 billion, or 9.5%, as a result of capital additions of $607.5 million offset by depreciation and amortization of $89.5 million. Capital additions incurred in 2016 were in line with the Authority's approved 10-year capital improvement program.

- Current assets increased by $37.3 million to $549.5 million, or 7.3%, primarily due to an increase in cash and investments offset by a decrease in receivables from other jurisdictions.

- The Authority's net position increased by $173.3 million to $1.7 billion, or 11.3%, as a result of current year operations and capital contributions.

- Effective October 1, 2015, the Authority raised its retail water and wastewater rates by 6.5% and its CRIAC by 21.2%.

Financial Highlights – Fiscal 2015

- In November 2014, the Authority issued the subordinate lien revenue refunding bonds, 2014 Series C in the amount of $377.7 million. The proceeds from the bonds were used to refund $378.2 million of the Authority's outstanding bonds. The interest on the bonds are at fixed rates ranging from 3.0% to 5.0%.

- Operating revenues increased by $76.1 million to $549.9 million or 16.1%, primarily due to the retail rate increase of 7.5% and a 16.2% increase in wholesale waste water charges.

- Operating expenses increased by $22.6 million to $378.7 million or 6.4%, primarily due to increases in personnel, chemicals and supplies, depreciation expense, and payments-in-lieu of taxes (PILOT) and right-of-way fee offset by a decrease in contractual services expense.

- Capital assets, net of depreciation and amortization, increased by $543.3 million to $5.5 billion, or 11.0%, as a result of capital additions of $627.2 million offset by depreciation and amortization of $83.9 million. Capital additions incurred in 2015 were in line with the Authority's approved 10-year capital improvement program.

- Current assets decreased by $70.6 million to $512.2 million, or 12.1%, due to a decrease in cash, investments and receivables from other jurisdictions.

- The Authority's net position increased by $179.1 million to $1.5 billion, or 13.3%, as a result of current year operations and capital contributions.

- Effective October 1, 2014, the Authority raised its retail water and wastewater rates by 7.5%.

Using This Annual Report

This annual report consists of three sections: Management's Discussion and Analysis; the Financial Statements; and Notes to the Financial Statements that explain in more detail some of the information in the Financial Statements.

Required Financial Statements

The Statements of Net Position includes the Authority's assets plus deferred outflows of resources and liabilities plus deferred inflows of resources and provides information about the nature and amounts of investments in resources (assets) and nature and extent of obligations (liabilities) with the difference between them being reported as net position. It also provides the basis for computing the rates of return, evaluating the capital structure of the Authority, and assessing the liquidity and financial flexibility of the Authority.

The Statements of Revenues, Expenses, and Changes in Net Position presents the changes in net position from one reporting period to another by accounting for revenues and expenses and measuring the financial results of operations. This statement measures the profitability of the Authority's operations over the past year and can be used to determine whether the Authority has successfully recovered all of its costs through its user fees and other charges.

The Statements of Cash Flows provides information about the Authority's cash receipts, cash payments, and net changes in cash and cash equivalents resulting from operating, investing, and capital and non-capital financing activities. It also provides information regarding sources of cash, uses of cash, and changes in cash balances during the reporting period.

Notes to the financial statements include information essential to understand the above statements, such as the Authority's significant accounting policies and information about certain financial statement account balances.

Financial Analysis of the Authority

Net Position

The Authority's total net position at September 30, 2016 was approximately $1.7 billion, a $173.3 million, or 11.3% increase from September 30, 2015. Total assets increased $583.2 million, or 9.6% to $6.7 billion, and total liabilities increased $437.8 million, or 9.5%, to $5.0 billion.

The Authority's total net position at September 30, 2015 was approximately $1.5 billion, a $179.1 million, or 13.3% increase from September 30, 2014. Total assets increased $277.1 million, or 4.8% to $6.1 billion, and total liabilities increased $132.5 million, or 3.0%, to $4.6 billion.

Summary of Net Position
($ in 000's)

	Fiscal Year			2016 vs 2015		2015 vs 2014	
	2016	2015	2014	Amount	%	Amount	%
Current assets	$ 549,496	$ 512,226	$ 582,782	37,270	7.3	(70,556)	(12.1)
Restricted assets	56,992	23,249	230,114	33,743	145.1	(206,865)	(89.9)
Capital assets	5,995,347	5,477,327	4,934,018	518,020	9.5	543,309	11.0
Other noncurrent assets	64,920	70,696	59,449	(5,776)	(8.2)	11,247	18.9
Total assets	6,666,755	6,083,498	5,806,363	583,257	9.6	277,135	4.8
Deferred outflows of resources	73,157	45,246	10,768	27,911	61.7	34,478	320.2
Current liabilities	440,888	471,766	434,141	(30,878)	(6.5)	37,625	8.7
Long-term debt outstanding	2,900,329	2,520,046	2,520,935	380,283	15.1	(889)	(0.0)
Long-term liabilities	1,695,406	1,606,990	1,511,240	88,416	5.5	95,750	6.3
Total liabilities	5,036,623	4,598,802	4,466,316	437,821	9.5	132,486	3.0
Net investments in capital assets	1,491,925	1,348,056	1,130,952	143,869	10.7	217,104	19.2
Restricted	33,135	27,054	28,863	6,081	22.5	(1,809)	(6.3)
Unrestricted	178,229	154,832	191,000	23,397	15.1	(36,168)	(18.9)
Total net position	$ 1,703,289	$ 1,529,942	$ 1,350,815	173,347	11.3	179,127	13.3

The following is a discussion of the more significant changes in assets, liabilities and net position in 2016.

- Capital assets, net of depreciation and amortization, increased by $518.0 million to $6.0 billion, or 9.5%, as a result of capital additions of $607.5 million offset by depreciation and amortization of $89.5 million. Capital additions incurred in 2016 were in line with the Authority's approved 10-year capital improvement program which is discussed in more detail on page 13.

- Current assets increased by $37.3 million to $549.5 million, or 7.3%, primarily due to an increase in cash and investments offset by a decrease in receivables from other jurisdictions.

- Long-term debt, including current maturities, increased by $381.1 million to $2.9 billion, or 14.9%, primarily due to the issuance of $100.0 million of 2015 Series A (Green Bonds) and $250.0 million of 2015 series B subordinate lien revenue bonds for a total of $350.0 million in October 2015, and the issuance of $25.0 million of 2016 Series B (Environmental Impact Bonds) subordinate lien revenue bonds in September 2016.

- Current liabilities decreased by $30.9 million to $440.9 million, or 6.5%, primarily due to a $28.6 million decrease in accounts payable and accrued expenses and a $12.0 million decrease in commercial paper notes offset by a $8.2 million increase in accrued interest.

- The Authority's net position increased by $173.3 million to $1.7 billion, or 11.3%, as a result of fiscal year 2016 operations and capital contributions.

The following is a discussion of the more significant changes in assets, liabilities and net position in 2015.

- Capital assets, net of depreciation and amortization, increased by $543.3 million to $5.5 billion, or 11.0%, as a result of capital additions of $627.2 million offset by depreciation and amortization of $83.9 million. Capital additions incurred in 2015 were in line with the Authority's approved 10-year capital improvement program which is discussed in more detail on page 13.

- Current assets decreased by $70.6 million to $512.2 million, or 12.1%, due to a decrease in cash, investments and receivables from other jurisdictions.

- Long-term debt, including current maturities, increased by $1.1 million to $2.5 billion, or 0.04%, primarily due to the $377.7 million bond refunding in November 2014, which resulted in a net increase in long-term debt of approximately $27.6 million, offset by scheduled principal payments on long-term debt of approximately $26.5 million.

- Current liabilities increased by $37.6 million to $471.8 million, or 8.7%, primarily due to a $50.0 million increase in commercial paper notes offset by a $27.4 million decrease in accounts payable and accrued expenses, the majority of which relates to capital additions. The remaining increase is a result of increase in unearned revenues and accrued interest on long term debt.

- The Authority's net position increased by $179.1 million to $1.5 billion, or 13.3%, as a result of fiscal year 2015 operations and capital contributions.

Changes in Net Position

The increase in net position at September 30, 2016 was $173.3 million, or 11.3%, as compared with September 30, 2015. The Authority's total operating revenues increased by 8.3% to $595.8 million and total operating expenses increased by 2.6% to $388.4 million.

The increase in net position at September 30, 2015 was $179.1 million, or 13.3%, as compared with September 30, 2014. The Authority's total operating revenues increased by 16.1% to $549.9 million and total operating expenses increased 6.4% to $378.7 million.

Change in Net Position
($ in 000's)

	Fiscal Year			2016 vs 2015		2015 vs 2014	
	2016	2015	2014	Amount	%	Amount	%
Operating revenues	$ 595,789	$ 549,915	$ 473,824	$ 45,874	8.3	$ 76,091	16.1
Operating expenses	388,384	378,660	356,024	9,724	2.6	22,636	6.4
Net non-operating revenues (expenses)	(66,489)	(60,093)	(68,311)	(6,396)	10.6	8,218	(12.0)
Change in net position before capital contributions	140,916	111,162	49,489	29,754	26.8	61,673	124.6
Capital contributions	32,431	67,965	94,690	(35,534)	(52.3)	(26,725)	(28.2)
Change in net position	173,347	179,127	144,179	(5,780)	(3.2)	34,948	24.2
Net position - beginning of year, as restated	1,529,942	1,350,815	1,206,636	179,127	13.3	144,179	11.9
Net position - end of year	$ 1,703,289	$ 1,529,942	$ 1,350,815	$ 173,347	11.3	$ 179,127	13.3

The following provides a discussion as to the primary reasons for the more significant fluctuations in the Authority's revenues and expenses between fiscal years 2016 and 2015, and between fiscal years 2015 and 2014, respectively.

Fiscal Year 2016:

- Operating revenues increased by $45.9 million to $595.8 million or 8.3%, primarily due to a 6.5% rate increase on retail water, the 21.2% increase CRIAC and the introduction of the new WSRF, offset by an 18.4% decrease in wholesale waste water charges.

- Operating expenses increased by $9.7 million to $388.4 million or 2.6% due to increases in personnel, contractual services expense and depreciation expense offset by a decrease in chemicals and supplies, utilities and water purchases.

Fiscal Year 2015:

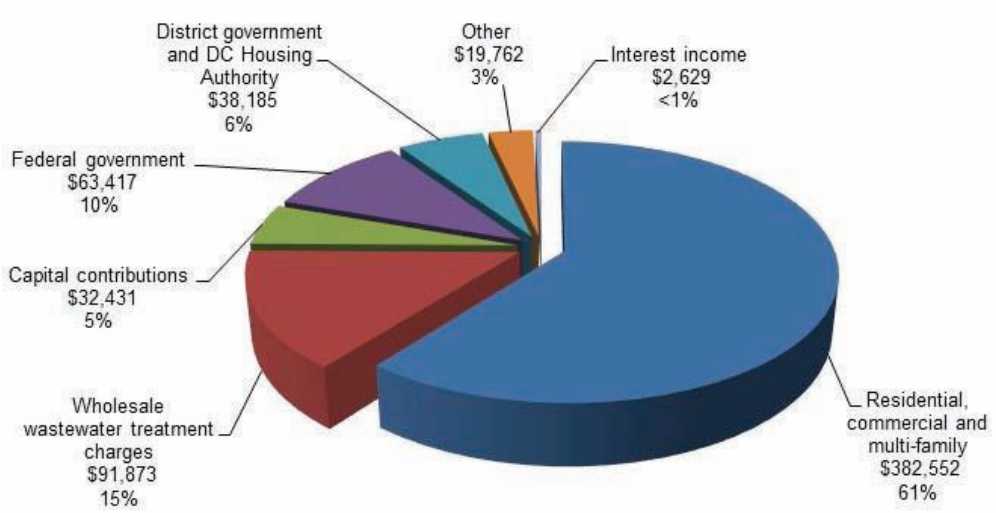
- Operating revenues increased by $76.1 million to $549.9 million or 16.1%, primarily due to a 7.5% rate increase on retail water and wastewater charges and $15.7 million increase in wholesale wastewater charges.

- Operating expenses increased by $22.6 million to $378.7 million or 6.4% due to increase in personnel, utilities and rent, chemicals and supplies, and water purchase expenses offset by a decrease in PILOT and right-of-way fee.

2016 Total Revenues

Total revenues increased $11.7 million or 1.9% to $630.9 million in fiscal year 2016.

Total Revenues
($ in 000's)



- Revenues from residential, commercial and multi-family customers increased by $46.8 million to $382.6 million, or 13.9%, primarily due to a 6.5% water and wastewater rate increase 21.2% increase in the Clean Rivers Impervious Area Charges (CRIAC) and introduction of new Water System Replacement Fee (WSRF).

- Revenues from the Federal government increased by $9.1 million to $63.4 million, or 16.9%, primarily due to a 6.5% rate increase, the introduction of the new WSRF, and a 21.2% increase in the CRIAC offset by consumption adjustments for several Federal agencies during fiscal year 2016.

- Revenues from the District government and the District of Columbia Housing Authority increased by a $5.2 million to $38.2 million, or 15.9%, primarily due to a 6.5% rate increase, new meter-based WSRF and 21.2% increase in CRIAC offset by a decrease in consumption and disputed payment from DC government for CRIAC.

- Revenues from wholesale wastewater treatment decreased by $20.6 million to $91.9 million, or 18.4%, primarily due to a decrease in the Intermunicipal agreement (IMA) shareable operating costs of the Blue Plains Plant.

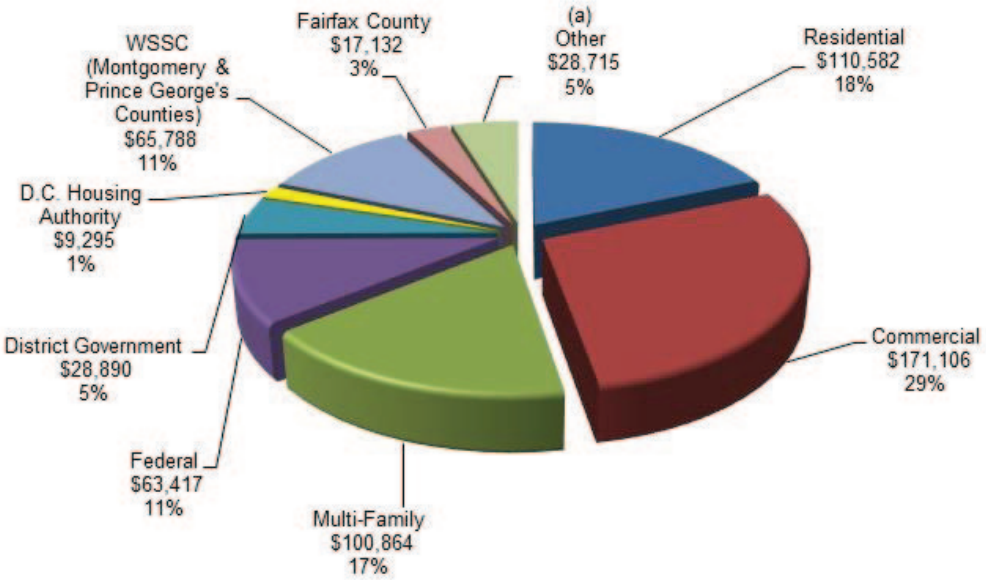
- Other revenues increased by $5.3 million to $19.8 million, or 36.7%, primarily due to an increase in miscellaneous revenues from the Authority's other activities such as special projects billings.

- Capital contributions decreased by $35.5 million or 52.3%, primarily due to an $18.5 million reduction in federal grants and an $18.4 million reduction in capital contributions from the District government for the Northeast Boundary Neighborhood project.

Diversity and Stability of Operating Revenues

The Authority's operating revenue base is very diverse, including established customers such as the Federal government, the District government, surrounding jurisdictions in Maryland and Virginia, and commercial and residential customers within the District. As shown on the chart below, no one category accounts for more than 29% of total revenues.

Operating Revenues by Source
($ in 000's)



(a) Other revenues include $6.7 million from Loudoun County and $2.2 million from Potomac Interceptor.

- Revenues from commercial and multi-family customers in the District comprise approximately 46% of the Authority's total operating revenues. Commercial revenues are reliable due to the presence of many national associations, law firms, consulting firms, and colleges and universities and foreign embassies in the District. The commercial customer category also includes multi-family dwellings.

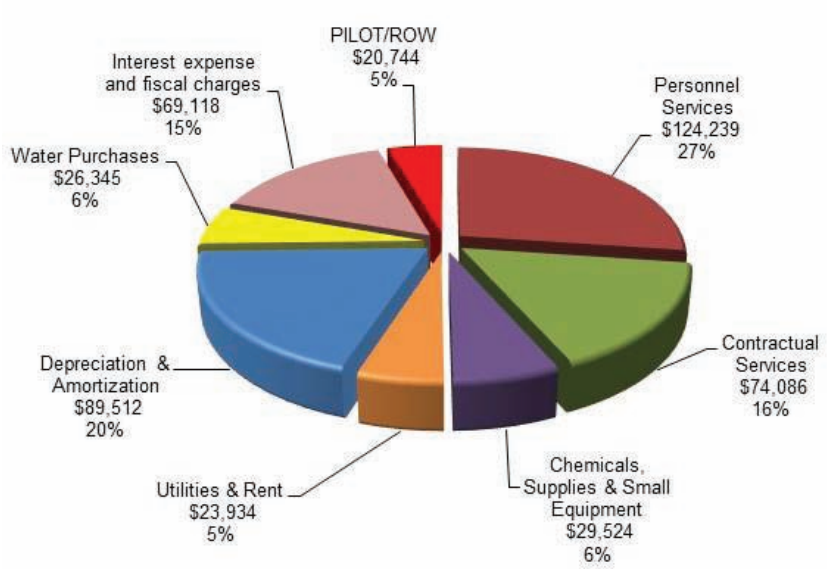
- The Authority provides wastewater conveyance and treatment services to Montgomery and Prince George's Counties in Maryland through the Washington Suburban Sanitary Commission ("WSSC") and Fairfax and Loudoun Counties in Northern Virginia. Operating revenues from WSSC and Fairfax County account for 14% of the Authority's revenues and are based on their share of operating costs at Blue Plains. Loudoun County and Potomac Interceptor customers account for an additional 1.5% of the Authority's revenues and are included in other revenues.

- Residential customers in the District account for 18% of total revenues.
- Revenues from the Federal government comprise 11% of the Authority's total operating revenues and include customers such as the U.S. Congress, the Smithsonian Institution, and a range of federal departments and agencies.
- Revenues from the Government of the District of Columbia and the District of Columbia Housing Authority make up 6% of total operating revenues.

2016 Total Expenses

Total expenses increased by $17.4 million or 4.0% to $457.5 million in fiscal year 2016.

Total Expenses
($ in 000's)



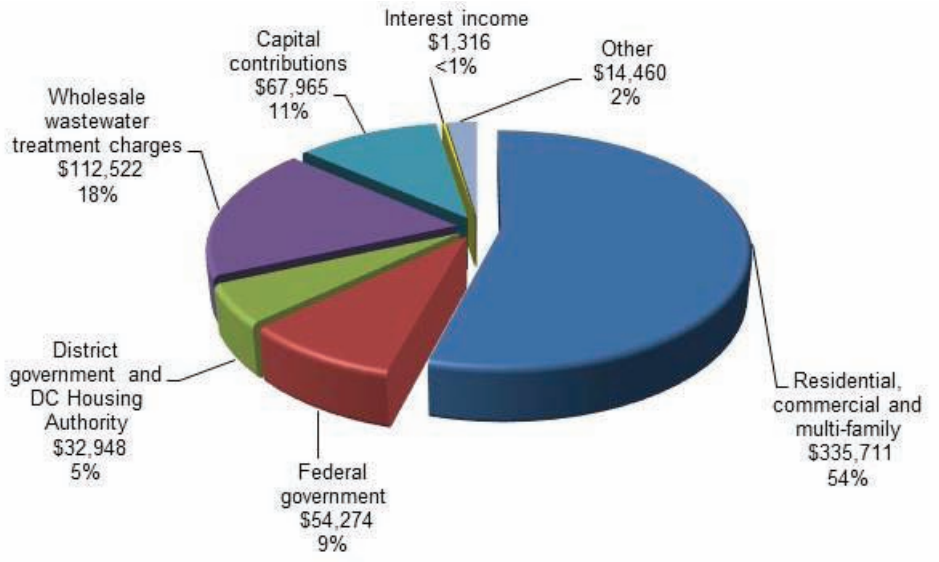
- Personnel services increased by $9.0 million to $124.2 million, or 7.8%, primarily due to increases in wages, benefits and number of employees.
- Contractual services increased by $7.8 million to $74.1 million, or 11.8%, due to an increase in litigation costs offset by a reduction in biosolids hauling costs stemming from newly installed digester operations at the Blue Plains facility.
- Chemicals, supplies and small equipment decreased by $3.4 million to $29.5 million, or 10.4%, primarily due to lower unit prices and changes in the treatment process that utilizes less chemicals and uses thermal hydrolysis and the digester system's intense heat and pressure to treat wastewater.
- Utilities and rent decreased by $6.9 million to $23.9 million, or 22.4%, primarily due to onsite electricity generation from the Combine Heat Power (CHP) project, which became operational in the summer of 2015.

- Depreciation and amortization increased by $5.7 million to $89.5 million, or 6.7%, primarily due to an increase in capital assets in service.
- Water purchases decreased by $2.8 million to $26.3 million, or 9.5%, primarily due to fiscal year 2015 billing adjustment and 2.6% decrease in unit cost per million gallons in fiscal year 2016.
- Interest expense and fiscal charges increased by $7.7 million to $69.1 million, or 12.6% primarily due to a $7.8 million increase in interest costs incurred in fiscal year 2016 as a result of the increase in borrowings, offset by a $10.8 million increase in the amount of capitalized interest related to the Authority's capital improvement program during fiscal year 2016.

2015 Total Revenues

Total revenues increased $49.7 million or 8.7% to $619.2 million in fiscal year 2015.

Total Revenues
($ in 000's)



- Revenues from residential, commercial and multi-family customers increased by $40.5 million to $335.7 million, or 13.7%, primarily due to a 7.5% water and wastewater rate increase and a 41.0% increase in impervious area charges.
- Revenues from the Federal government increased by $15.3 million to $54.3 million, or 39.2%, primarily due to a 7.5% rate increase and due to the fiscal year 2014 revenues being impacted by a Federal government shutdown and consumption adjustments for several Federal agencies during fiscal year 2014.
- Revenues from the District government and the District Housing Authority increased by $4.1 million to $32.9 million, or 14.2%, primarily due to a 7.5% rate increase coupled with a 4.0% increase in consumption.

- Revenues from wholesale wastewater treatment increased by $15.7 million to $112.5 million, or 16.2%, primarily due to a 22.7% increase in the Intermunicipal agreement (IMA) shareable operating costs of the Blue Plains Plant offset by reduced indirect cost charges.

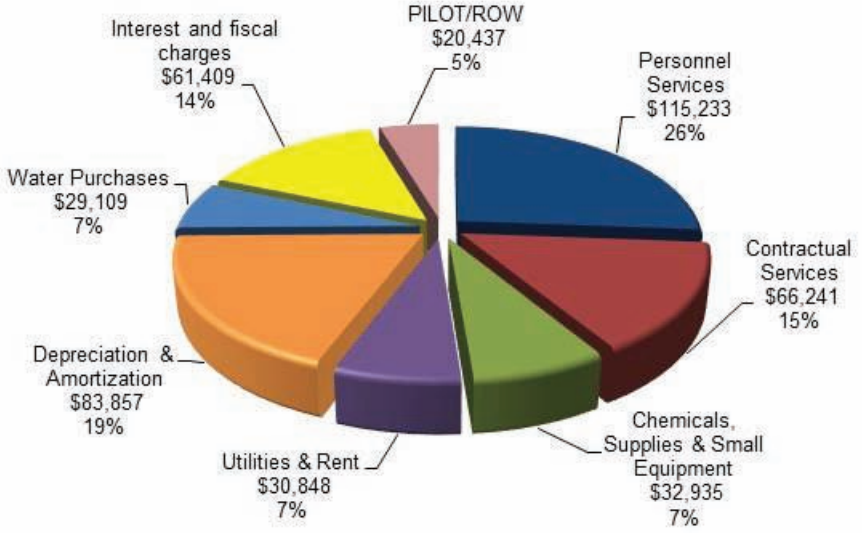
- Other revenues increased by $0.5 million to $14.5 million, or 3.9%, primarily due to increased stormwater management fees.

- Capital contributions decreased by $26.7 million or 28.2%, primarily due to a $18.8 million reduction in capital contributions from the District government for the Northeast Boundary Neighborhood project and a $8.0 million reduction in federal grants.

2015 Total Expenses

Total expenses increased $14.8 million or 3.5% to $440.1 million in fiscal year 2015.

Total Expenses
($ in 000's)



- Personnel services increased by $6.8 million to $115.2 million, or 6.2%, primarily due to increases in wages, benefits and number of employees.

- Contractual services decreased by $1.9 million to $66.2 million, or 2.8%, due to a decrease in biosolids hauling costs stemming from newly installed digester operations at the Blue Plains facility.

- Chemicals, supplies and small equipment increased by $1.2 million to $32.9 million, or 3.7%, primarily due to an increase in methanol usage attributable to a change in sewage treatment process.

- Utilities and rent increased by $0.9 million to $30.8 million, or 3.0%, primarily due to an increase in gas usage in producing steam converted to electricity for the Combined Heat Power (CHP) process.

- Depreciation and amortization increased by $6.0 million to $83.9 million, or 7.7%, primarily due to an increase in capital assets in service.
- Water purchases increased by $0.7 million to $29.1 million, or 2.5%, primarily due to a 9.9% increase in consumption offset by a reduction in unit cost per million gallons purchased.
- Interest expense and fiscal charges decreased by $7.9 million to $61.4 million, or 11.4% primarily due to an increase in the amount of capitalized interest related to the Authority's capital improvement program which increased from $40.3 million in fiscal year 2014 to $52.0 million in fiscal year 2015.

Capital Assets and Debt Administration

Capital Assets

As of September 30, 2016, 2015 and 2014, respectively, the Authority had $6.0 billion, $5.5 billion and $4.9 billion of capital assets (net of depreciation). This includes wastewater collection, wastewater treatment, water distribution systems, purchased capacity, capital equipment and construction in progress. The Authority's net capital assets increased by approximately $518.0 million, or 9.5%, during fiscal year 2016, and increased by approximately $543.3 million, or 11%, during fiscal year 2015, primarily due to continued capital spending in accordance with the Authority's capital improvement program. See note 4 to the financial statements for more information on capital assets.

Capital Assets
Net of Accumulated Depreciation
($ in 000's)

	As of September 30,		
	2016	2015	2014
Wastewater treatment plant	$ 2,383,176	$ 2,367,163	$ 2,057,116
Wastewater collection facilities	843,095	828,130	758,603
Water distribution system	1,095,216	1,054,046	981,047
Purchased capacity	349,210	341,974	334,174
Capital equipment	220,584	203,573	191,409
Construction in progress	2,544,698	2,033,657	1,879,678
Less accumulated depreciation	(1,440,632)	(1,351,216)	(1,268,009)
Net capital assets	$ 5,995,347	$ 5,477,327	$ 4,934,018

The Authority's contractual commitments are primarily associated with the long-term capital improvement program. Outstanding contractual commitments related to the capital improvement program as of September 30, 2016 and 2015 were $861.7 million and $967.0 million, respectively, which will be financed primarily with unspent bond proceeds, proceeds from future bond issuances, capital contributions from IMA participants, Federal capital contributions and PAY-GO capital contributions from the Authority.

Debt Administration

At the end of fiscal year 2016, the Authority had a total of $2.9 billion in long term debt outstanding, an increase of $381.1 million, or 14.9%, over fiscal year 2015.

At the end of fiscal year 2015, the Authority had a total of $2.5 billion in long term debt outstanding, an increase of $1.0 million, or 0.04%, over fiscal year 2014. See note 11 to the financial statements for more information on long-term debt outstanding.

A schedule of long-term debt activity including current year maturities for the year ended September 30, 2016 is shown below:

Description	Balance 9/30/2015	Increases	Decreases	Balance 9/30/2016
Outstanding bonds and notes	$ 2,446,797	$ 764,110	$ (477,716)	$ 2,733,191
Unamortized bond premiums	104,060	111,329	(16,712)	198,677
Unamortized bond discounts	(2,351)	-	129	(2,222)
Total bonds and notes	$ 2,548,506	$ 875,439	$ (494,299)	$ 2,929,646

In October 2015, the Authority issued $100.0 million of 2015 Series A and $250.0 million of 2015 Series B subordinate lien revenue bonds with fixed interest rates ranging from 2.0% to 5.25%. The 2015 Series A green bonds maturing in 2045 and are being used to fund the Clean Rivers Project. The 2015 series B bonds maturing in 2044 and will be used to fund the Authority's capital improvement program. Net proceeds from the bond issuance totaled approximately $406.6 million including $2.1 million of underwriter's discount and cost of issuance.

In February 2016, the Authority issued the subordinate lien revenue refunding bonds, 2016 Series A in the amount of $389.1 million. The proceeds from the bonds were used to refund $401.9 million of the Authority's outstanding bonds. The interest on the bonds are at fixed rates ranging from 2.0% to 5.0%.

In September 2016, the Authority issued $25.0 million of 2016 Series B (Environmental Impact Bonds) subordinate lien revenue bonds. The 2016 Series B Bonds are multimodal variable rate bonds, initially issued bearing a 3.43% fixed rate through the mandatory tender date, April 1, 2021. The net issuance proceeds (after payment of $0.5 million of issuance expenses) of $24.5 million will be used for construction of GI for the RC-A.

The increases (decreases) in outstanding bonds and notes payable were related to new bond issuance, scheduled principal repayments and bonds refunding.

A schedule of long-term debt activity including current year maturities for the year ended September 30, 2015 is shown below:

Description	Balance 9/30/2014	Increases	Decreases	Balance 9/30/2015
Outstanding bonds and notes	$ 2,473,790	$ 377,700	$ (404,693)	$ 2,446,797
Unamortized bond premiums	76,098	51,085	(23,123)	104,060
Unamortized bond discounts	(2,480)	-	129	(2,351)
Total bonds and notes	$ 2,547,408	$ 428,785	$ (427,687)	$ 2,548,506

In November 2014, the Authority issued the subordinate lien revenue refunding bonds, 2014 Series C in the amount of $377.7 million. The proceeds from the bonds were used to refund $378.2 million of the Authority's outstanding bonds. The interest on the bonds are at fixed rates ranging from 3.0% to 5.0%.

The increases (decreases) in outstanding bonds and notes payable were related to a bonds refunding and scheduled principal repayments.

Credit Ratings

Long Term Credit Ratings		
Moody's Investors' Service	Aa1	Stable Outlook
Standard & Poor's Corporation	AAA	Stable Outlook
Fitch Ratings	AA	Stable Outlook

Short Term Credit Ratings	
Moody's Investors' Service	P-1
Standard & Poor's Corporation	A-1+
Fitch Ratings	F1+

Rates

Effective October 1, 2015, the Authority raised its retail water and wastewater rates by 6.5%. The Authority's approved ten-year financial plan includes projected annual rate increases of 5.0% for each of the fiscal years 2017 to 2026 and also includes projected revisions to its metering, right-of-way fee and payment-in-lieu of taxes pass-through, the Clean River Impervious area charge (CRIAC) and the Water System Replacement Fee (WSRF).

Contacting the Authority's Financial Management

This financial report is designed to provide our customers and other stakeholder with a general overview of the Authority's finances. If you have questions about this report or need additional financial information, contact the Office of the Chief Financial Officer at 5000 Overlook Avenue, S.W., Washington D.C. 20032 or call 202-787-2000. A copy of this report is also available on DC Water's web site at www.dcwater.com.

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DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY
Statements of Net Position
September 30, 2016 and 2015
(In thousands)

Assets and Deferred Outflows of Resources	2016	2015
Current assets:		
Cash and cash equivalents (note 3)	$ 112,283	$ 81,326
Investments (note 3)	106,982	115,758
Restricted cash and cash equivalents (note 3)	96,674	152,323
Restricted investments (note 3)	98,803	—
Customer receivables, net of allowance for doubtful accounts of $15,042 in 2016 and $12,364 in 2015 (note 7)	67,015	62,653
Due from other jurisdictions (note 8)	14,960	44,399
Due from Federal government (note 6)	28,373	32,478
Due from District government (note 13)	6,411	10,022
Inventory	12,309	9,234
Prepaid assets	5,686	4,033
Total current assets	549,496	512,226
Noncurrent assets:		
Restricted assets (note 3):		
Cash and cash equivalents	29,041	—
Investments	27,951	23,249
Total restricted cash and cash equivalents and investments	56,992	23,249
Capital assets (note 4):		
In-service	4,891,281	4,794,886
Less accumulated depreciation	(1,440,632)	(1,351,216)
Net capital assets in service	3,450,649	3,443,670
Construction-in-progress	2,544,698	2,033,657
Net capital assets	5,995,347	5,477,327
Other noncurrent assets:		
Due from District government (note 13)	46,864	51,711
Due from other jurisdictions (note 8)	18,056	18,985
Total other noncurrent assets	64,920	70,696
Total noncurrent assets	6,117,259	5,571,272
Total assets	6,666,755	6,083,498
Deferred Outflows of Resources		
Deferred loss on debt refunding	73,157	45,246
Total assets and deferred outflows of resources	6,739,912	6,128,744
Liabilities		
Current liabilities:		
Accounts payable and accrued expenses	160,025	188,600
Unearned revenue	74,866	79,370
Accrued interest	65,677	57,447
Commercial paper notes payable (note 10)	79,200	91,200
Current maturities of long-term debt (note 11)	29,317	28,460
Due to jurisdictions	7,906	8,344
Compensation payable (note 9)	11,971	9,116
Other liabilities (note 12)	11,926	9,230
Total current liabilities	440,888	471,767
Noncurrent liabilities:		
Long-term debt, excluding current maturities (note 11)	2,900,329	2,520,046
Unearned revenue	1,667,284	1,578,504
Other liabilities (note 12)	12,769	13,891
Compensated absences payable (note 9)	15,353	14,594
Total noncurrent liabilities	4,595,735	4,127,035
Total liabilities	5,036,623	4,598,802
Net Position		
Net investments in capital assets	1,491,925	1,348,056
Restricted for debt service	33,135	27,054
Unrestricted	178,229	154,832
Total net position	$ 1,703,289	$ 1,529,942

The notes to the basic financial statements are an integral part of these financial statements.

DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY
Statements of Revenues, Expenses and Changes in Net Position
Years Ended September 30, 2016 and 2015
(In thousands)

	2016	2015
Operating revenues:		
Water and wastewater user charges:		
Residential, commercial and multi-family customers	$ 382,552	$ 335,711
Federal government	63,417	54,274
District government and D.C. Housing Authority (note 13)	38,185	32,948
Charges for wholesale wastewater treatment	91,873	112,522
Other	19,762	14,460
Total operating revenues	595,789	549,915
Operating expenses:		
Personnel services	124,239	115,233
Contractual services	74,086	66,241
Chemicals, supplies and small equipment	29,524	32,935
Utilities and rent	23,934	30,848
Depreciation and amortization	89,512	83,857
Water purchases	26,345	29,109
Payment in lieu of taxes and right of way fee (note 13)	20,744	20,437
Total operating expenses	388,384	378,660
Operating income	207,405	171,255
Nonoperating revenues (expenses):		
Interest income	2,629	1,316
Interest expense and fiscal charges	(69,118)	(61,409)
Total nonoperating (expenses)	(66,489)	(60,093)
Change in net position before capital contributions	140,916	111,162
Capital contributions (note 5)	32,431	67,965
Change in net position	173,347	179,127
Net position, beginning of year	1,529,942	1,350,815
Net position, end of year	$ 1,703,289	$ 1,529,942

The notes to the basic financial statements are an integral part of these financial statements.

DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY
Statements of Cash Flows
Years Ended September 30, 2016 and 2015
(In thousands)

	2016	2015
Cash flows from operating activities:		
Cash received from customers	$ 565,997	$ 517,940
Cash paid to suppliers for goods and services	(176,871)	(145,835)
Cash paid to employees for services	(120,625)	(114,120)
Cash paid to District for PILOT and ROW	(20,744)	(40,560)
Net cash provided by operating activities	247,757	217,425
Cash flows from capital and related financing activities:		
Proceeds from issuance of revenue bonds	875,439	428,785
Proceeds from other jurisdictions	146,722	154,886
Repayments of bond principal and notes payable to Federal government	(477,716)	(404,693)
Acquisition of capital assets	(549,018)	(609,172)
Payments of interest and fiscal charges	(168,182)	(166,393)
Contributions of capital from Federal government	33,470	35,893
Proceeds from issuance of commercial paper	612,800	332,400
Repayments of commercial paper	(624,800)	(282,400)
Net cash used in capital and related financing activities	(151,285)	(510,694)
Cash flows from investing activities:		
Cash received for interest	2,607	1,994
Investment purchases	(488,542)	(252,076)
Investment maturities	393,812	514,322
Net cash provided by (used in) investing activities	(92,123)	264,240
Net increase (decrease) in cash and cash equivalents	4,349	(29,029)
Cash and cash equivalents at beginning of year	233,649	262,678
Cash and cash equivalents at end of year	$ 237,998	$ 233,649
Operating income	$ 207,405	$ 171,255
Adjustments to reconcile operating income to net cash provided by operating activities:		
Depreciation and amortization	89,512	83,857
Change in operating assets and liabilities:		
Increase in customer and other receivables	(143)	(18,249)
Increase in inventory and prepaid assets	(4,728)	(3,143)
Decrease in payables and accrued liabilities	(15,168)	(3,352)
Decrease in unearned revenue	(29,121)	(12,943)
Net cash provided by operating activities	$ 247,757	$ 217,425
Noncash Investing, Capital and Financing Activities:		
Capital asset additions included in accounts payable	$ 135,176	$ 144,651
Net increase (decrease) in the fair value of investments	270	(232)

The notes to the basic financial statements are an integral part of these financial statements.

(1) Background, Governance, Operations and Reporting Entity

(a) Background

The District of Columbia Water and Sewer Enterprise Fund (the "Fund") was established in 1979 and was operated by the Water and Sewer Utility Administration, a division of the Government of the District of Columbia (the "District") Department of Public Works. The District of Columbia Water and Sewer Authority ("DC Water" or the "Authority"), an independent authority of the District, was created in April 1996 and began operating on October 1, 1996 under and pursuant to an act of the Council of the District entitled the "Water and Sewer Authority and Department of Public Works Reorganization Act of 1996 (as amended)", and an Act of the United States Congress entitled the "District of Columbia Water and Sewer Authority Act of 1996". The Authority is considered a related organization of the District for purposes of presentation in the District's financial statements.

(b) Governance

The Authority is governed by a Board of Directors consisting of eleven principal and eleven alternate members. The Board is composed of six District of Columbia representatives, two each from Montgomery and Prince George's Counties in Maryland, and one from Fairfax County in Virginia. The Mayor of the District of Columbia appoints, and the DC Council confirms, all six District Board members and alternates, including the Chairman. In addition, the Mayor appoints the five principal and alternate members who represent the surrounding jurisdictions based on executive submissions from those jurisdictions.

(c) Operations

The Authority provides water and wastewater services to District residents, businesses, federal and municipal customers, and certain facilities of the Federal government in Virginia and Maryland. DC Water also operates a regional advanced wastewater treatment plant (Blue Plains) and an interceptor trunk line that carries wastewater primarily from Loudoun and Fairfax Counties and Dulles Airport to the Blue Plains wastewater treatment facility.

The Authority's wastewater service territory includes over 2.1 million people in Montgomery and Prince George's Counties in Maryland, Fairfax and Loudoun Counties in Virginia, and the District. The Blue Plains Intermunicipal Agreement between the Authority; the District; Fairfax County, Virginia; and the Washington Suburban Sanitary Commission ("WSSC"), which comprises Montgomery and Prince George's Counties in Maryland (collectively referred to as the "Participants"), was executed in September 1985 (the "1985 IMA").

The 1985 IMA was replaced in 2012 and became effective on April 3, 2013 by a new Intermunicipal Agreement (the "2012 IMA"), which was negotiated, approved and executed by each of the original signatories to the 1985 IMA. The IMA provides for the allocation of capital, operating, and maintenance costs among the Participants. Capital costs of the Plant are allocated among the Participants in proportion to their respective wastewater treatment capacity allocation as defined in the 2012 IMA. Operating costs are allocated based on wastewater flows from each participant.

(1) Background, Governance, Operations and Reporting Entity (Continued)

The Loudoun County Sanitation Authority and the Potomac Interceptor Group also purchase wastewater services from the Authority. The Potomac Interceptor Group consists of the Town of Vienna, Virginia; the U.S. Park Service; the U.S. Department of the Navy; and the Metropolitan Washington Airports Authority (Dulles Airport).

The Authority purchases water from the Washington Aqueduct (the “Aqueduct”), which is owned by the Federal government and operated by the U.S. Army Corps of Engineers (USACE) under the direction of the Secretary of the Army. Since 1852, an act of Congress placed the care, management, and superintendence of the Washington Aqueduct under the USACE. Under the Act, USACE was given responsibility for supplying water in the District for use by the Federal government and for the use and benefit of the inhabitants of the District. The USACE operates two water purification plants at the Aqueduct, Dalecarlia and McMillan, for the exclusive benefit of the Authority, Arlington County and Fairfax County Water Authority ("FCWA"). The Aqueduct facilities supply treated water to distribution systems of the Authority, Arlington County, FCWA, the Federal government, and other parts of northern Virginia.

As of January 3, 2014, FCWA assumed ownership and operation of the water distribution system previously owned and operated by the City of Falls Church. The Authority is responsible for managing the treated Water System that serves the District and several other governmental customers outside the District. The Authority currently purchases approximately 73% of the finished water produced by the Aqueduct, and Arlington County and the FCWA purchase the remainder. Under this agreement, which remains in effect until September 30, 2023 and then thereafter until terminated, the Authority is responsible for funding approximately 73% of the Aqueduct’s annual operating and capital costs. Additionally, the Authority obtains back-up and peak-day water supply from the Jennings Randolph Reservoir (Bloomington Dam) and Little Seneca Lake. The Jennings Randolph Reservoir was constructed by the Federal government and is operated by the USACE. The Little Seneca Lake was constructed and is operated by the WSSC.

(d) Reporting Entity

A financial reporting entity consists of a primary government and its component units. The criteria used to determine whether organizations are to be included as component units within the Authority’s reporting entity are as follows:

- The Authority holds the corporate powers of the organization, and
- The Authority appoints a voting majority of the organization’s board, and
- The Authority is able to impose its will on the organization, or
- The organization has the potential to impose a financial burden on, or provide a financial benefit to the Authority, or
- It would be misleading to exclude the organization from the Authority’s financial statements.

(1) Background, Governance, Operations and Reporting Entity (Continued)

Based on the application of the above criteria, the Authority has no component units. Additionally, the Authority is not considered to be a component unit of the District as the District is not able to impose its will on the Authority, and the Authority does not impose a financial burden on or provide a financial benefit to the District.

(2) Summary of Significant Accounting Policies

The financial statements of the Authority have been prepared in conformity with accounting principles generally accepted in the United States of America ("GAAP"), as applicable to governmental entities. The Governmental Accounting Standards Board ("GASB") is the accepted primary standard-setting body for establishing governmental accounting and financial reporting standards. The Authority's significant accounting policies are described below.

(a) Measurement Focus and Basis of Accounting

The financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned, and expenses are recorded when a liability is incurred, regardless of the timing of the related cash flows. Grants and similar items are recognized when all eligibility requirements imposed by the grantor have been met.

(b) Cash and Cash Equivalents

The Authority invests all unrestricted cash balances, in excess of the required compensating balances, in interest-bearing accounts. The Authority's cash equivalents at year end consist of unrestricted and restricted investments, such as registered money market mutual funds and U.S. government agency obligations, which have an original maturity of 90 days or less, and are readily convertible to known amounts of cash. For purposes of the accompanying statements of cash flows, cash and cash equivalents also include the Authority's restricted cash and cash equivalents.

(c) Investments

The Authority's investments at year end consist of unrestricted and restricted U.S. government agency obligations, U.S. Treasury notes, commercial paper, FDIC insured and negotiable certificates of deposit, corporate notes, supranational bonds and municipal bonds which have an original maturity in excess of 90 days. Money market investments and participating interest-earning investment contracts that have a remaining maturity at time of purchase of one year or less are reported at amortized cost. All other Investments are reported at fair value as of September 30, 2016 and 2015, respectively.

(d) Inventory

Inventory is recorded at the lower of weighted average cost or market value and consists primarily of operating and maintenance materials.

(2) Summary of Significant Accounting Policies (Continued)

(e) Restricted Assets

Restricted assets represent unspent revenue bond proceeds, funds for the current payment of debt service, and unspent Federal capital appropriations. These assets, which cannot be used for routine operations, are classified as restricted assets since their use is limited by the applicable debt covenants and Federal Appropriations Act.

(f) Capital Assets

The Authority's capital assets are comprised of the wastewater treatment plant, wastewater collection facilities, the water distribution system, purchased capacity, and capital equipment and fleet. Capital assets are reported at historical costs and include all ancillary costs. The wastewater treatment plant, collections facilities and water distribution system include project construction and development costs, internal engineering and construction management personnel costs, and interest costs incurred during the construction period.

Normal recurring maintenance and repair costs are charged to operations, whereas major repairs, improvements and replacements, which extend the useful lives of the capital assets, are capitalized. Construction-in-progress is transferred to capital assets in-service upon substantial completion or when placed in service, with related depreciation commencing at that time. The Authority's capitalization thresholds are: $500 for wastewater treatment plant and collection facilities, and water distribution systems improvements; and $5 for capital equipment and fleet.

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Asset class	Estimated useful lives
Wastewater treatment plant	60 years
Wastewater collection facilities	60 years
Water distribution systems	60 years
Purchased capacity	60 years
Capital equipment and fleet	3 - 20 years

The Authority recognizes a half-year of depreciation in the year the capital asset is placed in service and a half-year in the year of disposal.

As discussed in Note 1, the Authority is responsible for approximately 73% of the Aqueduct's operating and capital costs. The Authority records its share of operating costs as water purchases and capital costs as purchased capacity, an intangible asset. The Authority's policy is to capitalize capital costs required to be funded under long-term water purchase agreements and to amortize such costs over the shorter of the term of the contractual agreement or estimated useful life of the assets. For purposes of the Aqueduct, the Authority considers the term of the water purchase agreement to be indefinite as USACE is required by law to provide the Authority with a source of water from the Aqueduct and the Authority has no intent to terminate its Agreement to purchase water from USACE. Additionally, capital cost reimbursements made in prior years under the Authority's participation in the Jennings Randolph Reservoir (Bloomington Dam) and Little Seneca Lake projects are also included in purchased capacity.

(2) Summary of Significant Accounting Policies (Continued)

(g) Deferred Outflows of Resources

Deferred outflows of resources are defined as a consumption of net position by the Authority that is applicable to a future reporting period. Deferred outflows of resources increase net position, similar to assets. Deferred loss on bond refunding resulted from the difference between the carrying value of the refunded debt and its reacquisition price. Net losses are deferred and amortized over the life of the refunded or refunding debt, whichever is shorter.

(h) Compensated Absences

Employees earn vacation and sick leave based on a prescribed formula, which allows employees to accumulate an unlimited amount of sick leave, and vacation leave up to the maximum amounts shown in the table below. Vacation leave earned but unused by employees vests and is accrued as a liability. Generally, sick leave does not vest, and accordingly, it is recorded when used. However, as further discussed in Note 14d, the Authority Retirement Health Savings (RHS) Plan allows non-union, non-federal employees to use sick leave that is usually forfeited upon termination, to fund an account that can be used to pay for eligible medical expenses. Eligibility is established upon termination if an employee has five years of service and 100 hours of sick leave.

Accordingly, the Authority has recorded an accrual for earned sick leave only to the extent it is probable that the benefits will result in termination payments. In developing this estimate the Authority has taken into consideration past experience in making termination payments for sick leave, adjusted for the effect of changes in our termination payment policy and other current factors.

Length of Service	Annual Carryover Limits
Regular Union employees:	
1-3 years	240 hours
4-14 years	240-320 hours
Over 15 years	240-360 hours
Non-union employees:	
1-2 years	240 hours
3-6 years	320 hours
7 years	360 hours

(2) Summary of Significant Accounting Policies (Continued)

(i) Bond Premiums, Discounts and Issuance Costs

Bond premiums and discounts incurred to issue debt are capitalized and amortized as interest expense over the related bond issue period using the effective interest method. Bond issuance costs are expensed in the period incurred.

(j) Net Position

Net position is categorized into three components as follows:

- *Net investments in capital assets* – This component of net position consists of capital assets, net of accumulated depreciation and amortization and is reduced by the outstanding balances of any bonds or other borrowings that are attributable to the acquisition, construction, or improvement of those assets. Deferred outflows of resources and deferred inflows of resources that are attributable to the acquisition, construction, or improvement of those assets or related debt are also included in this component.

- *Restricted* – This component of net position consists of restrictions placed on net position as a result of external constraints imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or constraints imposed by law through constitutional provisions or enabling legislation. When both restricted and unrestricted resources are available for use, generally it is the Authority's policy to use restricted resources first and the unrestricted resources when they are needed.

- *Unrestricted* – This component consists of net position that does not meet the definition of "restricted" or "net investments in capital assets."

(k) Revenues and Expenses

Revenues and expenses are distinguished between operating and non-operating items. Operating revenues generally result from providing services in connection with the Authority's principal ongoing operations.

The principal operating revenues of the Authority are water and wastewater user charges, and charges for wholesale wastewater treatment. Revenues from user charges and sales of services are recognized as the related services are provided.

Operating expenses include the costs associated with the conveyance of water and wastewater, treatment of wastewater, administrative expenses, District payments-in-lieu-of-taxes (PILOT) and right-of-way (ROW) fees, and depreciation and amortization of capital assets. All revenues and expenses not meeting these definitions are reported as non-operating revenues and expenses.

(2) Summary of Significant Accounting Policies (Continued)

(l) Retail Water and Wastewater User Charges

Retail water and wastewater rates are approved by the Authority's Board of Directors. Charges to the District and the Federal government are the same as those charged to retail customers. Charges for services provided but unbilled at the end of the year are recorded as revenue on an estimated basis, which considers historical usage patterns and current rates. Allowances for customer receivables that ultimately may be uncollectible are estimated and charged to expense. Amounts received in advance or in excess of the user charge for a billing period are recorded as unearned revenues until such time as these amounts are either refunded or applied against future user charges.

(m) Charges for Wholesale Wastewater Treatment and Unearned Revenue

The cost of operating and maintaining the wastewater treatment plant and related collection facilities applicable to non-District users is billed to participating jurisdictions based upon their share of flows in accordance with terms of the IMA agreement discussed in Note 1c. The charges for operating and maintenance costs and for overhead costs incurred on capital projects are recorded as charges for wholesale wastewater treatment revenue in the year the costs are incurred. The costs of capital projects required for the joint use facilities are allocated to the participating jurisdictions based on their applicable capacity allocation as set forth in the 2012 IMA. The reimbursements for capital related costs are recorded as unearned revenue and are amortized into user charges for wholesale wastewater treatment revenues over the estimated useful lives of the related assets.

(n) Contingencies

Liabilities from loss contingencies arising from claims, assessments, litigation, fines and penalties, and other sources, are recorded when information available before the financial statements are issued indicates that it is probable that an asset has been impaired or a liability has been incurred at the date of the financial statements and the amount of the loss can be reasonably estimated. When the reasonable estimate of the loss is a range, and when no amount within the range is a better estimate than any other amount, the Authority accrues a loss for the minimum amount in the range.

(o) Use of Estimates

The preparation of financial statements in conformity with U.S generally accepted accounting principles (GAAP) requires management to make estimates and assumptions that affect the reported amounts of assets, deferred outflows of resources, liabilities and deferred inflows of resources and disclosure of contingent assets and liabilities at the date of the basic financial statements. Estimates also affect the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

(2) Summary of Significant Accounting Policies (Continued)

(p) Adoption of New Accounting Standards

During the fiscal year ended September 30, 2016, the Authority adopted the following new accounting standards issued by the Governmental Accounting Standards Board (GASB): Statement No. 72, *Fair Value Measurement and Application;* Certain provisions of Statement No. 73, *Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement 68, and Amendments to Certain Provisions of GASB Statements 67 and 68*; Statement No. 76, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*; and Statement No. 79, *Certain External Investment Pools and Pool Participants*

Implementation of GASB Statement Nos. 73, 76 and 79 had no impact on the Authority's fiscal year 2016 financial statements. The Authority's implementation of GASB Statement No. 72 did not have a material impact but did result in additional required disclosures surrounding the inputs used to estimate fair value of the Authority's investments which are included in a new note to the financial statements. See note 3(c).

(q) New Accounting Pronouncements to be Implemented in the Future

The Authority plans to implement the following GASB pronouncements by the required implementation dates:

No.	Title	Required Implementation Date *(Period Beginning After)*	Authority Fiscal Year
73	Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement 68, and Amendments to Certain Provisions of GASB Statements 67 and 68	June 15, 2015 and 2016	2016 and 2017
74	Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans	June 15, 2016	2017
75	Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions	June 15, 2017	2018
77	Tax Abatement Disclosures	December 15, 2015	2017
78	Pensions Provided through Certain Multiple-Employer Defined Benefit Pension Plans	December 15, 2015	2017
80	Blending Requirements for Certain Component Units	June 15, 2016	2017
81	Irrevocable Split-Interest Agreements	December 15, 2016	2018
82	Pension Issues	June 15, 2016	2017

(3) Cash Deposits and Investments

(a) Authorized Cash Deposits and Investments

The Authority's Investment Policy, which is compliant with the Authority's bond covenants and master indenture, requires that all cash and other deposits maintained in financial institutions be collateralized, including bank deposits and collateralized certificates of deposit. Collateral is required to be secured in accordance with the following policy: a) collateralization on all deposits of the Authority in excess of the amount protected by federal deposit insurance; and b) collateralization with any of the following: (i) U.S. Treasury obligations, (ii) Federal agency obligations, or (iii) a Letter of Credit issued by a Federal Home Loan Bank the amount of which shall be 102% of the deposits held. Collateral shall always be held by an independent third-party custodian in the name of the Authority.

The Authority's Investment Policy permits investments in the following securities:

(1) *U.S. Treasury Obligations.* U.S Treasury bills, notes, or any other obligation or security issued by or backed by the full faith and credit of the US Treasury. These securities shall be limited to a maximum maturity of five (5) years at the time of purchase.

(2) *Registered Investment Companies (Mutual Funds).* Shares in open-end, no-load investment funds provided such funds are registered under the Federal Investment Company Act of 1940, invest exclusively in the securities permitted under this investment policy, provided that the fund is rated "AAAm" or "AAAm-G" or the equivalent.

(3) *Repurchase Agreements.* Contracts shall be invested in only if certain conditions are met, including: a) the Repurchase Agreement has a term to maturity of no greater than ninety (90) days; b) the contract is fully secured by deliverable U.S. Treasury and Federal Agency obligations, having a market value at all times of at least one hundred two percent (102%) of the amount of the contract; and c) the counterparty meets certain criteria specified in the Investment Policy.

(4) *Federal Agency Obligations.* Bonds, notes, debentures, or other obligations or securities issued by a Federal government agency or instrumentality, except Collateralized Mortgage Obligations, with a rating of at least "AA" or equivalent from two major rating agencies. These obligations shall be limited to a maximum maturity of five (5) years at the time of purchase.

(5) *Bankers' Acceptances.* Issued by a domestic bank or a federally chartered domestic office of a foreign bank, which are eligible for purchase by the Federal Reserve System, may be purchased if the following conditions are met: a) the maturity is no greater than one hundred-eighty days (180) days; and b) it is rated not lower than 'A-1' or the equivalent.

(6) Commercial Paper. Unsecured short-term debt of U.S. corporations may be purchased if certain conditions are met, including: a) the maturity is no greater than two hundred-seventy days (270) days; and b) the issuing corporation, or its guarantor, has a short-term debt rating of no less than "A-1" (or its equivalent) by at least two of the Nationally Recognized Statistical Rating Organizations ("NRSRO").

(3) Cash Deposits and Investments (Continued)

(7) *Collateralized Certificates of Deposit* in state chartered banks or federally charted banks. Collateralized Certificates of Deposit shall be collateralized at 102%.

(8) *Corporate Notes.* High quality corporate notes that meet the following criteria: 1) a rating of at least ' AA' (or its equivalent) from at least one NRSRO and a rating of at least 'A' (or its equivalent) from a second NRSRO; and 2) the final maturity shall not exceed a period of five (5) years from the time of purchase.

(9) *FDIC insured Certificates of Deposit obtained through Certificate of Deposit placement services including the Certificate of Deposit Account Registry Service* (CDARS). In 2012, the Authority began participating in CDARS program. The program allows the Authority to allocate funds into certificates of deposit in increments, which ensure the funds are eligible for full FDIC insurance.

(10) *Federal Agency Mortgage-Backed Securities*. Issued by Fannie Mae, Freddie Mac, or the Government National Mortgage Association (GNMA) that meet the following criteria: 1) a rating of at least "AA" (or its equivalent) by two NRSROs; 2) The weighted average life (WAL) shall not exceed a period of five (5) years from the time of purchase.

(11) *Negotiable Certificates of Deposit and Bank Deposit Notes of domestic banks and domestic offices of foreign banks with:* a) ratings of at least ‘A-1’ (or its equivalent) by two NRSROs for maturities of one (1) year or less; b) a rating of at least ‘AA’ (or its equivalent) from at least one NRSRO and a rating of at least ‘A’ (or its equivalent) from a second NRSRO for maturities over one (1) year; and c) the final maturity shall not exceed a period of five (5) years from the time of purchase.

(12) *Supranational Bonds*. Obligations, participations or other instruments of any Federal agency, instrumentality or United States government-sponsored enterprise, including those issued or fully guaranteed as to the principal and interest by Federal agencies, instrumentalities or United States government sponsored enterprises, provided that: 1) at time of purchase the maturity does not to exceed five (5) years; and 2) have a rating of at least 'A' (or its equivalent) from at least two NRSROs.

(13) *Municipal Obligations.* Municipal bonds, notes and other evidences of indebtedness of the District or any state or local government may be purchased that meet certain criteria, including: a) final maturity on the date of investment not to exceed five (5) years; b) rated in either of the two highest rating categories by a NRSRO; and c) the total holdings of any single issue do not represent more than 25% of the total issue.

(3) Cash Deposits and Investments (Continued)

Additionally, the Authority's Investment Policy has established the following limits as to the maximum percentage of the investment portfolio that is permitted to be invested in each type of eligible security:

Security		Security	
Collateralized Bank Deposits	100%	Collateralized Certificates of Deposit	30%
U.S. Treasury Obligations	100%	Corporate Notes	30%
Registered Money Market Mutual Funds	100%	FDIC-insured Certificates of Deposit	30%
Repurchase Agreements	100%	Federal Agency Mortgage-Backed Securities	30%
Federal Agency Obligations	80%	Negotiable Certificates of Deposit	30%
Bankers' Acceptances	40%	Supranational Bonds	30%
Commercial Paper	35%	Municipal Obligations	20%

The Authority's Investment Policy also stipulates that no more than 5% of the Authority's portfolio will be invested in the securities of any single issuer with following exceptions:

U.S. Treasury	100% maximum
Each Mutual Fund	50% maximum
Each Repurchase Agreement Counterparty	50% maximum
Each Federal Agency	40% maximum

For the years ended September 30, 2016 and 2015, the Authority was in full compliance with the Investment Policy.

(b) Cash Deposits

At September 30, 2016 and 2015, the carrying amounts of the Authority's unrestricted and restricted bank deposits were $112,215 and $71,214 respectively. These bank deposits were entirely insured or collateralized with securities or letters of credit at 102% of the market value of principal, plus accrued interest held by the Authority's independent agent in the Authority's name.

(3) Cash Deposits and Investments (Continued)

(c) Fair Value Measurements

The Authority categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The Authority is required to classify certain assets and liabilities based on the following fair value hierarchy:

Level 1: Quoted price in active markets for identical assets.

Level 2: Inputs other than quoted prices included in level 1 that are observable, either directly or indirectly. Debt securities are priced based on a compilation of primarily observable market information or broker quote in a non-active market.

Level 3: Inputs are significant unobservable inputs.

As noted in the following table, all of the Authority's investments that are reported at fair value have been measured using Level 2 inputs as of September 30, 2016 and 2015, respectively:

	Fair Value Measurement at Reportable Date Using Significant Other Observable Inputs (Level 2)	
Investments by fair value level	2016	2015
U.S. Treasury notes	$ 37,997	$ 54,610
Corporate notes	25,044	26,313
U.S. government agency obligations	67,184	15,365
Negotiable certificates of deposit	12,012	11,986
Supranational Bonds	3,755	-
Municipal bonds	4,743	120
Total investments at fair value	150,735	108,394
Investments and cash equivalents carried at amortized cost	208,784	193,048
Total investments and cash equivalents	$ 359,519	$ 301,442

(3) Cash Deposits and Investments (Continued)

(d) Cash Equivalents and Investments

As of September 30, 2016 and 2015, the Authority held the following cash equivalents and investments:

Cash equivalents and investments	2016	Weighted Average Maturity (Years)	2015	Weighted Average Maturity (Years)
Registered money market mutual	$125,783	0.083	$162,435	0.083
U.S. government agency obligations	67,184	1.191	18,965	0.965
Commercial paper	62,792	0.257	1,792	0.589
U.S. Treasury notes	43,009	1.270	54,610	1.596
Corporate notes	25,044	1.772	26,313	2.153
FDIC-insured certificates of deposit	15,197	0.326	25,220	0.214
Negotiable certificates of deposit	12,012	0.839	11,987	1.168
Municipal bonds	4,743	2.324	120	2.033
Supranational Bonds	3,755	2.584	-	0.000
Total cash equivalents and investments	$359,519	0.671	$301,442	0.651

The Authority's exposure to foreign currency risk, interest rate risk, credit risk and custodial risk associated with its cash deposits and investments are described below:

Foreign Currency Risk – Foreign currency risk is the risk that changes in the exchange rates will adversely impact the fair values of an investment. The Authority's investments are not subject to foreign currency risk as the Authority held no investments denominated in foreign currency as of and for the years ended September 30, 2016 and 2015, respectively.

Interest Rate Risk – Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, an investment with a longer maturity will have a greater sensitivity to fair value changes that are related to market interest rates. As a means of limiting its exposure to fair value losses resulting from rising interest rates, the Authority's Investment Policy limits the Authority's investment portfolio to investments with certain maximum maturities.

(3) Cash Deposits and Investments (Continued)

The following are the maximum maturities established by the Authority's investment policy:

Security	Maturities	Security	Maturities
U.S. Treasury Obligations	5 years	Corporate Notes	5 years
Registered Money Market Mutual Funds	NA	FDIC-insured Certificates of Deposit	NA
Repurchase Agreements	90 days	Federal Agency Mortgage-Backed Securities	5 years
Federal Agency Obligations	5 years	Negotiable Certificates of Deposit	5 years
Bankers' Acceptances	180 days	Supranational Bonds	5 years
Commercial Paper	270 days	Municipal Obligations	5 years
Collateralized Certificates of Deposit	NA		

Additionally, the Authority monitors the interest rate risk inherent in its portfolio by measuring the weighted average maturity of its portfolio of debt instruments.

As reflected in the table on the previous page, the weighted average maturity of the Authority's investment portfolio was 0.671 years and 0.651 years as of September 30, 2016 and 2015, respectively.

Credit Risk – Generally, credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized rating organization. The Authority manages this risk by establishing minimum credit ratings in its investment policy.

The table below reflects the allocation of the Authority's investments by credit quality rating as of September 30, 2016:

	Credit Quality Rating										
Investment Type	AAA	AA+	AA	AA-	A+	A	A-1	A-1+	AAAm	Not Rated	Total
U.S. government agency obligations		18.7%									18.7%
Commercial paper							13.3%	4.2%			17.5%
Registered money market mutual									35.0%		35.0%
U.S. Treasury notes		12.0%									12.0%
FDIC-Insured certificates of deposit										4.2%	4.2%
Corporate notes	0.2%	0.9%	0.5%	3.6%	1.0%	0.8%					7.0%
Negotiable certificates of deposit				0.8%			1.5%	1.0%			3.3%
Supranational Bonds	1.0%										1.0%
Municipal bond			1.0%	0.3%							1.3%
	1.2%	31.6%	1.5%	4.7%	1.0%	0.8%	14.8%	5.2%	35.0%	4.2%	100.0%

At September 30, 2016, the Authority's investments with exposure to credit risk met the minimum credit ratings required in the Authority's investment policy.

(3) Cash Deposits and Investments (Continued)

Custodial Credit Risk – Deposits is the risk that, in the event of the failure of the depository financial institution, the Authority will not be able to recover the deposits or collateral securities that are in the possession of an outside party. The Authority had no custodial credit risk associated with cash deposits as all other bank deposits were entirely insured or collateralized with securities or letters of credit at 102% of the market value of principal, plus accrued interest and held by the Authority's independent agent in the Authority's name.

Custodial Credit Risk – Investments is the risk that in the event of the failure of the counterparty, the Authority will not be able to recover the value of its investments or collateral securities that are in the possession of the outside party. The Authority has no custodial credit risk as all Authority investments are held in the Authority's name by an independent custodial agent for the term of the agreement and investments in obligations of the United States or its agencies are held by the Federal Reserve in a custodial account.

Other Required Disclosures – As of and for the years ended September 30, 2016 and 2015, the Authority did not have any:

- Commitments to resell securities under yield maintenance agreements;
- Losses due to defaults by counterparties or recoveries from prior period losses; and
- Investments in any one issuer that represent 5% or more of total investments, excluding investments explicitly guaranteed by the U.S. government and its agencies and investments in mutual funds, external investment pools and other pooled investments that are excluded from this disclosure requirement.

(3) Cash Deposits and Investments (Continued)

(d) Cash and Investment Schedule

A schedule of cash, cash equivalents and investments as of September 30, 2016 and 2015 follows:

	2016			2015		
Description	Unrestricted	Restricted	Total	Unrestricted	Restricted	Total
Cash and cash equivalents						
Demand deposits	$ 112,215	$ -	$ 112,215	$ 71,214	$ -	$ 71,214
Registered money market mutual	68	125,715	125,783	10,112	152,323	162,435
Total cash and cash equivalents	112,283	125,715	237,998	81,326	152,323	233,649
Investments						
U.S. Treasury notes	16,118	26,891	43,009	41,396	13,214	54,610
Corporate notes	25,044	-	25,044	26,313	-	26,313
FDIC-insured certificates of deposit	15,197	-	15,197	25,220	-	25,220
U.S. government agency obligations	28,323	38,861	67,184	8,930	10,035	18,965
Negotiable certificates of deposit	12,012	-	12,012	11,987	-	11,987
Commercial paper	1,790	61,002	62,792	1,792	-	1,792
Supranational Bonds	3,755	-	3,755	-	-	-
Municipal bonds	4,743	-	4,743	120	-	120
Total Investments	106,982	126,754	233,736	115,758	23,249	139,007
Total cash, cash equivalents & investments	$ 219,265	$ 252,469	$ 471,734	$ 197,084	$ 175,572	$ 372,656

(3) Cash Deposits and Investments (Continued)

(e) Restricted Cash and Investment Schedule

A schedule of restricted cash, cash equivalents and investments as of September 30, 2016 and 2015 follows:

Description	2016	2015
Restricted cash and cash equivalents (current and noncurrent)		
2016 B EIB Construction Funds	$ 24,500	$ -
Principal payment, 1998 revenue bonds	13,924	13,138
Interest payment, 2016A revenue bonds	10,500	-
Interest payment, 2015A,B revenue bonds	8,760	-
Interest payment, 2014C revenue bonds	8,739	8,763
Interest payment, 2014A revenue bonds	8,431	8,426
Interest payment, 2010 revenue bonds	8,398	5,511
Interest payment, 2012A,C revenue bonds	8,079	8,156
Interest payment, 2009 revenue bonds	236	4,284
Interest payment, 2013 revenue bonds	7,534	7,529
Principal payment, 2008 revenue bonds	6,604	6,435
Interest payment, 2008 revenue bonds	506	4,205
Interest payment, 1998 revenue bonds	5,587	5,981
Principal payment, 2012 revenue bonds	4,919	4,751
Interest payment, 2007 revenue bonds	-	2,840
Principal payment, 2009 revenue bonds	3,498	3,175
Extendable municipal commercial paper	2,326	-
Revenue bonds 2015B	1,833	-
Interest payment, commercial paper	637	-
Revenue bonds 2015A	233	-
Debt service reserve account, 1998 revenue bonds	211	218
Revenue bonds 2014C	124	-
Interest payment, 2014B revenue bonds	96	34
Interest payment, 2012B-1,2 revenue bonds	38	60
Revenue bonds 2014A	1	67,604
Interest payment, commercial paper	-	642
Principal payment, 2014C revenue bonds	-	570
Combined sewer overflow (CSO) federal appropriations	1	1
Total restricted cash and cash equivalents	125,715	152,323
Restricted investments (current and noncurrent)		
Debt service reserve account, 1998 revenue bonds	23,382	23,249
Revenue bonds 2015A	78,402	-
Revenue bonds 2015B	24,970	-
Total restricted investments	126,754	23,249
Total restricted cash, cash equivalents & investments	$252,469	$175,572

(4) Capital Assets

The following tables present the activity in capital assets for the years ended September 30, 2016 and 2015:

	Balance 9/30/2015	Additions	Disposals	Transfers	Balance 9/30/2016
Capital Assets					
Wastewater treatment plant	$2,367,163	$ -	$ -	$ 16,013	$2,383,176
Wastewater collection facilities	828,130	-	-	14,965	843,095
Water distribution system	1,054,046	-	-	41,170	1,095,216
Purchased capacity	341,974	7,236	-	-	349,210
Capital equipment	203,573	(35)	(96)	17,142	220,584
Total capital assets in service	4,794,886	7,201	(96)	89,290	4,891,281
Less accumulated depreciation:					
Wastewater treatment plant	(588,392)	(40,880)	-	-	(629,272)
Wastewater collection facilities	(253,807)	(13,465)	-	-	(267,272)
Water distribution system	(256,622)	(17,807)	-	-	(274,429)
Purchased capacity	(82,540)	(5,820)			(88,360)
Capital equipment	(169,855)	(11,540)	96	-	(181,299)
Total accumulated depreciation	(1,351,216)	(89,512)	96	-	(1,440,632)
Net capital asssets in service	3,443,670	(82,311)	-	89,290	3,450,649
Construction-in-progress	2,033,657	600,331	-	(89,290)	2,544,698
Net capital assets	$5,477,327	$518,020	$ -	$ -	$5,995,347

	Balance 9/30/2014	Additions	Disposals	Transfers	Balance 9/30/2015
Capital Assets					
Wastewater treatment plant	$2,057,116	$ -	$ -	$ 310,047	$2,367,163
Wastewater collection facilities	758,603	-	-	69,527	828,130
Water distribution system	981,047	-	-	72,999	1,054,046
Purchased capacity	334,174	7,800	-	-	341,974
Capital equipment	191,409	(12)	(651)	12,827	203,573
Total capital assets in service	4,322,349	7,788	(651)	465,400	4,794,886
Less accumulated depreciation:					
Wastewater treatment plant	(550,483)	(37,909)	-	-	(588,392)
Wastewater collection facilities	(240,961)	(12,846)	-	-	(253,807)
Water distribution system	(239,989)	(16,633)	-	-	(256,622)
Purchased capacity	(76,844)	(5,696)			(82,540)
Capital equipment	(159,732)	(10,774)	651	-	(169,855)
Total accumulated depreciation	(1,268,009)	(83,858)	651	-	(1,351,216)
Net capital asssets in service	3,054,340	(76,070)	-	465,400	3,443,670
Construction-in-progress	1,879,678	619,379	-	(465,400)	2,033,657
Net capital assets	$4,934,018	$543,309	$ -	$ -	$5,477,327

(4) Capital Assets (Continued)

For the years ended September 30, 2016 and 2015, total interest expense incurred was $65,183 and $57,341, and total capitalized interest was $62,800 and $52,028, respectively.

The following tables present the activity in purchased capacity for the years ended September 30, 2016 and 2015:

	Balance 9/30/2015	Additions	Balance 9/30/2016
Purchased capacity			
Washington Aqueduct	$ 309,784	$ 7,236	$ 317,020
Jennings Randolph Reservoir	19,863	-	19,863
Little Seneca Lake	12,327	-	12,327
Total in service	341,974	7,236	349,210
Less accumulated depreciation:			
Washington Aqueduct	(67,239)	(5,223)	(72,462)
Jennings Randolph Reservoir	(9,037)	(393)	(9,430)
Little Seneca Lake	(6,264)	(204)	(6,468)
Total accumulated depreciation	(82,540)	(5,820)	(88,360)
Purchased capacity, net	$ 259,434	$ 1,416	$ 260,850

	Balance 9/30/2014	Additions	Balance 9/30/2015
Purchased capacity			
Washington Aqueduct	$ 301,984	$ 7,800	$ 309,784
Jennings Randolph Reservoir	19,863	-	19,863
Little Seneca Lake	12,327	-	12,327
Total in service	334,174	7,800	341,974
Less accumulated depreciation:			
Washington Aqueduct	(62,141)	(5,098)	(67,239)
Jennings Randolph Reservoir	(8,644)	(393)	(9,037)
Little Seneca Lake	(6,059)	(205)	(6,264)
Total accumulated depreciation	(76,844)	(5,696)	(82,540)
Purchased capacity, net	$ 257,330	$ 2,104	$ 259,434

(5) Capital Contributions

Capital contributions consist of the following for the years ended September 30, 2016 and 2015, respectively:

Description	2016	2015
Federal grants and appropriations	$ 29,470	$ 47,943
Contributions from District government	2,961	20,022
Total	$ 32,431	$ 67,965

Capital contributions consist principally of Federal grants and appropriations and certain capital costs incurred by the Authority in fiscal year 2016 and 2015 to be reimbursed by the District government pursuant to the Memorandum of Understanding between the Authority and the District discussed in Note 13(c).

(6) Due from Federal Government

The amount due from the Federal government consists of the following at September 30, 2016 and 2015, respectively:

Description	2016	2015
Washington Aqueduct advance	$ 24,150	$ 24,233
Federal grants receivable	4,223	8,245
Total	$ 28,373	$ 32,478

The Washington Aqueduct advance consists of unexpended capital advances and an operating escrow of $4,675 required under the Water Sales Agreement. Federal grants receivable represent amounts due from the Environmental Protection Agency related to allowable construction costs incurred but not billed and/or reimbursed as of the fiscal year end.

(7) Customer Receivables

The following is a summary of customer receivables, net as of September 30, 2016 and 2015:

Description	2016	2015
Billed customer receivables	$ 60,616	$ 55,975
Unbilled customer receivables	21,441	19,042
Total customer receivables	82,057	75,017
Less: Allowance for doubtful accounts	(15,042)	(12,364)
Customer receivables, net	$ 67,015	$ 62,653

(8) Due from Other Jurisdictions

The amount due from other jurisdictions under the 2012 IMA consists of the following at September 30, 2016 and 2015:

Description	2016	2015
Current:		
Washington Suburban Sanitary Commission	$ 10,872	$ 31,971
Fairfax	2,472	8,368
Loudoun County Sanitation Authority	937	3,121
Northern Virginia	92	90
Potomac Interceptor	587	849
Total current	14,960	44,399
Noncurrent:		
Washington Suburban Sanitary Commission	11,703	12,149
Northern Virginia	2,989	3,082
Fairfax	2,333	2,601
Loudoun County Sanitation Authority	1,031	1,153
Total noncurrent	18,056	18,985
Total due from other jurisdictions	$ 33,016	$ 63,384

(9) Compensated Absences

The following table reflects the activity associated with accrued compensated absences for the years ended September 30, 2016 and 2015, respectively:

	2016			2015		
Description	Vacation	Sick	Total	Vacation	Sick	Total
Beginning of year	$ 8,253	$ 7,805	$ 16,058	$ 7,683	$ 6,897	$ 14,580
Increased (incurred)	2,112	2,201	4,313	1,963	1,688	3,651
Decreases	(2,050)	(933)	(2,983)	(1,393)	(780)	(2,173)
End of year	8,315	9,073	17,388	8,253	7,805	16,058
Less: current portion	1,443	592	2,035	1,105	359	1,464
Noncurrent portion	$ 6,872	$ 8,481	$ 15,353	$ 7,148	$ 7,446	$ 14,594

The current portion of compensated absences is included in compensation payable in the accompanying statements of net position.

(10) Short-Term Debt —Commercial paper notes payable and Extendable Municipal Commercial Paper

The Authority's commercial paper notes payable are comprised of the following as of September 30, 2016 and 2015, respectively:

Description	9/30/2015	9/30/2016
Commercial Paper	$ 91,200	$ 29,200
Extendable Municipal Commercial Paper	-	50,000
	$ 91,200	$ 79,200

(a) Commercial Paper

A schedule of Commercial Paper activity for the years ended September 30, 2016 and 2015 is shown below:

Description	Balance 9/30/2015	2016 Maturities	2016 Re-Issuance	Balance 9/30/2016
Series C, interest from 0.24% to 0.60%, maturties ranged from 34 to 95 days	$ 29,200	$ (262,800)	$ 262,800	$ 29,200
Series B, interest from 0.03% to 0.07%, maturities ranged from 17 to 71 days	62,000	(87,000)	25,000	-
	$ 91,200	$ (349,800)	$ 287,800	$ 29,200

Description	Balance 9/30/2014	2015 Maturities	2015 Re-Issuance	Balance 9/30/2015
Series C, interest from 0.15% to 0.24%, maturties ranged from 1 to 97 days	$ 29,200	$ (204,400)	$ 204,400	$ 29,200
Series B, interest from 0.03% to 0.12%, maturities ranged from 36 to 89 days	12,000	(78,000)	128,000	62,000
	$ 41,200	$ (282,400)	$ 332,400	$ 91,200

The Authority has established a commercial paper ("CP") program to provide interim financing for the Authority's capital improvement program. Two series of notes have been issued under the commercial paper program: the tax-exempt Series B CP Notes in an aggregate principal amount not to exceed $100,000, and the taxable Series C CP Notes in an aggregate principal amount not to exceed $50,000, (collectively, the "Commercial Paper Notes"), each as subordinate debt to the senior debt discussed in Note 11. To provide liquidity and credit support for the Commercial Paper Notes, the Authority obtained irrevocable, direct-pay letters of credit (the "Letters of Credit") issued by Landesbank Hessen-Thüringen Girozentrale, New York Branch (the "Bank") which currently expire on May 15, 2020.

(10) Short-Term Debt —Commercial Paper and Extendable Municipal Commercial Paper (Continued)

In connection with the Bank's issuance of the Letters of Credit, the Authority and the Bank entered into a Reimbursement Agreement for each series of CP Notes, each dated as of May 1, 2015, each as amended (collectively, the "Reimbursement Agreements") that obligates the Authority to pay Bank Obligations and Reimbursement Obligations (both as defined in the Eleventh Supplemental Indenture relating to the Commercial Paper Notes) and Fee Obligations (as defined in each Reimbursement Agreement) to the Bank. The Bank Obligations, the Reimbursement Obligations and Fee Obligations are Subordinate Debt under the Indenture.

(b) Extendable Municipal Commercial Paper

A schedule of Extendable Municipal Commercial Paper activity for the year ended September 30, 2016 is shown below:

Description	Balance 9/30/2015	2016 Maturities	2016 Re-Issuance	Balance 9/30/2016
EMCP Series A, interest from 0.06% to 0.55%, maturties ranged from 27 to 90 days	$ -	$ (275,000)	$ 325,000	$ 50,000

The Authority has authorized a $100,000 Extendable Municipal Commercial Paper (EMCP) Program. The program consists of one series - A, in the amount of $100,000. This program will provide interim financing for a portion of the Authority's Capital Improvement Program. Under this program the notes are issued backed by the liquidity and credit rating of the Authority. Each Series A EMCP Note will mature on its respective "Original Maturity Date", which may range from one to 90 days from the date of issuance, unless its maturity is extended on the "Original Maturity Date" to the "Extended Maturity Date", which will be the date that is 270 days after the date of issuance of the Series A EMCP Note. The notes are payable from and secured by a subordinate lien on the Authority's net revenues, as further described in the Authority's master trust indenture as supplemented. On December 1, 2015, the Authority issued the Series A EMCP Notes in the amount of $50,000. The proceeds were used to (1) redeem $47,310 of currently outstanding Commercial Paper (2) pay $1 of accrued interest on the Commercial Paper as well as the interest associated with the Authority's public utility subordinate lien multimodal revenues bonds, 2012 series B-2 (3) pay $355 associated cost of issuance of the Series A EMCP Note and (4) the remaining $2,334 were contributed to the Construction Account.

(11) Long-Term Debt

A schedule of long-term debt activity for the year ended September 30, 2016 is shown below:

Description	Balance 9/30/2015	Increases	Decreases	Balance 9/30/2016	Due Within One Year
2016 Public Utility Revenue Bonds:					
Series A interest at 2.0 % to 5.0%, maturing in 2039	$ -	$ 389,110	$ -	$ 389,110	$ -
Series B interest at 3.4%, maturing in 2047	-	25,000	-	25,000	-
2015 Public Utility Revenue Bonds:					
Series A interest at 2.0 % to 5.0%, maturing in 2045	-	100,000	-	100,000	-
Series B interest at 5.0 % to 5.25%, maturing in 2044	-	250,000	-	250,000	-
2014 Public Utility Revenue Bonds:					
Series A interest at 4.81%, maturing in 2114	350,000	-	-	350,000	-
Series B-1 interest at 3.25%, maturing in 2050	50,000	-	-	50,000	-
Series B-2 interest at 3.25%, maturing in 2050	50,000	-	-	50,000	-
Series C interest at 3.0 % to 5.0%, maturing in 2044	377,700	-	(590)	377,110	-
2013 Public Utility Revenue Bonds:					
interest at 4.75% to 5.0%, maturing in 2048	300,000	-	-	300,000	-
2012 Public Utility Revenue Bonds:					
Series A interest at 2.0 % to 5.0%, maturing in 2037	168,405	-	(4,750)	163,655	4,915
Series B-2 interest at 2.26%, maturing in 2040	47,310	-	(47,310)	-	-
Series C interest at 4.0% to 5.0%, maturing in 2033	163,215	-	-	163,215	-
2010 Series A Public Utility Revenue Bonds:					
interest at 4.1% to 5.5%, maturing in 2044	300,000	-	-	300,000	-
2009 Series A Public Utility Revenue Bonds:					
interest at 3.0% to 6.0%, maturing in 2019	159,520	-	(147,985)	11,535	3,495
2008 Series A Public Utility Revenue Bonds:					
interest at 4.0% to 5.0%, maturing in 2019	168,190	-	(147,990)	20,200	6,600
2007 Series A Public Utility Revenue Bonds:					
interest at 4.75% to 5.50%, maturing in 2041	115,580	-	(115,580)	-	-
1998 Public Utility Revenue Bonds:					
interest ranges from 5.5% to 6.0%, maturing in 2028	183,660	-	(13,135)	170,525	13,920
Notes payable to the Federal Government for Jennings Randolph Reservoir (Bloomington Dam):					
interest at 3.25%, maturing in 2041	13,217	-	(376)	12,841	387
Subtotal	2,446,797	764,110	(477,716)	2,733,191	29,317
Unamortized bond premiums	104,060	111,329	(16,712)	198,677	-
Unamortized bond discounts	(2,351)	-	129	(2,222)	-
Total bonds and notes	$ 2,548,506	$ 875,439	$ (494,299)	$ 2,929,646	$ 29,317

(11) Long-Term Debt (Continued)

A schedule of long-term debt activity for the year ended September 30, 2015 is shown below:

Description	Balance 9/30/2014	Increases	Decreases	Balance 9/30/2015	Due Within One Year
2014 Public Utility Revenue Bonds:					
Series A interest at 4.81%, maturing in 2114	$ 350,000	$ -	$ -	$ 350,000	$ -
Series B-1 interest at 3.25%, maturing in 2050	50,000	-	-	50,000	-
Series B-2 interest at 3.25%, maturing in 2050	50,000	-	-	50,000	-
Series C interest at 3.0 % to 5.0%, maturing in 2044	-	377,700	-	377,700	590
2013 Public Utility Revenue Bonds:					
interest at 4.75% to 5.0%, maturing in 2048	300,000	-	-	300,000	-
2012 Public Utility Revenue Bonds:					
Series A interest at 2.0 % to 5.0%, maturing in 2037	172,990	-	(4,585)	168,405	4,750
Series B-1 interest at 2.26%, maturing in 2044	52,690	-	(52,690)	-	-
Series B-2 interest at 2.26%, maturing in 2040	47,310	-	-	47,310	-
Series C interest at 4.0% to 5.0%, maturing in 2033	163,215	-	-	163,215	-
2010 Series A Public Utility Revenue Bonds:					
interest at 4.1% to 5.5%, maturing in 2044	300,000	-	-	300,000	-
2009 Series A Public Utility Revenue Bonds:					
interest at 3.0% to 6.0%, maturing in 2039	291,145	-	(131,625)	159,520	3,175
2008 Series A Public Utility Revenue Bonds:					
interest at 4.0% to 5.0%, maturing in 2034	268,095	-	(99,905)	168,190	6,435
2007 Series A Public Utility Revenue Bonds:					
interest at 4.75% to 5.50%, maturing in 2041	218,715	-	(103,135)	115,580	-
1998 Public Utility Revenue Bonds:					
interest ranges from 5.5% to 6.0%, maturing in 2028	196,050	-	(12,390)	183,660	13,135
Notes payable to the Federal Government for Jennings Randolph Reservoir (Bloomington Dam):					
interest at 3.25%, maturing in 2041	13,580	-	(363)	13,217	375
Subtotal	2,473,790	377,700	(404,693)	2,446,797	28,460
Unamortized bond premiums	76,098	51,085	(23,123)	104,060	-
Unamortized bond discounts	(2,480)	-	129	(2,351)	-
Total bonds and notes	$ 2,547,408	$ 428,785	$ (427,687)	$ 2,548,506	$ 28,460

(11) Long-Term Debt (Continued)

(a) Senior Debt

The 2014 Series A, 2009 Series A and 1998 Series public utility revenue bonds are considered senior debt under the related Master Indenture of Trust ("Master Indenture"). Payment of the principal and interest on Authority's senior debt is secured by a pledge of Authority's gross revenues (excluding any capital contributions or grants) after provisions for payment of operating expenses.

In July 2014, the Authority issued $350,000 of senior lien public utility revenue bonds 2014 Series A. The 2014 Series A bonds are federally taxable green bonds with a fixed rate of 4.81% and a 100 year final maturity in 2114. The proceeds of the issuance will be used to help finance the construction of the Authority's DC Clean Rivers Project. Net proceeds from the bond issuance totaled approximately $346,000 including $4,000 of underwriter's discount and cost of issuance.

In February 2009, the Authority issued senior lien public utility revenue bonds 2009 Series A with a face value of $300,000, consisting of $38,355 in Serial Bonds and $261,645 in Term Bonds. The Serial Bonds have maturity dates and interest rates ranging from 2010-2030 and 3.0% to 5.4%, respectively. The Term Bonds have maturity dates and interest rates ranging from 2024-2039 and 4.8% to 6.0%, respectively. Debt proceeds were used to repay $14,800 of the taxable Series A Commercial Paper Notes and $50,000 of the tax exempt Series B Commercial Paper Notes with the remainder used to finance the ongoing capital improvement program. During fiscal years 2015 and 2016, the Authority advance refunded $128,835 and $144,810, of the 2009 Series A bonds respectively. Details of the advance refunding are discussed below. The remaining undefeased 2009 Series A bonds outstanding as of September 30, 2016 will mature in fiscal years 2017 through 2019

In April 1998, the Authority issued $266,120 of senior lien public utility revenue bonds 1998 Series. Gross proceeds from the Series 1998 Series bonds totaled $285,200, including $18,800 of the original issue premium. Approximately $77,200 was used to fund various capital projects; $181,000 was used to repay the outstanding balances of a revolving line of credit and certain notes payable to the Federal government and to advance-refund approximately $152,200 of District general obligation bonds. The refunded bonds have been fully extinguished. The remainder of the gross proceeds, approximately $27,000, was used to fund the debt service reserve fund and to pay the cost of issuance. The payment of principal and interest on the Series 1998 bonds is insured by Financial Security Assurance, Inc.

(b) Subordinate Debt

Payments of the Authority's subordinate debt are made after payments of senior debt and after certain reserves have been funded (see "Bond Covenants" below).

In September 2016 the Authority issued $25,000 of tax-exempt public utility subordinate lien revenue bonds, 2016 Series B (Environmental Impact Bonds) (the "2016 Series B Bonds"). The 2016 Series B Bonds are multimodal variable rate bonds, initially issued bearing a 3.43% fixed rate through the mandatory tender date, April 1, 2021. The net proceeds (after payment of $472 of issuance expenses) of $24,528 of the 2016 Series B Bonds will be used for construction of green infrastructure (GI) in Rock Creek Project A (RC-A). The GI practices are designed to mimic natural processes to absorb and slow surges of stormwater during periods of heavy rainfall, reducing the incidence and volume of combined sewer overflows (CSOs) that pollute the District's waterways. The 2016 Series B Bonds are designated

(11) Long-Term Debt (Continued)

as Environmental Impact Bonds and, as such, include provisions for the possibility of an Outcome Payment by the Authority to the Original Purchasers of the 2016 Series B Bonds of $3,300 in the event of a runoff reduction greater than 41.3%, and for the possibility of a Risk Share Payment by the Original Purchasers to the Authority of $3,300 in the event of a runoff reduction less than 18.6%. Runoff reduction means the percentage reduction of storm water runoff in RC-A per impervious acre treated to manage the volume of runoff produced by 1.2 inches of rain as compared to the existing conditions runoff in RC-A as defined in the Private Placement Agreement between the Authority and Original Purchasers. The potential obligation of the Authority to pay the Outcome Payment is an unsecured obligation. No provision has been included in these financial statements for the potential obligation related to the Outcome Payment due to the uncertainties surrounding the effectiveness of GI in RC-A, which will be independently assessed prior to the mandatory tender date.

In February 2016, the Authority issued subordinate lien revenue refunding bonds 2016 Series A for $389,110. The proceeds from these bonds were used to advance refund $67,295 of the remaining portion of subordinated lien revenue bonds 2007 Series A, $141,555 of subordinate lien revenue bonds 2008 Series A, $144,810 of senior lien revenue bonds 2009 Series A and current refund the remaining portion of $48,285 of subordinated lien revenue bonds 2007 Series A. The proceeds from 2016 Series A were used to purchase securities that were placed in an irrevocable trust with an escrow agent to provide for all future debt service payments on the refunded 2007 Series A, 2008 Series A and 2009 Series A bonds. As a result, the bonds are considered to be defeased and the liability for these bonds has been removed from the financial statements. The interest rates on the refunded bonds ranges from 3.0% to 6.0%. The cash flow required to make principal and interest payments on the refunding bonds is approximately $78,672 less than the debt service requirements of the refunded bonds. The economic gain (the difference between the present values of the debt service payments on the old and new debt) obtained from the advance refunding is $56,831.

In October 2015, the Authority issued subordinate lien revenue bonds with a face value of $350,000. The bonds were structured in two Series: 2015 Series A (Green Bonds) consisted of $100,000 with interest rates ranging from 2.0% to 5.0% maturing in 2045; 2015 Series B consisting of $250,000 with interest rates ranging from 5.0% to 5.25% maturing in 2044. Gross proceeds from the two series of 2015 Bonds totaled $406,587, including $56,587 of the original issue premium. Approximately $115,869 of 2015 series A (Green Bonds) was used to fund a portion of the costs of the Authority's DC Clean Rivers Project; $226,584 of the 2015 series B was used to fund various capital improvements to the system; $62,000 of 2015 series B was used to pay principal of and interest on all or a portion of the Authority's outstanding commercial paper notes, Series B (the "Series 2015 B CP Notes), and $2,134 was used to pay the underwriter's discount and cost of issuance.

In November 2014, the Authority issued subordinate lien revenue refunding bonds 2014 Series C for $377,700. The proceeds from these bonds were used to advance refund $103,135 of subordinated lien revenue bonds 2007 Series A, $93,560 of subordinate lien revenue bonds 2008 Series A, and $128,835 of senior lien revenue bonds 2009 Series A; and to current refund $52,690 of subordinate lien multimodal revenue bonds 2012 Subseries B-1.

(11) Long-Term Debt (Continued)

The proceeds from 2014 Series C were used to purchase securities that were placed in an irrevocable trust with an escrow agent to provide for all future debt service payments on the refunded 2007 Series A, 2008 Series A and 2009 Series A bonds. As a result, the bonds are considered to be defeased and the liability for these bonds has been removed from the financial statements. The interest rates on the refunded bonds ranges from 2.26% to 6.0%. The cash flow required to make principal and interest payments on the refunding bonds is approximately $50,356 less than the debt service requirements of the refunded bonds. The economic gain (the difference between the present values of the debt service payments on the old and new debt) obtained from the advance refunding is $35,266.

In July 2014, the Authority issued $100,000 of tax-exempt 2014 Series B variable rate multimodal subordinate lien revenue bonds, maturing in 2050 to fund the Authority's capital improvement program. Net proceeds from the bond issuance totaled approximately $99,500 including $500 of underwriter's discount and cost of issuance. Initially, the 2014 Series B bonds will bear interest in a weekly rate period but may be converted to daily, index, short term, long term or fixed rate. Funds for the purchase of tendered bonds that are not remarketed will be provided initially by TD Bank, N.A. for a period of three years pursuant to a Standby Bond Purchase Agreement dated July 23, 2014.

In July 2013, the Authority issued $300,000 of subordinate lien public utility revenue bonds with interest rates ranging from 4.75% to 5.0%, maturing in 2048 to fund the Authority's capital improvement program. Gross proceeds from the 2013 Series A bonds totaled $298,921, including $1,014 of original issue premium and $2,093 of underwriter's discount and cost of issuance.

In March 2012, the Authority issued subordinate lien revenue bonds with a face value of $440,645. The bonds were structured in three Series: 2012 Series A consisted of $177,430 with interest rates ranging from 2.0% to 5.0% maturing in 2037; 2012 Series B consisting of $100,000 with interest rate at 2.26% maturing in 2044; and 2012 Series C consisting of $163,215 with interest rates ranging from 4.0% to 5.0% maturing in 2033. Gross proceeds from the three series of 2012 Bonds totaled $493,934, including $53,289 of the original issue premium. Approximately $302,413 was used to fund various capital projects; $188,688 was used to advance-refund series 2003 Series bonds, and $2,833 was used to pay the underwriter's discount and cost of issuance. During fiscal years 2016 and 2015, the Authority current refunded $47,310 and advance refunded $52,690 of the series 2012 Series B-2 and 2012 Series B-1 bonds respectively. Details of the current and advance refunding are discussed above.

The Authority completed its advance-refunding of the 2003 Series bonds by using $188,688 of bond proceeds from 2012 Series C to purchase securities that were placed in an irrevocable trust with an escrow agent to provide for all future debt service payments on the bonds. As a result, the bonds are considered to be defeased and the liability for those bonds has been removed from the financial statements. This refunding decreases total debt service payments by approximately $25,478 resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of $17,843. The refunded bonds have been fully extinguished.

(11) Long-Term Debt (Continued)

In October 2010, the Authority issued the 2010 Series A public utility subordinate lien revenue bonds, 2010 Series A under the Federal government's Build America Bonds program. Under this program, the Federal government provides the Authority a federal subsidy in the amount of 35% of the interest paid on the bonds which reduces the Authority's effective interest costs to approximately 3.6%. The $300,000 par amount consisted of $18,550 in serial bonds maturing in 2033 and gross interest rates ranging from 4.1% to 4.6%, $30,950 in term bonds maturing in 2028 and a gross interest rate of 5.4%, and $250,500 in index term bonds maturing in 2044 and a gross interest rate of 5.5%. Approximately $214,640 was issued to fund costs of certain capital improvements, including $2,420 for the cost of issuance and underwriter's discount. In addition, approximately $75,000 was issued to fund the Authority's Digester Project and $10,360 for capitalized interest. The interest subsidy received by the Authority for the fiscal years ended September 30, 2016 and 2015 amounted to $7,969 and $2,647, respectively. In fiscal years 2016 and 2015, the Authority received $597 and $208 less than expected due to budget sequester impacts experienced by the Federal government.

In April 2008, the Authority refunded the 2004 and 2007 Series B subordinate public utility revenue bonds for $295,000 and $59,000, respectively. Simultaneously, the Authority issued subordinate lien public utility revenue bonds 2008 Series A with a face value of $290,375 which are due in 2034. The interest rate on these securities is fixed and will have an effective average rate of 4.7% over the life of the bonds. There was $11,678 of original issue premium and approximately $5,888 for the cost of issuance, bond insurance and underwriter's discount costs associated with this issuance. The scheduled payments of principal and interest on the 2008 Series A bonds are guaranteed by a municipal bond insurance policy issued by the Assured Guaranty Program. During fiscal years 2015 and 2016, the Authority advance refunded $93,560 and $141,555 of the series 2008 Series A bonds respectively. Details of the advance refunding are discussed above. The remaining undefeased 2008 Series A bonds outstanding as of September 30, 2016 will mature in fiscal years 2017 through 2019.

In June 2007, the Authority issued $218,715 of tax-exempt subordinate lien public utility revenue bonds 2007 Series A and $59,000 of taxable subordinate lien public utility revenue bonds 2007 Series B. Gross proceeds from the 2007 Series A bonds totaled $234,923, including $15,661 of original issue premium. Approximately $30,000 was used to repay outstanding commercial paper, and $2,824 was used to pay the underwriter's discount, insurance and the cost of issuance. The scheduled payments of principal and interest on 2007 Series A bonds are guaranteed by a municipal bond insurance policy issued by the Financial Guaranty Insurance Company ("FGIC"). Gross proceeds from the 2007 Series B bonds totaled $59,000. Proceeds from the 2007 Series B bonds were used entirely to fund the Authority's share of capital improvements to the Washington Aqueduct. The scheduled payments of principal and interest on 2007 Series B bonds are guaranteed by a municipal bond insurance policy issued by CIFG Assurance North America, Inc. During fiscal year 2015, the Authority advance refunded $103,135 of the 2007 Series A bonds. During fiscal year 2016, the Authority advance refunded $67,295 of the 2007 Series A bonds and current refunded $48,285 of the remaining portion of 2007 series A bonds. Details of the advance refunding and current refunding are discussed above.

Notes payable to the Federal government for the Jennings Randolph Reservoir are considered subordinate debt under the Master Indenture and contain no pledge of property, sinking fund provisions, or restrictive covenants. The proceeds of the notes were used to make improvements to the Jennings Randolph Reservoir for back-up and peak-day water supply.

(11) Long-Term Debt (Continued)

(c) Bond Covenants

The Master Indenture sets forth the establishment of accounts, the application of revenues, and certain other covenants to ensure proper operation and maintenance of the water and wastewater system and payment of debt service. Management believes the Authority was in compliance with all bond covenants as of and for the years ended September 30, 2016 and 2015. The primary requirements of the Master Indenture are summarized below:

Rate Covenant — The Authority has covenanted to establish and maintain rates and charges to produce revenues sufficient to pay operating expenses and annual debt service on senior and subordinate debt, to fund certain required reserves, to fund any payment in lieu of taxes, and to produce net revenues sufficient at least equal to the sum of: (1) 120% of annual debt service on senior debt and (2) 100% of annual debt service on subordinate debt. Net revenues are defined generally as all Authority revenues (excluding capital contributions from wholesale customers, Federal grants, or any proceeds derived from the sale of capital assets), less operating and maintenance expenses (excluding any payment in lieu of taxes, depreciation and amortization charges and certain extraordinary, nonrecurring expenses).

Debt Service Reserve Fund — The Authority has established debt service reserve accounts for certain series of bonds, which are only to be used to pay debt service in the event of insufficient funds. The 1998 Series bonds debt service reserve account balance as of September 30, 2016 and 2015 was $23,594 and $23,467, respectively, and is required to be maintained at 125% of current and future average annual 1998 Series debt service.

Operating Reserve Fund — The Master Indenture creates an Operating Reserve Fund in which the Authority must maintain a balance equal to at least 60 days of operating and maintenance expenses of the prior year. Moneys in the Operating Reserve Fund shall be used to pay, to the extent necessary, operating expenses of the Authority. In addition, to the extent that moneys on deposit in the Bond Fund are insufficient to make the required interest and principal payments, moneys in the Operating Reserve Fund shall be used prior to any withdrawal from the Debt Service Reserve Fund to satisfy any such deficiencies. The Board has adopted a policy of funding operating reserves to a level in excess of that required by the Master Indenture.

(11) Long-Term Debt (Continued)

(d) Debt Service to Maturity

The future debt-service obligations at September 30, 2016 are as follows:

Fiscal year	Principal	Interest	Total
2017	$ 29,317	$ 126,764	$ 156,081
2018	30,840	123,888	154,728
2019	32,993	122,283	155,276
2020	36,502	120,603	157,105
2021	42,005	118,741	160,746
2022 - 2026	270,896	558,653	829,549
2027 - 2031	342,917	486,171	829,088
2032 - 2036	433,888	396,370	830,258
2037 - 2041	496,838	287,927	784,765
2042 - 2046	529,955	164,094	694,049
2047 - 2051	137,040	91,933	228,973
2052 - 2056	—	84,245	84,245
2057 - 2061	—	84,245	84,245
2062 - 2066	—	84,245	84,245
2067 - 2071	—	84,245	84,245
2072 - 2076	—	84,245	84,245
2077 - 2081	—	84,245	84,245
2082 - 2086	—	84,245	84,245
2087 - 2091	—	84,245	84,245
2092 - 2096	—	84,245	84,245
2097 - 2101	—	84,245	84,245
2102 - 2106	28,069	82,894	110,963
2107 - 2111	161,963	54,831	216,794
2112 - 2116	159,968	12,004	171,972
	$ 2,733,191	$ 3,589,606	$ 6,322,797

(11) Long-Term Debt (Continued)

(e) Outstanding Debt Defeased

The Authority defeased certain revenue bonds in current and prior years by placing cash or the proceeds of new revenue bonds in irrevocable trusts to provide for all future debt service payments on the defeased bonds. Accordingly, the Trust account assets and the liability for the defeased bonds are not reflected in the Authority's financial statements. At September 30, 2016, the following outstanding revenue bonds are considered defeased.

Bond issue	Principal Outstanding 9/30/2016
2009 Series A Public Utility Revenue Bonds: interest at 3.0% to 6.0%, maturing in 2039	$ 273,645
2008 Series A Public Utility Revenue Bonds: interest at 4.0% to 5.0%, maturing in 2034	235,115
2007 Series A Public Utility Revenue Bonds: interest at 4.75% to 5.50%, maturing in 2041	170,430
Total Principal Outstanding	$ 679,190

(12) Commitments and Contingencies – Other Liabilities

A schedule of other liabilities as of September 30, 2016 and 2015 is shown below:

Description	2016	2015
Risk management contingency	$ 11,818	$ 11,615
Rolling owner controlled insurance program	6,518	5,702
Litigation contingency	2,998	3,024
Contractual obligations	825	825
Retirement health savings plan	2,536	1,955
Total other liabilities	24,695	23,121
Less: current portion	11,926	9,230
Noncurrent portion	$ 12,769	$ 13,891

The current portion of other liabilities represents management's estimate of the amounts that will be paid in next fiscal year.

(12) Commitments and Contingencies – Other Liabilities (Continued)

(a) Risk Management

The Authority is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. Effective April 7, 1998, the Authority purchased certain commercial insurance coverage. Prior to that date, the Authority was either self-insured or covered under District self-insurance programs.

For each of the three most recent years, settlement of claims has not exceeded insurance coverage. Additionally, there has not been a significant reduction in insurance coverage from coverage in the prior year.

The Authority has purchased $1,000,000 property coverage (Property Policy) to protect its owned or leased facilities, buildings and contents. Except for catastrophic on-site protection provided on the Property Policy, the Authority self-insures its fleet of vehicles. The deductible for each claim for buildings and contents is $1,000. Off-site watercraft and specified equipment are insured under an Inland Marine Policy. Deductibles range from $10 to $25 on this policy for each occurrence.

The Authority has purchased liability insurance coverage to protect it from claims alleging damages and injuries caused by automobile accidents, damaged utilities, construction, and other activities. Limits of $100,000 have been secured in excess of a deductible of $1,000 for each occurrence. Public Officials' liability insurance has been secured with limits of $20,000 in excess of a deductible of $250 to $500 per claim.

The Authority self-insures the first $1,000 of workers' compensation claims costs. In order to mitigate the potential self-insured costs of medical expenses, rehabilitation and lost wages, the Authority purchased an Excess Workers' Compensation Policy with unlimited coverage. The Authority contracts with a third-party administrator to support the workers' compensation claims management program.

Liabilities are recognized when it is probable that losses have occurred and the amounts of the losses can be reasonably estimated. Liabilities include an amount for claims that have been incurred but not reported to date and include a provision for allocated and unallocated claim adjustment expenses.

Because actual claims liabilities depend on such complex factors as inflation, changes in governing laws and standards, and court awards, the process used in computing claims liabilities is reevaluated periodically to take into consideration the history, frequency and severity of recent claims and other economic and social factors.

These liabilities are computed using a combination of actual claims experience and statistically estimated amounts. The Authority has not discounted these estimated liabilities to present value.

(12) Commitments and Contingencies – Other Liabilities (Continued)

Changes in the Authority's estimated risk management liabilities related to workers' compensation and general liability claims during the years ended September 30, 2016, 2015 and 2014 were as follows:

Description	2016	2015	2014
Balance, beginning of year	$ 11,615	$ 11,645	$ 11,782
Current year claims and changes in estimates	2,935	2,796	2,842
Claim payments	(2,732)	(2,826)	(2,979)
Balance, end of year	$ 11,818	$ 11,615	$ 11,645

(b) Rolling Owner Controlled Insurance Program

The Authority procures insurance for the majority of its construction contractors through the Authority's Rolling Owner Controlled Insurance Program (ROCIP). Construction contractors who do not participate in the ROCIP are required to procure insurance on their own. Coverage for participating construction contractors includes general liability, umbrella and workers' compensation insurance. Both general liability and workers' compensation have a $500 per occurrence deductible. There is also $100,000-$200,000 excess general liability coverage in place. The workers' compensation loss coverage is statutory, and unlimited above the retention. For each of the three most recent years, settlement of claims has not exceeded insurance coverage. Additionally, there has not been a significant reduction in insurance coverage from coverage in the prior year.

Liabilities for the self-insured exposure for workers' compensation claims and general liability claims under the ROCIP are recognized when it is probable that losses have occurred and the amounts of the losses can be reasonably estimated. Liabilities include an amount for claims that have been incurred but not reported to date and include a provision for allocated and unallocated claim adjustment expenses. Because actual claims liabilities depend on such complex factors as inflation, changes in governing laws and standards, and court awards, the process used in computing claims liabilities is reevaluated periodically to take into consideration the history, frequency and severity of recent claims and other economic and social factors.

These liabilities are computed using a combination of actual claims experience and statistically estimated amounts. The Authority has not discounted these estimated liabilities to present value.

Changes in the Authority's estimated ROCIP liabilities related to workers' compensation and general liability claims during the years ended September 30, 2016, 2015 and 2014 were as follows:

Description	2016	2015	2014
Balance, beginning of year	$ 5,702	$ 5,242	$ 11,827
Current year increase (decrease) in ROCIP liability	12,239	5,163	(2,410)
ROCIP administration and claim payments	(11,423)	(4,703)	(4,175)
Balance, end of year	$ 6,518	$ 5,702	$ 5,242

(12) Commitments and Contingencies – Other Liabilities (Continued)

(c) Litigation

The Authority is a party in various administrative proceedings, legal actions and claims brought by or against it in the normal course of operations by employees, contractors, and other parties. The following table reflects the changes in the Authority's estimated liabilities for litigation contingencies where the risk of loss is probable during the years ended September 30, 2016 and 2015:

Description	2016	2015
Balance, beginning of year	$ 3,024	$ 2,990
Current year claims and changes in estimates	2,050	502
Claim payments	(2,076)	(468)
Balance, end of year	$ 2,998	$ 3,024

Although the ultimate outcome of these legal proceedings are unknown, in the opinion of the Authority's management and legal counsel, the ultimate resolution of these actions and claims will not materially affect the financial position, results of operations, or cash flows of the Authority.

(d) Federal Grants

The Authority's federal capital grants are subject to financial and compliance audits by the U.S Environmental Protection Agency, the grantor, or its representatives. The Authority's management does not expect that the results of these audits will have a material adverse effect on the accompanying financial statements.

(e) Construction and Other Significant Commitments

The Authority's contractual commitments are primarily associated with the long-term capital improvement program. Outstanding contractual commitments related to the capital improvement program as of September 30, 2016 and 2015 were $861,685 and $966,985, respectively. Outstanding construction commitments are not recorded in the financial statements until goods and services have been received by the Authority in accordance with the terms of the related contracts.

(f) Lease Commitments

The Authority conducts a portion of its operations from leased facilities. Most of the leases contain renewal options. All of the leases for equipment and facilities are operating leases, and the rental payments under these leases are charged to operations as incurred.

(12) Commitments and Contingencies – Other Liabilities (Continued)

The Authority's rental expense for the years ended September 30, 2016 and 2015 were as follows:

Description	2016	2015
Facilities leases	$ 1,396	$ 1,362
Automobile equipment leases	65	70
Machinery leases	216	211
Total	$ 1,677	$ 1,643

Future minimum non-cancelable lease payments on existing operating leases at September 30, 2016, which have an initial term of one year or more, are as follows.

Fiscal Year	Amount
2017	$1,142
2018	1,170
2019	1,063
2020	1,082
2021	219
2022-2026	800
Total	$5,476

(13) Related Party and Similar Transactions

(a) Water and Wastewater User Charges

The enabling legislation, described in Note 1, established that the District would pay for water and wastewater services. The Authority recorded revenues of $28,890 and $24,452 from the District government and $9,295 and $8,496 from the District of Columbia Housing Authority ("DCHA") for fiscal years 2016 and 2015, respectively. Both the District government and DCHA revenues are included in water and wastewater user charges in the accompanying statements of revenues, expenses and changes in net position.

(b) PILOT and ROW Fees

On October 2, 2014, DC Water entered into a Right-of-Way memorandum of understanding (ROW MOU) establishing an annual payment of $5,100 to the District in fiscal years 2015 through 2024. DC Water will make the payment in four equal quarterly installments of $1,275 due on the 15th of November, February, May and August of each year.

(13) Related Party and Similar Transactions (Continued)

On December 15, 2014, DC Water entered into a Payment In Lieu of Taxes memorandum of understanding (PILOT MOU) establishing a fiscal year 2015 PILOT payment of $15,337 to the District for services provided in fiscal year 2015. In fiscal years 2016 through 2024, DC Water will increase the PILOT payment by 2.0% per annum based upon the amount of the prior fiscal year's annual PILOT payment. In addition, the MOU stipulates that the Authority is entitled to offset this payment for services rendered to the District under our fire protection program.

The Authority recorded an expense of $15,644 and $15,337 for payments-in-lieu-of-taxes (PILOT) to the District for services such as road repairs, fire protection, police protection, and other services for each of the years ended September 30, 2016 and 2015.

The Authority also recorded an expense of $5,100 for the District's right-of-way (ROW) fee, respectively charged to all area utilities for infrastructure occupancy in public streets, for each of the years ended September 30, 2016 and 2015. As of September 30, 2016 there was no outstanding balance due to the District related to these fees.

(c) Due from District Government

The amounts due from the District government as of September 30, 2016 and 2015 were $53,275 and $61,733, respectively. Such amounts were comprised of the following at September 30, 2016 and 2015, respectively:

Description	2016	2015
Northeast Boundary Neighborhood Protection Project	$ 52,271	$ 58,579
Storm Water Fees (13 d)	(1,123)	3,335
Other miscellaneous items	2,127	(181)
Total due from District government	53,275	61,733
Less: current portion	6,411	10,022
Noncurrent portion	$ 46,864	$ 51,711

On September 11, 2014, the District and the Authority entered into a Memorandum of Understanding (MOU) whereby the District agreed to fund up to $58,579 of costs incurred by the Authority on the Northeast Boundary Neighborhood Protection Project. Amounts due from the District as of September 30, 2016 and 2015 under this agreement amounted to $52,721 and $58,579, respectively. Amendment No. 1 of the MOU dated September 1, 2015, calls for ten (10) equal installment payments of $5,858. The parties agreed that each installment payment is due on January 15 of each year until the costs are paid in full.

(13) Related Party and Similar Transactions (Continued)

(d) Storm Water Fee Billings and Collections

The District of Columbia Council created the Storm Water Compliance Amendment Act of 2000 which established the Authority as the Storm Water Administrator and a fund was established. The administration of the fund was transferred to the District Department of the Environment ("DDOE") in 2007. The Authority continues to bill and collect storm water fees as a separate item and transfers the funds to the DDOE quarterly.

During the years ended September 30, 2016 and 2015, the activity associated with the Authority providing this service to the District was as follows:

Description	2016	2015
Due from (to) the District-beginning of year	$ 3,335	$ (770)
Collections on behalf of the District	(15,567)	(12,386)
Remittances to the District	11,123	16,674
Expenses incurred by the Authority	934	887
Expenses reimbursed by the District	(948)	(1,070)
Due (to) from the District-end of year	$ (1,123)	$ 3,335

Billings and collections associated with the District's Storm Water fees are not reflected in the Authority's financial statements as these are not billings and collections of the Authority. However, reimbursable expenses incurred and the related revenues from the District to cover such expenses are reflected in the accompanying statements of revenues, expenses and changes in net position.

The due (to) from the District has been reported in Due from District Government on the statement of net position as of September 30, 2016 and 2015, respectively.

(14) Employee Benefits

(a) Defined Benefit Plans

Employees hired prior to October 1, 1987, participate in certain federal benefit plans administered by the federal government's Office of Personnel Management ("OPM"). The plans are cost sharing multi-employer plans, which provide retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan participants and beneficiaries. In fiscal years 2016 and 2015, there were 133 and 156 DC Water employees covered by these plans, respectively.

The OPM issues a publically available financial report that includes financial statements and required supplementary information, which may be obtained at www.opm.gov.

(14) Employee Benefits (Continued)

Employees and the Authority each contribute 7% of the employees' salaries to OPM. The contribution requirements of the plan members are established by OPM. During fiscal years 2016, 2015 and 2014, the Authority's contributions to the plans were $791, $924 and $931, respectively. These amounts were 100% of the required contributions under the plans for each of the fiscal years presented.

DC Water is only responsible for funding the employer contributions for participating employees while employed by the Authority. DC Water is not responsible for any unfunded liability for this plan. Under current law, this liability will be paid off eventually through the series of 30-year amortizations payments from the general fund of the U.S. Treasury to the Civil Service Retirement and Disability Fund.

(b) Defined Contr ibution Plans

Defined Contribution Plan - Employees who were hired after September 30, 1987, participate in the U.S. Social Security system and a defined contribution plan administered by the Authority. The District of Columbia Water and Sewer Authority Defined Contribution Plan is a qualified trust under Internal Revenue Code Section 401(a).

The Authority established a retirement plan committee that oversees the 401(a) and 457(b) retirement plans. The committee meets on a semiannual basis to make decisions regarding the plan. Pursuant to the 401(a) plan, employees not reaching the 100% vesting period of three years of service will forfeit amounts related to Basic, Matching, and Discretionary Contributions and may be used to pay for plan expenses or reduce future Authority contributions. There are no amounts of forfeitures reflected in the pension expense reported in fiscal years 2016, 2015, and 2014.

As Plan Administrator, the Authority maintains the plans' records, determines issues related to eligibility as they relate to participation and benefits, interprets the plans, communicates with participants and their beneficiaries and responsible for the plans' operations. Fidelity Investments is the Plan Trustee.

Defined Contribution Plan - During fiscal years 2016, 2015 and 2014, the Authority's contribution was 7% of base pay up to the social security wage base, plus 5% of base pay in excess of the social security wage base for each eligible employee. Employees do not contribute to the plan.

457(b) Plan - Starting in January 2000, employees who were hired after September 30, 1987, participate in the U.S. Social Security system and a 457(b) Deferred Compensation plan administered by the Authority. The District of Columbia Water and Sewer Defined Contribution Plan is a qualified trust under Internal Revenue Code Section 401.

The Authority makes a matching contribution of 100% of the amount that the employee defers to the 457(b) Deferred Compensation Plan; up to a maximum contribution of 5% of base pay for eligible employees. There is no waiting period before an employee can elect to become a participant of this plan and employees are always 100% vested in their contributions.

(14) Employee Benefits (Continued)

The Authority's matching contribution is vested after three years of service. During fiscal years 2016, 2015 and 2014, the Authority's contributions to both defined contribution plans were $8,357, $7,519 and $7,053 respectively. The amount of the Authority's outstanding liability at the end of fiscal years 2016, 2015 and 2014 were $638, $1,122 and $989, respectively.

(c) Post-Employment Insurance Plans

The Authority does not provide post employment health and life insurance benefits to any employees hired after September 30, 1987. The federal government provides healthcare and life insurance benefits to certain retired employees under the Federal Employees' Health Benefits Program and the Federal Employee's Group Life Insurance Program at no cost to the Authority.

(d) Retirement Health Savings Plan

In fiscal year 2007, the Authority implemented a Retirement Health Savings Plan for non-union employees hired after September 30, 1987. The Plan allows eligible employees to receive a benefit for their unused sick leave upon separation of service. Funds are transferred to a third party (Maritain) to pay for post-employment medical expenses at the termination of employment.

(15) Subsequent Events

The Authority has evaluated events subsequent to September 30, 2016 through December 20, 2016, the date the financial statements were available to be issued. During this period, the Authority has determined there have not been any events that have occurred that would require adjustments to the financial statements.

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APPENDIX C

GLOSSARY AND SUMMARY OF THE INDENTURE

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GLOSSARY

In addition to the terms defined elsewhere in this Official Statement, the following are definitions of certain terms used in this Official Statement, and the Indenture. Terms used but not defined herein shall have the meanings set forth in the Master Indenture, as previously amended and supplemented and as further amended and supplemented by the Twentieth Supplemental Indenture.

"Account" shall mean any of the various Accounts, sometimes created within a fund, under the Indenture.

"Annual Budget" shall mean the budget by that name referred to in the Indenture.

"Annual Debt Service" shall mean the amount of payments required to be made for principal of and interest on any specified Indebtedness, including mandatory sinking fund redemptions and payments pursuant to agreements with providers of credit enhancement or liquidity support with respect to such Indebtedness, to reimburse such providers for debt service payments made, with respect to such Indebtedness, scheduled to come due within a specified Fiscal Year, but excluding any capitalized interest funded from proceeds of Bonds. For purposes of calculating Annual Debt Service, the following assumptions are to be used to calculate the principal and interest due in such specified Fiscal Year:

(a) In determining the principal amount due in the Fiscal Year, payment shall be assumed to be made in accordance with any amortization schedule established for such Indebtedness (unless a different subsection of this definition applies for purposes of determining principal maturities or amortization), including any scheduled redemption of such specified Indebtedness on the basis of accreted value and, for such purpose, the redemption payment shall be deemed a principal payment;

(b) If any of the specified Indebtedness constitutes Tender Indebtedness, then Annual Debt Service on the options or obligations of the holders of such Indebtedness to tender the same for purchase or payment prior to their stated maturity or maturities shall be treated as a principal maturity occurring on the first date on which owners of such Indebtedness may or are required to tender such Indebtedness, except that any such option or obligation to tender Indebtedness shall be ignored and not treated as a principal maturity if (1) such Indebtedness is rated at least in the "A" rating category (without regard to any rating refinement or gradation by numerical modifier or otherwise) by a Rating Agency, or such Indebtedness is rated in the two highest short-term note or commercial paper rating categories by a Rating Agency, and (2) any obligation the Authority may have, other than its obligation on such Indebtedness, to reimburse any provider of a credit or liquidity facility or a bond insurance policy, or similar arrangement, shall either be subordinate to the obligation of the Authority on such Indebtedness, or shall have been incurred under and shall have met the tests and conditions for the issuance of such specified indebtedness set forth in the Indenture;

(c) If any of the specified Indebtedness constitutes Variable Rate Indebtedness, the interest rate on such Indebtedness shall be assumed to be 100% of the greater of (1) the daily average interest rate on such Indebtedness during the 12 months ending with the month preceding the date of calculation, or such shorter period that such Indebtedness shall have been Outstanding or (2) the rate of interest on such indebtedness on the date of calculation; provided that, with respect to any Variable Rate Indebtedness which is being issued on the date of computation, the initial rate of such indebtedness upon such issuance shall be used;

(d) If any of the specified Indebtedness constitutes Balloon Indebtedness, then, for purposes of determining the annual amount payable on account of principal of and interest on such Indebtedness, such Indebtedness that is or would be Balloon Indebtedness shall be amortized on a level debt service

basis over the lesser of a term of 30 years or the actual term of the Indebtedness; and the interest rate used for such computation shall be the rate quoted in the 30-year revenue bond index, or revenue bond index related to the actual term of the Indebtedness, as applicable, published by The Bond Buyer no more than two weeks prior to the date of calculation, or if that index is no longer published, another similar index selected by the Authority, or if the Authority fails to select a replacement index, an interest rate equal to 80% of the yield for outstanding United States Treasury bonds having an equivalent maturity as the Indebtedness on the date of issuance, or if there are no such Treasury bonds having equivalent maturities, 80% of the lowest prevailing prime rate of any of the five largest commercial banks in the United States of America ranked by assets;

(e) If any of the specified Indebtedness constitutes Short-Term Obligations, then for purposes of determining the Annual Debt Service on such Indebtedness, the Authority shall include the amount of any interest payments due on such Indebtedness if such interest is payable from Net Revenues during such Fiscal Year, and ignore any principal payments due on such Indebtedness if (1) such Indebtedness is rated at least in the "A" rating category (without regard to any rating refinement or gradation by numerical modifier or otherwise) by a Rating Agency, or such Indebtedness is rated in the two highest short-term note or commercial paper rating categories by a Rating Agency, (2) there is in place a letter of credit, liquidity facility, a bond insurance policy, or similar arrangement (a "Credit Facility"), and the Authority's obligation to reimburse the provider of such Credit Facility is subordinate to the Authority's obligation to pay debt service on Bonds, and (3) there are no unreimbursed draws under any Credit Facility securing any Short-Term Obligations. If there are any unreimbursed draws under a Credit Facility related to such Indebtedness, the principal payment obligation due on such Indebtedness shall be determined to be the principal due under such Credit Facility and shall be calculated in accordance with the amortization schedule set forth with respect to such Credit Facility.

(f) If any of the specified Indebtedness constitutes Bond Anticipation Notes, then for purposes of determining the annual amount payable on account of principal of and interest on such Indebtedness, such Indebtedness shall be amortized on a level debt service basis over a term of 30 years. Interest on such Indebtedness shall equal the actual fixed rate of interest payable during the Fiscal Year. If such Indebtedness is Variable Rate Indebtedness, interest payable during such Fiscal Year shall be calculated in accordance with subsection (c) above.

(g) For any Indebtedness for which a binding commitment, letter of credit or other credit arrangement providing for the extension of such Indebtedness beyond its original maturity date exists, the computation of the annual amount payable on account of principal and interest on such Indebtedness shall, at the option of the Authority, be made on the assumption that such Indebtedness will be amortized in accordance with such credit arrangement; and

(h) Except for Hedge Agreements, Interest Rate Swaps are to be disregarded in calculating the Series Debt Service Reserve Requirement. Upon incurrence of a Hedge Agreement, all calculations, including for the annual amount on account of principal and interest on Indebtedness subject to the Hedge Agreement, shall be made using the Hedge Fixed Rate for the applicable period and such Indebtedness shall not be considered as Variable Rate Indebtedness for such period.

"Authority" shall mean the District of Columbia Water and Sewer Authority, an independent authority of the District.

"Authorized Representative of the Authority" shall mean such person or persons as may be designated to act on behalf of the Authority by a certificate executed by the Chairman of the Board of Directors and on file with the Trustee.

"Balloon Indebtedness" shall mean indebtedness having a term of longer than 60 months and 25% or more of the principal of which matures on the same date and which portion of the principal of such indebtedness is not required to be amortized by payment or redemption prior to such date. If any indebtedness consists partially of Variable Rate Indebtedness and partially of indebtedness bearing interest at a fixed rate, the portion constituting Variable Rate Indebtedness and the portion bearing interest at a fixed rate shall be treated as separate issues for purposes of determining whether any such indebtedness constitutes Balloon indebtedness.

"Board of Directors" shall mean the board of directors that was established to govern the Authority pursuant to Section 204 of the WASA Act, codified, as amended, at D.C. Code Section 34-2202.04.

"Bond Anticipation Notes" shall mean any notes issued in anticipation of the issuance of Bonds.

"Bond Counsel" shall mean an attorney or firm of attorneys nationally recognized on the subject of municipal bonds.

"Bond Fund" shall mean the Bond Fund established in the Indenture.

"Bondholders" or **"holders"** of Bonds shall mean the registered owners of Bonds.

"Bonds" shall mean any bonds, notes or other obligations issued from time to time pursuant to Article III, including Bond Anticipation Notes, but not including Other System Indebtedness and Subordinate Debt. Specifically, the term "Bonds" does <u>not</u> include the Series 2016A Bonds.

"Business Day" shall mean a day on which banking business is transacted, but not including a Saturday, Sunday or legal holiday, or any day on which banking institutions are authorized by law to close in the city in which the Trustee has its principal corporate trust office or in the District of Columbia.

"Cash Reserve Requirement" shall mean those certain balances required to be maintained by the Authority pursuant to the annual credit policies established by the Authority.

"Code" shall mean the Internal Revenue Code of 1986, as amended, including applicable regulations, rulings and revenue procedures promulgated or applicable thereunder.

"Connection Fees" shall mean all nonrecurring fees that the Authority collects from developers, builders or others (1) to compensate the Authority for providing System capacity, and (2) to connect facilities related to installation of and expansion to the System.

"Contracted Services" shall mean (a) services rendered or facilities provided to the Authority in respect to the System or (b) the performance of functions for or on behalf of the Authority that are similar to those performed by the System, from a specific project or system, pursuant to a contract, lease, service agreement or another similar arrangement. No designation or characterization of payments pursuant to the terms of a particular Service Contract will affect the Authority's right to make designations as to the Debt Service Component, Operating Component, and Remaining Component of the Cost of Contracted Services thereunder.

"Construction Fund" shall mean the Construction Fund established in the Indenture.

"Consulting Engineer" shall mean (a) an Independent Consulting Engineer or (b) the designated person(s) within the Authority or of any successor department who is (1) an engineer experienced in the

field of water or wastewater or stormwater (as appropriate), and (2) licensed and registered as a professional engineer in the District.

"Cost" shall mean Cost as set forth in the Indenture.

"Cost of Contracted Services" shall mean the payments to be made by the Authority for Contracted Services under service contracts as set forth in the Indenture, which may consist of any of the following three components: a Debt Service Component, an Operating Component, and a Remaining Component, as designated by the CEO and General Manager or his designee for each Service Contract.

"Debt Service Component" shall mean the portion of the Cost of Contracted Services that an Authorized Representative of the Authority determines, in a certificate delivered to the Trustee, to be for the purpose of paying a fixed charge or the principal of or interest on the obligations, directly or indirectly associated with rendering the Contracted Services, of the person providing the Contracted Services.

"Debt Service Reserve Fund" shall mean the Debt Service Reserve Fund established in the Indenture.

"Depository" shall mean any securities depository that is a clearing agency under federal law operating and maintaining, with its participants or otherwise, a book-entry system to record ownership of book-entry interests in the Series 2016A Bonds, and to effect transfers of book-entry interests in the Series 2016A Bonds, and includes and means initially The Depository Trust Company (a limited purpose trust company), New York, New York.

"**Direct Payment**" means a credit payment allowed pursuant to Section 54AA(g) of the Code with respect to Direct Payment BABs that is payable to the Authority by the U.S. Treasury, as provided in Section 6431 of the Code, or any other payment by the U.S. Treasury to the Authority to subsidize or reimburse the Authority for all or a portion of the interest cost that the Authority may incur on Indebtedness that qualifies for such payment under any successor or substantially similar program to Direct Payment BABs.

"**Direct Payment BABs**" means Indebtedness that constitutes "Build America Bonds" within the meaning of Section 54AA(d) of the Code and that are qualified bonds within the meaning of Section 54AA(g), the interest on which is includible in gross income for federal income tax purposes and with respect to which the Authority shall have made an irrevocable election to receive one or more Direct Payments.

"District General Obligation Bonds" shall mean the District general obligation bonds issued to finance capital projects of the System and the Aqueduct.

"District MOU relating to the Payment of General Obligation Debt" shall mean the Memorandum of Understanding between the Office of the Chief Financial Officer of the District of Columbia and the Authority dated as of March 13, 1998.

"District MOU relating to the PILOT" shall mean the Memorandum of Understanding between the Office of the Chief Financial Officer of the District of Columbia and the Authority dated as of January 29, 1998, as amended.

"EPA Grants" shall mean grants provided by the Environmental Protection Agency for the construction of water and wastewater projects.

"EPA Grant Account" shall mean the EPA Grant Account established in the Indenture.

"Event of Default" shall mean any of the events enumerated in Section 901 of the Master Indenture and, with respect to the Series 2016A Bonds, any of the events enumerated in Section 703 of the Twentieth Supplemental Indenture.

"Fiscal Year" shall mean the twelve-month period, beginning on October 1 of one year and ending on September 30 of the following year, or such other fiscal year of 12 months as may be selected by the Authority.

"Fitch" shall mean Fitch Ratings, Inc. or its successors.

"Government Certificates" shall mean certificates representing proportionate ownership of Government Obligations, which Government Obligations are held by a bank or trust company organized under the laws of the United States of America or any of its states in the capacity of custodian of such certificates.

"Government Obligation" shall mean (a) bonds, notes and other direct obligations of the United States of America, (b) securities unconditionally guaranteed as to the timely payment of principal, if applicable, and interest by the United States of America, or (c) bonds, notes and other obligations of any agency of the United States of America unconditionally guaranteed as to the timely payment of principal and interest by the United States of America.

"Hedge Agreement" shall mean an Interest Rate Swap, cap, collar, floor, forward or other hedging agreement, arrangement or security however denominated, expressly identified pursuant to its terms as being entered into in connection with and in order to hedge interest rate fluctuations on all or a portion of any Indebtedness where (a) interest on such Indebtedness or such portion of such Indebtedness is payable at a variable rate of interest for any future period of time or is calculated at a varying rate per annum, and (b) a fixed rate is specified by the Authority in such agreement, or such Indebtedness, taken together with such agreement, results in a net fixed rate payable by the Authority for such period of time (the "Hedge Fixed Rate"), assuming the Authority and the party(ies) with whom the Authority has entered into the agreement make all payments required to be made by the terms of the agreement, provided that no such agreement may be entered into by the Authority unless any termination or similar payment which may be payable by the Authority thereunder is expressly subordinate to the obligation of the Authority on the Indebtedness.

"Holder" shall mean the owner of Bonds, Other System Indebtedness or the Subordinate Debt, as the case may be.

"Home Rule Act" shall mean the District of Columbia Home Rule Act, approved December 24, 1973 (P.L.93-198; 87 Stat. 774; D.C. Official Code §§ 1-201.01 et. seq.), as amended.

"IMA Capital Payments" shall mean the payments made to the Authority for shared capital costs of the wastewater portion of the System by the signatories to the Blue Plains Intermunicipal Agreement of 1985.

"Indebtedness" shall mean Senior Debt and Subordinate Debt.

"Indenture" shall mean the Master Indenture, as supplemented or amended by one or more Supplemental Indentures, including the Twentieth Supplemental Indenture.

"Independent Consulting Engineer" shall mean an independent engineer, who is not an employee of the Authority, but is experienced in the field of water, wastewater or stormwater (as appropriate) and licensed and registered as a professional engineer in the District.

"Interest Account" shall mean the Interest Account in the Bond Fund established in the Indenture.

"Interest Payment Dates" for the Series 2016A Bonds shall mean each April 1 and October 1, commencing October 1, 2016, and thereafter during the time the Series 2016A Bonds are outstanding.

"Interest Rate Swap" shall mean a contract pursuant to which a party (the "Counterparty") has agreed to make payments to the Authority during a particular period equal to the interest payable on specified Indebtedness or on a specified nominal amount at the actual rate or rates or, if on a nominal amount at a stated rate or rates, payable thereon and, in consideration therefor, the party obligated on the Indebtedness or otherwise executing the agreement agrees to make payments to the Counterparty equal to the interest required to be paid on the specified Indebtedness or stated to be due on the nominal amount during the period calculated as if the specified Indebtedness or nominal amount bore an assumed rate of interest specified in the contract.

"Master Indenture" shall mean the Master Indenture of Trust dated as of April 1, 1998, by and between the Authority and the Trustee.

"Moody's" shall mean Moody's Investors Service, New York, New York, or its successors.

"Net Proceeds" shall mean the gross proceeds from any insurance recovery or recovery in any condemnation proceeding remaining after payment of attorneys' fees, fees and all other expenses incurred in collection of such gross proceeds.

"Net Revenues" shall mean Revenues less Operating Expenses.

"Operating Component" shall mean the portion of the Cost of Contracted Services (excluding any Debt Service Component) reasonably determined by an Authorized Representative of the Authority, in a certificate delivered to the Trustee from time to time, to be directly or indirectly attributable to the portion of the Costs of Contracted Services that represents operating expense for the provision of the Contracted Services; provided, however, if no such determination is made, all of the Cost of Contracted Services (excluding any Debt Service Component) will be treated as Operating Component.

"Operating Expenses" shall mean all current expenses directly or indirectly attributable to the ownership or operation of the System, including reasonable and necessary usual expenses of administration, operation, maintenance and repair, costs for billing and collecting the rates, fees and other charges for the use of or the services furnished by the System, the cost of purchased water, amounts to reimburse the Authority for administrative expenses incurred in connection with the System, insurance and surety bond premiums, credit enhancement and liquidity support fees, legal, engineering, auditing and financial advisory expenses, expenses and compensation of the Trustee, and deposits into a self-insurance program as described in the Indenture. Operating Expenses shall not include any payments in lieu of taxes, allowance for depreciation and amortization. Operating Expenses shall also exclude expenses which constitute extraordinary, nonrecurring and non-continuing expenses of the System in the written opinion of the Qualified Independent Consultant.

"Operating Fund" shall mean the Operating Fund established in the Indenture.

"Operating Reserve Fund" shall mean the Operating Reserve Fund established in the Indenture.

"Operating Reserve Requirement" shall mean an amount equal to 60 days of Operating Expenses based on the Operating Expenses relating to the Fiscal Year prior to such calculation, or an amount determined by a Qualified Independent Consultant.

"Opinion of Counsel" shall mean an opinion of any attorney or firm of attorneys acceptable to the Trustee, who may be counsel for the Authority, but who shall not be an employee of either the Authority or the Trustee.

"Other System Indebtedness" shall mean (a) any Debt Service Component that the Authority is required, or has elected, to treat as payable on a parity with the Bonds with respect to the pledge of Net Revenues, and (b) any other Indebtedness incurred by the Authority pursuant to the Indenture that the Authority is required, or has elected, to treat as payable on a parity with the Bonds with respect to the pledge of Net Revenues, including, but not limited to, the Treasury Loans.

"Outstanding" shall mean, when used as descriptive of obligations, that such obligations have been authorized, issued, authenticated and delivered under the Indenture or a different document and have not been canceled or surrendered to the Trustee or a comparable trustee for cancellation, deemed to have been paid as provided in the Indenture, have had other obligations issued in exchange therefor or had their principal become due and moneys sufficient for their payment deposited with the Trustee as provided in the Indenture or, for Indebtedness other than Bonds or Subordinate Debt issued under the Indenture, otherwise so treated under comparable issuance documents. In determining whether holders of a requisite aggregate principal amount of the Outstanding Indebtedness have concurred in any request, demand, authorization, direction, notice, consent or waiver under the Indenture or other documents, words referring to or connoting "principal of" or "principal amount of" Outstanding Indebtedness shall be deemed also to be references to, to connote and to include the accreted value of Indebtedness of any Series as of the immediately preceding interest compounding date for such Indebtedness. Indebtedness that is owned by the Authority shall be disregarded and deemed not to be Outstanding for the purpose of any such determination.

"Permitted Investments" shall mean: (i) direct obligations of the United States of America (including obligations issued or held, in book-entry only form on the books of the Department of the Treasury of the United States of America and including certificates or other instruments evidencing ownership interests in such direct obligations of the United States of America) or obligations the timely payment of the principal of and interest on which are fully guaranteed by the United States of America; (ii) obligations issued or guaranteed by Federal Home Loan Bank System, Export-Import Bank of the United States, Federal Financing Banks, Government National Mortgage Association, Federal National Mortgage Association, Farmer's Home Administration, Federal Home Loan Mortgage Corporation or Federal Housing Administration; or by any agency, department or instrumentality of the United States if such obligations are rated in one of the two highest rating categories by Fitch, S&P and Moody's if in any such case the timely payment of principal and interest on such obligations is backed by the full faith and credit of the United States of America; (iii) investment agreements meeting the investment criteria issued by a credit enhancer; (iv) interest-bearing bankers acceptances or certificates of deposit of, or time deposits in any bank (including the Trustee), lead bank of a parent holding company, or any savings and loan associations whose unsecured obligations are rated in one of the two highest rating categories by Fitch, S&P and Moody's, provided such deposits are either (a) secured at all times, in the manner and to the extent provided by law, by collateral security (described in clause (i) or (ii) of this definition) of a market value of no less than the amount of moneys so invested or (b) fully insured by the Federal Deposit Insurance Corporation; (v) repurchase agreements which satisfy the following criteria: (a) repurchase agreement which provides for the transfer of securities from dealer banks or securities firms to the Trustee

or its agents, and the transfer of cash from the Trustee to the dealer bank or securities firm with an agreement that the dealer bank or securities firm will repay the cash, plus a yield to the Trustee, in exchange for the securities at a specified date; (b) repurchase agreement must be between the Trustee and a dealer bank or securities firm which are either a primary dealer on the Federal Reserve reporting dealer list or a bank rated "A" or above by Fitch, S&P and Moody's; (c) the written repurchase agreement must include the following terms: (1) securities which are acceptable for transfer are (A) direct United States government obligations, or (B) obligations of federal agencies backed by the full faith and credit of the United States government; (2) with respect to control of the collateral, if the dealer bank or securities firm supplied the collateral pursuant to the repurchase agreement, it may not retain possession of such collateral and the collateral must be delivered to the Trustee (unless the Trustee is supplying the collateral) or a third party acting as agent for the Trustee before or simultaneous with payment; and (3) the securities must be valued weekly, marked-to-market at current market price plus accrued interest, the value of collateral must be equal to 102% of the amount of cash transferred by the Trustee to the dealer bank or securities firm under the repurchase agreement, plus accrued interest, and if the value of securities held as collateral is less than 102% of the value of the cash transferred by Trustee, then additional cash and/or acceptable securities must be transferred; and (d) to the extent required by a credit enhancer, an opinion of Bond Counsel, to the effect that such repurchase agreements are obligations in which public funds are permitted to be invested under District law, shall be delivered to the Trustee, with a copy to the Series 1998 Bond Insurer; (vi) commercial paper of "prime" quality of the highest ranking or the highest rating category as provided by Fitch, S&P and Moody's; (vii) obligations, the interest on which is exempt from federal income taxation, and which, if rated by the Rating Agencies, are rated by Fitch, Moody's and S&P in one of the two highest rating categories of such rating agencies; (viii) a time deposit account drawn on the Trustee for amounts whose aggregation is less than $5,000; (ix) mutual funds, including any such fund of the Trustee or any affiliate of the Trustee, which invest exclusively in any investment described in clauses (i) through (viii) otherwise left uninvested in the funds; and (x) Federally tax-exempt bonds which are not subject to the AMT for individuals and subject to a put option at par at least semi-annually and rated at least "double-A" by Moody's, S&P or Fitch, and in the highest short-term rating category by such rating agency.

"Principal Account" shall mean the Principal Account in the Bond Fund established in the Indenture.

"Qualified Independent Consultant" shall mean an independent professional consultant having the skill and experience necessary to provide the particular certificate, report or approval required by the Indenture or any Supplemental Indenture in which such requirement appears, including an Independent Consulting Engineer and an independent certified public accountant.

"Rate Covenant" shall mean the obligation of the Authority to fix, charge, collect and revise rates, fees and other charges for the use of, and the services furnished by, the System sufficient to meet the requirements of the Indenture.

"Rate Stabilization Fund" shall mean the fund so designated which is established pursuant to the Indenture.

"Rating Agency" or **"Rating Agencies"** shall mean Fitch, Moody's or Standard & Poor's, or any of them, and their successors. The Authority may seek a rating from any other nationally recognized securities rating agency.

"Remaining Component" shall mean the portion of the Cost of Contracted Services which is not embraced in the definition of Debt Service Component or Operating Component.

"Renewal and Replacement Reserve Fund" shall mean the Renewal and Replacement Reserve Fund established in the Indenture.

"Renewal and Replacement Reserve Requirement" shall mean $35,000,000 or such other amount as may be determined by a Qualified Independent Consultant, subject to approval by the Board of Directors.

"Reserve Determination Date" shall mean (a) each interest payment date for the Bonds, or (b) any other date established in writing by an Authorized Representative of the Authority for the valuation of obligations on deposit in any Series Debt Service Reserve Account.

"Revenues" shall mean all moneys received as income, rates, fees, charges, receipts, profits and other moneys derived by the Authority from its ownership and operation of the System, and for the use of and for the services furnished by the System, including Connection Fees, transfers from the Rate Stabilization Fund to the Revenue Fund, proceeds of any business interruption insurance, and investment earnings on all of the funds held by the Trustee under the Indenture and the Authority, except any rebate fund that may be created under the Indenture. Revenues shall not include refundable customer deposits, the IMA Capital Payments or other payments solely in aid of construction, the EPA Grants or similar payments, or the proceeds resulting from the sale of all or a portion of the System. For purposes of determining the total amount of Revenues in any year, there shall be deducted an amount equal to the amount transferred from the System Fund to the Rate Stabilization Fund pursuant to the Indenture.

"Senior Debt" shall mean Bonds, including the Series 1998 Bonds, the Series 2009A Bonds, the Series 2014A Bonds and Other System Indebtedness.

"Series" or **"Series of Bonds"** shall mean a separate series of Bonds issued under the Indenture and a Supplemental Indenture.

"Series Debt Service Reserve Requirement" for any Series of Bonds shall have the meaning set forth in the Supplemental Indenture authorizing such Series of Bonds.

"Series 2017A Bonds" shall mean the Authority's Public Utility Senior Lien Revenue Bonds, Series 2017A (Green Bonds), issued pursuant to the Twenty-Second Supplemental Indenture.

"Series 2017A Construction Account" shall mean the Series 2017A Construction Account established by the Twenty-Second Supplemental Indenture in the Construction Fund.

"Series 2017A Costs of Issuance Subaccount" shall mean the Series 2017A Costs of Issuance Subaccount established by the Twenty-Second Supplemental Indenture in the Series 2017A Construction Account of the Construction Fund.

"Series 2017B Bonds" shall mean the Authority's Public Utility Senior Lien Revenue Bonds, Series 2017B, issued pursuant to the Twenty-Second Supplemental Indenture.

"Series 2017B Construction Account" shall mean the Series 2017B Construction Account established by the Twenty-Second Supplemental Indenture in the Construction Fund.

"Series 2017B Costs of Issuance Subaccount" shall mean the Series 2017B Costs of Issuance Subaccount established by the Twenty-Second Supplemental Indenture in the Series 2017B Construction Account of the Construction Fund.

"Series 2017 AB Bonds" shall mean, together, the Series 2017A Bonds and the Series 2017B Bonds.

"Series 2017A/B Rebate Fund" shall mean the Series 2017A/B Rebate Fund established by the Twenty-Second Supplemental Indenture.

"**Series 2017A/B Resolution**" shall mean the Resolution adopted by the Authority's Board on January 5, 2017 authorizing the Series 2016A/B Bonds.

"Series 2017A/B Senior Lien Bonds Interest Subaccount" shall mean the Series 2017A/B Senior Lien Bonds Interest Subaccount established by the Twenty-Second Supplemental Indenture in the Interest Account in the Bond Fund.

"Series 2017A/B Senior Lien Bonds Principal Subaccount" shall mean the Series 2017A/B Senior Lien Bonds Principal Subaccount established by the Twenty-Second Supplemental Indenture in the Principal Account in the Bond Fund.

"Service Contracts" shall mean any contracts or agreements for Contacted Services entered into by the Authority from time to time.

"Short-Term Obligations" shall mean Subordinate Debt issued pursuant to the Indenture, the payment of principal of which is scheduled to be payable within one year from the date of issuance and is contemplated to be refinanced either (a) through the issuance of additional Short-Term Obligations pursuant to a commercial paper or other similar program, or (b) through the issuance of Indebtedness.

"Sinking Fund Account" shall mean the Sinking Fund Account in the Bond Fund created in the Indenture.

"Standard and Poor's" shall mean Standard & Poor's Rating Group, a Division of McGraw-Hill, Inc., New York, New York, or its successors.

"Subordinate Bond Fund" shall mean the Subordinate Bond Fund created in the Indenture.

"Subordinate Debt" shall mean the Series 2003 Bonds, the Series 2007A Bonds, the Series 2007B Bonds, the Series 2008A Bonds, the Series 2012A Bonds, the Series 2012B Bonds, the Series 2012C Bonds, the Series 2013A Bonds, the Series 2014B Bonds, the Series 2014C Bonds, the Series 2015A Bonds, the Series 2015B Bonds, the Series A EMCP Notes, the Series 2016A Bonds, and the Series 2016B Bonds and any other bonds, notes or other obligations issued in connection with the System (a) which are expected to be paid from Net Revenues and designated by the Authority as Subordinate Debt, and (b) which have pledged to their payment Net Revenues as a subordinate lien pledge after the pledge of Net Revenues to Senior Debt, including but not limited to any Debt Service Component and Remaining Component that the Authority is required, or has elected, to treat as Subordinate Debt, and the District General Obligation Bonds.

"Subordinate Debt Service Reserve Fund" shall mean the Subordinate Debt Service Reserve Fund created in the Indenture.

"Supplemental Indenture" shall mean any Supplemental Indenture supplementing or modifying the provisions of the Indenture entered into by the Authority and the Trustee pursuant to the Indenture.

"System" shall mean all plants, systems, facilities, equipment, real and personal property and tangible and intangible property, together with all future extensions, improvements, enlargements and additions thereto, and all replacements thereof, used, or to be used, in connection with the collection, transmission, treatment and disposal of wastewater and stormwater flow, and the supply, treatment, storage and distribution of water.

"Tender Indebtedness" shall mean any indebtedness a feature of which is an option or obligation on the part of the holders of such indebtedness to tender all or a portion of such indebtedness to a fiduciary for purchase or redemption prior to the stated maturity date of such indebtedness, which may include Variable Rate Indebtedness with such a feature.

"Term Bonds" shall mean any Bonds stated to mature on a specified date and required to be redeemed in part prior to maturity according to a sinking fund schedule.

"Treasury Loans" shall mean those certain obligations of the Authority to make payments related to debt service on certain promissory notes from the Secretary of the Army to the United States Treasury set forth in the Water Sales Agreement and any future obligations of the Authority to the United States of America consistent therewith.

"Trustee" shall mean Wells Fargo Bank, N.A., as successor to Norwest Bank Minnesota, N.A., or its successors serving as such under the Indenture.

"Trustee's Fees and Expenses" shall mean an initial acceptance fee and an annual administrative fee plus expenses in accordance with the fee schedule set forth in an agreement between the Trustee and the Authority, as the same may be renegotiated from time to time.

"Twenty-Second Supplemental Indenture" shall mean the Twenty-Second Supplemental Indenture of Trust, dated February 23, 2017, by and between the Authority and the Trustee.

"Variable Rate Indebtedness" shall mean any indebtedness the interest rate on which is not established at the time of incurrence at a fixed or constant rate, provided that (a) the maximum interest rate on such indebtedness and the maximum rate payable to any liquidity provider with respect to such indebtedness shall be specified at the time of issuance of such indebtedness; (b) any liquidity facility of any liquidity provider shall cause such indebtedness to be rated by a Rating Agency in one of the two highest short-term rating categories of such Rating Agency; (c) any accelerated principal payments or any interest in excess of the bond interest rate payable to such liquidity provider shall be subordinate to the payment of debt service on Bonds, and (d) any two or more series of Bonds that are issued on the same date, the interest on which when such series are considered in the aggregate shall be a fixed or constant rate, shall not be considered Variable Rate Indebtedness.

"WASA Act" shall mean the Water and Sewer Authority Establishment and Department of Public Works Reorganization Act of 1996, as amended, D.C. Code Sections 34-2201.01 et seq.

"Water Sales Agreement" shall mean the Water Sales Agreement dated as of July 31, 1997, by and between the United States of America, acting through the Secretary of the Army, and the Authority.

SUMMARY OF INDENTURE

The following is a summary of certain provisions of the Indenture. It is not a complete recital of the terms of the Indenture. Unless otherwise noted, section numbers shown parenthetically refer to the Master Indenture; those preceded by the prefix "TSI" refer to the Twentieth Supplemental Indenture.

Security (Granting Clauses)

The Authority, to provide for the payment of each Series of Bonds and Subordinate Debt issued under the Indenture and to secure the performance and observance of all the covenants, agreements and conditions in such Bonds, Subordinate Debt, Other System Indebtedness or credit enhancement agreements, does grant a security interest in, assign, transfer, pledge and grant and convey unto the Trustee and its successors and assigns forever, for the benefit of the holders of the Indebtedness and credit enhancers, if any, until the applicable credit enhancement is no longer outstanding and no amounts are due under the related documents, the following property: (A) amounts on deposit from time to time, and any investment earnings thereon, in the Bond Fund and Debt Service Reserve Fund (with respect to related Senior Debt), in the Subordinate Bond Fund and the Subordinate Debt Service Reserve Fund (with respect to related Subordinate Debt) and any other funds and accounts created pursuant to the Indenture, including the earnings thereon, subject to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth therein; provided, however, that there expressly is excluded from any pledge, assignment, lien or security interest created by the Indenture any amount on deposit in the Operating Fund; (B) amounts constituting Net Revenues pledged pursuant to the Indenture; (C) any and all other property of any kind from time to time thereafter by delivery or by writing of any kind specifically conveyed, pledged, assigned or transferred, as and for additional security under the Indenture for the Bonds, by the Authority or by anyone on its behalf or with its written consent in favor of the Trustee, which is authorized to receive any and all such property at any and all times and to hold and apply the same subject to the terms of the Indenture; and (D) all right, title and interest of the Authority owned or hereafter acquired in and to proceeds from the sale of Bonds or Subordinate Debt issued under the Indenture required to be deposited in the Construction Account pursuant to the provisions of the Indenture (except as limited by the following provisos) and all right, title, and interest in and to the investments held in the Construction Account (except as limited by the following provisos) pursuant to the provisions of the Indenture; provided, however, that the Authority may establish one or more separate accounts in the Construction Account to be funded with proceeds of any particular Series of Bonds or Subordinate Debt issue, which accounts and the proceeds of the particular Series of Bonds deposited therein (together with all investments thereof and investment income earned thereon) may be pledged solely to the payment of one or more designated Series of Bonds or Subordinate Debt issue for any designated periods, or otherwise, all as permitted in the Indenture, including any Supplemental Indenture.

To have and to hold all properties pledged, assigned and conveyed by the Authority under the Indenture including all additional property which by the terms thereof has or may become subject to the encumbrance thereof, unto the Trustee and its successors in trust and its assigns forever, subject, however, to the rights reserved under the Indenture.

To have and to hold in trust upon the terms and trusts set forth in the Indenture for the equal and proportionate benefit, security and protection of all Holders from time to time of all Senior Debt issued thereunder or under other documents and secured by the Indenture, without privilege, priority or distinction as to lien or otherwise of any of the Senior Debt over any of the others except as otherwise provided in the Indenture, and on a basis subordinate and junior thereto, upon the terms and trusts therein set forth for the equal and proportionate benefit, security and protection of all Holders and related credit

enhancers from time to time of all Subordinate Debt issued under the Indenture or under other documents and secured by the Indenture, without privilege, priority or distinction as to lien or otherwise of any of the Subordinate Debt over any of the others, except as otherwise provided in the Indenture.

However, if the Authority shall pay fully and promptly when due all liabilities, obligations and sums at any time secured thereby or provide for the payment thereof in accordance with the Indenture, and shall promptly, faithfully and strictly keep, perform and observe, or cause to be kept, performed and observed, all of the covenants, warranties and agreements of the Indenture and related documents, then the Indenture shall be and become void and of no further force and effect; otherwise, the same shall remain in full force and effect, and upon the trusts and subject to the covenants and conditions set forth in the Indenture.

Purposes of Bonds (Section 301)

Bonds may be issued (a) to pay Costs, (b) to refund any Indebtedness secured by or payable from Net Revenues, including any Bonds, or (c) for a combination of such purposes.

Parity Senior Debt (Section 302)

The Indenture constitutes a continuing irrevocable pledge of Net Revenues to secure payment of the principal of, premium, if any, and interest on all Senior Debt that may from time to time be issued and Outstanding. Each Senior Debt issue shall be issued pursuant to a Supplemental Indenture or evidenced by other documents and shall be equally and ratably secured by the pledge of Net Revenues under the Indenture, without preference, priority or distinction; provided, however, that the moneys in any Series Debt Service Reserve Account shall only secure the applicable Series of Senior Debt, and provided further that any Senior Debt may have additional revenues or other security pledged to its payment. Nothing in the Indenture shall be construed, as (a) requiring that any Senior Debt bear interest at the same rate or in the same manner as any other Senior Debt, have the same, or an earlier or later, maturity, or be subject to mandatory, optional or extraordinary redemption prior to maturity on the same basis as any other Senior Debt, (b) prohibiting the Authority from entering into financial arrangements designed to assure that moneys will be available for the payment of certain Senior Debt at its maturity, or (c) prohibiting the Authority front pledging moneys or assets of the Authority other than those pledged in the Indenture for the benefit of certain Senior Debt.

Conditions for Issuing Bonds (Section 303)

The Indenture requires that certain documents be filed with the Trustee prior to the issuance and authentication of any Series of Bonds. These requirements include a requirement that if the Bonds are issued to pay Costs, except in the case of the initial Series of Bonds issued under the Indenture, the Authority provide the Trustee with (1) evidence that upon issuance of such Bonds, each Series Debt Service Reserve Account within the Debt Service Reserve Fund will contain the applicable Series Debt Service Reserve Requirement, and (2) either (A) a certificate of the CEO and General Manager, the Chief Financial Officer or Authorized Representative of the Authority, stating that based on the Authority's financial records for any 12 consecutive months of the last 18 months prior to the issuance of such Bonds, the Authority would have been able to meet the Rate Covenant, taking into account (i) the maximum Annual Debt Service on the proposed additional Series of Bonds in the current or any future Fiscal Year, and (ii) the rates, fees and other charges which are in effect and any future changes therein as have been approved by the Board of Directors at the time of the delivery of the proposed additional Series of Bonds, or (B) a written statement of a Qualified Independent Consultant that projects Operating Expenses, Revenues and Net Revenues for five full Fiscal Years following the date of issuance of such proposed additional Series of Bonds and that demonstrates that, on the basis of such projection, the Authority can

comply with the Rate Covenant, taking into account those rates, fees and other charges which are in effect at the time of the delivery of the proposed additional Series of Bonds and any future changes therein as have been approved by the Board of Directors of the Authority at the time of the delivery of the proposed additional Series of Bonds.

The Indenture also requires as a condition of issuance where Bonds are issued to refund any Indebtedness, the following: (1) evidence that the Authority has made provision as required by the Indenture for the payment or redemption of all indebtedness to be refunded; (2) either (A) a written determination by the CEO and General Manager, the Chief Financial Officer, or Authorized Representative of the Authority, or other evidence satisfactory to the Trustee that after the issuance of such Bonds and the provision for payment or redemption of all Indebtedness to be refunded, the Annual Debt Service requirements for each Fiscal Year in which there will be Outstanding Indebtedness not to be refunded will not increase more than 5% over what the Annual Debt Service requirements for such Fiscal Year would have been on all Senior Debt immediately prior to the issuance of such Bonds, including the Indebtedness to be refunded (if such Indebtedness was Senior Debt), and that the final maturity of Indebtedness being refunded has not been extended, or (B) a certificate of the CEO and General Manager, the Chief Financial Officer or Authorized Representative of the Authority, stating that based on the Authority's financial records for any 12 consecutive months of the last 18 months prior to the issuance of such Bonds, the Authority would have been able to meet the Rate Covenant, taking into account (i) the maximum Annual Debt Service on the proposed additional Series of Bonds in the current or any future Fiscal Year, but not the actual debt service on the Indebtedness to be refunded, and (ii) the rates, fees and other charges which are in effect and any future changes therein as have been approved by the Board of Directors at the time of the delivery of the proposed additional Series of Bonds, or (C) a written statement of a Qualified Independent Consultant that projects Operating Expenses, Revenues and Net Revenues for five full Fiscal Years following the date of issuance of such proposed additional Series of Bonds, which such projection does not include the actual debt service for any Indebtedness to be refunded, and demonstrates, on the basis of such projection, that the Authority can comply with the Rate Covenant, taking into account those rates, fees and other charges which are in effect at the time of the delivery of the proposed additional Series of Bonds and any future changes therein as have been approved by the Board of Directors at the time of the delivery of the proposed additional Series of Bonds.

Other System Indebtedness (Section 304)

The Authority may incur or refinance Other System Indebtedness provided that (1) the documents relating to the Other System Indebtedness acknowledge that such debt constitutes Other System Indebtedness under the Indenture and is subject to the applicable terms and conditions thereof, specify the amounts and due dates of Annual Debt Service with respect to the Other System Indebtedness, (2) certain requirements of the Indenture for issuing Bonds described under "Conditions for Issuing Bonds (Section 303)" have been met as if the Other System Indebtedness was an additional Series of Bonds, (3) the Trustee receives written notice of the issuance of the Other System Indebtedness and the material terms and conditions thereof, and the Trustee shall register the holder as owner thereof as such on its books and records, and (4) the Trustee receives an Opinion of Counsel that the documents creating the Other System Indebtedness have been duly authorized, executed and delivered on behalf of the Authority and constitute valid, binding and enforceable obligations. In connection with the incurrence of any Other System Indebtedness, the Trustee shall enter into an intercreditor arrangement with the holder of such Other System Indebtedness, the terms of which shall be determined at the time of incurrence of such Other System Indebtedness. The Authority shall fulfill its obligations under all contracts or agreements creating Other System Indebtedness as they may exist from time to time.

Parity Subordinate Debt (Section 305)

Notwithstanding anything in the Indenture to the contrary, the Authority may at any time issue additional Subordinate Debt on a parity with the Outstanding Subordinate Debt and pledge Net Revenues thereto so long as rates, fees and charges are in effect or scheduled to go into effect to meet the Rate Covenant immediately after the issuance of such Subordinate Debt. Subordinate Debt may not be accelerated if any Senior Debt is outstanding.

Treatment of Direct Payments in Connection with Additional Indebtedness (Section 306)

For the purposes of computing Annual Debt Service on any Direct Payment BABs or other Indebtedness as to which Direct Payments are expected to be made (whether previously issued or proposed to be issued by the Authority) in connection with any proposed issuance of additional Subordinate Debt, the amount of any Direct Payment expected to be received by the Authority or the Trustee in the then current or any future Fiscal Year shall be credited against the Annual Debt Service on such Direct Payment BABs.

Custody and Application of Bond Proceeds (Section 501)

The proceeds of Bonds which are issued to pay Costs of the System shall be held in trust by the Trustee and used solely to pay Costs of the System. The proceeds of Bonds which are issued to refund any Indebtedness secured by or payable from Net Revenues, shall be held by the Trustee, an escrow agent or other party, as specifically provided in the Supplemental Indenture related to such refunding. The Indenture establishes a Construction Fund, to be held by the Authority. Amounts on deposit in the Construction Fund shall be used to pay Costs. The Trustee established a Construction Account, for the benefit of the holders of the Bonds which shall be considered part of the Construction Fund. The Authority established an EPA Grant Account and a Payments in Aid of the Construction Account in the Construction Fund to be held by the Authority. The proceeds of a Series of Bonds shall be deposited in the related Series Construction Subaccount. Reimbursements from EPA Grants and similar payments shall be deposited in the EPA Grant Account, IMA Capital Payments and other payments in aid of construction shall be deposited in the Payments in Aid of Construction Account. The Authority may establish additional Accounts and subaccounts within the Construction Fund as may be provided in a Supplemental Indenture. In the Construction Fund, the Twentieth Supplemental Indenture establishes the Series 2016A Construction Account, which shall be used for payment of Cost of the System, and, within that Account, a Series 2016A Cost of Issuance Subaccount, which shall be used for the payment of costs of issuance of the Series 2016A Bonds (TSI Section 501).

Deposits shall be made to the credit of the Construction Fund and any Accounts and subaccounts as provided in the applicable Supplemental Indenture. All earnings on moneys in each Account and subaccount shall be credited to such Account and subaccount. Payments from the Construction Account may be made upon submittal by the Chief Financial Officer of an appropriate requisition form to the Trustee on a bi-weekly, or less often basis. The Trustee shall pay the costs listed in the requisition within 2 days of receipt thereof. The Trustee shall retain copies of all such requisitions and shall pay the obligations set forth in the requisition out of money in the applicable Series Subaccount in the Construction Account. When all items of Costs have been paid or moneys have been reserved to pay all remaining unpaid Costs, the balance of any Bond proceeds remaining in excess of the amount to be reserved for payment of unpaid Costs shall be (a) transferred to the Bond Fund to be used solely to pay principal of and interest on the Series of Bonds which provided such proceeds to the extent approved by Bond Counsel, or (b) used to pay all or any portion of the Costs designated by the Authority and approved by Bond Counsel, but the balance of any Series 2016A Bond proceeds remaining in excess of the amount to be reserved for payment of unpaid Costs shall be deposited in the Subordinate Bond Fund to be used

solely to pay principal of and interest on the Series 2016A Bonds, to the extent approved by Bond Counsel.

Costs of the System (Section 502)

Costs shall mean any and all reasonable expenses related to the purposes or activities of the Authority including expenses for operating and maintenance activities; expenses for preconstruction and construction, acquisition, alteration, improvement, enlargement of furnishing, fixturing and equipping, reconstruction and rehabilitation of the water distribution and wastewater and stormwater collection, treatment, and disposal systems of the Authority, including without limitation, the purchase or lease expense for all lands, structures, real or personal property, rights, rights-of-way, roads, franchises, easements, and interest acquired or used for, or in connection with the Authority; the expenses of demolishing or removing buildings or structures on land acquired by the Authority, including the expenses incurred for acquiring any lands to which the buildings may be moved or located; the expenses incurred for all utility lines, structures or equipment charges, and interest on financial obligations incurred for a period as the Authority may reasonably determine to be necessary for the effective functioning of the water distribution and wastewater and stormwater collection, treatment, and disposal systems; provisions for reserves, enlargements, additions, and improvements; expenses incurred for architecture, engineering, energy efficiency technology, design and consulting, financial and legal services, letters of credit, bond insurance, debt service or debt service reserve insurance, surety bonds or similar credit enhancement instruments, plans, specification studies, surveys, and estimates of expenses and of revenues; expenses necessary or incident to determining the feasibility of improvements to the water distribution and wastewater and stormwater collection, treatment, and disposal systems, the financing of such improvements, including a proper allowance for contingencies, and the provision of reasonable initial working capital for operating the improved systems and expenses for obtaining potable water for distribution.

Rate Covenant (Section 601)

The Authority shall fix, charge and collect such rates, fees and other charges for the use of and the services furnished by the System and shall, from time to time and as often as shall appear necessary, revise such rates, fees and other charges so as to meet the following two independent requirements:

(1) Revenues, shall be sufficient in each Fiscal Year to pay (A) the actual Operating Expenses for such Fiscal Year, (B) the amount required to pay Annual Debt Service on Senior Debt in such Fiscal Year, (C) any amount necessary to be deposited in any Series Debt Service Reserve Account to restore the amount on deposit therein to the amount of the Series Debt Service Reserve Requirement, (D) the amount required to pay Annual Debt Service on Subordinate Debt in such Fiscal Year (including reserves in connection therewith and the restoration thereof), (E) any amount necessary to be deposited in the Operating Reserve Fund and the Renewal and Replacement Reserve Fund to maintain the required balances therein, and (F) any amount necessary to make any payments in lieu of taxes in such Fiscal Year.

(2) Net Revenues shall be sufficient in each Fiscal Year to be at least equal to the sum of (A) 120% of the Annual Debt Service with respect to Senior Debt for such Fiscal Year, and (B) 100% of Annual Debt Service with respect to Subordinate Debt for such Fiscal Year.

From and after the date of the Twelfth Supplemental Indenture, for purposes of determining the Authority's compliance with the Rate Covenant (but not for the purposes of determining compliance with the Indenture's restrictions on the Authority's issuance of additional Senior Debt or additional Subordinate Debt), the amount of any Direct Payment received by the Authority or the Trustee in any Fiscal Year shall be credited against (i) Annual Debt Service on Senior Debt in such Fiscal Year if such

Direct Payment related to Senior Debt or (ii) Annual Debt Service on Subordinate Debt in such Fiscal Year if such Direct Payment related to Subordinate Debt.

If at the end of any Fiscal Year the Authority is not in compliance with the Rate Covenant, or if the Authority fails for three consecutive months to make the deposits required under "Disposition of Revenues" to the Interest Account and the Principal Account (or the Sinking Fund Account, as applicable) or there is a deficiency in a Series Debt Service Reserve Account for longer than three consecutive months, the Authority shall immediately request a Qualified Independent Consultant to submit a written report and recommendations with respect to increases in the Authority's rates, fees and other charges and improvements in the operations of and the services rendered by the System and the Authority's accounting and billing procedures necessary to bring the Authority into compliance with the Rate Covenant. The report and recommendations shall be filed with the Trustee and the Authority within 120 days from the date of discovery of noncompliance with the Rate Covenant. The Authority shall promptly revise its rates, fees and charges, and alter its operations and services to conform with the report and recommendations of the Qualified Independent Consultant to the extent permitted by law. If the Authority promptly revises its rates, fees, charges, operations, services and procedures in conformity with the report and recommendations of the Qualified Independent Consultant and otherwise follows such recommendations to the extent permitted by law so that the Authority is expected to be, when its actions become fully effective, in compliance with the Rate Covenant, then any failure to meet the Rate Covenant will not constitute an Event of Default under the Indenture so long as no other Event of Default has occurred and is continuing.

Annual Budget (Section 602)

Before the beginning of each Fiscal Year, the Authority shall adopt a budget for the operation of the System for the ensuing Fiscal Year, which shall be called the Annual Budget. The Annual Budget shall be prepared in such manner as to show in reasonable detail (1) Revenues estimated to be received during such Fiscal Year, (2) Operating Expenses expected to be incurred during such Fiscal Year, (3) the amount of principal of, premium, if any, and interest on the Bonds that will become due during such Fiscal Year, (4) the amount of principal of, premium, if any, and interest on Other System Indebtedness that will become due during such Fiscal Year, (5) any amount necessary to be deposited in the Debt Service Reserve Fund to restore the amount on deposit in each Account therein to the amount of the applicable Series Debt Service Reserve Requirement, (6) any amount necessary to be deposited in the Operating Reserve Fund to restore the amount on deposit therein to the amount of the Operating Reserve Requirement, (7) any amount necessary to be deposited in the Renewal and Replacement Reserve Fund to restore the amount on deposit therein to the amount of the Renewal and Replacement Reserve Requirement, (8) the amount of principal of, premium, if any, and interest on the Subordinate Debt that will become due during such Fiscal Year, (9) any amount necessary to be deposited in the Subordinate Debt Service Reserve Fund to restore the amount on deposit therein to the amount of the Subordinate Debt Service Reserve Requirement, and (10) the amount of Net Revenues available during such Fiscal Year to meet the Rate Covenant. The Annual Budget shall be prepared in sufficient detail to show the amounts to be deposited in the various funds, Accounts and subaccounts created by or under the Indenture or funds and accounts otherwise required to be maintained on behalf of the System. The Authority may amend the Annual Budget at any time during the Fiscal Year. If for any reason an Annual Budget has not been adopted within the time required in the Indenture, the last previously adopted Annual Budget shall be deemed to provide for and regulate and control expenditures during such Fiscal Year until an Annual Budget for such Fiscal Year has been adopted. A copy of the Annual Budget and any amendments thereto shall be filed promptly with the Trustee.

Funds and Accounts (Section 603)

The Indenture establishes the following funds and Accounts to be held by the Authority or Trustee, as applicable: (a) Revenue Fund to be held by the Authority, subject to the lien of the Indenture (the Water and Sewer Authority Enterprise Fund created pursuant to Section 207 of the WASA Act, codified, as amended, at D.C. Code Section 34-2202.07, constitutes the Revenue Fund); (b) Operating Fund to be held by the Authority not subject to the lien of the Indenture (the Operating and Maintenance Account created pursuant to Section 154 of Public Law 104-134, codified at D.C. Code Section 34-2202.41, constitutes the Operating Fund); (c) Bond Fund, in which there shall be established an Interest Account, a Principal Account and a Sinking Fund Account, and a separate subaccount in each such Account with respect to each Series of Bonds or Other System Indebtedness issued under the Indenture, as applicable, to be held by the Trustee, subject to the lien of the Indenture; (d) Debt Service Reserve Fund, in which there shall be established a Series Debt Service Reserve Account for each Series of Bonds or Other System Indebtedness issue which has a Series Debt Service Reserve Requirement, to be held by the Trustee, subject to the lien of the Indenture; (e) Operating Reserve Fund to be held by the Authority, subject to the lien of the Indenture; (f) Renewal and Replacement Reserve Fund to be held by the Authority, subject to the lien of the Indenture; (g) Subordinate Bond Fund to be held by the Trustee, subject to the lien of the Indenture; (h) Subordinate Debt Service Reserve Fund to be held by the Trustee, subject to the lien of the Indenture; (i) Rate Stabilization Fund to be held by the Authority, subject to the lien of the Indenture; and (j) System Fund to be held by the Authority, subject to the Lien of the Indenture.

Disposition of Revenues (Section 604)

All Revenues shall be deposited in the Revenue Fund to be held by the Authority; provided, however, that upon an Event of Default, the Authority will transfer all amounts in all the Authority held funds to the Trustee, and the Trustee shall hold such moneys in trust for the beneficiaries under the Indenture. From and after the occurrence of such Event of Default, the Authority shall deliver all Revenues to the Trustee as and when received. Prior to any such Event of Default, throughout the month, but no later than the last Business Day of each month, the Authority shall transfer from the Revenue Fund to the Operating Fund an amount sufficient to pay Operating Expenses during such month. Thereafter, Net Revenues shall be disbursed on the last Business Day of each month in the following order (except that no distinction or preference shall exist in the use in an amount sufficient to make the following deposits of Net Revenues for payment into the Interest Account, the Principal Account or the Sinking Fund Account of the Bond Fund, such accounts being on a parity with each other as to payment from Net Revenues):

(a) To the Bond Fund:

(1) to the subaccounts established for each Series of Bonds or Other System Indebtedness in the Interest Account, the amounts, if any, set forth in the applicable Supplemental Indenture with respect to each Series of Bonds or Other System Indebtedness; provided, however, that if such Other System Indebtedness is evidenced by documents other than a Supplemental Indenture, to the related interest accounts set forth therein, as applicable; and such deposits shall be adjusted to give credit for any other available money then in such interest account or subaccount, or otherwise available and designated to be used for such purpose. Moneys in the Interest Account shall be used to pay interest required to be paid on any interest payment date related to such Series of Bonds or Other System Indebtedness, as applicable.

(2) to the subaccounts established for each Series of Bonds or Other System Indebtedness in the Principal Account and Sinking Fund Account, the amounts, if any, set forth in the

applicable Supplemental Indentures with respect to each Series of Bonds or Other System Indebtedness; provided, however, that if such Other System Indebtedness is evidenced by documents other than a Supplemental Indenture, to the related principal account and sinking fund account set forth therein, as applicable; and such deposits shall be adjusted to give credit for any other available money then in the principal or sinking fund account or subaccount or otherwise available and designated to be used for such purpose. Moneys in the Principal Account shall be used to pay principal required to be paid on any principal payment date related to such Series of Bonds or Other System Indebtedness, as applicable. Moneys in the Sinking Fund Account shall be used to pay the amount required for mandatory sinking fund redemption on the applicable redemption date related to such Series of Bonds or Other System Indebtedness, as applicable,

(b) To the applicable Account in the Debt Service Reserve Fund with respect to each Series of Bonds, the amounts, if any, necessary to restore the amount on deposit therein to the related Series Debt Service Reserve Requirement; and to the extent applicable, amounts necessary to restore the amount on deposit in the debt service reserve fund related to Other System. Indebtedness to the amounts required to be on deposit therein, and such amounts shall be transferred to such fund.

(c) To the Operating Reserve Fund, the amounts, if any, necessary to restore the amounts on deposit therein to the Operating Reserve Requirement. Such amounts shall be funded within 24 months of withdrawal by depositing in such fund 1/24 of the Operating Reserve Requirement on the last Business Day of each month after such withdrawal, if necessary. Moneys in the Operating Reserve Fund shall be used to pay, to the extent necessary, Operating Expenses of the Authority. In addition, to the extent that moneys on deposit in the Bond Fund are insufficient to make the required interest and principal payments, moneys in the Operating Reserve Fund shall be used prior to any withdrawal from the Debt Service Reserve Fund, to satisfy any such deficiencies.

(d) To the Renewal and Replacement Reserve Fund, an amount equal to the Renewal and Replacement Reserve Requirement. Such amounts shall be funded within 24 months of the applicable Closing Date to the extent not already deposited by depositing 1/24 of the Renewal and Replacement Reserve Requirement on the last Business Day of each month in such fund. In addition, to the extent that there has been a withdrawal from such fund, the Trustee shall deposit Net Revenues to the fund, in the amounts necessary to make the amounts on the deposit therein equal to the Renewal and Replacement Reserve Requirement. Such withdrawn amounts shall be funded within 24 months by depositing in such fund 1/24 of the Renewal and Replacement Reserve Requirement on the last Business Day of each month after such withdrawal. Moneys in the Renewal and Replacement Reserve Fund may be used to pay for any capital expenditures related to the System. In addition, to the extent that moneys on deposit in the Bond Fund and the Operating Reserve Fund are insufficient to make the required interest and principal payments, moneys in the Renewal and Replacement Reserve Fund shall be used prior to any withdrawal from the Debt Service Reserve Fund to satisfy any such deficiencies.

(e) To the Subordinate Bond Fund, the amount equal to the deposits to such funds and accounts required by the related Supplemental Indenture or other documents evidencing such debt. To the extent that Subordinate Debt is issued pursuant to Subordinate Debt documents, applicable amounts shall be transferred to the respective Subordinate Debt trustee.

(f) To the applicable Account, if any, in the Subordinate Debt Service Reserve Fund with respect to each Subordinate Debt issue, the amounts, if any, necessary to restore the amount on deposit therein to the related debt service reserve requirement or to reimburse the provider of any Qualified Reserve Credit Facility for amounts drawn thereunder and to pay related costs. To the extent that the Subordinate Debt is issued pursuant to Subordinate Debt Documents, applicable amounts shall be transferred to the respective Subordinate Debt trustee.

(g) To the System Fund, any moneys remaining in the Revenue Fund after all deposits and transfers required by subsections (a) through (f) of Section 604 have been made. Moneys in the System Fund may be used for any authorized purpose. On the following dates, moneys on deposit in the System Fund were required or are required be used to make the following payments:

(1) on each May 15 and quarterly thereafter, to the District to make the payment in lieu of taxes required by the District MOU relating to the PILOT;

(2) on September 1, 1998, an amount retained by the Authority in the System Fund necessary to satisfy the Cash Reserve Requirement;

(3) on each September 1, commencing September 1, 1999: (a) an amount to the District to make those certain principal and interest prepayments related to the District General Obligation Bonds pursuant to the District MOU relating to the Payment of General Obligation Debt; and (b) an amount retained by the Authority in the System Fund necessary to satisfy the Cash Reserve Requirement; and

(4) at any time to the Rate Stabilization Fund, the amount that the CEO and General Manager may determine, in his discretion, to transfer to the Rate Stabilization Fund.

With respect to prepayments made pursuant to section (g)(3)(a) above, if the Authority does not have Net Revenues sufficient to make such payment on September 1 of such fiscal year, the Authority must make such payment no later than November 1 of such fiscal year. Failure to make such payment prior to November 1 shall not constitute an Event of Default.

The Authority shall provide the Trustee with a monthly certificate which certifies that the transfers required by subsections (c), (d) and (g) have been made and sets forth the respective balances of such funds. If the Authority fails to make the transfers required by subsections (a) through (g) the Trustee shall give notice of such failure to the Authority within 10 days of such failure. Notwithstanding anything in the Indenture to the contrary, at any time that the Authority is required to make transfers pursuant to subsections (a) through (g), and there are insufficient Net Revenues to make all required transfers pursuant to such subsections, the Authority shall make the transfers in the order set forth above first from Net Revenues, then from any other legally available monies. In the event the balance on deposit in the Principal Account, Sinking Fund Account or the Interest Account is insufficient for the purposes thereof, the Authority shall transfer to the Trustee for deposit in such Accounts such amounts as may be necessary therefor first from the Operating Reserve Fund, second from the Renewal and Replacement Fund, and then from the applicable Series Debt Service Reserve Account pursuant to the section entitled "Debt Service Reserve Fund (Section 606)". The Trustee shall provide for a mandatory sinking fund redemption of any Term Bonds in accordance with the schedules set forth in the Supplemental Indenture for such Bonds; provided, however, that on or before the 70th day next preceding any such sinking fund payment date, the Authority may: (1) deliver to the Trustee for cancellation Term Bonds of the maturity required to be redeemed on such sinking fund payment date in any aggregate principal amount desired; or (2) instruct the Trustee to apply a credit against the Authority's next sinking fund redemption obligation for any such Term Bonds that previously have been redeemed (other than through the operation of the sinking fund) and canceled but not theretofore applied as a credit against any sinking fund redemption obligation. Upon the occurrence of any of the events described in the subsections (1) or (2) above, the Trustee shall credit against the Authority's sinking fund redemption obligation on the next sinking fund payment date the amount of such Term Bonds so delivered or previously redeemed. Any principal amount of such Term Bonds in excess of the principal amount required to be redeemed on such sinking fund payment date shall be similarly credited in such order as may be determined by the Authority against future payments to the Sinking Fund Account and shall

similarly reduce the principal amount of the Term Bonds of the applicable Series to be redeemed on the next sinking fund payment date. Within seven days of receipt of such Term Bonds or instructions to apply as a credit, any amounts remaining in the Sinking Fund Account in excess of the amount required to fulfill the remaining required sinking fund redemption obligation on the next sinking fund payment date shall be used in such manner as determined at the direction of the Authority. In the event the amount on deposit in the Interest Account on any interest payment date shall exceed the amount required to pay interest on the Senior Debt on the next interest payment date, the Authority shall, if the amount on deposit in any Series Debt Service Reserve Account is less than the applicable Series Debt Service Reserve Requirement, instruct the Trustee to transfer such excess to any Series Debt Service Reserve Account to the extent of such deficiency, and otherwise retain any remaining excess in the Interest Account or instruct the Trustee to transfer any remaining excess to the related Principal Account to be credited against subsequent required deposits thereto, as determined by the Authority.

If the amount on deposit in the Principal Account or Sinking Fund Account on any principal or mandatory redemption payment date exceeds the amount required on such date to pay Bonds at maturity or to redeem Term Bonds pursuant to mandatory sinking fund requirements, the Authority shall, if the amount on deposit in any Series Debt Service Reserve Account is less than the applicable Series Debt Service Reserve Requirement, instruct the Trustee to transfer such excess to the Series Debt Service Reserve Account to the extent of such deficiency, and otherwise retain such excess in the Principal Account or instruct the Trustee to transfer such excess to the Interest Account to be credited against subsequent required deposits thereto, as determined by the Authority.

With respect to the Direct Payments by providing that, upon receipt of any Direct Payment, the Authority or the Trustee shall cause it to be deposited (i) in the appropriate subaccounts in the Interest Account in the Bond Fund if such Direct Payment relates to Bonds or Other System Indebtedness, and (ii) in the appropriate subaccount in the Subordinate Interest Account in the Subordinate Bond Fund if such Direct Payment relates to Subordinate Debt, and shall cause it to be applied solely to the purposes to which the Indenture permits funds in such subaccount, account and fund to be applied.

Rate Stabilization Fund (Section 605)

The Rate Stabilization Fund authorized by the Indenture shall be held by the Authority in an Account separate and apart from all other funds and Accounts of the Authority and payments therefrom shall be made as provided in the Indenture. Moneys may be transferred by the Authority to the Rate Stabilization Fund from the System Fund as provided in the section captioned "Disposition of Revenues (Section 604)" as determined by the Authority. At any time the Authority may transfer from the Rate Stabilization Fund to the Revenue Fund the amount determined by the Authority to be transferred from the Rate Stabilization Fund.

Debt Service Reserve Fund (Section 606)

Each Supplemental Indenture under which a Series of Bonds is issued shall establish an Account in the Debt Service Reserve Fund related to such Series of Bonds that shall be funded pursuant to the terms of a Supplemental Indenture. The Series Debt Service Reserve Requirement shall be deposited in the Account related to such Series. Amounts in each Account in the Debt Service Reserve Fund shall be used to pay debt service on the related Series of Bonds on the date such debt service is due when insufficient funds for that purpose are available in the Bond Fund; provided, however, that all amounts in an Account in the Debt Service Reserve Fund shall be used, together with other amounts available for such purpose under the Indenture, to provide for payment of the related Series of Bonds when the aggregate of such amounts is sufficient for such purpose. Amounts in each Account of the Debt Service

Reserve Fund shall be pledged to Holders of Bonds of the related Series. The Debt Service Reserve Fund has not been pledged as security for the payment of any Subordinate Debt.

In lieu of or in addition to cash or investments, at any time the Authority may cause to be deposited to the credit of any Series Debt Service Reserve Account any form of credit facility, including a surety bond, in the amount of all or a portion of the Series Debt Service Reserve Requirement, irrevocably payable to the Trustee as beneficiary for the Holders of the respective Series of Bonds, provided that the Trustee has received evidence satisfactory to it that (a) the provider of the credit facility has a credit rating in one of the two highest credit rating categories by two Rating Agencies, (b) the obligation of the Authority to pay the fees of and to reimburse the provider of the credit facility is subordinate to its obligation to pay debt service on the respective Series of Bonds, (c) the term of the credit facility is at least 36 months, (d) the only condition to a drawing under the credit facility is insufficient amounts in the applicable funds and Accounts held by the Trustee with respect to such Series of Bonds when needed to pay debt service on such Series or the expiration of the credit facility, and (e) the provider of the credit facility shall notify the Authority and the Trustee at least 24 months prior to the expiration of the credit facility. If (1) the Authority receives such expiration notice and the provider of such credit facility does not extend its expiration date, (2) the Authority receives notice of the termination of the credit facility, or (3) the Authority receives notice that the provider of such credit facility no longer has a credit rating in one of the two highest credit rating categories by two Rating Agencies, the Authority immediately shall (A) provide a substitute credit facility that meets the requirements set forth in the foregoing sentences, (B) deposit the Series Debt Service Reserve Requirement to the respective Series Debt Service Reserve Account (i) in equal monthly installments over the next succeeding 24 months in the case of receipt of an expiration notice, (ii) prior to the termination date in the case of receipt of a termination notice, or (iii) immediately in the case of such reduction in credit rating, or (C) instruct the Trustee to draw on such credit facility in the amount of the Series Debt Service Reserve Requirement (i) 12 months prior to expiration of the credit facility in the case of receipt of an expiration notice, (ii) prior to the termination date in the case of receipt of a termination notice, or (iii) immediately in the case of such reduction in credit rating and deposit the amount drawn to the Series Debt Service Reserve Account.

If a disbursement is made pursuant to any credit facility, the Authority shall either (a) reinstate the maximum limits of such credit facility, or (b) deposit to the credit of the applicable Series Debt Service Reserve Account moneys in the amount of the disbursement made under such credit facility from available Net Revenues. To the extent such moneys are still insufficient, then the Authority shall transfer to the Trustee from any legally available moneys the amount of such deficiency as soon as practicable and in any event within 24 months by depositing one-twenty-fourth of the required amount each month.

Amounts, if any, released from any Series Debt Service Reserve Account, upon deposit to the credit of such Account of a credit facility, upon designation by an Authorized Representative of the Authority and accompanied by an Opinion of Bond Counsel that such use will not adversely affect the exclusion from gross income of interest on the respective Series of Bonds, shall be transferred (a) to the subaccount of the Principal Account with respect to such Series of Bonds and used to pay principal of or to redeem such Bonds, or (b) to the Authority to be used to pay all or any portion of the Costs designated by the Authority and approved by Bond Counsel.

On or within five days after each Reserve Determination Date, the Trustee shall determine if the balance on deposit in each Series Debt Service Reserve Account was, as of the Reserve Determination Date, at least equal to the applicable Series Debt Service Reserve Requirement. In making such determination, any obligations in the Series Debt Service Reserve Account shall be valued in accordance with the Indenture. In the event the amount on deposit in a Series Debt Service Reserve Account exceeds the applicable Series Debt Service Reserve Requirement, the Trustee shall (a) transfer such excess to the

Bond Fund to be deposited in the related Series subaccount in the Interest Account and the related Series subaccount in the Principal Account to the extent amounts in such subaccounts are less than the amounts required to be paid on the next interest payment date and principal payment date, respectively, (b) thereafter transfer such excess to the Bond Fund to be deposited, as directed by an Authorized Representative of the Authority, in the Interest Account or the Principal Account to the extent amounts in such accounts are less than the amounts required to be paid on the next interest payment date and principal payment date, respectively, and (c) transfer such excess to the Authority to be used to pay all or any portion of Costs designated by the Authority and approved by Bond Counsel; provided, however, that if an Authorized Representative of the Authority calls for a Reserve Determination Date in connection with the refunding and/or defeasance of a Series of Bonds, then the Trustee is authorized to take such refunding and/or defeasance into account in valuing the Series Debt Service Reserve Account securing such Series of Bonds and is further authorized to apply the amount of any surplus arising from such valuation to reduce the amount of the refunding bonds and/or to provide for the defeasance of the Series of Bonds in such manner as the Authorized Representative of the Authority may direct.

Payments in Aid of Construction (Section 607)

The Authority shall use any payments made to the Authority by any persons as payment for constructing water, wastewater or stormwater facilities at the request of such persons, whether such payments are made prior to or after such construction, only to pay the cost of such construction. After completion of such construction, the Authority may use any moneys remaining after such construction is completed to pay all or any portion of Costs designated by the Authority and approved by Bond Counsel.

Other Funds and Accounts (Section 608)

The Authority may establish in each Supplemental Indenture such other funds and Accounts within funds as the Authority may determine to be desirable.

Pledge of Net Revenues and Certain Funds and Accounts (Section 609; TSI Section 601)

Net Revenues are pledged equally and ratably to the payment of principal of and interest on all Senior Debt, subject only to the right of the Authority to make application thereof to other purposes as provided in the Indenture. All funds created under the Indenture other than the Operating Fund shall be trust funds and are pledged (except as provided in the next sentence and as described in the next paragraph hereof) equally and ratably to the payment of the principal of and interest on all Senior Debt, subject only to the right of the Authority to make application thereof, or to direct the Trustee to make application thereof, to other purposes as provided in the Indenture. The lien and trust created under the Indenture are for the benefit of the Holders of Senior Debt and for their additional security until all the Senior Debt has been paid; provided, however, that the moneys in each Series Debt Service Reserve Account and each Series Construction Account or subaccount shall only secure the applicable Series of Bonds that provided such moneys, and moneys in any account of the Bond Fund relating to a particular Senior Debt shall only secure such Senior Debt. Notwithstanding the foregoing and anything else in the Indenture to the contrary, pursuant to the terms of the Water Sales Agreement, to the extent that the United States of America, acting through the Secretary of the Army, requires that the Authority establish a special fund consisting of separately identifiable fees, charges, rents and rates (the "Special Revenues") assessed by the Authority on its retail customers after the effective date of the Indenture in order to pay for the principal and interest due on the Treasury Loans, the Department of the Treasury shall have a security interest in such Special Revenues only, and the Treasury Loans shall no longer be secured by the remaining Net Revenues, nor be considered Indebtedness for the purposes of the Indenture. The Treasury Loan holder shall have an interest senior to the interest of holders of Indebtedness in such Special

Revenues. All further terms and conditions of such Special Fund shall be set forth in a Supplemental Indenture related thereto.

The Series 2016A Bonds shall be secured as Subordinate Debt under the Indenture, including, without limitation, by a pledge of (i) Net Revenues subordinate to the pledge of Net Revenues that secures Senior Debt and on a parity with the pledge of Net Revenues that secures other Subordinate Debt, including, without limitation, the Series 2003 Bonds, the Series 2007A Bonds, the Series 2007B Bonds, the Series 2008A Bonds, the Series 2010A Bonds, the Series 2012A Bonds, the Series 2012B Bonds, the Series 2012C Bonds, the Series 2013A Bonds, the Series 2014B Bonds, the Series 2014C Bonds, the Series A EMCP Notes and any other Subordinate Debt that the Authority may issue in the future, without preference, priority or distinction of any Series 2016A Bond over any other Series 2016A Bond or of any Subordinate Debt over any other Subordinate Debt, as provided in the Indenture; and (ii) the moneys and Permitted Investments in the Subordinate Bond Fund on a parity with the pledge of Net Revenues that secures other Subordinate Debt, including, without limitation, the Series 2016A Bonds and any other Subordinate Debt that the Authority may issue in the future, without preference, priority or distinction of any Series 2016A Bond over any other Series 2016A Bond or of any Subordinate Debt over any other Subordinate Debt, as provided in the Indenture.

Payment of Indebtedness; Limited Obligations (Section 801)

The Authority shall promptly pay or cause to be paid when due the principal of (whether at maturity, by acceleration, call for redemption or otherwise), premium, if any, and interest on the Indebtedness at the places, on the dates and in the manner provided in the Indenture and in the Indebtedness according to the true intent and meaning thereof; provided, however, that such obligations are not general obligations of the Authority, but are limited obligations payable solely from Net Revenues, except to the extent payable from the proceeds of Indebtedness, the income, if any, derived from the investment thereof, certain reserves, proceeds of credit enhancement, income from investments pursuant to the Indenture or proceeds of Insurance, which Net Revenues and other moneys are specifically pledged to such purposes in the manner and to the extent provided in the Indenture. The Series 2016A Bonds are special and limited obligations of the District. The Series 2016A Bonds shall be without recourse to the District. The Series 2016A Bonds shall not be general obligations of the District, shall not be a pledge of or involve the faith and credit or the taxing power of the District, and shall not constitute lending of the public credit for private undertakings.

Limitations on Indebtedness (Section 802)

The Authority shall not issue any bonds, notes or other obligations that shall be secured by a pledge of Net Revenues (a) senior to the pledge of Net Revenues securing the Senior Debt, (b) except in compliance with the Indenture, on a parity with the pledge of Net Revenues securing the Senior Debt, or (c) except in compliance with the section captioned "Subordinate Debt (Section 305)", subordinate to the pledge of Net Revenues securing the Senior Debt. The Authority shall not issue Bonds, Other System Indebtedness or Subordinate Debt unless the Authority complies with the Indenture, including those provisions described in "Conditions for Issuing Bonds (Section 303)," "System Indebtedness (Section 304)" and "Subordinate Debt (Section 305)," as applicable.

Covenants and Representations of the Authority (Section 803)

The Authority shall faithfully observe and perform all covenants, conditions and agreements on its part contained in the Indenture, in every issue of Indebtedness issued thereunder and in all proceedings of the Authority pertaining thereto. The Authority represents that it is duly authorized under the WASA Act to issue the Indebtedness, to execute the Indenture, and to pledge Net Revenues in the manner and to

the extent set forth in the Indenture. The Authority covenants that it will take all action necessary for issuance of the Indebtedness and the execution of the Indenture, and that upon issuance the Indebtedness will be valid and enforceable obligations of the Authority according to the import thereof.

Covenants with Credit Banks, Insurers, etc. (Section 804)

The Authority may make such covenants and agreements in a Supplemental Indenture as it may determine to be appropriate with any Insurer, credit bank or other financial institution that agrees to insure or to provide credit or liquidity support to enhance the security or the value of any Indebtedness. Such covenants and agreements may be set forth in the applicable Supplemental Indenture and shall be binding on the Authority and all the holders of Indebtedness the same as if such covenants were set forth in full in the Indenture.

Operation and Maintenance (Section 805)

The Authority shall establish and enforce reasonable rules and regulations governing the use of and the services furnished by the System, shall maintain and operate the System in an efficient and economical manner, shall maintain the same in good repair and sound operating condition and shall make all necessary repairs, replacements and renewals. All compensation, salaries, fees and wages paid by the Authority in connection with the operation and maintenance of the System shall be reasonable. The Authority shall observe and perform all of the terms and conditions contained in the WASA Act and the Water Sales Agreement and shall comply with all valid acts, rules, regulations, orders and directions of any legislative, executive, administrative or judicial body applicable to the System or the Authority.

Free Service, Competing Service, Billing and Enforcement of Charges (Section 806)

The Authority shall not permit connections to or use of the System or provide any services of the System without making a charge therefor in accordance with the Authority's schedule of rates, fees and charges for the System other than those connections, use or services already in existence; provided, however, the Authority may accept proffers and other forms of payment in lieu of cash payments that the Authority deems are in its best interest to accept, provided that such proffers do not cause a violation of the Rate Covenant. The Authority shall not provide, grant any franchise to provide, or give consent for anyone else to provide any services which would compete with the System unless the Authority determines that such franchise or provision of services would provide services that the Authority has determined are not in its best interest to provide and would not materially impair the interests of the holders of Indebtedness.

The Authority shall bill customers for the services of the System no less frequently than quarterly. If any rates, fees or other charges for the use of or for the services furnished by the System shall not be paid within 60 days after the same shall become due and payable, or within such shorter time as may be determined by the Authority, the Authority shall at the expiration of such period, to the extent permitted by applicable laws and regulations, disconnect the premises from the System or otherwise suspend service to such premises until such delinquent rates, fees or other charges and any interest, penalties or charges for reconnection of service to such delinquent customer shall have been paid in accordance with the policies of the Authority, or a payment plan with respect to such amounts has become effective. The Authority shall take all such action as may be necessary to perfect liens upon real estate for the amount of any unpaid rates, fees or other charges described in Section 806 of the Indenture or any unpaid connection charges or other charges so that such liens will be binding upon subsequent bona fide purchasers for valuable consideration without actual notice thereof.

Sale or Encumbrance of System (Section 807)

Neither the System nor any integral part thereof shall be leased, sold, mortgaged or otherwise disposed of without an Independent Consulting Engineer's certification that such disposition will not have a negative impact on the overall viability of the System unless the proceeds of such disposition, together with any other legally available moneys, are sufficient to pay the principal of, premium, if any, and interest on all Indebtedness then Outstanding and the proceeds are used for such purpose; provided, that the Authority may from time to time sell, exchange or otherwise dispose of any equipment, motor vehicles, machinery, fixtures, apparatus, tools, instruments or other movable property if it determines that such articles are no longer needed or are no longer useful in connection with the System, and the proceeds thereof may be used for any lawful purpose determined by the Authority. The Authority shall not create or suffer to be created any lien or charge upon the System or any part thereof or any lien or charge upon Net Revenues and other moneys pledged herein ranking equally with, prior to, or subordinate to the lien and charge of the Indebtedness, except as provided in the Indenture. Notwithstanding anything in the Indenture to the contrary, the Authority may acquire items of personal property constituting part of the System under lease purchase agreements or similar financing arrangements entered into in the ordinary course of business which may be subject to purchase money security interests or other liens in an aggregate amount not to exceed five percent (5%) of the net amount of plant, property and equipment.

Notwithstanding the provisions of the preceding paragraph, the Authority may sell, transfer or otherwise dispose of all or substantially all of the System for purposes of consolidating the System with or merging the System into one or more regional water, wastewater or stormwater systems of which the Authority is a participating member jurisdiction if: (1) the successor entity assumes in writing all of the Indebtedness then Outstanding, (2) the successor entity covenants in writing to comply with the Rate Covenant, (3) the Authority obtains an opinion of Bond Counsel, subject to the customary exceptions and qualifications, substantially to the effect that the assumption by the successor entity of all of the Indebtedness then Outstanding shall not have an adverse effect on the tax-exempt status of the interest on any such Indebtedness the interest on which was excludable from gross income for purposes of Federal income taxation when issued, and (4) the ratings on the Indebtedness then Outstanding will not adversely be affected by such assumption.

Notwithstanding the provisions of the preceding paragraph, the Authority may lease or sell the Blue Plains Wastewater Treatment Plant if: (1) the lessor [sic] or purchaser entity assumes in writing all of the Indebtedness then Outstanding relating to the plant, (2) the successor entity covenants in writing to comply with the Rate Covenant, as applicable, (3) the Authority obtains an opinion of Bond Counsel, subject to the customary exceptions and qualifications, substantially to the effect that the assumption by the lessor [sic] or purchaser entity of all of the Indebtedness then Outstanding shall not have an adverse effect on the tax-exempt status of the interest on any such Indebtedness the interest on which was excludable from gross income for purposes of Federal income taxation when issued, and (4) the ratings on such Indebtedness then Outstanding will not adversely be affected by such assumption.

Insurance (Section 808)

The Authority shall continuously maintain insurance with recognized responsible commercial insurance companies against such risks and in such amounts as are customary for public bodies owning and operating similar systems, including (a) insurance against loss or damage to the System, (b) public liability insurance against liability for bodily injury, including death resulting therefrom, and for damage to property, including loss of use thereof, arising out of the ownership or operation of the System, and (c) workers' compensation insurance with respect to the System. In lieu of insurance written by commercial insurance companies, the Authority may maintain a program of self-insurance or participate in group risk financing programs, including sponsored insurance programs, risk pools, risk retention

groups, purchasing groups and captive insurance companies, and in state or Federal insurance programs; provided, however, that the Authority shall obtain and maintain on file a tri-annual favorable written opinion of a Qualified Independent Consultant that such alternative is reasonably acceptable with respect to the coverages under all the circumstances.

Damage, Destruction, Condemnation and Loss of Title (Section 809)

If all or any part of the System is destroyed or damaged by fire or other casualty, condemned or lost by failure of title, the Authority shall restore promptly the property destroyed or damaged to substantially the same condition as before such destruction, damage, condemnation or loss of title with such alterations and additions as the Authority may determine and which will not impair the capacity or character of the System for the purpose for which it is then being used or is intended to be used. The Authority shall apply so much as may be necessary of such Net Proceeds received on account of any such destruction, damage, condemnation or loss of title to payment of the cost of such restoration, either on completion or as the work progresses. If such Net Proceeds are not sufficient to pay in full the cost of such restoration, the Authority shall pay so much of the cost as may be in excess of such Net Proceeds from any legally available moneys. Any balance of such Net Proceeds remaining after payment of the cost of such restoration shall be deposited in the Bond Fund.

Records and Accounts; Inspections and Reports (Section 810)

The Authority shall keep proper books of records and accounts, separate from any of its other records and accounts, showing complete and correct entries of all transactions relating to the System, and the Trustee shall have the right at all reasonable times to inspect the System and all records, accounts and data relating thereto. The Authority shall also cause a certified audit of its records and accounts to be made in accordance with generally accepted accounting principles by an independent certified public accountant at the end of each Fiscal Year which shall reflect in reasonable detail the financial condition and results of operation of the System and whether the Authority has complied with the Rate Covenant and to deliver such report to the Trustee. The Authority shall cause an Independent Consulting Engineer at least once every five years to inspect the System and make a written report thereof which shall include such Independent Engineer's findings and recommendations as to the maintenance of the System and the construction of additions, extensions and improvements to the System and capital replacements thereof. Such report shall be completed in sufficient time so that the Authority may take into account any recommendations thereof in preparing its next Annual Budget.

Capital Budget (Section 811)

The Authority shall annually adopt a multiyear financial plan for capital expenses encompassing at least the forthcoming five fiscal years.

Service Contracts (Section 812)

The Authority may enter into Service Contracts for the benefit of the System, provided that the Authority specifies in writing the items payable as the Debt Service Component, Operating Component or Remaining Component of the Cost of Contracted Services and provided, further that the Authority shall not enter into any Service Contracts that would create Debt Service Components that constitute Other System Indebtedness unless the Authority satisfies the test set forth in the section entitled "Conditions for Issuing Bonds (Section 303)" for Bonds issued to pay Costs, except in the case of the initial Series of Bonds. The Authority shall faithfully fulfill all lawful requirements of all Service Contracts and shall require all other parties thereto to fulfill their lawful obligations thereunder. The Authority shall

determine in writing on or before the effective date of any Service Contract the amounts and due dates of any Debt Service Component and the interest and principal portions of such components.

Events of Default – General (Section 901)

Each of the following events shall be an Event of Default:

(a) Default in the due and punctual payment of the principal of, premium, if any, on any Bond (whether at maturity, call for redemption or otherwise);

(b) Default in the due and punctual payment of the interest on any Bond;

(c) Failure by the Authority to observe the covenant set forth in Section 604(g)(3)(a) of the section entitled "Disposition of Revenues";

(d) Subject to the remedial provisions of the Rate Covenant, failure of the Authority to observe and perform any of its other covenants, conditions or agreements under the Indenture or in the Bonds for a period of 60 days after written notice either from the Trustee or Holders of not less than 25% in aggregate principal amount of Bonds then Outstanding (unless the Trustee agrees in writing to an extension of such time prior to its expiration), specifying such failure and requesting that it be remedied, or in the case of any such default that cannot with due diligence be cured within such 60 day period, failure of the Authority to proceed promptly to cure the same and thereafter prosecute the curing of such default with due diligence within 60 days thereafter; provided, however, any such cure period shall not exceed an aggregate of 120 days without the prior written consent of Financial Security Assurance, Inc., as long as any of the Authority's $266,120,000 Public Utility Revenue Bonds, Series 1998 are Outstanding;

(e) The Authority shall fail to make any required payment with respect to any Other System Indebtedness, and any period of grace with respect thereto shall have expired, or an event of default as defined in any mortgage, indenture, or instrument under which there may be issued, or by which there may be secured or evidenced any Other System Indebtedness, shall occur, which event of default shall not have been waived by the holder of such mortgage, indenture or instrument provided, however, that such default shall not constitute an Event of Default within the meaning of Section 901 of the Indenture if within 30 days, or within the time allowed for service of a responsive pleading if any proceeding to enforce payment of the Other System Indebtedness is commenced, the Authority in good faith shall commence proceedings to contest the obligation to pay or the existence of such Other System Indebtedness;

(f) (l) commencement by the Authority of a voluntary case under the Federal bankruptcy laws, as now or hereafter constituted, or any other applicable Federal or state bankruptcy, insolvency or similar law, (2) consent by the Authority to the appointment of a receiver, liquidator, assignee, trustee, custodian, sequestrator or other similar official for the Authority, the System or any substantial part of the Authority's property, or to the taking possession by any such official of the System or any substantial part of the Authority's property, (3) making by the Authority of any assignment for the benefit of creditors, or (4) taking corporate action by the Authority in furtherance of any of the foregoing

(g) The entry of any (1) decree or order for relief by a court having jurisdiction over the Authority or its property in an involuntary case under the Federal bankruptcy laws, as now or hereafter constituted, or any other applicable Federal or state bankruptcy, insolvency or other law, (2) appointment of a receiver, liquidator, assignee, trustee, custodian, sequestrator or similar official for the Authority, the

System or any substantial part of the Authority's property, or (3) order for the termination or liquidation of the Authority or its affairs; or

(h) Failure of the Authority within 60 days after the commencement of any proceedings against it under the Federal bankruptcy laws, or any other applicable Federal or state bankruptcy, insolvency or similar law, to have such proceedings dismissed or stayed.

Series 2016A Subordinate Bond Events of Default (TSI Section 703)

Each of the following events shall be a Series 2016A Subordinate Bond Event of Default:

(a) Default in the payment of the principal of or premium, if any, on any Series 2016A Bond (whether at maturity or call for redemption);

(b) Default in the due and punctual payment of the interest on any Series 2016A Bond;

(c) Failure of the Authority to make the deposits to the Subordinate Bond Fund or the Series 2016A Subordinate Debt Service Reserve Account at the time and in the amount required from Net Revenues available for such deposit under the Indenture; or

(d) Failure of the Trustee to apply moneys to the payment of Subordinate Debt in accordance with the requirements of the Indenture related to application of moneys received by the Trustee upon the exercise of remedies following an Event of Default.

Application of Article IX and Remedies Provisions of the Master Indenture to the Series 2016A Bonds (TSI Section 701)

The Series 2016A Bonds do <u>not</u> constitute "Bonds" or Senior Debt under the Master Indenture. Accordingly, the provisions of Article IX of the Master Indenture that confer certain rights upon the holders of Bonds or a specified percentage thereof do <u>not</u> apply to the Series 2016A Bonds or to the Series 2016A Bondholders. <u>Pursuant to Section 305 of the Master Indenture, the Series 2016A Bonds, as Subordinate Debt, may not be accelerated if any Senior Debt is Outstanding</u>.

Notice to Holders of Senior Debt of Certain Default (Section 902)

If the Trustee is required to draw moneys from the Debt Service Reserve Fund to pay principal or interest on the Bonds and the Authority fails to begin replenishing the Debt Service Reserve Fund within 60 days in accordance with the replenishment requirements of the Indenture or fails to make any deposit required by the Indenture, then the Trustee shall send a notice to the Holders of Senior Debt that have related Debt Service Reserve Accounts, notifying them of the Authority's failure to replenish such draws.

Acceleration of Bonds (Section 903)

Upon the occurrence and continuation of an Event of Default, the Trustee may (and if requested by the holders of not less than 25% in aggregate principal amount of Bonds then Outstanding shall) by written notice to the Authority, declare the entire unpaid principal of the Bonds due and payable and, thereupon, the entire unpaid principal of the Bonds shall forthwith become due and payable. Upon any such declaration the Authority shall forthwith pay to the holders of the Bonds the entire unpaid principal of, premium, if any, and accrued interest on the Bonds, but only from Net Revenues and other moneys specifically pledged in the Indenture for payments of Bondholders. If at any time after such a declaration and before the entry of a final judgment or decree in any suit, action or proceeding instituted on account

of such default or before the completion of the enforcement of any other remedy under the Indenture, the principal of all Bonds that have matured or been called for redemption pursuant to any sinking fund provision and all arrears of interest have been paid and any other Events of Default which may have occurred have been remedied, then the Trustee may, by written notice to the Authority, rescind or annul such declaration and its consequences. No such rescission or annulment shall extend to or affect any subsequent default or impair any right consequent thereon. Subordinate Debt may not be accelerated if any Senior Debt is Outstanding.

Other Remedies and Rights of Bondholders (Section 904)

Upon the occurrence and continuation of an Event of Default, the Trustee may (and if requested by the holders of not less than 25% in aggregate principal amount of Bonds Outstanding and if indemnified in accordance with prevailing industry standards shall) proceed to protect and enforce their rights by mandamus or other suit, action or proceeding at law or in equity, including an action for specific performance of any covenant or agreement contained in the Indenture. No remedy conferred by the Indenture upon or reserved to the Trustee and Bondholders is intended to be exclusive of any other remedy, but each such remedy shall be cumulative and shall be in addition to any other remedy given to the Trustee and holders of Bonds under the Indenture or now or hereafter existing at law, in equity or by statute. No delay or omission to exercise any right or power accruing upon any default or Event of Default shall impair any such right or power, or shall be construed to be a waiver of any such default or Event of Default or acquiescence therein, and every such right and power may be exercised from time to time and as often as may be deemed expedient. No waiver of any default or Event of Default under the Indenture by the Trustee or Bondholders shall extend to or affect any subsequent default or Event of Default or shall impair any rights or remedies consequent thereon.

Other Remedies of Series 2016A Bondholders (TSI Section 704)

Upon the occurrence and continuation of a Series 2016A Subordinate Bond Event of Default, the Trustee may (and if requested by the holders of not less than 25% in aggregate principal amount of Outstanding Series 2016A Bonds, and if indemnified in accordance with prevailing industry standards shall) proceed to protect and enforce their rights by mandamus or other suit, action or proceeding at law or in equity, including an action for specific performance. No remedy conferred by the Twentieth Supplemental Indenture upon or reserved to the Trustee and holders of the Series 2016A Bonds is intended to be exclusive of any other remedy, but each such remedy shall be cumulative and shall be in addition to any other remedy given to the Trustee and holders of the Series 2016A Bonds under the Twentieth Supplemental Indenture or now or hereafter existing at law, in equity or by statute. No delay or omission to exercise any right or power accruing upon any default or a Series 2016A Subordinate Bond Event of Default shall impair any such right or power or shall be construed to be a waiver of any such default or a Series 2016A Subordinate Bond Event of Default or acquiescence therein, and every such right and power may be exercised from time to time and as often as may be deemed expedient. No waiver of any default or a Series 2016A Subordinate Bond Event of Default under the Twentieth Supplemental Indenture by the Trustee or the holders of the Series 2016A Bonds shall extend to or shall affect any subsequent default or a Series 2016A Subordinate Bond Event of Default or shall impair any rights or remedies consequent thereon.

Right of Bondholder to Direct Proceedings (Section 905)

Anything in the Indenture to the contrary notwithstanding, the holders of a majority in aggregate principal amount of Bonds then Outstanding shall have the right, at any time, by an instrument or instruments in writing executed and delivered to the Trustee, to direct the method and place of conducting all proceedings to be taken in connection with the enforcement of the terms and conditions of the

Indenture or any other proceedings thereunder; provided, however, that such direction shall not be otherwise than in accordance with the provisions of law and of the Indenture.

Application of Moneys – General (Section 906)

All moneys received by the Trustee pursuant to any right given or action taken under the Indenture, after payment of the cost and expenses of the proceedings resulting in the collection of such moneys, the expenses, liabilities and advances incurred or made by the Trustee and its fees and the expenses of the Authority in carrying out the Indenture, shall be deposited in the Bond Fund and applied for no other purpose than as follows, unless the principal of all of the Bonds shall have become due or shall have been declared due and payable:

First – To the payment to the persons entitled thereto of all installments of interest then due on the Senior Debt, in the order of the maturity of the installments of such interest and; if the amount available shall not be sufficient to pay in full any particular installment, then to the payment ratably, according to the amounts due on such installment, to the persons entitled thereto, without any discrimination or preference, except as to any difference in the respective rates of interest specified in the Senior Debt; and

Second – To the payment to the persons entitled thereto of the unpaid principal of and premium, if any, on any of the Senior Debt which shall have become due (other than Senior Debt called for redemption for the payment of which moneys are held pursuant to the provisions of the Indenture), to pay in full Senior Debt due on any particular date and then to the payment of such principal and premium, if any, ratably, according to the amount of such principal due on such date, to the persons entitled thereto, without any discrimination or preference.

If the principal of all the Bonds shall have become due or shall have been declared due and payable, all such moneys shall be applied to the payment of the principal and interest then due and unpaid on the Senior Debt, including, to the extent permitted by law, interest on overdue installments of interest, without preference or priority of principal over interest or of interest over principal, or of any installment of interest over any other installment of interest, or of any Senior Debt over any other Senior Debt, ratably, according to the amounts due respectively for principal and interest, to the persons entitled thereto, without any discrimination or preference except as to any difference in the respective rates of interest specified in the Senior Debt.

If the principal of all the Bonds shall have been declared due and payable and if such declaration shall thereafter have been rescinded and annulled under the provisions of the Indenture, then, subject to the provisions Section 906 of the Indenture in the event that the principal of all the Senior Debt shall later become due or be declared due and payable, the moneys shall be applied in accordance with the provisions of Section 906 of the Indenture. Whenever moneys are to be applied pursuant to the provisions of Section 906, such moneys shall be applied at such times and from time to time as the Trustee shall determine, having due regard to the amount of such moneys available for application and the likelihood of additional moneys becoming available for such application in the future. Whenever the Trustee shall apply such moneys, it shall fix the date (which shall be an Interest Payment Date unless it shall deem another date more suitable) on which such application is to be made and, on such date, interest shall cease to accrue on the amounts of principal to be paid. The Trustee shall give such notice as it may deem appropriate of the deposit with it of any such moneys and of the fixing of any such date. Whenever there are moneys remaining after application to the Bond Fund for the payment of Senior Debt, the Trustee shall apply such remaining moneys, allocated in a similar manner as provided above, to the payment of Subordinate Debt. Whenever the principal of and premium, if any, and interest on all Indebtedness have been paid under the provisions of Section 906 of the Indenture, all payments required by the terms of any Supplemental Indenture have been paid and all expenses and charges of the Trustee

have been paid, any balance remaining in the several funds created by the Indenture shall be paid to the Authority as provided in the Indenture.

Application of Moneys to Series 2016A Bonds (TSI Section 706)

In addition to the general provisions of the Indenture described above regarding the application of moneys by the Trustee, the following provisions shall apply to the Series 2016A Bonds.

All moneys received by the Trustee pursuant to any right given or action taken under the provisions of Article IX of the Twentieth Supplemental Indenture, after payment of the cost and expenses of the proceedings resulting in the collection of such moneys, the expenses, liabilities and advances incurred or reasonably anticipated to be made by the Trustee and its fees and the expenses of the Authority in carrying out the Twentieth Supplemental Indenture, shall be deposited in the Series 2016A Bonds Interest Subaccount or the Series 2016A Bonds Principal Subaccount, as the case may be, and applied as follows and for no other purpose:

(a) All such moneys shall be applied:

First – To the payment to the persons entitled thereto of all installments of interest then due on the Series 2016A Bonds, in the order of the maturity of the installments of such interest and, if the amount available shall not be sufficient to pay in full any particular installment, then to the payment ratably, according to the amounts due on such installment, to the persons entitled thereto, without any discrimination or preference, except as to any difference in the respective rates of interest specified in the Series 2016A Bonds; and

Second – To the payment to the persons entitled thereto of the unpaid principal of and premium, if any, on any of the Series 2016A Bonds which shall have become due (other than Series 2016A Bonds called for redemption for the payment of which moneys are held pursuant to the provisions of the Indenture), in the order of their due dates, and, if the amount available shall not be sufficient to pay in full Series 2016A Bonds due on any particular date, then to the payment of such principal of, and premium, if any, ratably, according to the amount of such principal due on such date, to the persons entitled thereto, without any discrimination or preference.

For purposes of paragraphs First and Second above, the interest component of any Purchase Price payable by the Authority will be treated as interest, and the principal component of any Purchase Price payable by the Authority will be treated as principal.

(b) Whenever moneys are to be applied pursuant to the provisions described in (a) above, such moneys shall be applied at such times and from time to time as the Trustee shall determine, having due regard to the amount of such moneys available for application and the likelihood of additional moneys becoming available for such application in the future. Whenever the Trustee shall apply such moneys, it shall fix the date (which shall be an Interest Payment Date unless it shall deem another date more suitable) on which such application is to be made and on such date interest shall cease to accrue on the amounts of principal to be paid. The Trustee shall give such notice as it may deem appropriate of the deposit with it of any such moneys and of the fixing of any such date.

Remedies Vested in Trustee (Section 907)

All rights of action (including the right to file proof of claims) under the Indenture or under any of the Bonds may be enforced by the Trustee without the possession of any of the Bonds or the production thereof in any trial or other proceeding relating thereto, and any such suit or proceeding

instituted by the Trustee may be brought in its name as Trustee, without the necessity of joining as plaintiffs or defendants any Bondholders, and any recovery of judgment shall be for the equal benefit of the Bondholders.

Limitation on Suits (Section 908; TSI Section 708)

Except to enforce the rights described under "Other Remedies; Rights of Bondholders (Section 904)" and "Right of Bondholders to Direct Proceedings (Section 905)", no Bondholder shall have any right to institute any action, suit or proceeding at law or in equity for the enforcement of the Indenture or for the execution of any trust thereof or any other remedy under the Indenture, unless (a) a default has occurred and is continuing of which the Trustee has been notified as provided in the Indenture, or of which under the Indenture the Trustee is deemed to have notice, (b) such default has become an Event of Default and the holders of 25% in aggregate principal amount of Bonds then Outstanding have made written request to the Trustee and offered it reasonable opportunity either to proceed to exercise the powers hereinbefore granted or to institute such action, suit or proceeding in its own name, (c) such requesting Bondholders have offered to the Trustee indemnity as provided in the indenture, (d) the Trustee has thereafter failed or refused to exercise the powers granted under the Indenture, or to institute such action, suit or proceeding in its, own name, (e) no direction inconsistent with such written request has been given to the Trustee by the holders of a majority in aggregate principal amount of Bonds then Outstanding, and (f) notice of such action, suit or proceeding is given to the Trustee, it being understood and intended that no one or more holders of the Bonds shall have any right in any manner whatsoever to affect, disturb or prejudice the Indenture by its or their action, or to enforce any rights under the Indenture except in the manner therein provided, and that all proceedings at law or in equity shall be instituted and maintained in the manner herein provided and for the equal benefit of the holders of all Bonds then Outstanding. The notification, request and offer of indemnity set forth in the Indenture, at the option of the Trustee, shall be conditions precedent to the execution of the powers and trusts of the Indenture and to any action or cause of action for the enforcement of the Indenture or for any other remedy under the Indenture.

Except to enforce the rights described under "Other Remedies of Series 2016A Bondholders (TSI Section 904)" and "Right of Series 2016A Bondholders to Direct Proceedings (TSI Section 905)," no Series 2016A Bondholder shall have any right to institute any action, suit or proceeding at law or in equity for the enforcement of the Indenture or for the execution of any trust thereof or any other remedy thereunder, unless (a) a Series 2016A Subordinate Bond Event of Default has occurred and is continuing and the holders of 25% in aggregate principal amount of Series 2016A Bonds then Outstanding have made written request to the Trustee and offered it reasonable opportunity either to proceed to exercise the powers granted under the Twentieth Supplemental Indenture or to institute such action, suit or proceeding in its own name, (b) such requesting Series 2016A Bondholders have offered to the Trustee indemnity as provided in Section 1101(1) of the Master Indenture, (c) the Trustee has thereafter failed or refused to exercise the powers granted under the Twentieth Supplemental Indenture, or to institute such action, suit or proceeding in its, own name, (d) no direction inconsistent with such written request has been given to the Trustee by the holders of a majority in aggregate principal amount of Series 2016A Bonds then Outstanding, and (e) notice of such action, suit or proceeding is given to the Trustee, it being understood and intended that no one or more Series 2016A Bondholders shall have any right in any manner whatsoever to affect, disturb or prejudice the Indenture by its or their action or to enforce any rights thereunder, except in the manner therein provided, and that all proceedings at law or in equity shall be instituted and maintained in the manner therein provided and for the equal benefit of all Series 2016A Bondholders then Outstanding. The notification, request and offer of indemnity described above, at the option of the Trustee, shall be conditions precedent to the execution of the powers and trusts of the Twentieth Supplemental Indenture and to any action or cause of action for the enforcement of the Twentieth Supplemental Indenture or for any other remedy thereunder.

Waivers of Events of Default (Section 910; TSI Section 710)

The Trustee may in its discretion waive any Event of Default under the Indenture or any action taken pursuant to any Event of Default and rescind any acceleration of maturity of principal of and interest on the Bonds, and shall do so at the written request of the holders of (a) a majority in aggregate principal amount of Bonds then Outstanding in respect of which default in the payment of principal and/or premium, if any, and/or interest exists, or (b) a majority in aggregate principal amount of Bonds then Outstanding in the case of any other default, provided, however, that (1) there shall not be waived without the written consent of the holders of all Bonds then Outstanding (A) any Event of Default in the payment of the principal of any Outstanding Bonds (whether at maturity or by sinking fund redemption), or (B) any default in the payment when due of the interest on any such Bonds unless, prior to such waiver or rescission, (i) there shall have been paid or provided for all arrears of interest with interest, to the extent permitted by law, at the rate borne by the Bonds on overdue installments of interest, all arrears of principal of, premium, if any, and all expenses of the Trustee in connection with such default, and (ii) in case of any such waiver or rescission or in the case of any discontinuance, abandonment or adverse determination of any proceeding taken by the Trustee on account of any such default, the Authority, the Trustee, and the holders of Bonds shall be restored to their former positions and rights under the Indenture respectively; (2) no acceleration of maturity described under "Acceleration (Section 903)" made at the request of the holders of 25% in aggregate principal amount of Bonds then Outstanding shall be rescinded unless requested by the holders of at least 25% in aggregate principal amount of Bonds then Outstanding; and (3) any such waiver and/or rescission shall only be effective with respect to the Bonds if the holders of Other System Indebtedness shall have waived any event of default related to such Other System Indebtedness or any action taken pursuant to such event of default and\or rescinded any declaration of maturity of principal of and interest on the Other System indebtedness. No such waiver or rescission relating to the Bonds shall extend to any subsequent or other default, or impair any right consequent thereon.

The Trustee may in its discretion waive any Series 2016A Subordinate Bond Event of Default or any action taken pursuant to any Series 2016A Subordinate Bond Event of Default, and shall do so at the request of the holders of (a) a majority in aggregate principal amount of Series 2016A Bonds then Outstanding in respect of which default in the payment of principal and/or premium, if any, and/or interest exists, or (b) a majority in aggregate principal amount of Series 2016A Bonds then Outstanding in the case of any other Series 2016A Subordinate Bond Event of Default; provided, however, that there shall not be waived without the consent of all then Outstanding Series 2016A Bondholders (A) any Series 2016A Subordinate Bond Event of Default in the payment of the principal of any Outstanding Series 2016A Bonds (whether at maturity or by sinking fund redemption), or (B) any default in the payment when due of the interest on any such Series 2016A Bonds unless, prior to such waiver or rescission:

(i) there shall have been paid or provided for all arrears of interest with interest, to the extent permitted by law, at the rate borne by the Series 2016A Bonds on overdue installments of interest, all arrears of principal and premium, if any, and all expenses of the Trustee in connection with such default, and

(ii) in case of any such waiver or rescission, or in the case of any discontinuance, abandonment or adverse determination of any proceeding taken by the Trustee on account of any such default, the Authority, the Trustee, and the Series 2016A Bondholders shall be restored to their former positions and rights under the Indenture, respectively.

No such waiver or rescission relating to the Series 2016A Bonds shall extend to any subsequent or other default or impair any right consequent thereon.

Unconditional Right to Receive Principal, Premium and Interest (Section 911; TSI Section 711)

Nothing in the Indenture, however, shall affect or impair the right of the Trustee or any Bondholder to enforce, by action at law, payment of the principal of, premium, if any, or interest on any Bond at and after the maturity thereof, or on the date fixed for redemption or upon the same being declared due prior to maturity as herein provided, or the obligation of the Authority to pay the principal of, premium, if any, and interest on each of the Bonds issued under the Indenture to the respective holders thereof at the time and place, from the source and in the manner expressed in the Indenture and in the Bonds.

Nothing in the Twentieth Supplemental Indenture shall, however, affect or impair the obligation of the Authority to pay the principal of, premium, if any, and interest on each of the Series 2016A Bonds to the respective holders thereof at the time and place, from the source and in the manner specified in the Indenture.

Supplemental Indentures Not Requiring Consent of Holders of Bonds (Section 1001)

The Authority and the Trustee may, without the consent of, or notice to, any of the Bondholders, enter into Supplemental Indentures as shall not be inconsistent with the intent of the terms and provisions of the Indenture, to (a) cure any ambiguity, formal defect or omission in the Indenture; (b) grant to or confer upon the Bondholders any additional rights, remedies, powers or authority that may lawfully be granted to or conferred on the Bondholders; (c) add to the covenants and agreements of the Authority in the Indenture other covenants and agreements to be observed by the Authority; (d) modify, amend or supplement the Indenture in such manner as required to permit the Authority to comply with the provisions of the Code relating to the rebate to the United States of America of earnings derived from the investment of the proceeds of Bonds, provided that such modification, amendment or supplement does not materially adversely affect the holders of all Outstanding Bonds; (e) modify, amend or supplement the Indenture in such manner as may be required by a Rating Agency to maintain or enhance its rating on the Senior Debt, provided that such modification, amendment or supplement does not materially adversely affect the holders of all Outstanding Bonds; (f) modify, amend or supplement the Indenture to implement any covenants or agreements contemplated by the Indenture; (g) authorize the issuance of and to secure one or more issues of Indebtedness pursuant to the Indenture; (h) amend any agreement with a securities depository relating to a book-entry only system to be maintained with respect to any Bonds; or (i) modify, amend or supplement the Indenture in any manner that the Trustee concludes is not materially adverse to the holders of all Outstanding Bonds.

Supplemental Indentures Requiring Consent of Bondholders (Section 1002)

Exclusive of Supplemental Indentures authorized by Section 1001 of the Indenture and subject to the terms and provisions contained in Section 1002 of the Indenture, the holders of not less than a majority in aggregate principal amount of Outstanding Bonds shall have the right, from time to time, notwithstanding anything in the Indenture to the contrary, to consent to the execution by the Authority and the Trustee of such other agreements or agreements supplemental to the Indenture as shall be deemed necessary or desirable by the Authority for the purpose of modifying, altering, amending, adding to or rescinding, in particular, any of the terms or provisions contained in the Indenture and any Supplemental Indentures; provided, however, that nothing in the Indenture shall permit, or be construed as permitting, (a) an extension of the maturity of the principal of or the interest on any Bonds, (b) a privilege or priority of any Senior Debt over any other Senior Debt, (c) a reduction in the aggregate principal amount of Bonds required for consent to any Supplemental Indentures, (d) a reduction in the principal amount of or premium, if any, on any Bonds or the rate of interest thereon, or (e) an extension of time or a reduction in amount of any payment required by any sinking fund that may be applicable to any Bonds, without the

consent of the holders of all of the Outstanding Bonds; provided, however that there shall be no modification of the Net Revenue pledge which secures the Other System Indebtedness nor of the Net Revenue pledge which secures the Subordinate Debt, if such respective modification would adversely affect the interests of the holders of such debt.

If at any time the Authority shall request the Trustee to enter into any Supplemental Indenture, the Trustee shall cause notice of the proposed execution of such Supplemental Indenture to be sent by registered or certified mail to the registered owner of each Bond at his address as it appears on the registration books. Such notice shall briefly set forth the nature of the proposed Supplemental Indenture and shall state that a copy thereof is on file at the corporate trust office of the Trustee for inspection by all Bondholders. If, within 90 days or such longer period as shall be prescribed by the Authority following the giving of such notice, the holders of not less than a majority in aggregate principal amount of Outstanding Bonds, or in the case of (a) through (e) above, the holders of all Outstanding Bonds, shall have consented to and approved the execution thereof as herein provided, no holder of any Bond shall have any right to object to any of the terms and provisions contained therein, or the operation hereof, or in any manner to question the propriety thereof, or to enjoin or restrain the Trustee or the Authority from executing such Supplemental Indenture or from taking any action pursuant to the provisions thereof. Upon the execution of any such Supplemental Indenture as permitted and provided in the Indenture, the Indenture shall be and be deemed to be modified and amended in accordance therewith. Bonds owned or held by or for the account of the Authority shall not be deemed Outstanding for the purpose of consent or any calculation of Outstanding Bonds provided for in the Indenture. At the time of any such calculation, the Authority shall furnish the Trustee a certificate of an Authorized Representative of the Authority upon which the Trustee may rely, describing all Bonds so to be excluded.

APPENDIX D

FORM OF CONTINUING DISCLOSURE AGREEMENT

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FORM OF CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (the "Disclosure Agreement") is executed and delivered by the District of Columbia Water and Sewer Authority (the "Issuer") in connection with the issuance of its Public Utility Senior Lien Revenue Bonds, Series 2017A (the "Series 2017A Bonds") and its Public Utility Senior Lien Revenue Bonds, Series 2017B (the "Series 2017B Bonds" and, together with the Series 2017A Bonds, the "Series 2017A/B Bonds"). The Series 2017A/B Bonds are being issued pursuant to the Master Indenture of Trust, dated as of April 1, 1998 (the "Master Indenture"), as amended and supplemented to the date of delivery of the Series 2017A/B Bonds (the "Indenture"), including by the Twenty-Second Supplemental Indenture of Trust, to be dated the date of issuance and delivery of the Series 2017A/B Bonds (the "Twenty-Second Supplemental Indenture"), each by and between the Authority and Wells Fargo Bank, N.A., as trustee (the "Trustee"). The Issuer covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Agreement. This Disclosure Agreement is being executed and delivered by the Issuer for the benefit of the Holders and Beneficial Owners of the Series 2017A/B Bonds and in order to assist the Participating Underwriter in complying with Securities and Exchange Commission ("S.E.C.") Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Indenture, which apply to any capitalized term used in this Disclosure Agreement unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"Annual Report" shall mean any Annual Report provided by the Issuer pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

"Beneficial Owner" shall mean any person who has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries).

"Dissemination Agent" shall mean the Issuer, or any successor Dissemination Agent designated in writing by the Issuer and which has filed with the Issuer a written acceptance of such designation.

"Holder" shall mean the person in whose name any Bond shall be registered.

"Listed Events" shall mean any of the events listed in Section 5(a) or (b) of this Disclosure Agreement.

"MSRB" shall mean the Municipal Securities Rulemaking Board or any other entity designated or authorized by the Securities and Exchange Commission to receive reports pursuant to the Rule. Until otherwise designated by the MSRB or the Securities and Exchange Commission, filings with the MSRB are to be made through the Electronic Municipal Market Access (EMMA) website of the MSRB, currently located at http://emma.msrb.org.

"Participating Underwriter" shall mean the original underwriter of the Series 2017A/B Bonds required to comply with the Rule in connection with offering of the Series 2017A/B Bonds.

"Rule" shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

SECTION 3. Provision of Annual Reports.

(a) The Issuer shall, or shall cause the Dissemination Agent to, not later than 240 days after the end of the Issuer's fiscal year (which shall be June 1 of each year, so long as the Issuer's fiscal year ends on September 30), commencing with the report for the fiscal year ending September 30, 2016 (which is due not later than June 1, 2017), provide to the MSRB an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Agreement. The Annual Report may cross-reference other information as provided in Section 4 of this Disclosure Agreement; provided that the audited financial statements of the Issuer may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the Issuer's fiscal year changes, it shall give notice of such change in a filing with the MSRB. The Annual Report shall be submitted on a standard form in use by industry participants or other appropriate form and shall identify the Series 2017A/B Bonds by name and CUSIP number.

(b) Not later than 15 business days prior to said date, the Issuer shall provide the Annual Report to the Dissemination Agent (if other than the Issuer). If the Issuer is unable to provide to the MSRB an Annual Report by the

date required in subsection (a), the Issuer shall, in a timely manner, send or cause to be sent to the MSRB a notice to that effect.

(c) The Dissemination Agent shall (if the Dissemination Agent is other than the Issuer) file a report with the Issuer certifying that the Annual Report has been provided pursuant to this Disclosure Agreement, stating the date it was provided to the MSRB.

SECTION 4. Content of Annual Reports. The Issuer's Annual Report shall contain or include by reference the following:

(a) the Issuer's comprehensive annual financial report (the "CAFR"), which includes audited financial statements prepared in accordance with generally accepted accounting principles in effect from time to time. If the Issuer's audited financial statements are not available by the time the Annual Report is required to be provided to the MSRB pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be provided to the MSRB in the same manner as the Annual Report when they become available; and

(b) to the extent not included in the CAFR, material historical financial and operating data concerning the Issuer and the Revenues of the Issuer generally of the type found in the tables included in the Issuer's Official Statement dated January 31, 2017, relating to the Series 2017A/B Bonds (the "Official Statement") under the captions "THE SYSTEM," "CAPITAL IMPROVEMENT PROGRAM," "CUSTOMER BASE, RATES AND CHARGES" and "FINANCIAL OPERATIONS."

Any or all of the items listed above may be set forth in one or a set of documents or may be included by specific reference to other documents, including Official Statements of debt issues of the Issuer or related public entities, which have been made available to the public on the MSRB's website. The Issuer shall clearly identify each such other document so included by reference.

SECTION 5. Reporting of Significant Events.

(a) The Issuer shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Series 2017A/B Bonds in a timely manner not later than ten business days after the occurrence of the event:

1. Principal and interest payment delinquencies;

2. Unscheduled draws on debt service reserves reflecting financial difficulties;

3. Unscheduled draws on credit enhancements reflecting financial difficulties;

4. Substitution of credit or liquidity providers, or their failure to perform;

5. Adverse tax opinions or issuance by the Internal Revenue Service of proposed or final determination of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB);

6. Tender offers;

7. Defeasances;

8. Rating changes; or

9. Bankruptcy, insolvency, receivership or similar event of the obligated person.

Note: for the purposes of the event identified in subparagraph (9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement

or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

(b) The Issuer shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Series 2017A/B Bonds, if material, in a timely manner not later than ten business days after the occurrence of the event:

1. Unless described in paragraph 5(a)(5), other material notices or determinations by the Internal Revenue Service with respect to the tax status of the Series 2017A/B Bonds or other material events affecting the tax status of the Series 2017A/B Bonds;

2. Modifications to rights of Bond holders;

3. Optional, unscheduled or contingent Bond calls;

4. Release, substitution, or sale of property securing repayment of the Series 2017A/B Bonds;

5. Non-payment related defaults;

6. The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms; or

7. Appointment of a successor or additional trustee or the change of name of a trustee.

(c) Whenever the Issuer obtains knowledge of the occurrence of a Listed Event described in Section 5(b), the Issuer shall determine if such event would be material under applicable federal securities laws.

(d) If the Issuer learns of the occurrence of a Listed Event described in Section 5(a), or determines that knowledge of a Listed Event described in Section 5(b) would be material under applicable federal securities laws, the Issuer shall within ten business days of occurrence file a notice of such occurrence with the MSRB. Notwithstanding the foregoing, notice of the Listed Event described in subsections 5(a)(7) or 5(b)(3) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Bonds pursuant to the Indenture.

SECTION 6. Format for Filings with MSRB. Any report or filing with the MSRB pursuant to this Disclosure Agreement must be submitted in electronic format, accompanied by such identifying information as is prescribed by the MSRB.

SECTION 7. Termination of Reporting Obligation. The Issuer's obligations under this Disclosure Agreement shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Series 2017A/B Bonds. If such termination occurs prior to the final maturity of the Series 2017A/B Bonds, the Issuer shall give notice of such termination in a filing with the MSRB.

SECTION 8. Dissemination Agent. The Issuer may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Agreement, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the Issuer pursuant to this Disclosure Agreement. The initial Dissemination Agent shall be the Issuer.

SECTION 9. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Agreement, the Issuer may amend this Disclosure Agreement, and any provision of this Disclosure Agreement may be waived, provided that the following conditions are satisfied:

(a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, 5(a) or 5(b), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Series 2017A/B Bonds, or the type of business conducted;

(b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Series 2017A/B Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Holders or Beneficial Owners of the Series 2017A/B Bonds.

In the event of any amendment or waiver of a provision of this Disclosure Agreement, the Issuer shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the Issuer. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in a filing with the MSRB, and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 10. Additional Information. Nothing in this Disclosure Agreement shall be deemed to prevent the Issuer from disseminating any other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or including any other information in any Annual Report or notice required to be filed pursuant to this Disclosure Agreement, in addition to that which is required by this Disclosure Agreement. If the Issuer chooses to include any information in any Annual Report or notice in addition to that which is specifically required by this Disclosure Agreement, the Issuer shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event or any other event required to be reported.

SECTION 11. Default. In the event of a failure of the Issuer to comply with any provision of this Disclosure Agreement, any Holder or Beneficial Owner of the Series 2017A/B Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Issuer to comply with its obligations under this Disclosure Agreement; provided, that any such action may be instituted only in the District of Columbia. The sole remedy under this Disclosure Agreement in the event of any failure of the Issuer to comply with this Disclosure Agreement shall be an action to compel performance.

SECTION 12. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Issuer, the Dissemination Agent, the Participating Underwriter and Holders and Beneficial Owners from time to time of the Series 2017A/B Bonds, and shall create no rights in any other person or entity.

Date: February 23, 2017

DISTRICT OF COLUMBIA WATER AND SEWER AUTHORITY

By _____
Mark T. Kim, Chief Financial Officer

APPENDIX E

DTC BOOK-ENTRY ONLY SYSTEM

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DTC BOOK-ENTRY ONLY SYSTEM

The description that follows of the procedures and record keeping with respect to beneficial ownership interests in the Series 2017A/B Bonds, payments of principal, premium, if any, and interest on the Series 2017A/B Bonds to DTC, its nominee, Participants, or Beneficial Owners, confirmation and transfer of beneficial ownership interests in the Series 2017A/B Bonds and other bond-related transactions by and between DTC, Participants and Beneficial Owners is based on information furnished by DTC. The Authority and the Underwriters take no responsibility for the accuracy thereof.

The Depository Trust Company, New York, New York ("DTC") will act as securities depository for the Series 2017A/B Bonds. The Series 2017A/B Bonds will be issued as fully registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered Series 2017A/B Bond will be issued for the Series 2017A/B Bonds of each series and maturity in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934, as amended. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers, and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Series 2017A/B Bonds under the DTC system must be made by or through Direct Participants, who will receive a credit for such Series 2017A/B Bonds on DTC's records. The ownership interest of each actual purchaser of each Series 2017A/B Bonds Bond (the "Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2017A/B Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Series 2017A/B Bonds, except in the event that use of the book-entry system for the Series 2017A/B Bonds is discontinued.

To facilitate subsequent transfers, all Series 2017A/B Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede& Co., or such other name as may be requested by an authorized representative of DTC. The deposit of the Series 2017A/B Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Series 2017A/B Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2017A/B Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time.

Redemption notices shall be sent to DTC. If less than all of the Series 2017A/B Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

THE TRUSTEE, AS LONG AS A BOOK-ENTRY ONLY SYSTEM IS USED FOR THE SERIES 2017A/B BONDS, WILL SEND ANY NOTICE OF REDEMPTION OR OTHER NOTICES ONLY TO DTC. ANY FAILURE OF DTC TO ADVISE ANY PARTICIPANT, OR OF ANY PARTICIPANT TO NOTIFY ANY BENEFICIAL OWNER OF ANY NOTICE AND OF ITS CONTENT OR EFFECT WILL NOT AFFECT THE VALIDITY OR SUFFICIENCY OF THE PROCEEDINGS RELATING TO THE REDEMPTION OF THE SERIES 2017A/B BONDS CALLED FOR REDEMPTION OR OF ANY OTHER ACTION PREMISED ON SUCH NOTICE.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Series 2017A/B Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Authority as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2017A/B Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Principal and interest payments on the Series 2017A/B Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Authority or the Trustee on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee, or the Authority, subject to any statutory or regulatory requirement as may be in effect from time to time. Payment of principal and interest to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC, is the responsibility of the Authority or the Trustee, disbursement of such payments to Direct Participants shall be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners shall be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as securities depository with respect to the Series 2017A/B Bonds at any time by giving reasonable notice to the Authority or the Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Series 2017A/B Bonds Bond certificates are required to be printed and delivered. The Authority may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, Series 2017A/B Bonds Bond certificates will be printed and delivered.

So long as Cede & Co. is the registered owner of the Series 2017A/B Bonds, as partnership nominee for DTC, references herein to Bondholders or registered owners of the Series 2017A/B Bonds (other than under the caption "TAX MATTERS") shall mean Cede & Co. and shall not mean the Beneficial Owners of the Series 2017A/B Bonds.

When reference is made to any action which is required or permitted to be taken by the Beneficial Owners, such reference shall only relate to those permitted to act (by statute, regulation or otherwise) on behalf of such Beneficial Owners for such purposes.

NEITHER THE AUTHORITY NOR THE TRUSTEE WILL HAVE ANY RESPONSIBILITY OR OBLIGATION TO DTC PARTICIPANTS, TO INDIRECT PARTICIPANTS, OR TO ANY BENEFICIAL OWNER WITH RESPECT TO (I) THE ACCURACY OF ANY RECORDS MAINTAINED BY DTC, CEDE & CO., ANY DTC PARTICIPANT, OR ANY INDIRECT PARTICIPANT; (II) ANY NOTICE THAT IS PERMITTED OR REQUIRED TO BE GIVEN TO THE OWNERS OF THE SERIES 2017A/B BONDS; (III) THE SELECTION BY DTC OR ANY DTC PARTICIPANT OR INDIRECT PARTICIPANT OF ANY PERSON TO RECEIVE PAYMENT IN THE EVENT OF A PARTIAL REDEMPTION OF THE SERIES 2017A/B BONDS; (IV) THE PAYMENT BY DTC OR ANY DTC PARTICIPANT OR INDIRECT PARTICIPANT OF ANY AMOUNT WITH RESPECT TO THE PRINCIPAL OR REDEMPTION PREMIUM, IF ANY, OR INTEREST DUE WITH RESPECT TO THE SERIES 2017A/B BONDS; (V) ANY CONSENT GIVEN OR OTHER ACTION TAKEN BY DTC AS THE OWNER OF THE SERIES 2017A/B BONDS; OR (VI) ANY OTHER MATTER.

APPENDIX F

PROPOSED FORM OF OPINION OF CO-BOND COUNSEL

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February 23, 2017

To: District of Columbia Water and Sewer Authority

Goldman, Sachs & Co.
New York, New York,
as Representative of the Underwriters of the Series 2017A/B Bonds

Re: District of Columbia Water and Sewer Authority
Public Utility Senior Lien Revenue Bonds, Series 2017A (Green Bonds)
Public Utility Senior Lien Revenue Bonds, Series 2017B

We have served as co-bond counsel to our client, the District of Columbia Water and Sewer Authority (the "Authority"), and not as counsel to any other person, in connection with the issuance by the Authority of its $300,000,000 Public Utility Senior Lien Revenue Bonds, Series 2017A/B (the "Series 2017A/B Bonds"), comprised of the $100,000,000 Public Utility Senior Lien Revenue Bonds, Series 2017A (Green Bonds) (the "Series 2017A Bonds") and the $200,000,000 Public Utility Senior Lien Revenue Bonds, Series 2017B (the "Series 2017B Bonds"), dated the date of this letter.

The Series 2017A/B Bonds are issued pursuant to the Master Indenture of Trust, dated as of April 1, 1998 (the "Master Indenture"), between the Authority and Wells Fargo Bank, N.A., as successor to Norwest Bank Minnesota, N.A. (the "Trustee"), as supplemented and amended, including by the Twenty-Second Supplemental Indenture of Trust, dated as of the same date as and relating to the Series 2017A/B Bonds (the "Twenty-Second Supplemental Indenture" and, together with the Master Indenture as previously amended and supplemented, the "Indenture"), between the Authority and the Trustee. Capitalized terms not otherwise defined in this letter are used as defined in the Indenture.

In our capacity as co-bond counsel, we have examined the transcript of proceedings relating to the issuance of the Series 2017A/B Bonds, a copy of each signed and authenticated Series 2017A Bond and Series 2017B Bond of the first maturity, the Indenture and such other documents, matters and law as we deem necessary to render the opinions set forth in this letter.

Based on that examination and subject to the limitations stated below, we are of the opinion that, under existing law:

1. The Series 2017A/B Bonds and the Indenture are valid and binding obligations of the Authority, enforceable in accordance with their respective terms.

2. The Series 2017A/B Bonds constitute special, limited obligations of the Authority, and the principal of and interest and any premium (collectively, "debt service") on the Series 2017A/B Bonds, together with debt service on other Senior Debt that the Authority has issued or may in the future issue under the Indenture, are payable solely from the Net Revenues and certain funds and accounts established under the Indenture. The Series 2017A/B Bonds are secured as Senior Debt under the Indenture and, as such, are secured by a senior lien on and pledge of (i) Net Revenues on a parity with the pledge of Net Revenues that secures other Senior Debt; and (ii) the moneys and Permitted Investments in the Bond Fund on a parity with the pledge of Net Revenues that secures other Senior Debt. The Series 2017A/B Bonds and the payments of debt service are not general obligations of the District of Columbia and are not secured by an obligation or pledge of any money raised by taxation.

3. Interest on the Series 2017A/B Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986, as amended (the "Code"), and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations; however, portions of the interest on the Series 2017A/B Bonds earned by certain corporations may be subject to a corporate alternative minimum tax. The Series 2017A/B Bonds and the interest thereon are exempt from District of Columbia taxation, except estate, inheritance and gift taxes. We express no opinion as to any other tax consequences regarding the Series 2017A/B Bonds.

The opinions stated above are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. In rendering all such opinions, we assume, without independent verification, and rely upon (i) the accuracy of the factual matters represented, warranted or certified in the proceedings and documents we have examined, and (ii) the due and legal authorization, execution and delivery of those documents by, and the valid, binding and enforceable nature of those documents upon, any parties other than the Authority.

In rendering those opinions with respect to treatment of the interest on the Series 2017A/B Bonds under the federal tax laws and District of Columbia tax laws, we further assume and rely upon compliance with the covenants in the proceedings and documents we have examined, including those of the Authority. Failure to comply with certain of those covenants subsequent to issuance of the Series 2017A/B Bonds may cause interest on the Series 2017A/B Bonds to be included in gross income for federal income tax purposes retroactively to their date of issuance.

The rights of the owners of the Series 2017A/B Bonds and the enforceability of the Series 2017A/B Bonds and the Indenture are subject to bankruptcy, insolvency, arrangement, fraudulent conveyance or transfer, reorganization, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion, and to limitations on legal remedies against public entities.

The opinions rendered in this letter are stated only as of this date, and no other opinion shall be implied or inferred as a result of anything contained in or omitted from this letter. Our engagement as co-bond counsel with respect to the Series 2017A/B Bonds has concluded on this date.

Very truly yours,

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